MGT301 Grand Quiz Spring 2021 Solved by Riz Mughall

Principles of Marketing (Virtual University of Pakistan)

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Grand Quiz Spring 2021

Subject Code MGT301 lecture 1 to 22

Solved By Riz Mughal

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MGT301:Grand Quiz

Quiz Start Time: 09:36 AM, 02 July 202

Question # 1 of 30 (Start time: 09:36:39 AM, 02 July 2021) **Total Marks:**

The microenvironment consists of larger societal forces that affect the microenvironment, such as demographic, economic, political, and cultural forces.

Select the correct option

- (●) False
- ( ) True



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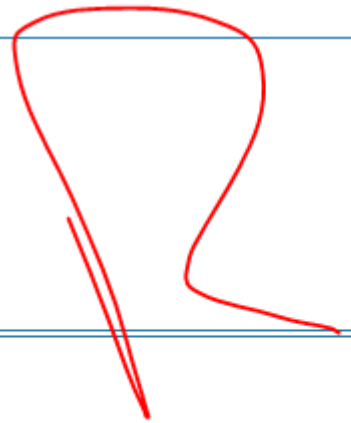
Quiz Start Time: 09:36 A

Question # 2 of 30 (Start time: 09:37:02 AM, 02 July 2021)

More and more companies are shifting their brand management focus toward customer relationship management.

Select the correct option

- ○ False
- ● True



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Quiz Start Time: 09:36 AM, 02 July 2

Question # 3 of 30 (Start time: 09:37:21 AM, 02 July 2021)

Total Mar

Tanveer Jafer works for a firm that is a distribution channel member that helps the company find customers or make sales to them. Tanveer works for a reseller.

Select the correct option

- (●) True
- ( ) False



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MGT301:Grand Quiz

Quiz Start Time: 09:36 AM, 02 July 202

Question # 4 of 30 (Start time: 09:37:38 AM, 02 July 2021) **Total Marks:**

Guided by marketing strategy, the company designs a marketing mix made up of factors under its control–product, price, place, and promotion.

Select the correct option

- (●) True
- ( ) False

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Quiz Start Tir

Question # 5 of 30 (Start time: 09:37:52 AM, 02 July 2021)

In the Boston Consulting Group approach, relative market share provides a measure of market attractiveness.

Select the correct option

- (●) False
- ( ) True

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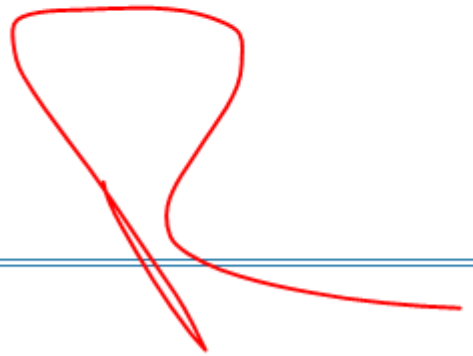
Quiz Start Time: 09:36 A

Question # 6 of 30 (Start time: 09:38:07 AM, 02 July 2021)

The elements of the marketing mix commonly known as the "four Ps" include: product, price, place, and promotion.

Select the correct option

- ○ False
- ● True



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Quiz Start Time: 09:36 AM, 02 J

Question # 7 of 30 (Start time: 09:38:23 AM, 02 July 2021)

Total

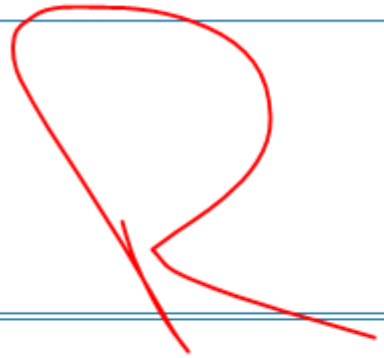
In Macro Environment technological factors must be considered because of having great impact on smooth running of the business.

Select the correct option

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- (●) True
- ( ) False

Click to Save Answer & Move to Next Que



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Question # 8 of 30 (Start time: 09:38:39 AM, 02 July 2021)

The shelter is among one of the examples of needs.

Select the correct option

- ○ False
- ● True

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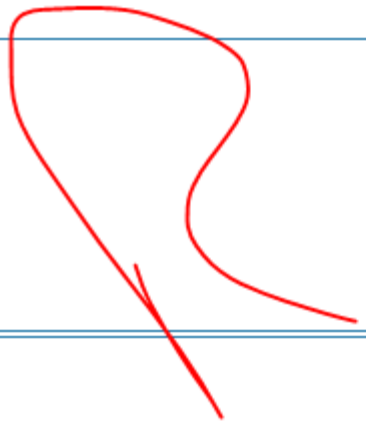
Quiz Start Time: 09:36 AM.

Question # 9 of 30 (Start time: 09:38:53 AM, 02 July 2021)

Mission statements must fit the market environment, as indicated here by the Girl Scouts' mission: "where girls grow strong."

Select the correct option

- (●) True
- ( ) False



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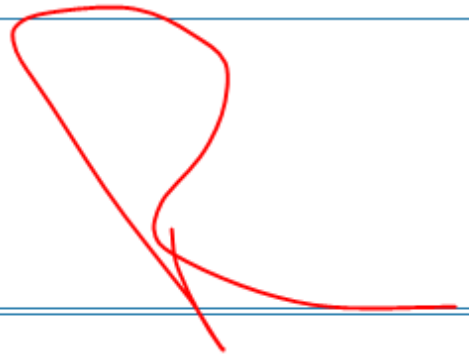
Quiz Start Time: 09:36 AM, 02 July 202

Question # 10 of 30 (Start time: 09:39:10 AM, 02 July 2021) **Total Marks:**

Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved.

Select the correct option

- (●) False
- ( ) True



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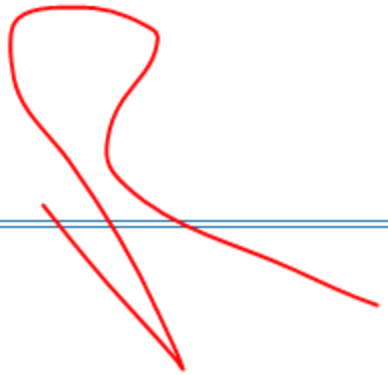
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Question # 11 of 30 (Start time: 09:39:28 AM, 02 July 2021)

The micro and macro environments have no impact on the success of marketing activities.

Select the correct option

- (●) False
- ( ) True



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Quiz Start Time: 09:36 AM, 02 July

Question # 12 of 30 (Start time: 09:39:42 AM, 02 July 2021)

Total Ma

Today's marketers must be good at building relationships in order to connect effectively with customers, others in the company, and external partners.

Select the correct option

- (●) True
- ( ) False

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Quiz Start Time: 09:36

Question # 13 of 30 (Start time: 09:39:58 AM, 02 July 2021)

Within the organization, buying activity consists of two major parts: the buying center and the buying decision process.

Select the correct option

- ○ False
- ● True

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Question # 14 of 30 (Start time: 09:40:12 AM, 02 July 2021)

In the supplier selection stage, the buyer reviews supplier performance.

Select the correct option

- ○ True
- ● False

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Quiz Start Time: 09:36 AM, 02 July 202

Question # 15 of 30 (Start time: 09:40:27 AM, 02 July 2021)

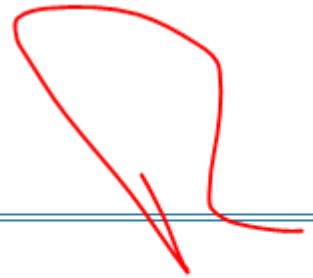
Total Marks:

Recently Pakistan has been added to Amazon's (E-commerce company) seller list, with the inclusion, the seller from Pakistan will have to produce new products for the new market. This is related to the Market Development concept.

Select the correct option

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- ○ True
- ● False



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Quiz Start Time: 09:36 AM

Question # 16 of 30 (Start time: 09:40:44 AM, 02 July 2021)

The PESTEL does not evaluate the factors like government policy, political stability, or instability in overseas markets.

Select the correct option

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- ○ True
- ● False

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Quiz Start Time: 09:36 AM, 02 July 2021

Question # 17 of 30 (Start time: 09:41:02 AM, 02 July 2021) **Total Marks:** 1

The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.

Select the correct option

- ○ False
- ● True

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Quiz Start Time: 09:36 AM, 02 July 2021

Question # 18 of 30 (Start time: 09:41:19 AM, 02 July 2021) **Total Marks:** 1

Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.

Select the correct option

- ○ True
- ● False

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Quiz Start Time: 09:36 AM, 02 July

Question # 19 of 30 (Start time: 09:41:36 AM, 02 July 2021)

Total Mar

In marketing, the social-ecological analysis focuses on the interrelationships among individuals, governments, and public policy.

Select the correct option

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- ○ True
- ● False



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Quiz Start Time: 09:36 AM, 02 July 2

Question # 20 of 30 (Start time: 09:41:52 AM, 02 July 2021) **Total Mark**

When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

Select the correct option

- (●) False
- ( ) True

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Quiz Start Time: 09:36 AM

Question # 21 of 30 (Start time: 09:42:09 AM, 02 July 2021)

In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

Select the correct option

- ○ False
- ● True

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Question # 22 of 30 (Start time: 09:42:24 AM, 02 July 2021)

Exploratory research is NOT a type of marketing research.

Select the correct option

○	True
●	False

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Question # 23 of 30 (Start time: 09:42:39 AM, 02 July 2021)

Ethnographic research is a technique used for data collection.

Select the correct option

- (●) True
- ( ) False

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Quiz Start Time: 09:36 AM, 02 July 2021

Question # 24 of 30 (Start time: 09:42:56 AM, 02 July 2021) **Total Marks:** 1

Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

Select the correct option

- ○ True
- ● False

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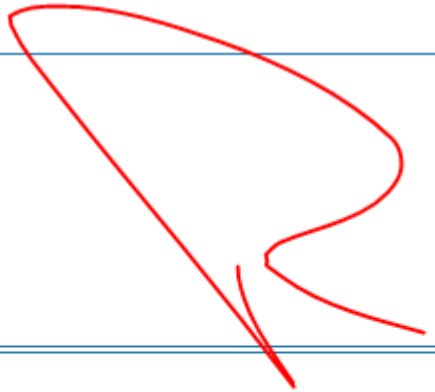
Question # 25 of 30 (Start time: 09:43:17 AM, 02 July 2021)

Tota

During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

Select the correct option

- (●) False
- ( ) True



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Quiz Start Time: 09:36 AM, 02 July 2021

Question # 26 of 30 (Start time: 09:43:34 AM, 02 July 2021) **Total Marks:** 1

When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.

Select the correct option

- (●) False
- ( ) True

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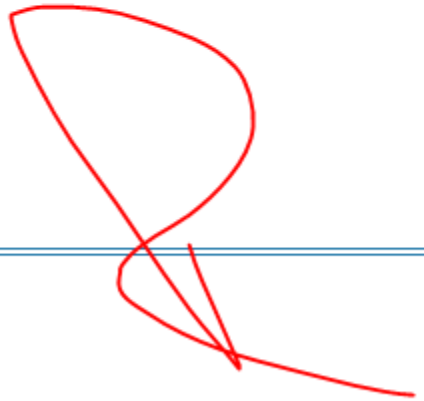
Question # 27 of 30 (Start time: 09:43:49 AM, 02 July 2021)

A belief is basically a person's thought process which is not backed by the knowledge rather depends on the faith.

Select the correct option

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- (●) False
- ( ) True



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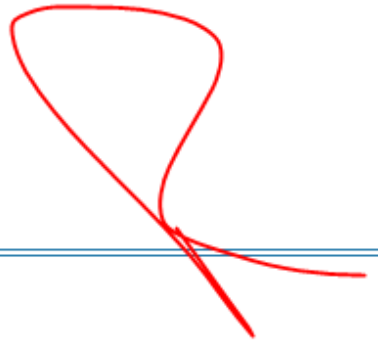
Quiz Start Time: 09:36 AM, 02 July 2021

Question # 28 of 30 (Start time: 09:44:03 AM, 02 July 2021) **Total Marks:** 1

Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.

Select the correct option

- ○ False
- ● True



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Quiz Start Time: 09:36 AM, 02 July 2021

Question # 29 of 30 (Start time: 09:44:20 AM, 02 July 2021) **Total Marks:** 1

Consumer organizations such as environmental and minority groups may question a company's marketing decisions. This type of public is called the local public.

Select the correct option

- ○ True
- ● False

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Quiz Start Time: 09:36 AM.

Question # 30 of 30 (Start time: 09:44:36 AM, 02 July 2021)

In the Boston Consulting Group approach, relative market share serves as a measure of company strength in the market.

Select the correct option

- (●) False
- ( ) True

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MGT301 Midterm Solved by Team Askari

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Solved by: HASSAN TAIMUR

MIDTERM EXAMINATION
Fall 2008
MGT301- Principles of Marketing (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

If the company's sales are slow down, and profits level off or decline. At which stage the company has reached?

- Introduction
- **Decline (correct)**
- Growth
- Maturity (profit high sale peek)

Question No: 2 (Marks: 1) - Please choose one

A period of rapid market acceptance and increasing profits refers to which of the following stages of the product life cycle?

- Decline
- Maturity
- Introduction
- **Growth**

Question No: 3 (Marks: 1) - Please choose one

In which of the following product life cycle stages, sales are zero and the company's investment costs mount?

- **Product development**
- Introduction
- Growth
- Maturity

Question No: 4 (Marks: 1) - Please choose one

Which one of the following groups is skeptical and adopts innovations only after most of the market has accepted the product?

- Innovators (**help to get product)**
- **Late majority (correct)**
- Early Adopter **(opinion leader to the rest market)**
- Early Majority **(typical consumer)**

Question No: 5 (Marks: 1) - Please choose one

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A review of the sales, costs and profit projections for a new product to find out whether they satisfy the company's objectives refers to which one of the following concepts?

- Business feasibility
- Feasibility study
- **Business analysis (correct)**
- Product acceptance

Question No: 6 (Marks: 1) - Please choose one

After concept testing, a firm would engage in which stage for developing and marketing a new product?

- **Marketing strategy development (correct)**
- Business analysis
- Product development **(After analysis Markting and busines strategy)**
- Test marketing

Question No: 7 (Marks: 1) - Please choose one

Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?

- **Product line (correct)**
- Line extension
- Private brand
- Product bandwidth

Question No: 8 (Marks: 1) - Please choose one

Marketers need to position their brands clearly in target customers' minds. The strongest brands go beyond attributes or benefit positioning. On which of the following basis the products are positioned?

- **Desirable benefit**
- Good packaging
- Strong beliefs and values
- Customer image

Question No: 9 (Marks: 1) - Please choose one

Which one of the following attribute may grab attention and produce pleasing aesthetics, but it does not necessarily make the product perform better?

- Design (**contribute a product to perform better)**
- **Style (correct)**
- Variable
- Packaging

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Question No: 10 (Marks: 1) - Please choose one

You have an upset stomach. Your spouse rushes to the corner convenience store for a medicine. This product falls under which of the following categories?

- Unsought
- **Convenience (correct)**
- Shopping
- Specialty

Question No: 11 (Marks: 1) - Please choose one

Product planners need to think about products and services on three levels. Each level adds more customer value. Which one of the following is the most basic level that addresses the question, "What is the buyer really buying?"

- Actual product **(buyer need)**
- Augmented product **(extra qualities like warranty for any product)**
- **Core benefit = (core product) (correct)**
- Co-branding

Question No: 12 (Marks: 1) - Please choose one

Mass marketers, such as Target and Venture Stores, ignore market segment differences and target the whole market with one offer. What is their approach to segmenting?

- **Undifferentiated marketing (correct)**
- Differentiated marketing **(user to user different products)**
- Target marketing **(segmentation= e.g chose 5 out of 10)**
- Intelligent marketing

Question No: 13 (Marks: 1) - Please choose one

A marketer has brought same products in the market for all segments without considering the needs and wants of the customers. Which one of the following strategy is being practiced by the marketer?

- Undifferentiated marketing strategy **(without segmention e.g mass marketing)**
- Differentiated marketing strategy **(different product for differnet segmentation)**
- **Concentrated marketing strategy (correct)**
- Custom marketing strategy (customer imge)

Question No: 14 (Marks: 1) - Please choose one

Demographic segmentation divides the market into groups based on which of the following variables?

- Size, location, industry, customer
- Size, company, industry, technology
- **Location, size, occupation, race (correct)**
- Customer, technology, company, industry

Question No: 15 (Marks: 1) - Please choose one

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Income segmentation is used to target which of the following groups?

- ► Affluent
- ► Middle class
- ► **Lower income class (correct)**
- ► All of the given options

Question No: 16 (Marks: 1) - Please choose one

When a company identifies the parts of the market it can serve best and most profitably. Which one of the following factor is in the practice of a company?

- ► **Concentrated marketing (correct) (proved with exampls)**
- ► Mass marketing
- ► Targeted marketing
- ► Market segmentation

Question No: 17 (Marks: 1) - Please choose one

Which of the following demands that business markets have more?

- ► **Derived demands (correct)**
- ► Steady demands
- ► Fluctuating
- ► Competitive

Question No: 18 (Marks: 1) - Please choose one

The mental act, condition or habit of placing trust or confidence in another shows which of the following options?

- ► Motive
- ► **Belief (correct)**
- ► Behavior
- ► Attitude

Question No: 19 (Marks: 1) - Please choose one

People are expected to perform activities according to the persons around them. These activities reflect which one of the following concept?

- ► Motive
- ► Role
- ► Lifestyle
- ► **Tradition (correct)**

Question No: 20 (Marks: 1) - Please choose one

How do consumers respond to various marketing efforts the company might use? What is a starting point of a buyer's behavior?

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- ► Belief
- ► Subculture
- ► Post purchase feeling
- ► **Stimulus-response Model (correct)**

Question No: 21 (Marks: 1) - Please choose one

A person on the University Book Shop's survey asks respondents to tell the shop, in their own words, what they like least about textbook shopping. What is a type of this question?

- ► **An open-ended (correct)**
- ► A dichotomous
- ► A multiple choice **(close ended)**
- ► A scale

Question No: 22 (Marks: 1) - Please choose one

General Motors need to assess the company's image relative to a new competitor. The time schedule is flexible, the research budget is very limited and a low response rate will not be a major problem. Which one of the following survey would be used by General Motors?

- ► **Mail (low cost and low /late responce) (correct)**
- ► **Telephone (quickly response/ cost effected)**
- ► Personal interview
- ► Population

Question No: 23 (Marks: 1) - Please choose one

If Proctor and Gamble need to know what percentage of customers examines product labels before making a product selection in the supermarket? By which method this study would be accomplished?

- ► Focus groups **(6 to 10 selectd individual)**
- ► Mail surveys **(cost efeected and low rply rate)**
- ► Personal interviews **(include focus group)**
- ► **Observations (by seeing behavior of people) (correct)**

Question No: 24 (Marks: 1) - Please choose one

The objective of which of the following research is to gather preliminary information that will help define the problem and suggest hypotheses?

- ► Descriptive **(survey research)**
- ► **Exploratory (for gether primery information include observational research) (correct)**
- ► Causal **(experiment)**
- ► Corrective

Question No: 25 (Marks: 1) - Please choose one

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Harvard University is using the **systematic design, collection, analysis, and reporting of data** relevant to marketing its programs to minority students. What do we call this?

► Promotion
► Self-study
► **Marketing research (systematic design, collection, analysis, and reporting of data) (correct)**
► Cost-benefit analysis

Question No: 26 (Marks: 1) - Please choose one

Marketing information from which of the following databases can be accessed more quickly and cheaply?

► External
► Internal & External
► **Internal (primry data= all ready have) (correct)**
► Representatives

Question No: 27 (Marks: 1) - Please choose one

The marketing information system is not limited to use by the company. It may also provide information to which of the following?

► The government
► **External partners (Managing / Marketin Info Systm) (correct)**
► Various publics **(stake holder of company)**
► Competitors

Question No: 28 (Marks: 1) - Please choose one

Beliefs and values that are passed on from parents to children and are reinforced by schools, churches, business and government refer to which of the following beliefs and values?

► Crucial
► **Core (correct)**
► Secondary
► Primary

Question No: 29 (Marks: 1) - Please choose one

Which of the following forces shows the marketing macro environment?

► Demographic, economic, natural, technological, political, and social
► Demographic, natural, economic, political, social, and cultural
► **Demographic, economic, natural, technological, political, and cultural (correct)**
► Demographic, economic, natural, social, political, and legal

Question No: 30 (Marks: 1) - Please choose one

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Finance, research and development, purchasing and manufacturing are all activities of which element of the microenvironment?

- The suppliers (inventry supply)
- The competitors
- **The companies (correct)**
- The publics **(dircetly affect the behavior of company)**

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **NOT** a content of marketing plan?

- Objectives
- Control
- Budget
- **Production (correct)**

Question No: 32 (Marks: 1) - Please choose one

Some banks have increased their market share by offering accounts especially for children in another city. This example illustrates which of the following growth strategies?

- Market penetration
- **Market development (product development) (correct)**
- Horizontal diversification
- Conglomerate diversification

Question No: 33 (Marks: 1) - Please choose one

Three main strategies for intensive growth are market penetration, product development and the other one?

- Product improvement(market same product new)
- Market saturation
- Market growth
- **Market development (correct) (market new and product same)**

Question No: 34 (Marks: 1) - Please choose one

"Planning that involves developing a strategy to meet competition and ensure long-term survival and growth" represents which one of the following planning type?

- Long-range planning
- Short-range planning
- Annual planning
- **Strategic planning (correct)**

Question No: 35 (Marks: 1) - Please choose one

In case of an intense competition there are a number of manufacturers and buyers who have more options for product switching. Which one of the following forces represents it?

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- Threat of new entrants
- **Bargaining power of buyers(lesson no.5) (correct)**
- Bargaining power of suppliers
- Rivalry among competing firms

Question No: 36 (Marks: 1) - Please choose one

Which one of the following concepts is a useful philosophy in a situation when the product's cost is too high and marketers look for ways to bring it down?

- Selling concept (emphasize just on sale)
- Product concept (emphasize on product)
- **Production concept (concern about cost) (correct)**
- Marketing concept (customer oriented image)

Question No: 37 (Marks: 1) - Please choose one

When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

- Mindless marketing
- Ethics in marketing
- Societal marketing
- **Not-for-profit marketing (gov. sector use it) (correct)**

Question No: 38 (Marks: 1) - Please choose one

If a food company gives 5 percent discount in particular burger to increase sales, it is altering which one of the following elements of the marketing mix?

- **Promotion (correct)**
- Price
- Product
- Place

Question No: 39 (Marks: 1) - Please choose one

An automobile manufacturing company places steel beams in the doors of its cars for which of the following purposes?

- Increase short run customer satisfaction
- Increase long run customer satisfaction
- Add style to its cars
- **Reduce the possibility of accidents**

Question No: 40 (Marks: 1) - Please choose one

Identify the name for the recent technology advances including wide use of the Internet?

- An old economy
- Transformation
- A new world.
- **The digital age (correct)**

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Question No: 41 (Marks: 10)

A marketer plays an important role in increasing the sales of an organization. What guiding principles did he follow to become a successful marketer and which skills he needed?

ANSWER:

- He should satisfy the customers' need with quality product, competitive price and satisfaction on the company's brand.
- He should meet the market demand by supplying sufficient quantity of his products as, when and where demanded.
- He should use the modern techniques of promotion of his product or service to convince the mind of customers.
- He should provide good after sale services to further satisfy the customers. Feedback from the market and take remedial measures to improve the quality of product, packaging and labeling should also be improved.
- He will have good market survey to ensure the improvement of his product and competitive price.

/wEPDwUKMTY2N

/wEWBgLuovLHB

MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 2 of 25 (Start time: 11:45:09 PM)

Total Marks: 1

A local firm wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

Select correct option:

Making money is our business

The customer is always right (correct)

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If the competitor's price cut harm the company's sales and profit then what should your company do:

Select correct option:

Hold the current price

Increase the price

Decrease the price(correct)

Either increase or decrease the price

/wEWBgLJ78n9C

MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 8 of 25 (Start time: 11:48:58 PM)

Total Marks: 1

Mr. ABC examined his firm's recently completed market attractiveness-business position model; he finds that the firm's biscuit unit is low on both dimensions. Which one of the following strategies would this placement dictate?

Select correct option:

Invest(question mark-required high investment)

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/wEWBgKAvZD6C

MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 13 of 25 (Start time: 11:51:51 PM)

Total Marks: 1

Which of the following is a synonym name of Echo boomers?

Select correct option:

Baby boomlets (correct)

Baby boomers

Generation-X

Generation-Y

Click here to Save Answer & Move to Next Question

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/wEWBgKe+fP6C

MC090409714 : Amjad Sajjad

Quiz Start Time: 11:44 PM

Time Left

Question # 19 of 25 (Start time: 11:56:55 PM)

Total Marks: 1

One of the following is NOT a key function that intermediaries play in completing transactions.

Select correct option:

Promotion

Negotiation

Financing

Pricing (correct)

Click here to Save Answer & Move to Next Question

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/wEWBgLiwKj3Bw

MC090409714 : Amjad Sajjad

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Principles of Marketing (Virtual University of Pakistan)

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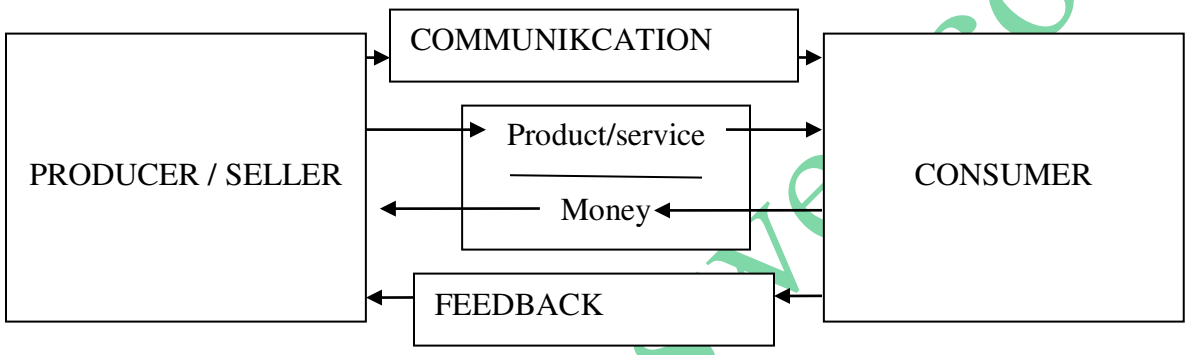
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(CHAPTER-1)

PRINCIPALE OF MARKETING

MARKETING: It is the delivery of customer satisfaction at a profit.
Or
It is a process of getting the right products to the right people at the right price and at the right place and time with the right promotion.

SIMPLE MARKETING SYSTEM



SOME BASICS OF MARKETING: consist of 7 PS:

(i) PRODUCT: What are you selling (it might be product or services)

(ii) PRICE: What is your pricing strategy.

(iii) PLACE: How are you distributing your product to get it into the market place?

(iv) PROMOTION: How are you telling consumers about your product?

(v) POSITIONING: What place do you want your product to hold in the consumer's mind:

(vi) PERSONAL RELATIONSHIPS: How are you building relationships with your target consumers?

(vii) PEOPLES & PROFITS: Public who can be affected by organization and to have something values in return of product or service.

REASONS FOR STUDYING MARKETING

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(i) It plays an important role in society.
(ii) It is vital to business.
(iii) It offers outstanding career opportunities.
(iv) It affects your life every day.

(CHAPTER-2)

MARKETING PROCESS
CORE MARKETING CONCEPTS

MARKETING PROCESS:

There are certain factors that can influence the marketing process termed as, 'actors and forces in marketing system'. They are:

(i) SUPPLIERS: are the firms and persons that provide the resources to produce goods and services.

(ii) MARKETING INTERMEDIARIES: include various middlemen and distribution firms as well as marketing services agencies.

(iii) CUSTOMERS: Usually consist of consumer, industrial reseller, government and international market.

(iv) COMPETITORS: are usually considered those companies also serving a target market with similar products and services.

CORE MARKETING CONCEPTS:

NEEDS/WANTS/DEMANDS:

↓

PPRODUCTS AND SERVICES: It is anything that can be offered to a market to satisfy a need or want

↓

VALUE/SATISFACTION AND QUALITY:

↓

Customer valve is the difference between the values that the customer gains from using a product and the costs of obtaining the product.

TQM: (total quality management) is an approach in which all the company's people are involved in constantly improving the quality of products, services and marketing process.

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EXCHANGE/TRANSACTIONS AND RELATIONSHIPS:

Exchange: is act of obtaining a desired object from someone by offering something in return.
Transaction: It is a trade values between two parties.

(CHAPTER-3)
MARKETING FUNCTIONS
CUSTOMER RELATIONSHIP MANAGEMENT (CRM)

MARKETS:

A market is the set of actual and potential buyers of a product.

MARKETING FUNCTIONS: There are 8 marketing functions that are performed in marketing these are:

i. Buying: (raw material for products or final goods for further reselling)
ii. Selling: (products to satisfy customers needs and wants)
iii. Transporting: (moving products from production point to selling point)
iv. Storing: (warehouses) for further distribution of products
v. standardizing and grading (to provide more quality and services for charm)
vi. financing: (provide credit facility for channel members i.e. wholesalers/retailer
vii. risk taking: for new products
viii. securing marketing information: about consumers, competitors, channel member for making marketing decision.

MARKETING MANAGEMENT:

It is the art and science of choosing target markets and building profitable relationships with them.

CUSTOMER RELATIONSHIP MANAGEMENT (CRM)

It is the process to build and maintain profitable customer relationships by delivering superior customer satisfaction.

(Winning a new customer is usually 5-10 times more costly than retaining an existing one which is more profitable the longer you keep them.)

BASIC GOALS OF CRM

i. Provide better customer service
ii. Make call centers more efficient
iii. Help sales staff close deals faster

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iv. Simplify marketing and sales process
v. Discover new customers
vi. Reduces the rate of customer defection

(CHAPTER-4)
EVOLUTION OF MARKETING

MARKETING PHILOSOPHIES:

There are several alternative philosophies that can guide organizations in their efforts to carry out their marketing goals. Which are?

i. The production concept: Consumer favor products that are available and highly affordable

ii. The product concept: Consumer favor quality products that are reasonably priced and therefore little promotional effort is required.

iii. The selling concept: Consumer will not buy product unless organization makes extra ordinary promotional efforts such as to sell insurance policies.

iv. The marketing concept: It holds that achieving organizational goals depends on determining the needs and wants of target markets.

v. The social marketing concept: It holds that the organization should determine the needs, wants and interests of target market.

(CHAPTER-5)

MARKETING CHALLENGES IN THE 21ST CENTURY.

a. **Porter's 5 forces model of competition**:

(i) Threat of new entrants.
(ii) Bargaining power of buyers
(iii) Threat of substitute
(iv) Bargaining power of suppliers.
(v) Rivalry among competing firm in industry

A. **THE IT REVOLUTION**:

(i) Technologies for connecting.
Internet connecting with customers.

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Internet connecting with others in the company.
Extranets connecting with strategic partners / suppler.

(ii) Connections with customers.
Through telephone, mail-order, kiosk set.
Internet
Direct channels (Amazon.Com)

(iii) Connections with marketing's partners.
Marketing no longer has sole ownership of customer interaction.
Supply chain management.
Strategic partners.

(iv) Connections with the world around us.
Firms are challenged by international competitors in their once safe domestic market.
Companies are not only exporting but buying more components from aboard.
Domestically purchased goods and services are hybrids (with components coming from wanly international sources)

B. **RAPID GLOBALISATION**:

Faster communication and transportation
Foreign competitors.
Delay taking steps toward internationalizing (Risk)

C. **THE CHANGING WORLD ECONOMY**:

D. **THE CALL FOR MORE ETHICS AND SOCIAL RESPONSIBILITIES**:

(i) High prices
(ii) High costs of distribution
(iii) High advertising and promotion coast.
(iv) Excessive middle man gross profit margin
(v) Deceptive practices (factory, whole sale)
(vi) High pressure selling people.
(vii) Unsafe products.

E. **THE NEW MARKETING LAND SCOPS**. The new marketing landscape is a dynamic, fast-paced and evolving function of all these changes and opportunities.

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(CHAPTER-6)

STRATEGIC PLANING AND MAKETING PROCESS

1. **STRATEGIC PLANNING**: The process of developing and maintaining a strategic fit by the organization's goals and capabilities and its changing marketing opportunities is called strategic planning.

2. **TACTICAL PLANNING**: It is concerned with translate the general goals and plans developed by strategic managers in to objective that are more specific activates.

3. **OPERATIONAL PLANNING**: It is used to supervise the operations of the organization.

CHARACTERISTICS OF A STRATEGIC PLAN:

a. It encourages management to think ahead systematically.
b. It forces managers to clarify objectives and policies.
c. It leads to better coordination of company efforts.
d. It provides clearer performance standards for control.

STRATEFGIC PLANING PROCESS:

a. Stating a clear company mission.
b. Setting supporting company objective.
c. Designing a sound business portfolio.
d. Planning and coordinating marketing and other functional strategies.

COMPANY'S MISSION:

(1) **A MISSION STATEMET**:

a. Be realistic
b. Be specific
c. Fit the market environment
d. indicate distinctive competence
e. Be motivating

(2) **SETTING COMPANY OBJECTIVES AND GOALS:**

This second step in the strategic planning process requires the manager to set company goals and objectives.

(3). **DESIGNING THE BUSINESS PORTFOLIO:**

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It is the collection of business and products and make up the company.

(CHAPTER-7)

MARKETING PROCESS

SBUs The strategic business unit is a unit of the company that has a separate mission and objectives.

DEVELOPING GROWTH STARATEGIES:

(i) **Market penetration:** Making more sales to present customers without changing in any way.

(ii) **MARKET DEVELOPMENT**: A strategy for company growth by identifying and developing new markets for current company products

(iii) **PRODUCT DEVELOPMENT**: A strategy for company growth by offering modified or new products to current markets.

(iv) **DIVERSIFICATION**: A strategy for company growth by starting up or acquiring businesses outside the company's current products and markets.

(CHAPTER-8)

MARKETING PROCESS

MARKETING PRoCESS: It is the process of analyzing market opportunities, selecting target markets, developing the marketing mix, and managing the marketing effort

Q. **What are the steps in marketing**?

A. (1). **ANALYZING MARKETING OPPORTUNITIES**: Marketing manager unit analyses the long-run opportunities in the market to improve the business unit's performance.

(2) **SELECTING THE TARGET MARKET**:

(i) **Market segmentation**: It is the process of dividing market into distinct groups of buyers with different needs characteristic or behavior.

(ii) **Market targeting**: It is the process of evaluating each mark segments attractiveness and selecting one or more segments to eater.

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(iii) **Market positioning**: It is arranging for a distinctive and desirable place relative to competing products in the minds of target consumers.

(3) **DEVELPING THE MARKETING MIX**:

(i) **Marketing Mix**: It is the set of controllable marketing variables that the firm blends to produce the response it wants in the target market.

(4) **MANAGING THE MARKETING EFFORT**

a. marketing analysis
b. marketing planning
c. marketing implementation
d. marketing control

i. set specific goals (why do we want to achieve)
ii. measure performance (what is happening)
iii. evaluate performance (why is it happening)
iv. take corrective action (what should we do about it)

OPERATING CONTROL:
It involves checking ongoing performance against the annual plan and take corrective action when necessary

STRATEGIC CONTROL:
It involves looking at whether the company's basic strategics are well matched to its opportunities

MARKETING DEPARTMENT ORGANIZATION

i. **Functional organization**:
Where different marketing active ities are headed by a functional specialist

ii. **Geographic organization**:
Where sales and marketing people are assigned to specific, countires, regious or districts

iii. **Product Management organization**:
Where a product manager develops a complete strategy for a product or brand.

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iv. **MARKET CUSTOMER MANAGEMENT ORGANIZATION**:
Where a specific market plan is developed for each specific market / customer.

v. **COMINATION PLANE**:
Where large companies many times combine elements of any of the above.

(CHAPTER-9)

MARKETING ENVIRONMENT

A company's marketing environment consists of the actors and forces outside marketing the affect marketing management's ability to develop and maintain successful relation ship with its target customers

MICRO ENVIRONMENT
MACRO ENVIRONMENT

1. MICRO ENVIRONMENT:
i. the company itself (including departments)
ii. suppliers
ii. marketing channel firms
iii. customer markets
iv. competitors
v. publics

THE COMPANY'S MICROENVIRONEMNT:

I. The company
II. Suppliers
III. Market intermediaries (resellers)

Physical distribution firms:
It helps the company to stock and move goods from their points of origin to their destinations

Marketing Service Agencies:
It help the company target and promote its products.

FINANCIAL INTERMEDIARIES:

It help finance transaction and ensure against risks

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2. MACRO ENVIRONMENT

THE COMPANY'S MACRO ENVIRONMENT:

a. **Demographic environment**: is the study of human populations in terms of size, density, location, age, sex, race, occupation and other statistics

b. **Economic Environment**: It includes those factors that affect consumer purchasing power and spending patterns.

c. **Natural environments**: It involves natural resources that are needed as inputs by marketers or that are affected by marketing activities

d. **Technological environment**: It includes forces that create new technologies creating new product and market opportunities.

e. **Political Environment**: It includes laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society.

f. **Cultural Environment**: It is made up of institutions and other forces that affect society's basic values, perceptions, preferences and behaviors.

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(CHAPTER-11)

Marketing Information System:

Marketing information is a critical element in effective marketing as a result of the trend toward global marketing, the transition from buyer needs to buyer wants, and the transition from price to non-price competition. All firms operate some form of marketing information system.

MIS works in the following way:

- A well-designed marketing information system (MIS) begins and ends with the user.
- The MIS next develops information and helps managers to use it more effectively.
- Marketing intelligence supplies marketing executives with everyday information about developments in the external marketing environment.
- Finally, the marketing information system distributes information gathered from internal sources, marketing intelligence, and marketing research to the right managers at the right times.

Marketing Intelligence:

Provides the everyday information about environmental variables that managers need as the

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implement and adjust marketing plans.

Marketing Research:
Marketing research links the consumer, customer, and public to the marketer through an exchange of information.

f. Why to Conduct Business Research?
Marketing Research is a Systematic & objective process of designing, gathering, analyzing & reporting information that is used to solve a specific problem. It Provides information for aid in making business related decisions, to Identify opportunities and generate & refine actions. It is important for the mangers for many decisions like:

- Helps reduce risk inherent in decision-making
- Provides an important link to customers
- Allows implementation of the business concept
- Enables managers to identify & understand stakeholders wants & needs and to develop appropriate strategies to meet these needs

Chapter -13

Uses of Marketing research:-

1. Measurement of market potential.
2. Analysis of market share.
3. Determination of market characteristics.
4. Sales analysis.
5. product testing
6. forecasting
7. studies of business trends
8. Studies od competitor's products.

Marketing research process:-

1. Problem definition and the research objectives
2. Developing the research plan
3. Implementation
4. Interpretation and reporting of findings

Objectives of research:-

1. **Exploratory research:-**
   Where the objective is to gather preliminary information that will help to better define problems and suggest hypotheses for their solution.
2. **Descriptive research:-**
   Where the intent is to describe things such as the market potential for a product or the demographics and attitudes of customers who buy the product.
3. **Casual research:-**
   is research to test hypotheses about cause-and-effect relationships.

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Developing the research plan:-

1. Determining specific information needs
2. Gathering secondary information
3. Planning primary Data collection

Research Approches:-

1. **Observational research:-**
   Where information is gained by observing relevant people, actions, and situations.
2. **Survey research:-**
   Is the gathering of primary data by asking people questions about their knowledge, attitudes, preferences, and buying behavior.
3. **Experimental research:-**
   Involves the gathering of primary data by selecting matched groups of subjects, giving then different treatments, controlling related factors, and checking for difference in-group responses.

Contact Methods:-

1. Mail questionnaires
2. Telephone interviewing
3. Personal interviewing
4. Online (internet)
5. Computer interviewing

Three decisions of designing a sample:-

a. **Who** is to be surveyed (what is **sampling unit**)?
b. **How many** people should be surveyed(what **sample size**)?
c. **How** should the sample be chosen(what **sampling procedure**)?

Kinds of samples:-

a. **Probability samplers** – sampling error can be measured
b. **Nonprobability samples** – sampling error cannot be measured.

Consumers:-

All individual and households who buy or acquire goods and services for personal consumption are termed as consumer behavior

Why to study consumers behavior.:-

Basic objective of studying consumer behavior is that the firm needs to know who buys their product? How they buy? when and where they buy? Why they buy?

Consumer behavior:-

Its is the process through which the ultimate buyer makes purchase decisions.

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Positioning:-

Arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

Segmentation:-

Dividing a market into distinct groups of buyers on the basis of needs, characteristics, or behavior whi might require seprate products or marketing mixes.

Product development:-

A strategy for company growth by offering modified or new products to current markets segments.

Market development:-

A strategy for company growth by identifying and developing new markets segments for current company products.

Model of consumer behavior:-

1. **Marketing and other stimuli**

- Marketing
- Product
- Price
- Place
- Promotion
- Other
- Economic
- Technology
- Political
- Cultural

2. **Buyer's Black box**

- Buyer characteristics
- Buyer decision process

3. **Buyer response**

- product choice
- Brand choice
- Dealer choice
- Purchase timing
- Purchase amount

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Factors influencing consumer behavior:-

1. **Cultural**
   - Culture
   - Subculture (nationalities, religions, geographic regions)
   - Social class
2. **Social**
   - Reference groups
   - Family
3. **Personal**
   - Age and life-cycle stage
   - Occupation
   - Economic situation
   - Lifestyle
   - Personality
   - Self-concept
4. **psychological**
   - Motivation
   - Perception
   - Learning
   - Beliefs
   - Attitudes
5. **Buyer**

Types of buying behavior:-

1. **Complex buying behavior**:-
   Consumers undertake complex buying behavior when they are highly involved in a purchase and perceive significant differences among brands.
2. **Dissonance-Reducing buying behavior**:-
   It occurs when consumers are highly involved with an expensive, infrequent or risky purchase, but see little difference among brands.
3. **Habitual buying behavior**:-
   It occurs under conditions of low consumer involvement and little significant brand difference.

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a. **Variety-seeking buying behavior**:-
Consumers undertake Variety-seeking buying behavior in situations characterized by low consumer involvement but significant perceived brand differences.

Buyer decision process:-

- Need Recognition
- Information search
- Evaluation of Alternatives
- Purchase decision
- Post purchase behavior

Stages in the Adoption Process:-

- **Awareness**:- The consumer becomes aware of the new product, but lacks information about it.
- **Interest**:- The consumer seeks information about the new product.
- **Evaluation**:- The consumer considers whether trying the new product makes sense
- **Trial**:- The consumer tries the new product on a small scale to improve his or her estimate of its value
- **Adoption**:- The consumer decides to make full and regular use of the new product.

Business market:-
It comprises all the organizations that buy goods ad services for use in the production of other products and services that are sold, rented, or supplied to other.

Characteristics of business markets:-

1. Market structure and demand
2. Nature of the buying unit
3. Types of decisions and the decision process

Business buyer behavior:-

a. Major types of buying situations
   - Straight rebuy—The buyer recorders something without any modifications

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- Modified rebuy--- The buyer wants to modify product specifications, prices, terms, or suppliers.

b. Participants in the business buying process
   - Users
   - Influencers
   - Buyers
   - Deciders
   - Gatekeepers

c. Major influences on business buyers

   Business buyers are subject to many influences when they make their buying decisions.
   - Environmental Factors
   - Organizational Factors

Interpersonal Factors:-

The buying center usually includes many participants who influence each other.

Individual Factores:-

Each participant in the business buying decision process brings in personal motives, perceptions, and preferences.

The business buying process:-

a. Problem Recognition
b. General Need Description
c. Product specification
d. Supplier search
e. Proposal solicitation
f. Supplier selection
g. Order-Routine Specification
h. Performance Review

Institutional Markets:-

The Institutional Markets consists of schools, hospitals, nursing, homers, prisons, and other institutionsthat provides goods and services to people in.

Government Markets:-

The Government Markets offers large opportunities for many companies, both big and small.

New task buying:-

A company buying a product or service.

Influencers:-

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Often help define specifications and also provide information for evaluating alternatives.

Gatekeepers:-

Control the flow of information to others.

Market segmentation:-

Dividing a market into smaller groups.

Market Targeting:-

Evaluating each market segment's attractiveness and selecting one or more of the market segment's to enter.

Levels of Market segmentation:-

1. **Market segmentation**
   - Identify bases for segmenting the market
   - Develop segment profiles
2. **Market Targeting**
   - Develop measure of segment attractiveness
   - Select target segments
3. **Market Positioning**
   - Develop positioning for target segments
   - Develop a marketing mix for each segment

a. **Mass Marketing:-**

The traditional argument for mass marketing is that it creates the largest potential market, which leads to the lowest costs, which in turn can translate into either lower prices or higher margins.

b. **Segment Marketing:-**

It offers several benefits over mass marketing.

c. **Niche Marketing:-**

It is a more narrowly defined group, usually identified by dividing a segment into sub segments.

d. **Micro Marketing:-**

It includes all local marketing. It is the practice of tailoring products and marketing programs to suit the tastes of specific individual and locations.

Segmenting consumer Markets:-

1. Geographic segmentation
2. Demographic segmentation
   - Age and Life-cycle stage
   - Gender segmentation
   - Income segmentation
3. Psychographics segmentation (Dividing a market into diferent groups based on social class, lifestyle)

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4. Behavioral segmentation (dividing a market into groups based on consumer knowledge, attitudes etc)

Requirements for Effective Segmentation:-

1. Measurability:-
   Is the degree to which the size, purchasing power, and profiles of a market segment can be measured.
2. Substantiality:-
   It refers to the degree to which a market segment is sufficiently large or profitable.
3. Accessibility:-
   It refers to the degree to which a market segment can be reached and served.
4. Differentiation:-
   It refers to the degree to which a market segment can conceptually be distinguished and has the ability to respond differently to different marketing mix elements and programs.
5. Action Ability:-
   Its is the degree to which effective programs can be designed for attracting and serving a given market segment.

Market Targeting

1. Evaluating Market Segments:-

In this a firm must look at three factors: Segment size and growth, segment structural attractiveness, and company objectives and resources.

a. Undifferentiated marketing:-
   Using this strategy, a firm might decide to ignore market segment differenced and go to the whole market with one offer.

b. Differentiated Marketing:-
   Using this strategy, a firm decides to target several market segments or niches and designs separate offers for each.

c. Concentrated Marketing:-
   Using this strategy , concentrated marketing, is especially appealing when company resources are limited.

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d. Choosing a Market-Coverage strategy:-
This strategy is best depend in company resources. The best strategy also depends on the degree of product variability.

e. Socially Responsible Target Marketing:-
Smart targeting helps companies to be more efficient and effective by focusing on the segments that they can satisfy best and most profitably.

f. Positioning for competitive Advantage:-
Positioning involves implanting the brand's unique benefits and differentiation in customers mind.

2. Choosing a positioning Strategy:-
Some firms find it easy to choose their positioning strategy.

3. Identifying possible competitive Advantages.
4. Choosing the right competitive Advantages.
a. How Many differences to promote?
b. Which differences to promote?

5. Selecting an overall positioning Strategy:-
Customers typically choose products and services that give them the greatest value. Thus, marketers want to position their brands on the key benefits that they offer relative to competing brands.

6. Communicating and delivering the chosen position.
The company must take strong steps to deliver and communicate the desired position to target consumers.

PRODUCT:-
A product is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

a) Levels of Product and Services

1). **The core product** is the core, problem solving benefits that consumers are really buying when they obtain a product or service

2). **The actual product** may have as many as five characteristics that combine to deliver core product benefits.

They are:
a). Quality level.
b). Features.
c). Design.
d). Brand name.
e). Packaging.

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3). **The augmented product** includes any additional consumer services and benefits built around the core and actual products.

Product Classification

I. Consumer Products

Consumer products are those bought by final consumers for personal consumption. Marketers usually classify these goods further based on how consumers go about buying them. Consumer products include *convenience products, shopping products, specialty products,* and *unsought products.*

- **Convenience products** are consumer products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort. Examples include soap, candy, newspapers, and fast food.
- **Shopping products** are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
- **Specialty products** are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort. Examples include specific brands and types of cars
- **Unsought products** are consumer products that the consumer either does not know about or knows about but does not normally think of buying.

II. Industrial Products

Industrial products are those purchased for further processing or for use in conducting a business.

Capital items are industrial products that aid in the buyer's production or operations, including installations and accessory equipment. Installations consist of major purchases such as buildings (factories, offices) and fixed equipment (generators, drill presses, large computer systems, elevators).

Individual product decisions

a) Product Attributes

Developing a product or service involves defining the benefits that it will offer. These benefits are communicated to and delivered by product attributes such as *quality, features, style and design.*

i. Product Quality

Quality is one of the marketer's major positioning tools.

ii. Product Features

A product can be offered with varying features.

iii. Product Style and Design

Another way to add customer value is through distinctive *product style and design.*

b) Branding

Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect, and enhance brands of their products

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and services.

i. Brand:

A *brand* is a name, sign, symbol, or design, or a combination of these that identifies the maker or seller of a product or service.

ii. Brand equity

is the value of a brand, based on the extent to which it has high brand loyalty, name awareness, perceived quality, strong brand associations, and other assets such as patents, trademarks, and channel relationships.

iii. Selecting The Brands Name:

Selecting a brand name is an important step. The brand name should be carefully chosen since a good name can add greatly to a product's success. Desirable qualities of a good brand name include:

1). It should suggest something about the product's benefits and qualities.
2). It should be easy to pronounce, recognize, and remember.
3). It should be distinctive.
4). It should translate easily into foreign languages.
5). It should be capable of registration and legal protection. Once chosen, the brand name must be protected.

iv. Sponsorship options for Branding:

A manufacturer has four sponsorship options:

1). A **manufacturer's brand (or national brand)** is a brand created and owned by the producer of a product or service (Examples include IBM and Kellogg).
2). A **private brand (or middleman, distributor, or store brand)** is a brand created and owned by a reseller of a product or service.
3). A **licensed brand** (a company sells it's output under another brand name).
4). **Co-branding** occurs when two companies go together and manufacture one product.

Packaging

Packaging involves designing and producing the container or wrapper for a product.

Labeling

Labels may range from simple tags attached to products to complex graphics that are part of the package.

Product Support Services

Customer service is another element of product strategy. A company's offer to the marketplace usually includes some services, which can be a minor or a major part of the total offer.

New-product development:

The development of original products, product improvements, product modifications, and new brands through the firm's own R&D efforts.

Idea generation: The systematic search for new-product ideas.
Idea screening: screening new-product ideas in order to spot good ideas and drop poor ones as soon as possible.
Product concept: A detailed version of the new-product idea stated in meaningful consumer terms.
Concept testing: Testing new-product concepts with a group of target consumers to find out if the concepts have strong consumer appeal.
Business analysis: A review of the sales, costs, and profit projections for a new product to

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find out whether these factors satisfy the company's objectives.

Consumer Adoption Process

a) Stages in the Adoption Process

1. **Awareness**. In this stage the consumer is aware of the new product but lacks further information about it.
2. **Interest**. The consumer is motivated to seek information about the new product.
3. **Evaluation**. The consumer determines whether or not to try the new product.
4. **Trial**. The consumer tries the new product on a small scale to test its efficacy in meeting his or her needs. Trial can be imagined use of the product in some cases.
5. **Adoption**. The consumer decides to make use of the product on a regular basis.

b) Individual differences in the adoption of innovations

1. **Innovators**. Innovators help get the product exposure but are not often perceived by the majority of potential buyers as typical consumers.
2. **Early Adopters**. This group serves as opinion leaders to the rest of the market.
3. **Early Majority**. Some 34% of the market that is the "typical consumer" but likely to adopt innovations a little sooner.
4. **Late Majority**. This group is skeptical and adopts innovations only after most of the market has accepted the product.
5. **Laggards**. This group is suspicious of change and adopts only after the product is no longer considered an innovation.

C. Product Life-Cycle Strategies

After launching the new product, management wants the product to enjoy a long and happy life. Although it does not expect the product to sell forever, the company wants to earn a decent profit to cover all the effort

a) **Product development** begins when the company finds and develops a new-product idea.

b) **Introduction** is a period of slow sales growth as the product is introduced in the market.

c) **Growth** is a period of rapid market acceptance and increasing profits.

d) **Maturity** is a period of slowdown in sales growth because the product has achieved acceptance by most potential buyers.

e) **Decline** is the period when sales fall off and profits drop.

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1. The societal marketing concept call on marketers to balance consumer wants and desires, company profits, and society's interest.
   - True ✔
   - False

2. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.
   - True ✔
   - False

3. Demarketing is a marketing philosophy focused upon product differentiation and positioning
   - True ✔
   - False

4. Your accounting department must measure revenues and costs to help the marketing department know how well it is achieving its objectives.
   - True ✔
   - False

5. When sellers focus on existing needs and lose sight of the underlying customer wants, they suffer from marketing myopia.
   - True ✔
   - False

6. Most firms follow the production concept when they face overcapacity.
   - True
   - False ✔

7. The significant trends in the natural environment include shortages of raw materials and increased pollution
   - True ✔
   - False

8. When firms take aggressive action to affect the public and forces in their marketing environment, they are taking an environmental management perspective.
   - True ✔
   - False

9. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.
   - True ✔

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- False

10. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.
- True ✔
- False

21. Product, Price, Place and promotion make up the elements of a firm's marketing mix.
- True y
- False

22. The simplest definition of modern marketing is managing profitable customer rleationships.
- True y
- False

23. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.
- True y
- False

24. When backed by buying power, needs become demands.
- True y
- False

49. Characteristics such as age, gender, and marital status are known as ___
- Psychographic characteristics
- Biographical characteristics
- Geographical characteristics
- Behavioral characteristics

50. ___ works on supposition that consumers/customers buy products which fulfill their needs.
- Production concept
- Marketing concept y
- Selling concept
- Product Concept

51. Which of the following options refers to the activities that are associated with planning, pricing, promoting and distributing the product or service?
- Marketing y
- Selling
- Promotion
- All of given

52. ___ focuses on making every possible sale of the product, regardless of the need of customer.
- Production concept
- Marketing concept
- Selling concept y
- Product concept

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53. ___ focuses on making better-quality products for their customers.
- Production concept
- Marketing concept
- Selling concept
- Product concept y

54. Marketing is a process which aimed at ___
- Production
- Financial management
- Satisfaction of consumer needs/wants y
- None

55. The ___ is a marketing concept that holds that the company makes its marketing decisions by considering consumer's needs and, wants and society's long term interests.
- Product
- Production
- Selling
- Societal Marketing y

56. A transaction involves ___
- At least two individuals/ Parties
- Both is capable to communicate and deliver
- Both are free to accept or reject the offer
- All of given y

57. Delivering customer satisfaction in return of profit is known as:
- Management
- Marketing y
- Selling
- Distribution

58. Building, keeping and growing profitable value-laden relationships with all customers of a company refers to which of the following options?
- Customer lifetime value
- Customer perceived value
- Customer relationship management Y
- Societal marketing

59. The 4 P's of marketing are the product, price, place, and promotion. Occasionally marketers consider two more P's. These are:
- People and Processes
- Profits and Processes
- People and Profits y
- Profits and Procedure

60. All of the following are the actors of micro environment EXCEPT:

- Company
- Suppliers

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- Marketing Intermediaries
- Demographic environment y

61. All of the following are the forces of macro environment EXCEPT:

- Economic
- Natural
- Technological
- Public y

62. All of the following are the types of public's EXCEPT:

- Financial
- Media
- Local
- Suppliers y

63. Which of the following is known as the providers of resources to produced goods and services?

- Suppliers y
- Competitors
- Customers
- Public

64. All of the following are actors of political environment EXCEPT:

- Laws
- Government agencies
- Pressure groups
- Marketing intermediaries y

65. All of the following are indicators of economic environment EXCEPT:

- Per capita income
- Inflation rate
- Internet rate
- Gender ratio y

66. All of the following are indicators of demographic environment EXCEPT:

- Density
- Life expectancy
- Median age

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- Per capita income y

67. Which of the following micro environment actors help the company to promote, sell and distribute its products to final buyers?

- Marketing intermediaries y
- Competitors
- The company
- Public

68. In which of the following marketing channels no intermediaries involves to make their products available to final buyers?

- Direct channel y
- Flexible channel
- Indirect channel
- Static channel

69. In macro environment, 'pressure groups' and 'government agencies' are part of:

- Demographic environment
- Political environment y
- Economic environment
- Cultural environment

70. Expanding fields of health care, space, robotics, and bio-genetic industries refers to which of the following environment?

- Cultural environment
- Economic environment
- Technological environment y
- Demographic environment

71. Marketing stimuli consist of:

- Product
- Price
- Place
- All of given y

72. Which of the following is not an environmental stimulus?

- Economic factors
- Price factor y

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- Technological factors
- Cultural factors

73. Which of the following is the part of buyer's black box?

- Buyer's characteristics y
- Consumer behavior
- Buyer attitude
- Buyer's personality

74. Which of the following is NOT the part of cultural factors?

- Sub culture
- Culture
- Social class
- Family y

75. Which of the following is NOT the part of personal factors?

- Self-concept
- Lifestyle
- Age and life-cycle stage
- Roles and status y

76. Which of the following is NOT the part of psychological factors?

- Motivation
- Perception
- Learning
- Self-concept y

77. Which of the following best describes Upper class?

- Social elite who live on inherited wealth y
- Professionals
- Unskilled labors
- Independent business persons

78. Which of the following best describes the group which the consumers are inspired with, compare themselves with them and want to be like them?

- Membership group
- Brand community
- Social networking group

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- Reference group y

79. Which of the following needs does not belong to Maslow's hierarchy of needs?

- Cultural needs y
- Self-actualization needs
- Self-esteem needs
- Safety needs

80. Which of the following best describes the process by which people select, organize, and interpret information to form a meaningful picture of the world?

- Motivation
- Perception y
- Learning
- Self-concept

81. The tendency of consumers to remember good point made about a brand they favor and forget good points made about competing brands is called:

- Selective distribution
- Selective retention y
- Selective attention
- None

82. Which of the following buying behavior is undertaken by buyers when they are highly involved in purchase process and there are significant perceived differences among brands?

- Complex buying behavior y
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior

83. Which of the following buying behavior is undertaken by buyers when they are highly involved with an expensive, risky and infrequent purchase but there are few perceived differences among brands?

- Dissonance reducing buying behavior y
- Habitual buying behavior
- Variety Seeking buying behavior
- Complex buying behavior

84. Which of the following buying behavior is undertaken by buyers in purchase of grocery items?

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- Complex buying behavior
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior y

85. Which of the following buying behavior is undertaken by buyers in purchase of sports car?

- Complex buying behavior y
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior

86. Which of the following buying behavior is undertaken by buyers in purchase of biscuits?

- Complex buying behavior
- Variety seeking buying behavior y
- Dissonance reducing buying behavior
- Habitual buying behavior

87. Which of the following is NOT the part of social factors?

- Family y
- Social class
- Roles and status
- Reference Groups

88. The group which has a direct impact on consumer's purchasing behavior is called:

- Membership group y
- Brand community
- Reference group
- Social networking group

89. The tendency of people to interpret information in a way that will support what they already believe is called:

- Selective distortion y
- Selective retention
- Selective attention
- None

90. Which of the following buying behavior is undertaken by buyers in purchase of carpet?

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- Complex buying behavior
- Variety seeking buying behavior
- Habitual buying behavior
- Dissonance buying behavior y

91. Examples of business markets include which one of the following options?

- Manufacturers
- Service providing companies
- Government institutes
- All of given y

92. Which of the following markets deal with few customers and generate more revenue?

- Business markets y
- Consumer markets
- Financial markets
- Capital markets

93. The business markets have ___ buyer and seller dependency on each other as compared to consumer markets.

- Weak
- Strong y
- Moderate
- Little

94. The business buying process is more complex than consumer buying process because it requires:

- Formal documentation
- Product specification
- Proposal writings
- All of given y

95. In business buying behavior model, which of the following marketing stimuli affect the buying organization which leads to generate buyer responses?

- Price
- Place
- Promotion
- All of given y

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96. In which of the following buying situations, the buyer purchases a product or service for the first time?

- Straight rebuy
- Modified rebuy
- New task y
- None

97. In which of the following buying situations, the buyer wants to amend product specifications, prices, terms, or suppliers?

- Straight rebuy
- Modified rebuy y
- New task
- None

98. In which of the following buying situations, the buyer routinely reorders something without any amendments?

- Straight rebuy y
- Modified rebuy
- New task
- None

99. Which of the following participants are involved in the business buying decision process?

- Users
- Influencers
- Buyers
- All of given y

100. All of the following participants are involved in the business buying decision process EXCEPT:

- Buyers
- Deciders
- Rack jobbers y
- Gatekeepers

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76) Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
FALSE
77) The real value of marketing research and information lies not in quantity but in the customer insights provided.
TRUE
78) Customer needs and buying motives are typically obvious to marketers.
FALSE
79) An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
TRUE
80) Too much marketing information can be as harmful as too little.
TRUE
81) When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
TRUE
82) You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information is complete and in useable form to build an internal marketing database.
FALSE
83) Data age quickly, so keeping the database current requires dedicated resources.
TRUE
84) Major suppliers and resellers are not important sources of intelligence information for marketing decision making.
FALSE
85) Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
FALSE

76. In the last decade, Coach has ignored marketing research when designing new bags.
(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach’s exhaustive market research has failed to pay off.
(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.
(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
(Answer: True; p. 98; Moderate)

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81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort.
(Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.

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(Answer: True; p. 105; Moderate)
95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing.
(Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples.
(Answer: False; p. 110; Challenging)

102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.
(Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

1. The marketing of goods and services to companies, governments, or not-for-profit organizations for use in the creation of goods and services that they can produce and market to others is referred to as
Answer: business marketing.

2. Organizational buyers include manufacturers, wholesalers, retailers, and government agencies
Answer: That buy goods and services for their own use or resale

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3. Which of the following statements represents an organizational buying decision?
Answer: The owner of a fried chicken restaurant hires a snow removal service to keep the parking lot clear.

4. Organizational buyers can be divided into three different markets. They are
Answer: industrial, reseller, and government markets.

5. The services market sells diverse services such as legal advice, auto repair, and dry cleaning. Along with finance, insurance, real estate businesses, and _____, communication and public utility firms, as well as not-for-profit organizations, these firms represent about 75 percent of all industrial firms.
Answer: transportation

1. Product, price, place and promotion make up the elements of a firm's marketing mix.

   A. True (Chapter no 1 Original Book Page no 34)
   B. False

2. Selling is managing profitable customer relationships.

   A. True
   B. False (Lesson no 44 Page no 220 Old Handouts)

3. Human needs are shaped by culture and individual personality.

   A. True
   B. False (Chapter no 1 Original Book Page no 8)

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

   A. True (Lesson no 44 Page no 220 Old Handouts)
   B. False

5. When backed by buying power, needs become demands.

   A. True
   B. False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

   A. True
   B. False

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7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

A. True
B. **False**

8. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

A. True **B. False**

9. Marketing offers are limited to physical products.

A. True
B. **False**

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True
B. False

11. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)
B. False

12. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts)**

13. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

A. True
B. **False ??????**

14. The difference between human needs and wants is that needs are states of felt deprivation.

A. True
B. False

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15. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

A. True (Lesson no 4 Page no 20 Old Handouts) B. False

16. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

A. True (Lesson no 2 Page no 12 Old Handouts) B. False

17. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

A. True (Lesson no 4 Page no 21 Old Handouts) B. False

18. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

A. True **B. False (Lesson no 2 Page no 11 Old Handouts)**

19. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

A. True (Lesson no 44 Page no 222 Old Handouts) B. False

20. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

B. False

1. Raheela works for the Aftab Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Raheela plays the role of gatekeeper.

   a. True **b. False**

   Rachel Stein works for the LeBray Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Rachel plays the role of gatekeeper.
   Answer: FALSE

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AACSB: Analytical thinking
Skill: Application
Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
Difficulty: Easy

Note : Name changed.

2. In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

   a. **True (Lesson no 16 Page no 79 Old Handouts)** b. False

3. Mission statements must fit the market environment, as indicated here by the Girl Scouts' mission: "where girls grow strong."

   a. **True** b. False

   Mission statements must fit the market environment, as indicated here by the Girl Scounts of American's mission: "where girls grow strong."
   (Answer: True; p. 39; Moderate)

   Note: Difference in these statements are that there is no American's mission written in above statement.

4. The central question for marketers is how do consumers respond to various marketing efforts the company might use? The starting point is called the stimulusresponse of buyer behavior.

   a. **True (Answer: True; p. 129; Moderate)** b. False

5. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.

   a. **True (Answer: True; p. 147; Moderate)** b. False

6. The macroenvironment consists of the factors close to the company that affect its ability to service its customers, such as suppliers, customer markets, competitors, and publics.

   a. True **b. False**

7. Sarwar Incorporation wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.

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a. **True (Answer: True; p. 109; Easy)** b. False

8. When firms take aggressive action to affect the publics and forces in their marketing environment, they are taking an environmental management perspective.

a. **True (True; Moderate; p. 132)** b. False

9. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.

a. **True (Answer: True; p. 103; Easy)** b. False

10. In the supplier selection stage, the buyer reviews supplier performance.

a. True **b. False**

In the supplier selection stage the buyer reviews supplier performance. (F)

11. The production concept and product concept are two philosophies that can both lead to marketing myopia.

a. True **True (Theme 1 page 5) (100% Sure)** b. False

12. Holiday Inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

a. True **b. False (Answer: False; p. 50; Moderate)**

13. ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

a. **True (Answer: True; p. 38; Easy)** b. False

14. Marketing management is interested in serving all customers in every way to remain competitive in today's markets. **(DoubtFul)**

a. True **b. False (False; Moderate; p. 11)**

15. Today's marketers must be good at building relationships in order to connect effectively with customers, other in the company, and external partners.

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a. True True (Theme 1 page 1) (100% Sure) b. False

16. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

a. True (Chapter no 1 Page no 9 Original Book) b. False

17. The demand for many business goods tends to change more slowly than the demand for consumer goods.

a. True **b. False (Lecture no 16 Page no 74 Old Handouts)**

18. A company buying a product or service for the first time faces a new task situation.

a. True (Lesson no 16 Page no 76 Old Handouts) b. False

19. As an employee of Bankers Enterprises, you market wild and crazy games for teens to play at parties. You work in the business market.

a. True **b. False (False; Easy; p. 108)**

20. More and more companies are shifting their brand management focus toward customer relationship management.

a. True (Answer: True; p. 61; Easy) b. False

21. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

a. True True (Theme 1 page 2) (100% Sure) b. False

22. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.

a. **True (Answer: True; p. 49; Challenging)** b. False

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23. Most household income is used up in purchasing food, housing, and transportation.

a. **True** b. False

24. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

a. True **b. False False (Confirm) (100% Sure)**

25. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post purchase behavior.

a. **True (Answer: True; p. 144; Easy)** b. False

26. Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

a. **True (Answer: True; p. 39; Moderate)** b. False

27. Making more sales to current customers without changing a firm's products in market penetration.

a. **True (Answer: True; p. 44; Moderate)** b. False

28. The owner of 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any other group in the company, must be the trend trackers and opportunity seekers.

a. **True (True; Moderate; p. 107)** b. False

29. Marketing research firms, advertising agencies, media firms, and marketing consulting firms are referred to as marketing services agencies.

a. **True (True; Easy; p. 108)** b. False

30. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

a. True **b. False (Answer: False; p. 101; Challenging)**

31. Business demand ultimately derives from the demand for consumer goods.

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a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

32. The buying center is a fixed and formally identified unit within the buying organization.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

33. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.

a. True **b. False (Answer: False; p. 99; Challenging)**

34. The microenvironment consists of larger societal forces that affect the microenvironment, such as demographic, economic, political, and cultural forces.

a. True **b. False (False; Easy; p. 107)**

35. The difference between human needs and wants is that needs are states of felt deprivation.

a. True (True; Easy; p. 6) b. False

36. The collection of businesses and products that make up a company is called its marketing strategy.

a. True **b. False (Answer: False; p. 49; Easy)**

37. Too much information can be as harmful as too little.

a. **True (Answer: True; p. 98; Easy)** b. False

38. Within the organization, buying activity consists of two major parts: the buying center and the buying decision process.

a. **True (Lesson no 16 Page no 76 Old Handouts)** b. False

39. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

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a. True **b. False (Answer: False; p. 142; Challenging)**

40. According to Engel's laws, consumers tend to spend a smaller percentage of income on food as income rises.

a. True **b. False**

41. Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved. **(Read Chapter no 8 Page no 311 Original Book)**

a. True b. False

42. Tanveer Jafer works for a firm that is a distribution channel member that helps the company find customers or make sales to them. Tanveer works for a reseller.

a. **True (True; Moderate; p. 108)** b. False

43. Selling is managing profitable customer relationships.

a. True **b. False False (Theme 1 Page 6) (100% Sure)**

44. In the Boston Consulting Group approach, relative market share serves as a measure of company strength in the market.

a. True **b. False (Answer: False; p. 40; Easy)**

45. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

a. **True (Lecture no 16 Page no 74 Handouts)** b. False

46. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.

a. **True (Answer: True; p. 57; Moderate)** b. False

47. Influencers often help define specifications and also provide information for evaluating alternatives.

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a. **True (Lesson no 16 Page no 76 Old Handouts)** b. False

48. In the business buying process, the buyer and seller are relatively less dependent on each other.

a. True **b. False (Lesson no 16 Page no 75 Old Handouts)**

49. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

a. **True (Answer: True; p. 138; Easy)** b. False

50. All business buying decisions follow all steps of the business buying process. **(Doubtful)**

a. True **b. False**

51. At Air Online, "we provide online services," is a market-oriented business definition.

a. True **b. False**

At America Online, "we provide online services," is a market-oriented business definition. (Answer: False; p. 38; Moderate)

52. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

a. True True (Theme 1 Page 6) (100% Sure) b. False

53. Environmental concerns have been on the decline in the past decade; government legislation and the green movement may be the cause of this trend.

a. True **b. False Answer: FALSE**
Diff: 2 Page Ref: 80
Skill: Concept
Objective: 3-3

54. When a consumer learns about a new product for the first time and time makes a decision to try it, it is called the alternative evaluation process.

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a. True **b. False (Answer: False; p. 142; Moderate)**

55. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.

a. True **b. False (Answer: False; p. 143; Moderate)**

56. Most businesses that manufacture products for the consumer market also sell directly to consumers.

a. True b. False

57. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.

a. **True (Answer: True; p. 146; Moderate)** b. False

58. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

a. True **b. False (Answer: False; p. 144; Challenging)**

59. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.

a. **True (Answer: True; p. 132; Easy)** b. False

60. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

a. True **b. False (Answer: False; p. 101; Challenging)**

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61. Product, price, place and promotion make up the elements of a firm's marketing mix.

a. True True (Confirm) (100% Sure) b. False

62. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

a. True (Answer: True; p. 54; Moderate) b. False

63. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

a. True (True; Easy; p. 11) b. False

64. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

a. True (True; Moderate; p. 6) b. False

65. It is important to note that data becomes old/age quickly, and keeping the database current requires a major effort.

a. True (Answer: True; p. 99; Easy) b. False

66. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

a. True **b. False (False; Moderate; p. 107)**

67. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person.

a. True (Answer: True; p. 146; Moderate) b. False

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68. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.

a. True **b. False (Answer: False; p. 146; Challenging)**

69. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

a. True True (Theme 1 page 1) (100% Sure) b. False

70. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.

a. True **b. False (Answer: False; p. 102; Moderate)**

71. The first step in strategic planning is to define the company mission.

(Answer: True; p. 37; Moderate) a. True b. False

72. Almost all major purchases result in cognitive dissonance, or discomfort caused by post purchase conflict.

a. **True (Answer: True; p. 144; Easy)** b. False

73. Significant reasons for business laws to be enacted include protecting the interests of society, protecting consumers, and protecting companies from each other.

a. **True (True; Easy; p. 125)** b. False

74. The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

a. **True (Lesson no 16 Page no 79 Old Handouts)** b. False

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75. People differ greatly in their readiness to try new products. In each product area, there are “consumption pioneers.” They are also called laggards.

a. True **b. False (Answer: False; p. 146; Challenging)**

76. A market segment consists of consumers who respond in different ways to a given set of marketing efforts.

a. True **b. False (Answer: False; p. 50; Moderate)**

77. The selling concept holds that consumers will not buy enough of the firm’s products unless it undertakes a large-scale selling and promotion effort.

a. **True (True; Easy; p. 12)** b. False

78. Marketing offers are limited to physical products.

a. True **b. False (100% sure)**

79. Today’s marketers recognize the importance of working with their intermediaries as channels through which they sell their products rather than as mere products.

a. True **b. False False (Confirm) (100% Sure)**

80. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by “letting it ride.”

a. True **b. False (Answer: False; p. 101; Easy)**

81. In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

a. **True (Page Ref: 175 TRUE 17)** b. False

82. The significant trends in the natural environment includes shortages of raw materials and increased pollution.

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a. True
b. **False (False; Challenging; p. 123)**

83. Mission statements should both fit the market environment and be motivating.

a. **True (Answer: True; p. 39; Easy)** b. False

84. The main differences between business and consumer markets are in market structure and demand, the nature of the buying unit, and the types of decisions and the decision process involved.

a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

85. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."

a. **True (Answer: True; p. 102; Easy)** b. False

86. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

a. **True** b. False

87. Your accounting department must measure revenues and costs to help the marketing department know how well it is achieving its objectives.

a. **True (True; Easy; p. 108)** b. False

88. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.

a. True **b. False (Answer: False; p. 102; Moderate)**

89. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.

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a. True **b. False (Answer: False; p. 148; Challenging)**

90. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

a. True True (Theme 1 page 8) (100% Sure) b. False

91. The simplest definition of modern marketing is managing profitable customer relationships.

a. True (True; Easy; p. 5) b. False

92. Marketing mix is the set of uncontrollable, marketing tools that the firm can use to influence the demand for its products.

a. True **b. False (Answer: False; p. 52; Moderate)**

93. An effective MIS (Marketing Information System) assesses information needs, develops needed information, and distributes the information to help managers use in decision making.

a. True (Answer: True; p. 98; Moderate) b. False

94. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

a. True **b. False**

95. In a straight rebuy, the buyer wants to alter product specifications, prices, terms, or suppliers.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

96. Human needs are shaped by culture and individual personality.

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a. True **b. False (Lesson no 2 Page no 10 Old Handouts)**

97. Secondary data provide good staring points and often help to define problems and research objectives, though most companies must also collect primary data.

a. True (Answer: True; p. 105; Moderate) b. False

98. Gatekeepers have formal or informal power to select or approve the final suppliers.

a. True **b. False**

Gatekeepers have formal or informal power to select or approve the final suppliers.
Answer: FALSE
Skill: Concept
Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
Difficulty: Easy

99. Consumer organizations such as environmental and minority groups may question a company's marketing decisions. This type of public is called the local public.

a. True **b. False (False; Moderate; p. 110)**

100. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.

a. True
b. False False (Confirm) (Correct Product Concept) (100% Sure)

101. The reason the demographic environment is of major interest to marketers is because it involves people, and people make up markets.

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a. True **True (Confirm) (100% Sure)** b. False

102. Mission statements should be realistic and general in nature.

a. True **b. False (Answer: False; p. 39; Moderate)**

104. The newer the buying task, and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

a. True **b. False (Lesson no 16 Page no 79 Old Handouts)**

105. Guided by marketing strategy, the company designs a marketing mix made up of factors under its control-product, price, place, and promotion.

a. **True (Answer: True; p. 52; Moderate)** b. False

106. An SBU can be a company division, a product line within a division or sometimes a single product or brand.

a. **True (Answer: True; p. 40; Easy)** b. False

107. A belief is the specific mix of human traits that may be attributed to a particular brand.

a. True **b. False (Answer: False; p. 141; Moderate)**

108. "At Nike, we sell shoes" is a market-oriented business definition.

a. True **b. False (Answer: False; p. 38; Moderate)**

109. When backed by buying power, needs become demands.

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a. True
b. **False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)**

110. When backed by buying power, wants become demands.

a. **True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)** b. False

111. A dissonance reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.

a. True **b. False (Answer: False; p. 145; Challenging)**

112. Consumer buying behavior refers to the buying behavior of businesses.

a. True **b. False (Answer: False; p. 128; Easy)**

113. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.

a. **True (Answer: True; p. 113; Moderate)** b. False

114. Good sources of marketing intelligence information includes competitors, annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.

a. **True (Answer: True; p. 101; Moderate)** b. False

116. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

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a. True True (Theme 1 page 7) (100% Sure) b. False

117. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interests.

a. True True (Theme 1 page 6) (100% Sure) b. False

118. Most firms follow the production concept when they face overcapacity.

a. True **b. False False (Theme 1 page 5) (100% Sure)**

119. A company with limited resources might decide to serve all segments of a market.

a. True **b. False (Answer: False; p.50; Moderate)**

120. At Air Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition.

a. True **b. False**

At America Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition. (Answer: False; p.38; Moderate)

121. The image a product reflects in the minds of consumers is called market segmentation.

a. True **(Answer: False; p. 50; Easy) b. False**

122. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

a. **True True (Confirm) (100% Sure)** b. False

123. Major factors are changing the face of today's marketing communications. Mass markets have fragmented; thus, marketers are shifting away from mass marketing.

a. **True (Lesson no 32 Page no 160 Old Handouts)** b. False

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124. A break-even chart shows the total cost and total revenue expected at various sales volume levels.

a. **True (Lesson no 25 Page no 120 Old Handouts)** b. False

125. Demand and consumer value perceptions set the floor for prices.

a. True **b. False (False; p. 263; Moderate)**

126. In industrial markets, product managers have an influence on the company's price-setting decisions.

a. **True (True; p. 269; Easy)** b. False

127. Cost-based pricing relies on consumer perception of value to drive pricing.

a. True **b. False (False; p. 267; Easy)**

128. Informative ads are used primarily in the growth stage of the product life cycle.

a. True **b. False Answer: FALSE**
Diff: 2.
Page Ref: 431.
Skill: Concept Objective:15-2

129. Overhead cost is another term for variable cost.

a. True **b. False (False; p. 266; Easy)**

130. Slice of life, lifestyle, and personality symbol are all parts of public relations.

a. True **b. False (Lesson no 33 Page no 172 Old Handouts)**

131. Percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.

a. **True (Lesson no 32 Page no 165 Old Handouts)** b. False

132. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

a. **True (True; p. 277; Moderate)** b. False

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133. An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

a. **True (100% Sure)** b. False

134. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. **True (100% Sure)** b. False

135. When a company introduces a new brand name in the same product category, it is called line extension.

a. True **b. False (100% Sure)**

Answer: FALSE
Diff: 2 Page Ref: 250

Skill: Concept

Objective:

136. Lahore Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as the segmentation approach.

a. True **b. False**

Note: Name difference doubtful

137. Today, most companies have moved away from mass marketing and are being choosier about the customers with whom they wish to build relationships.

a. **True (100% Sure)** b. False

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138. Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price and style.

a. **True (100% Sure)** b. False

139. Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.

a. True **b. False (100% Sure)**

140. At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. You believe this is a correct definition.

a. True **b. False (100% Sure)**

141. At this point your company wants to move away from mass marketing and engage in target marketing. The three steps to take, in order, are market segmentation, marketing positioning and target marketing.

a. True (100% Sure) b. False

142. Commercial accounting is done through a system known as:

a. True **b. False False (Confirm) (100% Sure)**

143. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and internet cookies.

a. True **b. False (Answer: False; p. 111; Challenging)**

144. Marketers all agree that questionnaires are the most common research instrument.

a. **True (Answer: True; p. 111; Easy)** b. False

145. An increasing number of retailers and wholesalers have created their own brands-such as Hyper Star offering variety of food products. This is called co-branding.

a. True **b. False (False; p. 233; Challenging; LO3)**

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An increasing number of retailers and wholesalers have created their own brands—such as WalMart offers Sam's Choice beverages and food products. This is called co-branding. (False; p. 233; Challenging; LO3)

146. Customer retention is perhaps the best measure of quality-a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

a. **True Answer: TRUE** b. False
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

147. In international product and service marketing, it is important to know what different colors mean to different countries.

a. **True (True; p. 232; Easy; LO3) {AACSB: Global}** b. False

In international product and service branding, it is important to know what different words mean in different countries.
(True; p. 232; Easy; LO3) {AACSB: Global}

Note: Marketing and branding difference

148. Programs that include public health campaigns to reduce smoking, alcoholism, drug abuse, and overeating are examples of the social idea known as social marketing.

a. **True (Lesson no 13 Page no 544,545 Original Book)** b. False

149. In industrial markets, salespeople outrank top management in determining the sales price of products.

a. True **b. False (False; p. 269; Easy)**

150. POP promotions include displays and demonstrations that take place at the point of purchase or sale.
a. **True (Lesson no 34 Page no 177 Old Handouts)** b. False

151. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta and Pentax.

a. **True (True; p. 273; Moderate)** b. False

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152. The three characteristics for advertising appeals are: meaningful, believable and distinctive.

a. **True (Lesson no 33 Page no 171 Old Handouts)** b. False

153. Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

a. True **b. False**

154. Many marketers believe that behavior variables are the best starting point for building market segments.

a. **True (Lesson no 17 Page no 85 Old Handouts)** b. False

155. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

a. **True (True; p. 263; Easy)** b. False

156. Dove marketers can go beyond the brand's cleaning cream attributes and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.

a. True **b. False (False; Challenging; p. 292)**

157. Internal marketers face special challenges. They must figure out what products to introduce to other countries.

a. True **b. False (False; Moderate)**

158. Value-based pricing is the reverse of cost-based pricing.

a. **True (True; p. 264; Challenging)** b. False

159. An e-mail from a company that offers free shipping on your next purchase of more than Rs. 3000/= is an example of sales promotion. **(Doubtful)**

a. **True** b. False

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160. Co-branding is a form of product that consists of activities, benefits or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, airline, retail, tax preparation and home repair. **(Doubtful)**

a. True **b. False**

161. A company's total marketing communications mix is also called its promotion mix.

a. **True (Lesson no 32 Page no 159 Old Handouts)** b. False

162. Your assignment at work is to divide buyers into different groups based on social class, lifestyle and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.

a. **True** b. False

163. One important quality for a brand name is that it should translate easily into foreign languages.

a. **True (Lesson no 20 Page no 97 Old Handouts)** b. False

164. The simplest pricing method is break-even pricing-adding a standard markup to the cost of the product.

a. True **b. False (False; p. 267; Easy)**

165. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.

a. **True (Lesson no 32 Page no 167 Old Handouts)** b. False

166. Behavioral segmentation requires finding the major advantages or features people look for in the product class, the kinds of people who look for each advantage or feature and the major brands that deliver each advantage or feature.

a. True **b. False** 167. The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

a. True **b. False**
Answer: FALSE

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Diff: 2 Page Ref:238
Skill: Concept
Objective: 8-3

168. Competitors prices and offers are external factors that companies have to deal with.

a. True (True; p. 268; Easy) b. False

169. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.

a. **True (True; p. 277; Easy)** b. False

170. Shopping For The Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel and financial services. This firm would use income segmentation.

Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2 b. False

171. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

a. **True (From Google)** b. False

Manufacturers also **may offer an allowance** (usually so much off per case) in **return for the retailer's agreement to feature the manufacturer's products in some way**.

172. Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.

a. **True** b. False

173. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

a. True **b. False (False; p. 272; Easy)**

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174. Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

a. **True (Lesson no 34 Page no 175 Old Handouts)** b. False

175. Consumers position products with or without the help of marketers.

a. **True** b. False

176. The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

a. **True (Answer: True; p. 200; Easy; LO4)** b. False

177. Karachi Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.

a. **True Answer: TRUE** b. False
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

178. Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

a. True **b. False (Lesson no 19 Page no 93 Old Handouts)**

179. We define service as anything that can be offered to a market for attention, acquisition, use or consumption and that might satisfy a want or need.

a. True **b. False (100 % Sure)**

180. Each firm should be able to find a single way to segment each market.

a. True **b. False (Answer: False; p. 165; Easy)**

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181. In a product business, products are fairly standardized and can sit on shelves waiting for customers. In a service business, the customer and front-line service employee interact to create the service.

a. **True (Chapter no 15 Page no 634 Original Book)** b. False

182. Packaging does not include the material necessary to ship a product.

a. True **b. False**

183. This type of segmentation uses different marketing approaches for different time periods of peoples lives and different family situations. This segmentation method is called demographic.

a. True **b. False (Answer: False; p. 167; Moderate)**

184. Gender segmentation has long been used in clothing, cosmetics, toiletries and magazines.

a. **True (Chapter no 10 Page no 401 Original Book)** b. False

185. Products support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

a. True **b. False (Lesson no 20 Page no 99 Old Handouts)**

186. A company's product mix has four important dimensions: width, length, depth and consistency.

a. **True (Lesson no 13 Page no 570 Original Book)** b. False

187. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. **True (Lesson no 18 Page no 87 Old Handouts)** b. False

188. The brand of a product can determine its customer value.

a. **True (True; p. 226; Moderate; LO2)** b. False 189. Style is a larger concept than design. Design describes the appearance of a product.

a. True **b. False (Lesson no 20 Page no 96 Old Handouts)**

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190. Customers come to know a brand through a wide range of contacts and touch points. These include word of mouth, personal interactions with company Web pages. Many brands are not maintained by advertising but by brand experience.

a. **True (Chapter no 13 Page no 567 Original Book)** b. False

191. A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes the place the product occupies in the retailers minds relative to competing products.

(Read Lesson no 18 Page no 88 Old Handouts)

a. **True** b. False

192. An aspect of managing service differentiation is in the company's service delivery.

a. **True (100% Sure)** b. False

193. Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.

a. True **b. False (Answer: False; p. 173)**

194. Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more- for-less strategy.

a. True **Answer: FALSE**
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

195. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and

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self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.

a. **True (Answer: True; p. 139; Moderate)** b. False

196. A business marketer normally deals with far fewer buyers than the consumer marketer does.

a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

197) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.

a. True Answer: TRUE b. False
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

1. The most effective consumer promotion tool is sampling.
A. True (Page no 788 original book not handouts) B. False

2. Major factors are changing the face of today's marketing communications. Mass markets have fragmented, thus, marketers are shifting away from mass marketing.
A. True (Page no 720 original book not handouts) B. False

3. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

4. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive. **(True; p. 277; Moderate)**

5. The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.
(False; p. 267; Easy)

6. Environmental elements are categorized as external factors that affect pricing decisions.
Answer: TRUE

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Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

7. POP promotions include displays and demonstrations that take place at the point of purchase or sale.
A. True (Original book page no 788 not handouts) B. False

8. If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

9. Pricing often plays an important role in helping to accomplish company's multi-level objectives.
(True; p. 263; Easy)

10. Informative ads are used primarily in the growth stage of the product life cycle.
A. True **B. False**

11. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

12. Slice of life, lifestyle and personality symbol are all parts of public relations.
A. True **B.False (Book page no 769 original book not handouts)**

13. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

14. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

15. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

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16. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.
(True; p. 263; Easy)

17. A specific communication task to be accomplished with a specific target audience during a specific period of time is called an advertising objective.
A. True (Original book page no 905) B. False

18. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

19. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.
A. True (Page no 178 Old Handouts) B. False

20. Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.
A. True (Page no 200 Old Handouts) B. False

21. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.
(True; p. 277; Easy)

22. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

23. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

24. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

25. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

26. Value-based pricing is when costs vary directly with the level of product.

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(False; p. 264; Moderate)

27. The most expensive consumer promotion tool is sampling.
A. True (Page no 144 Old Handouts) B. False

28. Cost-based pricing relies on consumer perception of value to drive pricing. **(False; p. 267; Easy)**

29. *Overhead cost* is another term for *variable cost.*
(False; p. 266; Easy)

30. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

31. The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

32. A company's total marketing communications mix is also called its promotion mix.
A. True (Page no 160 old handouts) B. False

33. An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.
A. True B. False

34. Advertisers look for media that showcase the product effectively.
Fashions are best advertised on television, and automobile performance is best in color magazines.
A. True **B. False (Page no 174 old handouts)**

35. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

36. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

37. The three characteristics for advertising appeals are: meaningful, believable and distinctive.
A. True (Original Book page no 803,804) B. False

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38. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

39. The media planner has to know the reach, frequency, and impact of each ad.
A. True (Original Book Page no 807) B. False

Quiz No 3 2021 MGT 301

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(True; p. 277; Moderate)

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Skill: Concept
Objective: 14-4

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MGT301 SOLVED QUIZ 1 2021

Effort by Sarim

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1. Product, price, place and promotion make up the elements of a firm's marketing mix.

A. True (Chapter no 1 Original Book Page no 34)
B. False

2. Selling is managing profitable customer relationships.

A. True
B. **False (Lesson no 44 Page no 220 Old Handouts)**

3. Human needs are shaped by culture and individual personality.

A. True
B. **False (Chapter no 1 Original Book Page no 8)**

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

A. True (Lesson no 44 Page no 220 Old Handouts)
B. False

5. When backed by buying power, needs become demands.

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)**

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce

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the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

A. True

B. False

7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

A. True

B. **False**

9. Marketing offers are limited to physical products.

A. True

B. False

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True

B. False

9. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)

B. False

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10. **Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.**

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts)**

11. **Marketing management is interested in serving all customers in every way to remain competitive in today's markets.**

A. True
B. **False (Not sure)**

12. **The difference between human needs and wants is that needs are states of felt deprivation.**

A. **True**
B. False

13. **When backed by buying power, needs become demands.**

A. True

B. **False (Lesson no 2 Page no 11 Old Handouts)**

14. **The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.**

A. **True (Lesson no 4 Page no 20 Old Handouts)**

B. False

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15. **Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.**

    A. **True (Lesson no 2 Page no 12 Old Handouts)**

    B. False

16. **The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.**

    A. **True (Lesson no 4 Page no 21 Old Handouts)**
    B. False

17. **When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.**

    A. True

    B. **False (Lesson no 2 Page no 11 Old Handouts)**

18. **Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.**

    A. **True (Lesson no 44 Page no 222 Old Handouts)**

    B. False

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19. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

B. False

MGT301 Solved Grand Quiz 2020

Question No 1

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Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 2

During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 3

Customer-perceived value depends on the product's perceived performance relative to a buyer's experience.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 4

When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 5

The elements of the marketing mix commonly

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known as the “four Ps” include: product, price, place, and promotion.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 6

Most businesses that manufacture products for the consumer market also sell directly to consumers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 7

Holiday inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 8

The owner of the 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any group in the company, must be the trend trackers and opportunity seekers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 9

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ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 10

Environmental concerns have been on the decline in the past decade; more government legislation and the green movement may be the cause of this trend.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 11

Today's marketers recognize the importance of working with their intermediaries as channel through which they sell their products rather than as mere partner.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 12

More and mor companies are shifting their brand management focus toward customer relationship management.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 13

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Today's marketers must be a good at building relationships in order to connect effectively with customers, others in the company, and external partners.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 14

Mission statement must fit the market environment, as indicated here by the Girl Scouts. "where girls grow strong".

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 15

Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 16

Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 17

The main differences between business and consumer markets are in market structure and

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demand, the nature of the buying unit, and the types of decisions and the decision process involved.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 18

Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the cost of a marketing offer relative to those of competing offers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 19

When you collect information from your company's accounting and sales stored in the computer, you are developing an internal database.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 20

When sellers focus on existing needs and lost sight of underlying customer wants, they suffer from marketing myopia.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 21

The buying center is a fixed and formally identified unit within the buying organization.

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Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 22

Social classes are society's relatively permanent and ordered whose members share similar values, interests, and behaviors.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 23

Who is out target market and what's our proposition are two important questions underlying marketing strategy.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 24

ABC interior Designs wants to collect research data through obtention. The three typical methods are video cameras, checkout scanners, and internet cookies.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 25

The simplest definition of modern marketing is managing profitable customer relationships.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

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Question No 26

“At Nike, we sell shoes” is a market-oriented business definition.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 27

The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quality needed, expected delivery time, return policies, and warranties.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 28

The newer the buying task, and the complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 29

The twofold of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 30

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No single competitive marketing strategy is best for all companies.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

76. Harley-Davidson customers are mainly the Hell's Angels/Muscle Heads crowd. (Answer: False; p. 128; Easy)

77. The Harley-Davidson Company found out that buying behavior is simple and understanding it is the essential task of marketing management.
(Answer: False; p. 128; Moderate)

78. Consumer buying behavior refers to the buying behavior of businesses.
(Answer: False; p. 128; Easy)

79. The central question for marketers is: How do consumers respond to various marketing efforts the company might use? The starting point is called the stimulusresponse of buyer behavior. (Answer: True; p. 129; Moderate)

80. A dissonance-reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.
(Answer: False; p. 145; Challenging)

81. Each culture contains groups of people with shared value systems based on common life experiences and situations.
(Answer: True; p. 129; Moderate)

82. Asian Americans, the fastest growing and most affluent U.S. demographic segment, include Chinese Americans, Japanese Americans, Asian Indians, Korean Americans, and Filipino Americans.
(Answer: True; p. 132; Easy)

83. Younger consumers are better off financially than mature consumers. They are the ideal market for exotic travel, restaurants, high-tech home entertainment products, and leisure goods and services. (Answer: False; p. 132; Easy)

84. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.
(Answer: True; p. 132; Easy)

85. Social classes are now taking to the streets, as well as cafes, nightclubs, and the Internet, in record numbers. Their goal: to seek out the trendsetters in each

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community and subtly push them into talking up a specific brand to their friends and admirers.
(Answer: False; p. 132; Moderate)

86. Lifestyle is a person's pattern of living as expressed in his or her psychographics. (Answer: True; p. 136; Easy)

87. A belief is the specific mix of human traits that may be attributed to a particular brand.
(Answer: False; p. 141; Moderate)

88. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.
(Answer: True; p. 138; Easy)

89. A motive exists when consumers are highly involved with an expensive, infrequent, or risky purchase but see little difference among brands.
(Answer: False; p. 138; Easy)

90. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.
(Answer: True; p. 139; Moderate)

91. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.
(Answer: False; p. 142; Challenging)

92. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition. (Answer: False; p. 143; Moderate)

93. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in postpurchase behavior.
(Answer: True; p. 144; Easy)

94. Almost all major purchases result in cognitive dissonance, or discomfort caused by postpurchase conflict. (Answer: True; p. 144; Easy)

95. When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.
(Answer: False; p. 142; Moderate)

96. People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers." They are also called laggards.
(Answer: False; p. 146; Challenging)

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97. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.
(Answer: True; p. 146; Moderate)

98. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person. (Answer: True; p. 146; Moderate)

99. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.
(Answer: False; p. 146; Challenging)

100. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.
(Answer: False; p. 146; Challenging)

101. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.
(Answer: True; p. 147; Moderate)

102. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.
(Answer: False; p. 148; Challenging)

103. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.
(Answer: False; p. 144; Challenging)

104. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.
(Answer: True; p. 143; Moderate)

105. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition. (Answer: False; p. 143; Moderate)

1.

2. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

1. True
2. False

3. Marketing offers are limited to physical products.

1. True
2. False

4. Human needs are shaped by culture and individual personality.

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1. True
2. False

5. Selling is managing profitable customer relationships.
1. True
2. False

6. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.
1. True
2. False

7. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.
1. True
2. False

8. The production concept and product concept are two philosophies that can both lead to marketing myopia.
1. True
2. False

9. When backed by buying power, needs become demands.
1. True
2. False

10. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.
1. True
2. False

11. Mission statements should be realistic and general in nature.
1. True
2. False

12. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.
1. True
2. False

13. After carefully questioning your msjor suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
1. True
2. False

14. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.
1. True
2. False

15. Making more sales to current customers without changing a firm's products is market penetration.
1. True
2. False

16. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them

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caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

1. True
2. False

17. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

18. When you collect informationfrom your company's accounting and sales records stored in the computer. You are developing an internal database.

1. True
2. False

19. "At Nike, we sell shoes" is a market-oriented business definition.

1. True
2. False

20. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

1. True
2. False

21. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

1. True
2. False

22. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.

1. True
2. False

23. The buying center is a fixed and formally identified unit within the buying organization.

1. True
2. False

24. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

25. Dissonance-reducing buying behaviour occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

1. True
2. False

26. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

1. True
2. False

27. At Air Online, "we provide online services." is a market-oriented business definition.

1. True

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2. False

28. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

1. True
2. False

29. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

1. True
2. False

30. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.

1. True
2. False

31. Product, price, place, and promotion make up the elements of a firm's marketing mix.

1. True
2. False

32. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

1. True
2. False

33. Most firms follow the production concept when they face overcapacity.

1. True
2. False

34. The simplest definition of modern marketing is managing profitable customer relationships.

1. True
2. False

35. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

1. True
2. False

36. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

1. True
2. False

37. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

1. True
2. False

38. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

1. True

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2. False

39. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

1. True
2. False

40. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

1. True
2. False

41. The difference between human needs and wants is that needs are states of felt deprivation.

1. True
2. False

42. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

1. True
2. False

43. Most firms follow the production concept when they face overcapacity.

1. True
2. False

44. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

1. True
2. False

76. In the last decade, Coach has ignored marketing research when designing new bags.

(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach's exhaustive market research has failed to pay off.

(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.

(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.

(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.

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(Answer: True; p. 98; Moderate)

81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort. (Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

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91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.
(Answer: True; p. 105; Moderate)

95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing. (Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples. (Answer: False; p. 110; Challenging)

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102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them. (Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

121) Bombay Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.
Answer: TRUE
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

122) Shopping for the Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel, and financial services. This firm most likely uses income segmentation.
Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2

123) LaGrange Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as its segmentation approach.
Answer: FALSE

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Diff: 2 Page Ref: 197
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

124) Because Cruise Ships International currently has limited financial and personnel resources, it should avoid concentrated or niche marketing until its resources are again substantial.
Answer: FALSE
Diff: 2 Page Ref: 203
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-3

125) Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more-forless strategy.
Answer: FALSE
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

1) We define a _____ as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
A) private brand
B) service variability
C) service
D) product
E) service encounter
Answer: D
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept

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Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2

104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept
Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept

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Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201
Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

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113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3

117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.
Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.
Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.

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Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium. Answer: TRUE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377
Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff. Answer: TRUE
Diff: 2 Page Ref: 378

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Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE

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Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE
Diff: 1 Page Ref: 396

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Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE
Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1

124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE

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Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-4

101) Prices have a direct impact on a company's bottom line.
Answer: TRUE
Diff: 1 Page Ref: 290
Skill: Concept
Objective: 10-1

102) Demand and consumer value perceptions set the floor for prices.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

103) Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

104) Value-based pricing is being used when costs vary directly with the level of product.
Answer: FALSE
Diff: 3 Page Ref: 291
Skill: Concept
Objective: 10-2

105) Value-based pricing uses the company's perception of value.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

106) Value-based pricing is the reverse of cost-based pricing.
Answer: TRUE
Diff: 2 Page Ref: 291

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Skill: Concept
Objective: 10-2

107) EDLP is very similar to high-low pricing.
Answer: FALSE
Diff: 2 Page Ref: 293
Skill: Concept
Objective: 10-2

108) Overhead cost is another term for fixed cost.
Answer: TRUE
Diff: 1 Page Ref: 296
Skill: Concept
Objective: 10-2

109) Cost-based pricing relies on consumer perception of value to drive pricing.
Answer: FALSE
Diff: 2 Page Ref: 295
Skill: Concept
Objective: 10-2

110) Average unit cost increases with accumulated production experience.
Answer: FALSE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

111) An upward-sloping experience curve is beneficial for a company.
Answer: FALSE
Diff: 3 Page Ref: 297
Skill: Concept
Objective: 10-2

112) The simplest pricing method is cost-plus pricing, which involves adding a standard markup to the cost of the product.
Answer: TRUE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

113) Markup pricing is popular because prices tend to be similar and price competition is thus minimized.
Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept

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Objective: 10-2

114) Target return pricing is used when a firm tries to determine the price at which it will break even or make the profit it is seeking.
Answer: TRUE
Diff: 3 Page Ref: 298
Skill: Concept
Objective: 10-2

115) A break-even chart shows the total cost and total revenue expected at various sales volume levels.
Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept
Objective: 10-2

116) Environmental elements are categorized as external factors that affect pricing decisions.
Answer: TRUE
Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

117) In a pure monopoly, the market consists of one seller.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

118) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

119) If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

120) Once a company cuts prices, it's difficulty to raise prices again when the economy recovers.
Answer: TRUE

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Diff: 2 Page Ref: 304
Skill: Concept
Objective: 10-3

121) When faced with price competition, cutting prices is often not the best answer.
Answer: TRUE
Diff: 2 Page Ref: 290
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-1

122) Using value-based pricing, a marketer would not design a product and marketing program before setting the price.
Answer: TRUE
Diff: 3 Page Ref: 291
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-2

123) Monopolies charge the full price because they do not fear attracting competition or regulation.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 10-3

124) Marketers may learn a few simple rules that apply equally to all price-demand relationships.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 10-3

125) The more elastic the demand, the more it pays for the seller to raise the price.
Answer: FALSE
Diff: 2 Page Ref: 303
AACSB: Reflective Thinking Skills
Skill: Critical Thinking

Objective: 10-3

101) A company's marketing communications mix is also called its promotion mix.
Answer: TRUE

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Diff: 1 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1

102) Sales promotion makes use of press releases and special events.
Answer: FALSE
Diff: 2 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1

103) Mass markets have fragmented; thus, marketers are shifting away from mass marketing.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

104) Though mass marketing was effective in past decades, large companies no longer routinely invest large chunks of their advertising budgets in mass media outlets such as television and magazines.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

105) New communications technologies such as cell phones and the Internet give companies new media for interacting with targeted consumers, but these new technologies also give consumers more control over the advertising messages they receive.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Use of Information Technology
Skill: Concept
Objective: 14-2

106) Mass marketers can expect consumers to distinguish between commercial message sources to maintain a clear image of a company and its brands.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

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107) The integrated marketing concept ties together all of the company's messages and images.
Answer: TRUE
Diff: 1 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

108) Integrated marketing communications allows different brand messages to be developed by different departments within an organization.
Answer: FALSE
Diff: 2 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

109) A marketing communications director has overall responsibility for the company's communications efforts.
Answer: TRUE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

110) The communications process should start with mass media advertising to reach many consumers.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

111) The four major communication functions are encoding, decoding, response, and noise.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

112) Encoding is the process by which the receiver assigns meaning to symbols.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

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113) Decoding is the process of putting thought into symbolic form.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

114) Awareness, knowledge, and preference are buyer-readiness stages.
Answer: TRUE
Diff: 2 Page Ref: 416
Skill: Concept
Objective: 14-3

115) There are three types of appeal from which marketers may choose as they design their message content. These types are rational, emotional, and moral appeals.
Answer: TRUE
Diff: 2 Page Ref: 417
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

116) Buzz marketing involves cultivating opinion leaders and getting them to spread information about a product or service to others in their communities.
Answer: TRUE
Diff: 1 Page Ref: 419
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

117) The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

118) The affordable method sets promotion budgets to match competitors' outlays.
Answer: FALSE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

119) Large-scale advertising conveys a positive message about the seller's size, popularity, and success.
Answer: TRUE

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Diff: 2 Page Ref: 424
Skill: Concept
Objective: 14-4

120) If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

121) Vast improvements in information technology are speeding the movement toward segmented marketing. Answer: TRUE
Diff: 3 Page Ref: 409
AACSB: Use of Information Technology
Skill: Synthesis
Objective: 14-2

122) "Teaser" advertising is most closely associated with the buyer-readiness stage of liking a product.
Answer: FALSE
Diff: 3 Page Ref: 416
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

123) The "Stop. Think. Tylenol." ad is an example of a moral appeal.
Answer: FALSE
Diff: 2 Page Ref: 417
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

124) Advertisements for prescription drugs often feature potential benefits and negative side effects that consumers may experience with use of the medication. These ads present two-sided arguments.
Answer: TRUE
Diff: 2 Page Ref: 418
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

125) A recent trend toward more push than pull in the mixes of consumer-goods companies may achieve short-run sales at the expense of brand equity.
Answer: TRUE
Diff: 3 Page Ref: 426

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AACSB: Reflective Thinking Skills
Skill: Application
Objective: 14-4

101) A firm can obtain new products in two ways: acquisition or new-product development. Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

102) Up to 80 percent of all new consumer products fail or seriously underperform.
Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

103) New-product development begins with a systematic search for new product ideas through idea generation.
Answer: TRUE
Diff: 1 Page Ref: 261
Skill: Concept
Objective: 9-2

104) Companies rarely solicit ideas from customers during the idea generation stage of product development.
Answer: FALSE
Diff: 1 Page Ref: 262
Skill: Concept
Objective: 9-2

105) A product idea is an idea for a possible product a company can offer the market, while a product concept is a detailed version of the idea stated in meaningful consumer terms.
Answer: TRUE
Diff: 3 Page Ref: 264
Skill: Concept
Objective: 9-2

106) Concept testing works best with people who are familiar with the new idea and the new product's purpose. This generally includes top management, the sales force, and research and development. Answer: FALSE
Diff: 3 Page Ref: 265
Skill: Concept
Objective: 9-2

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107) The business analysis stage represents the first large jump in financial investment in the new-product development process.
Answer: FALSE
Diff: 2 Page Ref: 266
Skill: Concept
Objective: 9-2

108) The stage at which new product and marketing programs are introduced into realistic market settings is called concept testing.
Answer: FALSE
Diff: 1 Page Ref: 267
Skill: Concept
Objective: 9-2

109) A company launching a new product into the market must first decide on when to launch the product.
Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

110) JumBo Games is launching a new set of game toys in the commercialization stage. The first decision to make is introduction timing and the second is where to launch the new product. Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

111) Sequential product development has the advantage of not only being a teamoriented approach, but also of being faster in bringing products to market.
Answer: FALSE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

112) To avoid too few new-product ideas and the failure of many good ideas, management should install an innovation management system that collects, reviews, evaluates, and manages new-product ideas.
Answer: TRUE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

113) Using the PLC concept to develop marketing strategy can be problematic because strategy is both a cause and a result of the product's life cycle.
Answer: TRUE

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Diff: 3 Page Ref: 275
Skill: Concept
Objective: 9-3

114) Profits rise during the growth stage of the PLC because promotion costs are spread over a large volume and unit manufacturing costs fall.
Answer: TRUE
Diff: 2 Page Ref: 275
Skill: Concept
Objective: 9-3

115) Although products that remain in the maturity stage of the PLC seem unchanged, the most successful ones actually evolve to meet changing consumer needs.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

116) When sales of a product falter during the PLC, a company can take several approaches. The more common ones are to modify the marketing mix, modify the product, or modify the market.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

117) Companies need to pay attention to their aging products. Management should regularly review sales, market shares, costs, and profit trends, and then decide whether to maintain, harvest, or drop these declining products.
Answer: TRUE
Diff: 2 Page Ref: 279
Skill: Concept
Objective: 9-3

118) When a company decides to maintain a product in the decline stage, it will reduce costs and hope that sales hold up to increase the profits in the short run.
Answer: FALSE
Diff: 2 Page Ref: 279
Skill: Concept
Objective: 9-3

119) The federal government may prevent a company from adding products through acquisitions if acquisition threatens to lessen competition.
Answer: TRUE
Diff: 2 Page Ref: 280
AACSB: Ethical Understanding and Reasoning Abilities

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Skill: Concept
Objective: 9-4

120) The international growth of many professional and business services such as accounting, consulting, and advertising led to the globalization of the client companies they serve. Answer: FALSE
Diff: 3 Page Ref: 282
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 9-4

121) Malibu Beach Parties finds that the tastes and preferences of its customers change more rapidly than in the past. The manager should constantly look for external ideas from customers, suppliers, and the competition.
Answer: TRUE
Diff: 2 Page Ref: 262
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 9-2

122) Blair Housewares wants to add new lines of products to its 46-store chain. Managers are correct in believing that the purpose of idea generation is to create a few ideas and the purpose of succeeding stages is to increase that number.
Answer: FALSE
Diff: 2 Page Ref: 264
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2

123) GreenTree Lawn and Garden Products is engaged in marketing strategy development. Management should first create a statement outlining the product's planned price, distribution, and marketing budget for the first year.
Answer: FALSE
Diff: 3 Page Ref: 265
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2

124) GreenTree Lawn and Garden Products is engaged in a review of the sales, costs, and profit projections for some new products to find out whether they satisfy the company's objectives. This activity is called business product development.
Answer: FALSE
Diff: 2 Page Ref: 266
AACSB: Analytic Skills
Skill: Application
Objective: 9-2

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125) Sales for the time-tried household cleansers made by Brite and New, Inc. have been declining for some time. If these products are typical, sales are declining because of technological advances, shifts in consumer tastes, and lack of raw materials from foreign suppliers.
Answer: FALSE
Diff: 3 Page Ref: 278
AACSB: Reflective Thinking Skills
Skill: Application

Objective: 9-3

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept
Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE
Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

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106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

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112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3

113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

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118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product. Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE
Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow. Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

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124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2

104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193

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AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept
Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept
Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

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110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201
Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

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116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3

117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.
Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.
Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.
Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium. Answer: TRUE

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Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377
Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff. Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

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109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE
Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

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116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE
Diff: 1 Page Ref: 396
Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE

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Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1

124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE
Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-4

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept

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Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE
Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

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110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3

113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE

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Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product. Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE

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Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow. Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

True/False

1. Companies tend to set a pricing structure, rather than a single price, that covers different items in its line.
(True; p. 274; Moderate)

2. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

3. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.
(True; p. 263; Easy)

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4. Melt-In-Your-Mouth Candy Stores prices its candy displays at ten different price levels, ranging from $2.00 per pound to $4.95 per pound. This is an illustration of price points. (True; p. 276; Moderate)

5. Target costing reverses the usual marketing process.
(True; p. 269; Easy)

6. Overhead cost is another term for variable cost.
(False; p. 266; Easy)

7. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing. (True; p. 277; Easy)

8. Some industries commonly use two-part pricing, where the price is broken down into a fixed fee and a fixed usage rate.
(False; p. 277; Moderate)

84. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

85. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

86. Environmental elements are categorized as external factors that affect pricing decisions. (True; p. 268; Easy)

87. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.
(True; p. 277; Moderate)

88. In a regulated monopoly, the government permits the company to set rates that will yield a "fair" return.
(True; p. 272; Easy)

89. Nonregulated monopolies do not always charge the full price because they do not desire to attract competition.
(True; p. 272; Moderate)

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90. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

91. If demand changes greatly, we say the demand is inelastic.
(False; p. 273; Easy)

92. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

93. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

94. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
(True; p. 263; Easy)

95. All companies today now realize how valuable their by-products are for resale.
(False; p. 277; Easy)

96. The six major price-adjustment strategies include discount and allowance pricing, segmented pricing, psychographic pricing, promotional pricing, geographical pricing, and international pricing.
(False; p. 278; Moderate)

97. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

98. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

99. EDLP is very similar to competition-based pricing.
(False; p. 265; Easy)

100. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

101. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

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102. The difference between a discount and an allowance is that a discount is in its simplest terms a reduction in price.
(False; p. 278; Easy)

103. Cost-based pricing relies on consumer perception of value to drive pricing.
(False; p. 267; Easy)

105. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

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MGT301 Final TERM Solved MCQs File

Principles of Marketing (Virtual University of Pakistan)

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MGT301 FINAL TERM SOLVED MCQs

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Question No: 1 (Marks: 1) - Please choose one

In a Michael Porter Model, which one of the following options is a major tool in the identification of ways to create value in an organization?

► Chain model

► The BCG model

► **Five forces model**

► Value chain model

Question No: 2 (Marks: 1) - Please choose one

A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?

► Marketing plan

► Marketing strategy

► **Marketing mix**

► Market offering

Question No: 3 (Marks: 1) - Please choose one

Which one of the following options represents this statement "What place do you want your product to hold in the consumer's mind"?

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► Product

► Positioning

► Promotion
► Place

Question No: 4 (Marks: 1) - Please choose one

Relationship marketing is a consistent application of up to date knowledge of individual customers to product and service design. Why it is communicated interactively to customers?

► For delivering short term value & satisfaction to customers

► For delivering long term value & satisfaction to customers

► For delivering short term value to management

► For delivering long term value to management

Question No: 5 (Marks: 1) - Please choose one

An important concept in which we realize that losing a customer means losing more than a single sale. It means losing the entire stream of purchases that the customer would make over a lifetime of patronage. Which one of the following options reflects this concept?

► Net profit

► Customer lifetime value

► Relationship marketing

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► Market share

Question No: 6 (Marks: 1) - Please choose one

When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

► **Not-for-profit marketing**

► Mindless marketing

► Ethics in marketing

► Societal marketing

Question No: 7 (Marks: 1) - Please choose one

Airlines offer frequent flier marketing programs to build value and satisfaction into the customer relationship. Using this approach, airlines add which of the following benefits to the customer relationship?

► Social benefits

► Structural benefits

► **Financial benefits**

► Old age benefits

Question No: 8 (Marks: 1) - Please choose one

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The digital age will fundamentally change customers' thinking of convenience, speed, price, product information and service. This new consumer thinking will affect which one of the following businesses?

► A few businesses

► **Every business**

► Established businesses

► Starting up businesses

Question No: 9 (Marks: 1) - Please choose one

Some banks have increased their market share by offering accounts especially for children in another city. This example illustrates which of the following growth strategies?

► Market penetration

► Market development

► **Horizontal diversification**

► Conglomerate diversification

Question No: 10 (Marks: 1) - Please choose one

Which of the following sets refers to the order or sequence of marketing management functions?

► Control – implementation – market planning

► Market planning – control – implementation

► Implementation – control – market planning

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► **Marketing planning – implementation - control**

Question No: 11 (Marks: 1) - Please choose one

Your colleague is confused about using the marketing research process. In which footstep he is feeling difficulty?

► **Defining the problem**

► Defining the research objectives

► Defining the problem and research objectives

► Researching a research agency to help

Question No: 12 (Marks: 1) - Please choose one

Gathering secondary information is one of the steps of developing the research plan. What does the meaning of secondary information in marketing research?

► That does not currently exist in an organized form

► **That already exists somewhere, having been collected for another purpose**

► That the researcher can obtain through surveys and observation

► That already exists somewhere in an organized form

Question No: 13 (Marks: 1) - Please choose one

Which method of research can be used to obtain information if people are unwilling or unable to provide?

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► **Observations**

► Focus groups

► Personal interviews

► Questionnaires

Question No: 14 (Marks: 1) - Please choose one

Which one of the following statements **BEST** characterizes marketing research?

► Research is a continuous process, providing a constant flow of information

► **Research is conducted on a special-project basis**

► Research is performed when routine information is required

► Research is the basis for making recurring marketing decisions

Question No: 15 (Marks: 1) - Please choose one

ABC Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

► Respondents who refuse to cooperate or give biased answers

► Interviewers who make mistakes or take shortcuts

► **Interpreting and reporting the findings**

► Primary data that conflict with secondary data

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Question No: 16 (Marks: 1) - Please choose one

Research of buying decisions by large companies to find out what they buy, where they buy, how and how much they buy refers to which one of the following buying decision?

► Market buying decision

► **Consumer buying decision**

► Social buying decision

► Group buying decision

Question No: 17 (Marks: 1) - Please choose one

Society's relatively permanent and ordered divisions whose members share similar values, interests and behaviors reflect which one of the following option?

► **Social classes**

► Habitual buyers

► Charismatic leaders

► Opinion leaders

Question No: 18 (Marks: 1) - Please choose one

Which one of the following factor relates to family that influences consumer behavior?

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► Cultural

► Social

► **Personal**

► Business

Question No: 19 (Marks: 1) - Please choose one

The buying process starts from which one of the following stage in which the buyer recognizes a problem or need?

► **Need recognition**

► Information search

► Evaluation of alternative

► Purchase decision

Question No: 20 (Marks: 1) - Please choose one

You purchase cleaning supplies for your custodial help regularly. It is showing which buying situation?

► Modified rebuy

► **Straight rebuy**

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► Modified straight rebuy

► Consumer buy

Question No: 21 (Marks: 1) - Please choose one

"A purchase in which the customer buys the same goods in the same quantity on the same terms from the same supplier" refers to which one of the following buying situations?

► New-task

► Modified rebuy

► **Straight rebuy**

► Negotiated

Question No: 22 (Marks: 1) - Please choose one

When a company caters to clothing, cosmetics and toiletries markets, it is probably using which type of segmentation?

► Demographic

► **Gender**

► Behavior

► Geographic

Question No: 23 (Marks: 1) - Please choose one

Mr. ABC and his staff have decided to use target marketing to reach their sales goals. Which are their three steps (in order) to target marketing?

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► Market segmentation, market positioning and target marketing

► Market segmentation, target marketing and market positioning

► Market alignment, market segmentation and market positioning

► Market recognition, market preference and market insistence

Question No: 24 (Marks: 1) - Please choose one

Which of the following are industrial products that aid in the buyer's production or operations, including installations and accessory equipment?

► Materials

► Specialty items

► Capital items

► Supplies

Question No: 25 (Marks: 1) - Please choose one

Developing a product or service involves defining the benefits that it will offer. The benefits such as quality, features and design, style that are communicated and delivered comes under which of the following categories?

► Private brands

► Product attributes

► Consumer products

► Product mixes

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Question No: 26 (Marks: 1) - Please choose one

Marketers need to position their brands clearly in target customers' minds. The strongest brands go beyond attributes or benefit positioning. On which of the following basis the products are positioned?

► Desirable benefit

► Good packaging

► Strong beliefs and values

► **Customer image**

Question No: 27 (Marks: 1) - Please choose one

An organization with several product lines has which one of the following mix that consists of all the product lines and items which a particular seller offers for sale?

► **Product mix**

► Brand mix

► Consumer mix

► Packaging mix

Question No: 28 (Marks: 1) - Please choose one

With what groups do firms conduct concept testing for new products?

► Suppliers

► Employees

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► Target customers

► **Focus groups**

Question No: 29 (Marks: 1) - Please choose one

After concept testing, a firm would engage in which stage for developing and marketing a new product?

► **Marketing strategy development**

► Business analysis

► Product development

► Test marketing

Question No: 30 (Marks: 1) - Please choose one

If the company's sales are slow down, and profits level off or decline. At which stage the company has reached?

► Introduction

► **Decline**

► Growth

► Maturity

Question No: 31 (Marks: 1) - Please choose one

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Which of the following marketing mix activity is most closely associated with newsletters, catalogues and invitations to organization-sponsored events?

► Pricing

► **Promotion**

► Distribution

► Product

Question No: 32 (Marks: 1) - Please choose one

Three main strategies for intensive growth are market penetration, product development and _____.

► Product improvement

► Market saturation

► Market growth

► **Market development**

Question No: 33 (Marks: 1) - Please choose one

Buying goods and services for further processing or for use in the production process refers to which of the following markets?

► Consumer markets

► Government markets

► **Business markets**

► International markets

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Question No: 34 (Marks: 1) - Please choose one

Which one of the following factor does not affect the economic environment of organizations?

► Donation to hospital

► Exchange rate

► Value added tax

► Disposable income

Question No: 35 (Marks: 1) - Please choose one

Which one of the following are the **MOST** useful source of speedier and more comprehensive information?

► Suppliers

► Key customers

► **Company reports**

► Sales force

Question No: 36 (Marks: 1) - Please choose one

Which one of the following steps in the marketing research process deals in "defining the problems and research objectives, implementing the research plan, and interpreting and reporting the findings"?

► Developing the research budget

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► Choosing the research agency

► Choosing the research method

► **Developing the research plan**

Question No: 37 (Marks: 1) - Please choose one

Which one of the following sets represents 4 C's of the marketing mix?

► **Customer solution, cost, convenience, communication**

► Customer, cost, convenience, comfort

► Convenience, communication, coverage, cost

► Cost, coverage, communication, consultancy

Question No: 38 (Marks: 1) - Please choose one

Chimney Sweeps employs people to clean fireplaces and chimneys in homes and apartments. The firm is primarily the marketer of which one of the following?

► An image

► **A service**

► A good

► An idea

Question No: 39 (Marks: 1) - Please choose one

In BCG matrix, which one of the following SBUs finances the company's question marks and stars?

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► Dogs

► Stars

► **Cash cows**

► Question marks

Note: Confusing question has no clear dimension

Question No: 40 (Marks: 1) - Please choose one

Environmental groups are one kind of which of the following publics?

► Citizen-action publics

► Media publics

► Government publics

► **Local publics**

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Theme NO 7 to 12

Principles of Marketing (Virtual University of Pakistan)

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THEME NO 7;

(COSTOMER DRIVEN MARKETING STRATIGIES)

In this stratigies, company should answer two questions.

***which customer will be serve?**

***how will we serve them?**

***There,we have four pillars to answer therse following questions.

Segmentation(matlb ke isko pieces me toor dena).

Targeting (ksi khaas segment ko target krna).

Differecaition(yeni dosrun se mukhtalif product bnana).

Positioning(customer ke dil me apni jgaa bnana).

Agr hamm segmentation ki baat krein to matlb ke hamm market ko 2 hisssun me convert krdete hein, keoke hamm jante hein ke aik organization pori market ko serve nahi karskati.

Geographical segmentation;

Geographic market divides market into diifernet geographical units such as nations, regions,states,province,cities and country etc,,.

In the same way, company company segments a market on the basis of rural and urbana areas.

Demographical segments;

Demographic segments is aprocess of divinding market into groups based on varibles like age,gender,family,income and occupation etc.

Physocographic segementation;

Iske andar hamm divide krte hein ma market ko social class,personality or social class ke upper.

For example; company ne upper class and lower calss ke lye eleda eleda segmentation li hui hai.

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Behavioural market;

Iske anddr market divide hojati groups mein, jou ke unki malomat, unke behaviours,unke istemal ya unke product ke upper raee par inhesaar krti hai.

There are some types of targeting marketing stratigies.

Undifferantional marketing stratigies;

Ismein company jou hai sari market ko target krti hai,unka focus hota common need ke upper.

Differentiated/segmented market;

Iske andr company jou hai mukhtalif segments ko target krti hai,mukhtalif offers de karr aur iska maqsad hota ke zeyada se zeyaad sales ki jaeein.

Concentrated / nieche marketing;

Iske andar hamm khas aik chez ko focus krte. For example hamm oppo ke customers ko target krte.

micro marketing;

Yeni individuals levels par unki needs or wants ko madde_nazzar rakh kar markeing ke jae. For example_ aik darzi kapre selaii krta hai to usko istrah se krne chahye ke user ko serve krkse.

Local marketing;

Yeni customers ko unki purchasing power ke hesaab se unko surve krna, economy class ke lye eleda, aur middle class ke lye eleda products hun.

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After this all--------

Jab segmentation or target marketing hojati hai, abb point of difference jou hai check krna hota or positioning krni hoti..

Positioning;

Customer ke zehin mein product ki aesi jaga bnana ke wo competitors se zeyda usko hmara product attract kre.

Some options for differenciation;

*product differnciation;

(apka product dikhne me competitors se acha hoo).

*service differenciation;

Apki sales service bhi bakio se shanddar huni cahhye.

*channel differneciation;

Apke product online bhi sales hune cahhye.

Image diffenreniation;

Apke product ki image bhi dosrun se mukhtalif huni chahye.

_____end of theme 7**********

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Theme 8

Product;

Koi bhi chez jou ke offer ki jatti market ke ander jou ke customer ki needs or wants ko satisfy kre wo product kehlati hai.

Experience;

Product ko use krne ke baad jou hamme chez gain hoti wo experience kehlata hai.

There are two types of product ;

1_consumer product;

Jisko hamm apne personel use ke lye istemal krte hein, isko hamm consumer product kehte hein.

Iski aggge sub caatgories hein.

*Convieneice product;

Ye aese product hote jou ke kafi zeyda istemal krta hai consumer begeir zeyda tehqeek ke.

Example;

Fast food, news paper.

*Shopping product;

Ye aese product hote jou ke consumer lene se pehle unki price unki quality dekhta unka comparison krta hai, phr unko lyta hai.

For example. Furniture, cars and bikes.

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Specaility product;

Aese product hote jinko sirf khas tabqa he khreed sakta hai.

Example; desighner clothes and branded cars.

Unsought products;

Ye aese products hote hein jinki maloomat zeyda nahi hoti costumer ko aur wo inko kamm he khareedne ka sochta hai.

Example; life_insurance, blood doantions.

*2_Industial products;

Ye aese products hote jinko market se khreed kr agge mazed inse products bnte hein.

Capital items;’

Inka istemal krke agge mazed items bane jate hein.

Example_ machinery.

Material parts;

Jiss trah glasereen ka istemal krke hamm agge mazed products ko bnate hein.

Supplies and services;

Iskee andr maintenance ke items wgera ajate hein.

Here are some special concept ---

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Organizational marketing_;

Iske andr hamm target consumer ki nazr mein ksii organization ka image build krne ki koshish krte hein.

Person marketing;

Iske andr hamm target consumer ki nazr mein ksii person jouke politician, anchor hoskta .

Place marketing;

Iske andr hamm place ko target consumer ki nazr mein iski marketing ki jaati, take uska image acha kiyya jae.

Social marketing;

Iske andr hamm society ke issues ki marketing krte hein take awareness aasake.

Indivual product decision;

Jab hamm product bnate hein tou usse pehle kafi sare decisions lene padte hein ..

Isme 5 cheezein aati hein____

*product attribute;

*branding;

*packing;

*labelling;

*support service.

Product attributes;

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Yeni jou product bann rha kya khobiyan de giii.

Brand;

Ye koi bhi sign ya design hota hai ksi product ka dosrun se mukhtalif krne ke lye istemal hota hai.

Packing ;

Iske andr ham dekhte hein ke product ki packing kesi hoggi.

Label;

Iske upper products ki specification or uska use wgera hogga.

Support service;

Iske andr hamm sales or warranties hoti.

Brand posiontioning;

Yeni consumer ke minf me apne products ki positioning krte yeni uske dil me aone product ki muhabbat dalna usko convince krna.

Brand name stratigies;

*aesa naam ho jisko sunn ke qualities ka pta lgge.

*asani se bola jasake,smjha jaaske.

*bakki zbaanu mein asani se translate hoaje.

*jisko koi chur ana skke.

Service: service aik dekhai na dene wala product joke value ka sbab bnta hai jiski wja se hamm value hasil krte.

**********theme 9**********

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What is price;

Jou raqam hamm kisi product ya service ko kheredne ke lye hamm charge krte hein , ye price kehlata hai.

Ye marketing mix ka wahid element hai jiski madad se hamko revenue milta hai..

Marketing mix 4p’s(product, price,promotion,place).

Pricing;

Aesa treqa jismein hamm decide krte ke iss product ki kitni price hoggi.

What to consider before setting a price?

Price ceiling.

Price floor;

What is price ceiling;

Ye aesi limit government fix krdeti ke isse upper app iss product ki price nahi barha skte,

What is price floor;

Yeni agr product ki price kam hai or uske upper expenses xeyda ha to government kehti ke ye iski prixze ha ab isse kamm apne nh bechgna.

Agr loss ata rhega to producer market mein survive nhi krske

Ga to govetment islye step lyti.

Factors effecting price;

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Economic condition;

Agr ksi country ki gdb zeyda hai wahan costly product zeyda grow kreinge, lekin Jahan growth kamm or inflanation zeyda hoggi waha saste product ko zeyda khreda jaega.

Government;

Govermentt aik product ki price set krti, agr wo na kre to hamm khud uskoa adjust krte hein.

Supply and demand;

Agr demand zeyda hoggi to zeyda sale hogge.

Competetors;

Hamm dekhte hein ke hamre competitior ne us product ki kya price lgai hai.

Pricing methods;

Value based price;

Ke product jitni value de rha consumer ko uske mutabiq price ko set krna.

Cost based price;

Company khud apne expenses jou ke us product pe arahe unko dekh ke price decide krti.

Competitiors based price;

Hamm dekhte ke hamra competitors kitne ly rha uss hesab se set krte.

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_____theme 10_promotion_____

Promotion;

Ksi bhi product ki information ko public takk pounchana ya unko impress krna take wo product se inspire hoske aur isko khreedein, isko hamm promotion kehte hein.

Advertisement;

Yeni hamm kisi ko raqam de kar kisi product ki promotion krwate hein,jouke, t.v, radio, social media ke zreye hoti.

Sales promotions;

Ye kamm time ke lye de jaane wali offers hoti, jou ke maqsad hota zeyda se zeyada consumers ko aone products ki trf pull krna.

Personal selling promotions;

Iske andr salesman ya koi bhi jou ha personally us product ke barre logu ko influence krne ya unko qaail krne ki koshsh krta hai.

Digital marketing;

Aaj kal ke time mein ssbe zeyda marketing ke lye istemal hune wla platform hai.

Content marketing;

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Mukhtalif pictures ke zreye,

Ya videos ya actresses ke zreye marketing krwana.

Steps in developing effective marketing communincation.

*identify target audience;

*determine the object;

Design the message;

Choose the media;

Select message source;

What is AIDA model use for;

Get attention.

Hold interest.

Get desires.

Obtain action.

Setting the total promotion budget;

Affordable budget method(utna set krte ke hamein pta ho itna target achieve krske gey a nh).

Percentage of sale methods;(for example agr hmari sale 1 million hai tou hamm uska 5% promotion per lgaeinge).

Competitive parity methods;(agr hamre competitiors 1 lakh spent kr rhe to hamm bhi uss hesab se krein).

Promotion mix stratigies;

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There are two types of stratigies.

Push stratigy;

Yeni agr seller apne products ko consumer ki trf push krega tou ye keh laega push stratigy.producer jou ha product ko

Wholesaler takk pounchata phr wholesaler agge retailer ko deta aur wo agge consumer ko deta.

Pull stratigy;

Agr customer khud products ki trf khenchaa chla arha tou ye kehlata pull stratigy.aese content ya promotion ya apke product ki itni value ho ke consumer khud ae apke pass.

For example ipple stratigy.

_____ end of theme 10 _____

Theme no 11;

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Place;

Jab price set hoajti , promotion bhi hojati uske baad ajati 3rd p jokke palce keh lati. Jahan hamm apne products ko place krte hein.iske andr kaffi sare channels jinme retailers , wholesalers, wgera ajate jinki koshsh hoti end user tk product ko pounchaa skke.

Placement;

Iska maqsadd hai product ko promote krna aur phr buyers ko producer ke sath connect krwana cahhte take physically distribute krske products ko.

Upstream partners;

Ye wo hote jou ke firms ko raw material parts, components wgera ko distribute krte hain.

Downstream partners;

Iske andr marketing channels or distribution channel jo hein customers ki talassh krte hain.

Intermediaries;

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Inki koshish hoti ke efficiently jou he product ko manufacturer se le ke end user takk pouncha te hain.

How channel members add value ;

First;

Company se samaan ly ke distributor usko assort krte agge customers ko assani se mil skke.

Second;

Time ke gap ko kamm krne me madad dete hein.

Channel members work;

Information

Promotion

Contact

Matching

Negotiation

Physical

distribution

Financing Risk taking.

_____Theme no 12…….

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What is sustainable marketing ?

Yeni sirf consumer ki needs ka he khyl nahi krna blke aane wali generation ka bhi sochna hai, unke resources ka bhi khyl rkhna hai. Industrial resolution ka jiss trah tofaan aaya hai, lekin usske bar akks ozone layer tabah hochuki hai.

Critism on marketing;

v High Prices(ke promotion karte jab product ki to bht zeyda jou ha price charge kii jatti hai)

v Deceptive Practices;(bahar likha hota ke 60% off ya 70% off lekin andr hota nhi ke logu ko dhoka dya jata).

v High-Pressure Selling(yeni aese products jou ke sales ke qaabil nhi hoti lekin unpe pressure dall ke unko sale kya jata ha).

Impact on Society;

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False wants and too much materialism

Too few social goods.

Cultural pollution.

Consumerism;

Consumerism is the organized movement of citizens and government agencies to improve the rights and power of buyers in relation to sellers.

Consumer Rights

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*Right not to buy(jou uska dil kre khrede).

*Right to expect Safe product

*Right to expect well

*performing product as claimed. Right to b well informed about Product.

* Right to be protected against questionable

products and marketing practices.

*Right to influence products and marketing Positively.

*Right to consume in a way

to preserve the world for

future generations.

Environmentalism;

Environmentalism is an

organized movement of

concerned citizens,

businesses, and

government agencies to

protect and improve

people's living

environment.

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Environmentalism;

Pollution prevention (eleminate pollution)

Product stewardship(minimize pollution from production)

Design for environment (DFE) (aesa design krein product ke usse pollutuionless rakha jaske)

New clean technologies;

Sustainability vision (future ko samne rkhte huye product ko design kiya jaye).

Consumer-oriented marketing;

A company should view and organize its marketing activities from the consumer's point of view.

Customer value marketing;

A company should put most of its resources into customer value—building marketing fhvestments.

Innovative marketing;

A company should seek real prodwct and marketing improvements.

Sense-of-mission marketing;

Acompany should define its mission in broad social terms rather than narrow product terms.

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MGT301 Theme 1 to 13 technical article

Principles of Marketing (Virtual University of Pakistan)

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Technical Articles – MGT301

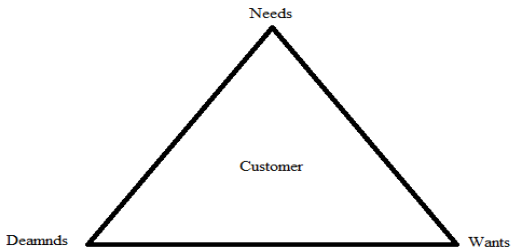
Theme # 1: Understanding Marketing

Marketing affects all facets of one's life as it shed a huge impact on consumer daily affairs and behavior. Daily we use products from advertising; from toothpaste to clothes. Marketing help consumer to take decisions, it help consumer to know about different opportunities and novelties around them. To be successful, companies develop sound marketing functions. To understand more about the importance of marketing in our lives let's start with understanding the definition of marketing and other key terms.

Marketing has come out from the word market. Market is used both as noun and verb, as noun it means a place and as a verb it means to bring something to its customers. So, generally marketing is a process of taking something to its customers. Let's have a look at what is the definition of marketing by **Philip Kotler.**

"Marketing is a process by which companies **create value** for customers and build strong customer relationships in order to **capture value** from customers in return".

Marketing deals with identifying and meeting human and social needs. One of the shortest definition of marketing is "meeting the needs profitably". Marketing is a set of all those activities that create value for customers who need them and build strong relationship with them. It is all about exchange of values between the companies and the consumers.



Let's look at other key concepts in marketing such as need, want and demand. The marketer must try to understand the target market's needs, wants and demands. Needs describe the basic human requirements. "**Need** is a state of felt deprivation". It is a customer desire for certain products/ services. When you deprived of something, you try to fulfill it. Like thirst, it is the feeling of

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deficiency of fluid in body. Whenever fluid lac in your body, you feel that you need to drink the water. If we extend this concept further, other needs are education, healthcare and entertainment.

"Wants" are a step ahead of needs actually wants aren't necessary for one to survive. So, a want is the wish for a particular product or a service which are not necessary. "Wants are the form human needs take as they are shaped by culture and individual personality e.g., water and food". When you are hungry you try to find out the food to satisfy your hunger need. For example, a Britain person needs food but he may want a Burger or Sandwich. while a Pakistani may want Haleem, Kebabs and rice. Wants are actually formed by one's society.

Wants turn to be "**Demands"** when a someone irrespective of the region and culture is willing and having the ability to buy that needs or wants. Desire is the core difference between demands and wants. **"**Demands are those human wants that are backed by his/her buying power**"**. if you are hungry (need) and you have several choices like burger, Haleem, samosas, rice etc. You want pizza(want) but you do not have enough money to buy it, then it is not your demand. Needs and wants are important but demand is very vital for marketers.

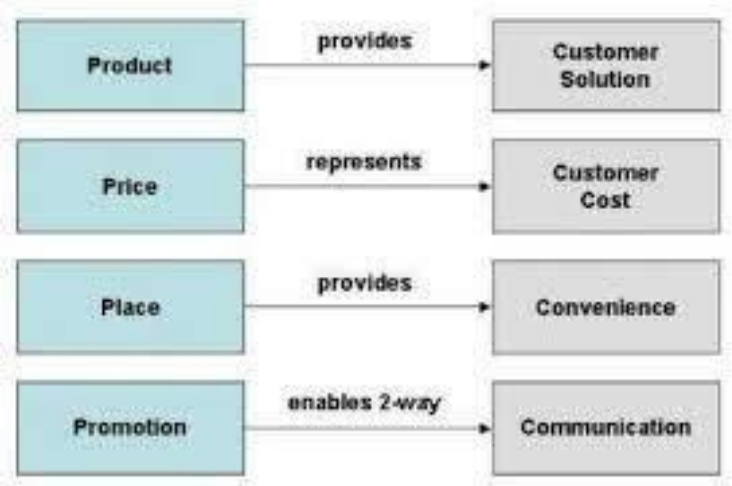
Customers\ consumers are important for marketers. Those who buy something\those who consume something are customers \consumers respectively but those who buy something and those who consume something can be same or different.

Value is something of importance or something having the ability to fulfill the gap or solve a problem. Marketers focus on values as marketing is exchange of values between buyers and seller. **Exchange** is the act of finding a desired thing. e.g., you want to have eggs in breakfast you will go to the nearby shop and ask for eggs by giving the price to the shopkeeper. In this case exchange has taken place. **Transaction** is an activity in which goods services or money is passed form account to another. Exchange when take place is called transaction. Whenever you buy or sell something a transaction has occurred.

Market offering is any mixture of products, services or experiences and information to a market to satisfy the customer needs or wants, for example banks offer services; news channels offer information and confectioners offer sweets.

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"Marketing mix is a combination of 4P's (product, price, place and promotion) used by marketers to distribute value to customers". There are four Ps from marketer's point which must match the four Cs from customers point of view. Product is all goods and services that you design and it must match with the customer solution. Price is the value on which any company offers its product. Price must be such that it matches the customer cost. Then next P is promotion. It is making your market or customer aware of the product / offering. The corresponding C is communication. Promotion must be such that message is communicated to the customer properly. Place is the distribution. Place your product such that it reaches the customer conveniently. So convenience is the corresponding C for place.



Source:"https://megansbusinessblog.wordpress.com/2014/07/29/marketing-mix-the-four-ps-and-the-four-cs-category-5/"

It has been discussed that demand is the essence of marketing. Marketing is used not only by businesses but also political parties, and charity organizations as well. Actual task of marketing is to manage demand. As demand of any product that is offered for selling is never ideal so marketers face different demand situations and resultantly make different strategies for different demand situations. Different demand situations are:

Negative demand is a demand situation in which your product is facing biased or negative views of potential customers. For example, the society in which you are dealing with frozen food items, consider that only fresh food is good. Frozen food is unhealthy; there you are facing negative

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demand. Here you will use conversion strategy to change the views of the market about frozen food.

No demand is something that every business face in the startup phase. People are not aware of your product then you will use creative / stimulating marketing which means you create the demand.

Latent demand is dealing in a product which people may demand but right now the demand is hidden. For example, insurance policy which initially was introduced and had latent demand and people did not take interest in it. Later marketers highlighted the benefits and made people aware and they started buying.

Declining demand is when due to any reason the demand of the product starts declining. In such case re- marketing is used; you may redevelop the product by adding some new features in it.

Full/ regular demand is when demand of the product is equal to the production capacity and this is also called adequate or sufficient demand. It is ideal situation so marketers maintain marketing and try to prolong the full demand situation to get maximum benefits.

Irregular demand is when demand of company product changes at different times. It increases in some season and decrease at some other time. It is called irregular demand. E.g air conditioners are sold at high prices in summers while in winters air conditioners are sold at discounted prices, by doing so companies shift the demand of products. So companies use demand shifting technique and use synchro-marketing strategy.

When demand of company product exceeds the production, capacity means company is facing **overwhelming demand** and is unable to manage demand it is called overfull demand situation and company uses de marketing strategy. e.g., electricity companies use de-marketing to reduce or lower the demand since demand is high but availability is less so they charge high prices to manage the demand.

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Demand of any unhealthy product is called **unwholesome demand** like narcotics and drugs etc. for such products counter marketing is used to discourage the use of such products e.g. campaigns for cigarette use.

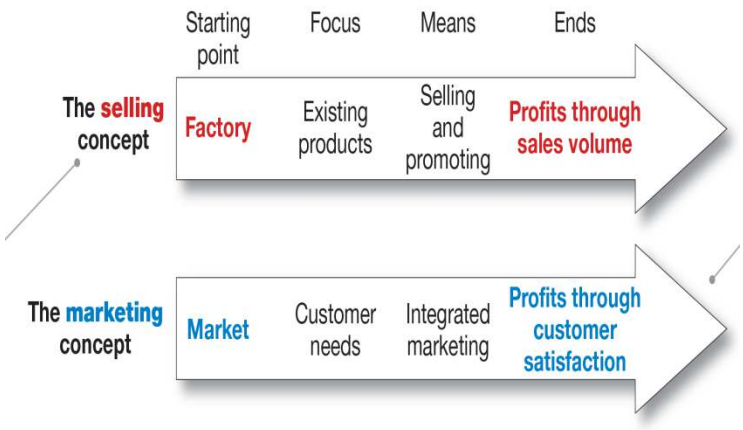
There are different underlying **marketing philosophies** that guide the actions of marketers. The marketing practices are guided by different marketing orientations / philosophies or beliefs. Let's discuss these one by one.

"Production concept is the belief that consumer will like only those products that are accessible or affordable". Here marketers focus on quantity as they believe that customers are quantity oriented. So, organization emphases on production to achieve economies of scale to make the product available to customer at affordable prices. "**Product concept** is the belief that consumers will choose those products that offers the maximum quality, performance and features". Product concept misleads where you focus on product features and improvement and ignore the customer needs. This may also lead to Marketing Myopia. Let's discuss the mouse trap phenomena. In US, there was a time people wanted the get rid of mouse. So, companies started making mouse traps considering that people want it. They did not consider that people actually wanted to get rid of mouse rather than a mouse trap. They must have thought of other ways to catch mouse like sprays or sticking gums etc. to get rid of the mouse. So, this overemphasis on product led to marketing myopia and many mouse trap manufacturing companies failed to sell enough products.

"Selling concept is the belief that customer will not buy plenty of the firm's products except it undertakes a huge scale selling and promotional efforts". This approach is asking for heavy promotional activities. Telling and selling philosophy works in such a situation. You may sell your product once or twice through heavy advertisement but if your product is not good, customers will not choose it again.

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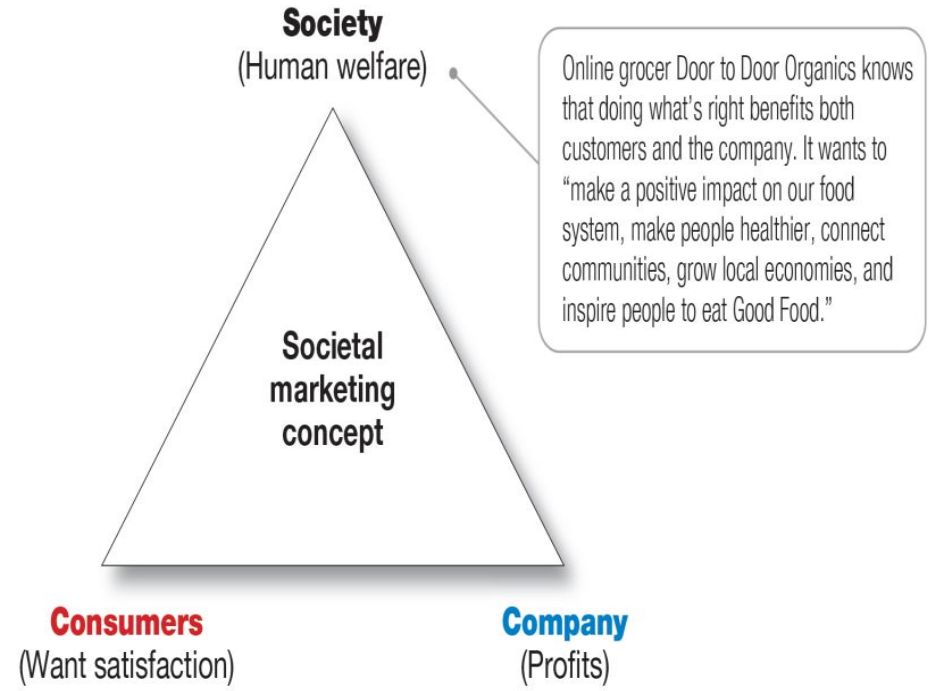


Source: "Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition"

"Marketing concept is the philosophy that attaining the organizational goals rest on knowing the needs and preferences of the target market and giving the desired satisfaction better than competitors". Here focus is on the customer/ market. Product must emphasis on customer needs. Here the problem is that the focus is on customer and company profit but this is sometimes may be done at the cost of society. It may be that your production unit discharges such waste that is damaging the land. This issue was catered in the societal marketing concept.

Societal marketing concept is all about the development of human and society welfare. The company should make marketing decisions based on consumer interests and society long term benefits.

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Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

Here the efforts are made to fulfill customer needs profitably by keeping the society's wellbeing in mind.

Now after reviewing few marketing definitions lets advance our knowledge of marketing and see what is marketing management, according to **Philip Kotler**, "Marketing management is the art of selecting target markets and constructing a profitable relationship with them". This concept is the skill and knowledge at the same time. Who will be our customers (Target market)? How the customers can be served in the best way (value proposition). "**Customer relationship management** is the overall process of building and maintaining a profitable relationship with the customers by delivering superior customer value and satisfaction".

Peter Drucker has defined Marketing in the following way:
"The aim of marketing is to make selling superfluous; the aim of marketing is to understand customer so well that product fits and sells itself". Marketer must understand the customer so well that he /she do not have to sell the product. It fits to customers' needs so perfectly that it sells itself.

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Let's discuss what the building blocks are for managing customers. Managing customer relationship is important. "The difference between total customer perceived benefits and customer cost is called **Customer Perceived Value (CPV)"**. When you buy something, you bear some kind of cost in the form of money, efforts or time or the combination of all and in return get some benefit. If the benefits and cost are justified or benefits exceed cost then you build a perception that this product is of value so marketers try that CPV is good.

Customer satisfaction "is defined as the feeling that a customer experiences when an offering meets his or her expectations". When you buy a product, you have certain expectations from it that it will perform or function in a certain way. When your expectations are fulfilled by the performance of product means you are satisfied. If performance exceeds your expectations, then you are delighted. Satisfied customers bring in more customers.

Partner relationship management "involves working closely with partners in other company departments and outside the company to jointly bring greater value to customers".
After discussing Managing customer relationship, Lets discuss an associated concept **managing customer value**.

In marketing we not only build relationships with customer but also have to capture value form the customer. Let's discuss the building blocks to capture customer value.
Customer lifetime value "is the value of the entire stream of purchases that the customer would make over the lifetime of patronage". Take example of female who uses lipstick regularly. Suppose if she uses a particular lipstick of a company and on average, she will use it for 10 years. Then suppose if one lipstick is of Rs. 500 and it lasts for one month so in one year she will use 12 lipsticks. So, she will spend 500 *12 = 6000 in one year and in 10 years she will spend 6000*10=60000. If the company has won the customer, company is not selling one lipstick to the customer but it's winning the sale of 60000 and if the customer is lost then it is losing this amount.

Share of customer "is the portion of customer's purchasing that the company gets in its product categories". Example: the customer is satisfied with a particular brand and buys bread of this brand,

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milk, bun and biscuits of the same brand. Actually, what the customer spends on all the products of a particular brand is called share of customer.

Customer equity" is the total combined customer lifetime values of all the company's customers".

New trends in marketing keep on emerging with the passing time. Few of the prominent trends are:

Customer engagement marketing "fosters direct and continuous customer involvement in shaping the brand conversations, experiences and community". Companies are taking such indicatives where customers are involved in brand building due to the changing technologies.

Customer-generated marketing (CGM) is the type of marketing in where firms invite their customers either to develop the content for company marketing campaign or to review it. Initially only companies were marketing the products now customers are also marketing. Everyone can now access everyone else so they are sharing their experience good or bad with others. We can say that Customer-generated marketing is leading now.

Digital and social media marketing includes communication tools like websites, social media, mobile ads, online videos, blog and the emails to engage the consumers anywhere in the world, at any time. Now businesses are allocating increasing budget for digital and social media marketing. Digital age, free flow of information, rapid globalization, rising awareness and fast changing technologies have really changed the marketing landscape.

Role of internet is phenomenal as it has connected many people. Anyone can access any other person sitting anywhere in the world. Everything is just a click away. It has facilitated everyone to reach media. Now customers can act and react about the company. It's really easy as source of information have increased and flow of information is easy. This digital age has facilitated the process of globalization which is enhanced connectivity between people living in different parts of world. You can buy and sell from anywhere in the world. Due to increased education, new generation has realized about the damage being caused to the world around by the previous

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generations. They are worried and are now more socially and ethically responsible towards the environment. Another trend that has changed the marketing landscape is the growth of nonprofits. With this growth marketing in non-business ventures is also increasing like hospital, political parties and charity institutes have started using marketing to get resource.

Conclusively let's look at how marketing works?

Consider that there is an organization and there is the market for it. Market is full of customers. Organization has many departments like HR, finance, accounting, R & D, production and operations and marketing is in the center of these all departments as it is linked to all. Now the organization tries to understand the market and for this marketing research is used. Using marketing research, the organization collects information form market. Marketing department processes the information and works in coordination with other departments to design a product to be offered to market. Working on the four Ps and matching with four Cs of customer, marketing offering is made. It is then sent to the customer. If your product is rightly suitable for the customers' demand and requirement, then customer will appreciate otherwise it will be rejected. Whatever the case may be the feedback about the offering, be it good or bad, will be received by the organization's marketing department. By learning the response from the market, organization decides to continue with the same product or modify it to suit the customer requirement.

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GENERALLY ASKED QUESTIONS

Question 1: What is economies of scale?

Answer: *Economies of scale* are cost advantages gained by firms when their production turns efficient. The firm can gain its *economies of scale* by increasing production and lowering costs.

Question 2: What do you understand by market offerings?

Answer: Market offerings are combination of products, services, information, or it can be the experiences offered by the firm to a market to meet consumer needs or wants.

Question 3: What is meaning of promotion?

Answer: Promotion refers to the set of interrelated activities, which communicate the product, brand or service to the end user.

Question 4: Discuss shortly about customer perceived value with a simple example?

Answer: Customer perceived value is the concept that the success of a product or service is largely based on whether customers believe that it can satisfy their wants and needs

For instance, you are in the process of buying a Scotty for your commuting, for the purpose you are making two types of comparisons. Firstly, you are comparing your cost of buying a Scotty, which includes price, time and purchase efforts, with the benefits you expect from a Scotty brand. Secondly you are comparing the expected benefits of different Scotty brands. In this case your customer perceived value is the difference between the cost of purchase and the expected benefits of the Scotty brand you are considering compared to other brands. Resultantly your perception of value can be low or high.

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Question 5: What is society welfare in marketing?

Answer: The concept of welfare of society in marketing is not different from the general concept of social welfare. Generally anything which results into the wellbeing or happiness of a society is considered of its welfare. From another angle preventing from anything which may cause harm or damage to a society is also considered welfare. Reference to the Societal Marketing Concept any marketing activity which adds to social wellbeing or prevents a society from harmfulness will be considered welfare-oriented activity.

For example, developing products which conserve energy or doing your business in a way that does not harm the society.

Question 6: What do you understand by need, wants and demand? How you differentiae these.

Answer: Need, want and demand seem to be very closely related words, however they all differ with respect to their meaning. **Need** is a state of felt deprivation. Whenever you feel there is some gap or you are deprived of something, you try to fulfill it, like hunger, thirst. **Want** is the form that a human need takes as shaped by culture and individual personality e.g. water and food. Whenever you are hunger you search for something to fulfill that need. The thing that you are searching is your want. All human in this world feel hunger but there wants are different as regions and cultures change. Needs are universal but wants are regional or local. When hungry some may take burger, some pizza, some rice etc.

Demands are human wants that are backed by buying power. Anything that you want to have to fulfill your need and you have purchasing power to buy that thing is your demand. E.g if you are hungry(need) you have many options like burger, pizza, rice etc. suppose you want to buy pizza(want) and you do not have money to buy it, then it is not your demand. Needs and wants are important but demand is very crucial for marketers.

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Question 7: What role marketing plays in our life?

Answer: We live in an interdependent world where we have to convince others and seek their support for any activity we do in our life. This is a fact that others will only get convinced and extend their support if what we are offering has relevance for them. At all such occasions, fundamentally, marketing will teach you to understand what concerns others and how to present your offer in a way that appeals to others. Marketing will also guide you to express yourself to the world around to get maximum out of it.

Question 8: Discuss the sustainable marketing with help of an example.

Answer: Sustainable marketing involves more focus over the promotion of environment and social responsiveness. It lays more stress over preserving the resources for future generations. Example may be the promotion of recycled products minimizing harm to the environment.

Question 9: What is meant by creative and stimulating marketing in the era of 'no demand'?

Answer: Stimulation Marketing is the task of converting no demand into positive demand. So, it is the process of creating a demand for a product. For example, there is little to no demand for shoes in an area, so in order to transform no demand to positive demand, marketers must stimulate the market. At most times, transforming the public's demand for a certain product can be challenging. And there could be many steps for creating positive demand from no demand which includes building public awareness, reaching the audience, stay connected with them, give them solutions to their problem, create demand, focus on your product and services benefits. All these steps vary from market to market and according to your marketing strategies to create positive demand.

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Technical Articles – MGT301

Theme # 2: Marketing Environment

In this theme, we will discuss the most important and essential topic i.e. Marketing environment. First of all, we have to understand what is "environment"? An environment is the surroundings of any living thing. Whatever around you is considered to be your environment. The environment is somewhat you are very used to with. It is actually everything around us. It comprises human actors, system's, physical, chemical, and other natural factors, etc. We can't change our environment abruptly. The environment is an extremely complex set of factors that define your behavior in every way and for every living thing. Our environment will influence us anyway and somehow we may also influence the environment. For example, a flower may grow when weather conditions are appropriate, or die if it is not. It couldn't survive with extreme variations in their environment.

Now, what is the marketing environment? In marketing our main objective is to deliver the value to the customer and in return earns value. Marketing is not alone; as per Phillip Kotler it has its own environment and in this environment, it has its own actors and forces that affect a firm's ability to deliver value to the customer and create profitable customer relationships ". Here we can take an example of one of the actors of the marketing environment and that is supplier. For instance, if you are making a surgical instrument and for that you use stainless steel metal, now the quality of the surgical instrument depends on the metal which a supplier provides you, what if the quality of that metal is not up to the mark it will certainly affect the ability to serve your customers and ultimately the relationship between you and the customer will suffer. In simple words, a firm is surrounded by internal and external forces which have a great effect on a firm's ability to sustain long-lasting relations with their potential customers. There are two types of the marketing environments, one is microenvironment and the other one is macro environment. Let's discuss them one by one.

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What is Micro Environment?

The microenvironment is defined as the secure or safe environment, under which the firm works. The microenvironment consists of the Organization itself, Suppliers, Intermediaries, Competitors, Customers and Public. These actors are very close to the organization as they all work together and this would build your value network as well as a value delivery system. These actors are makers and breakers of the organization, because if these actors will not work properly then your ultimate goal to serve the customers will not be fulfilled. Firstly, we'll see the actors of microenvironment.

1. The Company:

In designing organization's strategies and objectives, marketing executives will make close coordination with other departments, within the organization because; if they do not develop coordination within the organization they can't achieve their goals in an appropriate way.

2. Suppliers:

They are the one who provide the resources for goods and services. For example, raw material, equipment etc. Business accomplishment depends on the suppliers as the supplier's good is the essential component of the end product of the buyer. It is famous sayings that treat your supplier as your partners to provide customer value.

3. Marketing Intermediaries:

The role of intermediaries is to promote, sell and distribute the company's products to the end users. If these intermediaries are not cooperative or supportive companies won't be able to deliver their value. Marketing intermediaries usually consist of wholesalers, distributors, and retailers that make a relationship between the organization and the customers.

4. The Competitors, Rivals or Inspirers:

Competitors are who aim at what we aim at. In business the presence of one or more competitors can cut down the prices of goods and services, just to gain the larger market share. Competitors are the inspirers as well and due to their inspiration, companies are becoming more efficient and determined in terms of goal setting.

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5. Customers:

The most important and beloved actors in microenvironment are our customers. They are the ones who buy goods for their own consumption. All the marketing activities are customer-centric. Customers are the king of business. They are important as companies need them and the success of their business depends on them.

6. Publics:

Public is any group which has an actual or possible interest in the organization to achieve its goals such as financial publics, media publics, government public, local public, general public or internal publics etc. They are actually the stakeholders. They are not direct buyers or suppliers, but they have somehow direct or indirect interest in achieving the objectives. Generally, it is the responsibility of the organization to satisfy the general public. The company must take decisions while taking the point of view of the general public into consideration because they played an important role in decision making. Now we will discuss these publics one by one.

6.1 Financial Publics:

Financial Publics are the organizations who work in financial sectors and influence the company's funding e.g. Banks, investment analysts, stockholders etc. These financial publics affect a company's ability to take loans. The financial experts of the companies will deal with these financial publics and very conscious to build a positive image of the company in front of the customers and other public.

6.2 Media Publics:

We are living in the information age and the custodians of the information are media houses. Media gives mass exposure to the company's activity. It includes Print Media, television, newspaper and Social Media like Facebook, Twitter etc. The role of Media is that much strong that it can make or break the companies. They are considered to be the watchdogs for the companies which protect the public interest against any mismanagement and malpractice. To deal with media houses the public relation department of the organization plays a vital role and always has good media relations. So they would highlight the strengths and hides the faults of the company.

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6.3 Government Publics:

Government is the protector of the state's public interest. They provide services too. Their work is to regulate the businesses and carefully watch that while operating the business they should follow the safety standards and rules and regulations.

6.4 Citizen-Action Publics:

There are many organizations (government or non-government) in our society who work for different groups or communities to protect their rights. They mostly work voluntarily. Sometimes these communities will be affected by the marketing activities of the companies. For protecting their rights this organization becomes activated. So to avoid any issue between these organizations and the company, Public relation department of the company intervene and takes care of what these groups are saying regarding the company. The key role of this public relation department is to make efforts to create a friendly relationship with them; otherwise, they will harm the name of the company.

6.5 Local Publics:

Every organization is working in some locality or area. The neighborhood residents are the local publics. Some production plants are running in these localities. These plants sometimes directly or indirectly harm the premises. For example, air pollution or water contamination etc. To compensate for the damage of this locality, organizations offer some incentives like providing the jobs or creating some hospital facilities to the local publics.

6.7 General Publics:

A general customer's perception or opinion portrays the general public. A good brand image or perception is very important for any organization's success. Different marketing activities will be undertaken to create a positive image of the company. This opinion or perception of the general public can be judged by the feedback which they shared through social media or other media. So this opinion of general publics is very important for the image building.

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6.8 Internal Publics:

The internal publics are the vital resources of the organization. They are actually the company's own employees, executives, suppliers or stakeholders. If a company wants to increase its goodwill, they should make their internal Publics happy and content. For that, they have to arrange meetings in which they educate and involve their internal publics and inform the employees about the new development of the company.

After concluding microeconomics, we will come to the next environment which is the macro environment.

What is Macro Environment?

Macro environment refers to the broader environment; it has no concern with the immediate environment. The macro environment is the external forces which are not controllable and can affect the processes of all business setups. These forces have an indirect effect on the company's operation and working situation. Macro environment consists of six external forces i.e. demographic, economic, natural, technological, political and cultural.

1. Demographic Environment:

Demographics are the study of population based on factors such as age, race gender, size, density, location, occupation etc." These demographics are very important to learn for the purpose of policy development and economic market research.

Now the question arises why the population is so important? It is important because people needs and wants are the reasons for companies to exist. In simple words, people are the motivating factor for the growth of markets. Therefore, marketers should keep a close eye on demographics. But over time there is a change in demographics in terms of world population, age structure, family sizes etc. This change in demographics both offer opportunities as well as threats for the businesses. Mostly large companies conduct demographic research to decide how to market their product and how to grab the potential customers. This information helps the company to select how much investment is needed for the specific group.

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2. Economic Environment:

We have to see the factors that affect consumer purchasing power and spending patterns. We will take an example that, an organization could not start exporting their good to a country until they have examined how much people will be able to spend and what are their purchasing powers. To check the health of the economy and growth rate, we have many economic indicators, which are GDP volume and growth rate, Per capita income, Interest rate, inflation, Import Duty rate etc.

3. Natural Environment:

The natural environment in the Macro Environment is very important as far as the natural resources are concerned. You may do business in whichever place, your business will come across the local environment and you will shape your business according to the environment you are encountered in. The most important changes in the natural environment are the increasing shortage of raw materials especially in terms of non-renewable resources like water, gas, and oil. Moreover, increased pollution is also one of the factors of a natural disaster. Due to the shortage of natural resources, the governments then intervene in these issues and make some environmental sustainable strategies. So being a business person or marketer one should keep a record of the trends in the natural environment.

4. Technological Environment:

It is the most crucial force of the Macro Environment. In the last few decades, there is a drastic development in technology, and we are in favor of advanced technology because we are in favor of convenience and ease. New products and services are imaginable due to new technologies. This new technology has affected every phase of our lives. If we look back like few years before we‘ll see how we shop, to how we travel to how we linked ourselves. Technology also affected businesses around the world as technological transformation get both opportunities and threats for a business. Every novel technology swaps an older one, so if businesses would not adopt such technological changes these businesses will very quickly be obsoleted and outdated from the market. Thus marketers must keep an eye or watch very carefully about the dynamic changing trend of the technology and try to adapt it as soon as possible. A very relevant example here is the world-renowned Photocopy Company "Xerox” which is obsoleted, because they have not adopted the new technology and today only a few people know the name of that giant company.

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5. Political and Legal Environment:

Political factor is one of the external environmental factors which affect the business both positively or negatively. Businesses are strictly influenced and affected by changes in the political environment. That's why before entering a new market in a foreign country; the company must know each and everything about the legal and political environment of the host country. Companies should know how a country's political system affects the economy. They also need to evaluate how stress-free it is for the company to enter and exit, they may also assess the political risk and stability of the country.

6. Cultural Environment:

Cultural factors play a major role in our society. Our lifestyle, values, and attitudes determine culture. "Culture is the integrated sum total of learned behavioral traits that are shared by members of society". Cultural factor is one of the most influencing factors as far as the business decisions are concerned. So for businesses it is very essential to consider cultural barriers while making their business strategies. For example, The McDonald's of Pakistan is much different from the McDonald's in India. This is because McDonald's is capable to adapt its food and business strategies according to each culture. It is also necessary for the businesses to respect the differences between cultures and obeys to the country's policy.

The sum up of all the internal and external environment study is that, all organizations plan according to their environment, the only change is in their attitude and approach. Sometimes this approach is proactive, sometimes it is reactive and sometimes it is active. The old adage that prevention is better than cure is appropriate here. So I think it is better to be proactive rather than reactive or active. In simple words, the proactive approach emphases on reducing the problems before they will appear. Our marketers and businessmen should also be smart enough to cope up and adopt the proactive approaches to survive in the environment.

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GENERALLY ASKED QUESTIONS

Question 1: What is the major difference between micro and macro environment and what's its key role in field marketing?

Answer: Micro environment is the close or nearest environment in which the firm operates. It affects the working of a particular business only to which they relate to. While, Macro environment mentions the overall or broader environment, that can affect the working of all business enterprises. It actually affects the functioning of all the business entities, operating in the economy. These environmental factors are beyond the control of marketers but they still influence the decisions made when creating a strategic marketing plan.

Question 2: What do you understand by the term publics?

Answer: A public refers to a group that has an actual or potential interest in or impact on a company's ability to achieve its objectives. Financial publics, media publics, government publics, local publics, general publics or internal publics are some of the examples of Publics. It is the key responsibility of the company to satisfy the public at large including its customers and competitors. Also, creating good will among the public helps to get a favorable response for a company.

Question 3: What do you mean by rivals in marketing term?

Answer: In simple words Rivals are the competitors. In terms of marketing, Rival is a person who is competing for the same product or service as another. For example Surf Excel is in direct competition with Arial.

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Technical Articles – MGT301

Theme # 3: Organization and Marketing Strategy

After studying environmental analysis, in the current theme we would discuss about Organization and marketing strategy.

Marketing is all about serving customers profitably. Marketing is surrounded by environment which has actors, factors and forces that affect marketing positively or negatively. Environment remains the same but organization has to deal with its environment. Marketing strategy is basically response of marketing to its environment.

Strategic planning is done at broad level in any organization. However, Strategic planning is known as the process to develop and maintain strategic fit between organizational capabilities and goals in a dynamic marketing environment. Goals can be to be no.1, to grow etc, capabilities can be some resources or skills that an organizational can have.

As individual is affected by its environmental changes and get dressed according to weather, similarly organizational environment has an effect on the organization and marketing specifically. Parts of strategic planning are:

1. Environment analysis
2. Internal analysis
3. Vision
4. Mission
5. Objectives

Environment means what surrounds organization/ market. Environmental analysis is the process of studying actors, factors and forces outside marketing to map challenges and opportunities.

Actors---------e.g supplier, distributors etc.

Factors____ public

Forces_____e.g economic, political forces

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So all these are outside market and we need to analyze them. There are several tools for environmental analysis.

PESTEL/STEPEL

-
- Political
- Economic
- Social
- Technological
- Ecological
- Legal

As a result of environmental analysis we can come up with several opportunities and challenges.
Internal analysis is a process of studying actors, factors and forces inside organization to map strengths and weaknesses. These actors' factors and forces can be resources, technology, machinery, location, brand or any other thing that can give organization as strength vice versa for weaknesses.
There are several tools of internal analysis but for the scope of this course we would study Portfolio Analysis only.

Portfolio means basket of products and services that are offered. In portfolio analysis the products and businesses are the evaluated by the management of the organization, and this activity has a essential role in strategic planning.
Usually in marketing we follow the trend that which products are our strengths and which are weaknesses.

Result of internal analysis

- Strengths
- Weaknesses

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Once an organization has done its strategic analysis about its external environment and about its internal strengths and weaknesses then it has to be sure about its vision.

Vision gives long term direction, what it wants to be in long term. Forward sports is a Pakistan based manufacturing company that makes soccer balls for international football games, its vision is: "Translating marketing and business goals into design strategy, novelty and to attain a new product success."

Millat tractors Vision is:

"Millat to be a global group of companies, recognized for a range of quality products with innovative design capabilities."

Through vision we get direction, after that, organizations have a mission to achieve its vision.

Mission: Organization's purpose; what is wants to accomplish in the larger environment, and the business organization is in.

Examples: **Forward sports**: "Aiming to work with coherence of renowned global brands, organizations and entrepreneurs".

Adidas: "to be the best sports company in the world".

We should always have mission in terms of customers/ customer needs rather than in terms of products. For example we are not selling mobile phone we are selling way of communication.

After setting missions we need to set objectives. Objectives are what an organization wishes to achieve precisely. Such as increasing market share, offering new outlets, more customer satisfaction. Objectives/targets and goals are used as same meaning over here. Sometimes in theory Goals are broader objectives and targets are more specific.

As discussed earlier **business portfolio** is the assortment of businesses and products that make up an organization. For example, a company making all household items e.g. hand soap, detergent, tea whitener and everything else. All these items would be its portfolio.

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Strategic Business Unit (SBU) is known as the unit of any organization that has a separate planning as compare to other businesses of the company/organization with separate mission and objectives.

Some products are so important that you have to have separate mission and objectives. **BCG matrix** is a tool for portfolio analysis. It is done on the scale of relative market share and market growth rate.

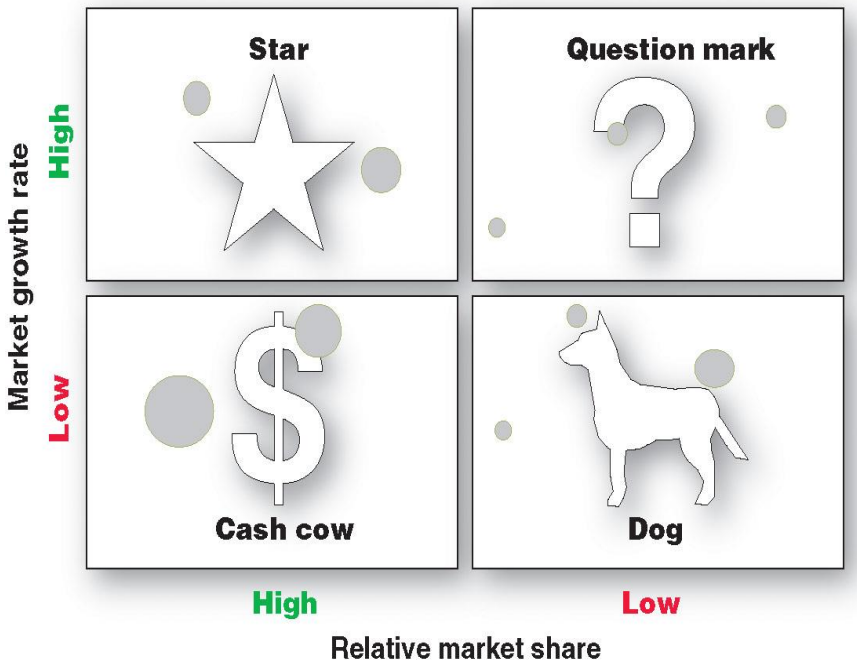
Star: This Quadrant has High growth rate with High market share.

Question mark: This Quadrant has high growth rate with low market share

Cash cow: This Quadrant has Low growth rate with high market share

Dog: This Quadrant has low growth rate with low market share.

If portfolio has a balance of all these products it can cope with changing environment.



Source: Kotler, P., & Armstrong, G. (2010). Principles of Marketing, 10th Edition.

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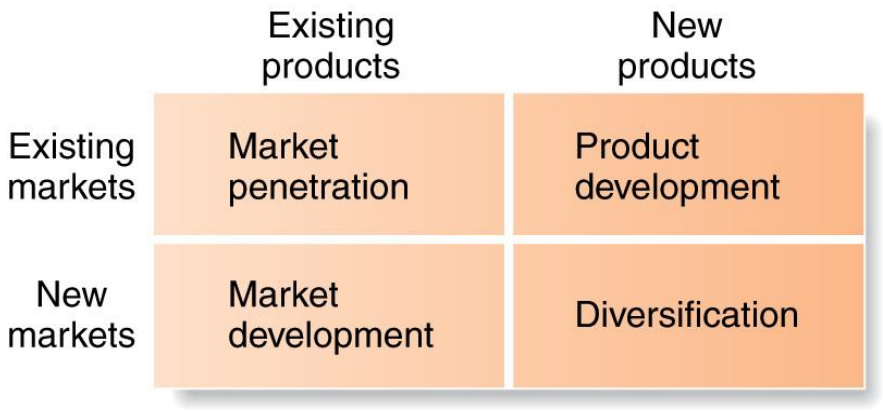
Product/ market expansion Grid is a tool for identifying company growth opportunities through market penetration, market development, product development or diversification.

Market penetration: Means existing products in existing markets. These products require more promotion.

Product development: New product in existing market. You get more growth with more revenue.

Market development: Existing products in new markets. E.g same product in new geographical area.

Diversification: New product in new market.



Source: Kotler, P., & Armstrong, G. (2010). Principles of Marketing, 10th Edition.

What we deliver to customers and what we get in return both are values. Products / services that are offered to customers are the result of any need. **Value chain** is a chain of different departments that perform value producing activities such as design of a product, producing of a product, marketing of a products and delivery of a products, and finally to provide the support services to a company.

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Value delivery network consists of company, suppliers, distributors and customers who work together to improve performance of the entire system. Suppliers deliver value to company then they deliver to distributor who ultimately deliver to end consumers. Companies not only invest in themselves but they also invest in their suppliers and distributors. If any of these fail to deliver, company will not be able to deliver value to its customers. A single organization cannot fulfil needs of the society and cannot fulfil needs in the same manner market can be divided into different segments.

Market segmentation is the process of dividing market into different group of buyers with different characteristics, attributes, and needs. These buyers need distinct products or marketing mixes. Segmentation can be done on the basis of gender, location, age etc. People in a similar segment have similar needs and characteristics for which separate products and marketing mix is required. After segmentation is done targeting is done. It is not always possible for companies to target every segment that they have made. **Market targeting** is the process to evaluate the attractiveness of each market segment in order to take the decision to enter in that segment or to target that segment.

Market positioning is a process to create a unique and distinct place of a product as compare to competitor's products in the minds of target consumer. For example, some tooth pastes are famous for its cavity protection, and some for whitening. This is positioning.
Marketing mix is developed after segmentation, targeting and positioning are done.

Marketing mix consists of marketing tools such as products, price, place and promotion. The combination of these four factors are controlled by a company to influence its customers to purchase its products.

These are actually 4 Ps of marketing mix. When we talk about products we talk about its quality, design, packaging etc. Price includes listed prices, available discounts, payment methods etc. In promotion we discuss advertising, personal selling, sales promotion and public relations. Place deals with channels, locations, inventory, transportation and logistics related methods.

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Customer is the core of marketing activities. In external environment there are marketing intermediaries, competitors, suppliers and publics. Market analysis, planning, implementation and control is done. 4 Ps are developed for the product. As explained earlier, Market is divided into segments and then appropriate segment is targetted and positioned.

Marketing ROI

In simple words, a company spends a handsome amount on marketing activities and expect to have a good return on this investment. It has different methods to calculate marketing return on investment but generally the net return is divided by costs of marketing investment.

For building marketing strategy we need to do SWOT analysis as well.

S Strengths – It shows internal capabilities of the company to reach its objectives

W Weaknesses- It shows internal limitations of the company that creates hindrance for a company to achieve its objectives

O Opportunities – It shows how a company can take advantages of opportunities available externally

T Threats- It shows how factors may challenge a company's performance

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GENERALLY ASKED QUESTIONS

Question 1: What is the difference between customer and consumer?

Answer: A customer is a person who purchases something from the market. While a consumer is a person who consumes that thing. For example, you purchase candies for your children. Here, you are a customer and your children are consumers.

Question 2: What is PESTEL analysis?

Answer: PESTEL stands for Political, Economic, Social, Technological, Environmental, and Legal factors. It is also known as PEST analysis. An organization does the PESTEL by evaluating all these factors and their impact on the business. For example, in political factors, a business must evaluate the factors like government policy, political stability or instability in overseas markets, foreign trade policy, tax policy, labor law, environmental law, trade restrictions, and so on.

Question 3: What is basic difference between suppliers and distributers according to marketing?

Answer: A supplier can be a person who provides the products or goods to the consumers, usually with the help of distributors. A supplier could be a manufacturer. Whereas, a distributor is the one who distributes the goods directly to the wholesalers and retailers. You can say a distributor is an intermediary between the manufacturer and consumers.

Question 4: What is the difference between political and social-ecological?

Answer: In marketing, political analysis focuses on the interrelationships among individuals, governments, and public policy whereas a social-ecological system consists of 'a bio geophysical unit and its associated social actors and institutions. It includes the study related to social values and welfare.

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Technical Articles – MGT301

Theme # 4: Marketing Information System

Customer is amongst 5 C's of marketing and keeps top most significance as all activities in a marketing system surround the customer. Accordingly, successful organizations build up lifelong relationships with their customers. In order to build strong and lifelong relationships with customers it is quite significant to understand the needs of the customers. Organizations collect information about their customers' needs through a range of sources and the information that organizations collect in this regard is called Marketing Information. Since, marketing environment is dynamic, that's why marketers need to develop their marketing strategies according to latest information about customers' needs and demands.

As we are living in a dynamic and digital marketing environment, thus, customer plays the most significant part to produce marketing information. While talking about social media sites; these are enriched ways for companies knowing their customers' bio-data and grab their needs. Thus, a large data becomes available for markers in the form of Marketing Information System that help them identify the characteristics and demographics of their targeted customers. Managers use this data to make multiple decisions about certain marketing issues. Managers make major marketing decisions based on the information they gather from marketing environment and this information is stored in marketing database to maintain a record and for further decision making when needed. This is called internal data. While talking about the external data, Marketing Intelligence helps marketers in a variety of marketing decisions i.e. increasing sales, building customer retention capacities, and keeping an eye on competitors.

Coming towards Marketing Research, it helps an organization increasing profit, maximizing sales, knowing the reason of declining sales, and assessing the feedback of customers before launching any product. Marketers go through the process of marketing research to make decisions based on systematic and logical conclusions. Marketing research department assesses that what kind of information about customers is required by seeking guidelines from Marketing Managers and other Information Users. Marketing research department collects this information

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from Marketing Environment (Target Marketing, Marketing Channels, Competitors, Publics, and Microenvironment forces) and afterwards the information is moved towards Internal Databases, Marketing intelligence, and Marketing Research process for the sake of developing analyzing and using the information. In the first step of marketing research process problem is defined and objectives of the research are designed. The marketing problems could be of various types i.e. a) newly launched product is not obtaining positive feedback from the users, b) advertisement policy is not working according to the advertising objectives, c) customers are complaining about any product, d) how competitors are influencing the product, e) what difficulties have been assessed in the pricing policy of the product. In the second step research plan is developed for the sake of collecting information. Information could be collected through interviews, surveys, and from published material. In the third step of research process research plan is implemented for the sake of collecting and analyzing the data. In the last step the interpretation and reporting of findings is conducted. For the purpose of implementing marketing research process different types of researches could be conducted according to the nature of the study. For example exploratory research that is among the three types of Marketing Research is used to investigate a problem that is not clearly defined. The research is carried out when the problem is at initial or primary stage. For example manager of a coffee shop feels that increasing the variety of flavors in the coffee may increase the customers and he carries out an exploratory research and hypothesizes that increasing coffee flavors will enable him to get more customers. While the purpose of descriptive research in marketing scenario usually is to know the profiles of customers and competitors. This type of research describes the characteristics of the population being studied; for example, an apparel brand intending to know the fashion trends of any particular region i.e. Islamabad will conduct a demographic survey of Islamabad, gather population data and then would conduct descriptive research on this particular segment. On the other hand Causal Research is conducted to test hypotheses about cause-and-effect relationship. Causal research assesses the effect of one variable on the other, for example, to know the reasons of downfall in the distribution network a firm would go through the process of causal research and would assess the effect of political policies, low incentives, or any other variable on the downfall of distribution channel. To conduct all the mentioned types of research marketers collect the first-hand or primary information through various methods like surveys, interviews, or experiments. For example if a company wants to check the response of consumers about its

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newly launched soft drink; the personnel of the company may go to different shopping malls and take interviews or ask questions about the taste of new soft drink. In this way the company collects primary data from the consumers; while the sources of secondary data could be newspaper, magazines, journals, and government databases. Although the information in the mentioned sources is published for various purposes but it could be used for research purpose taking in consideration the relevancy of the data. To collect primary data from customers various research techniques could be used i.e. in observational research technique the researcher observes the ongoing behavior of any subject in the natural setting. For example if any company offers free samples of tea whitener along with the tea; the researcher may go to any shopping mall and may record the responses of the customers by observing customer's movements i.e. excitement, and eagerness to purchase the tea. On the other hand in ethnographic research researchers submerge them in the lifestyle of consumers to know depths and details about consumers. Ethnographic research may be conducted in person or installing cameras in participants' homes or offices. Another type among research techniques the survey research is conducted through questionnaires, interviews. Surveys offer a quick way of collecting required information. Survey research is conducted in public areas or visiting targeted offices, schools, universities etc. You might have ever met any person coming to you to with a bunch of few papers to give your opinion about some problem discussed in that particular paper or questionnaire. Thus, different survey or contact methods could be used to collect the data from customers i.e. mail, telephone, personal contact and online contact. The forth type of research technique; the experimental research is about gathering primary data by selecting matched groups of subjects, giving them treatments, controlling related factors, and checking for differences in group responses. For example to test the effect of improving packing of deodorant on deodorant's sales growth the researcher might keep all other factors i.e. odor, quantity and price of the deodorant constant/controlled. Thus, marketers find logical conclusion about any marketing phenomenon following the marketing research process and may store the collected information in Marketing Information database for future use as well.

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GENERALLY ASKED QUESTIONS

Question 1: Describe Market information system (MIS) with real time example.

Answer: Marketing Information System is the collection, sorting and evaluation of market and customer data for decision making. Managers need such type of data on regular intervals for decision making. For example companies collect and maintain the databases of their customers' needs, demands, behaviors, lifestyles, and professions etc. Companies keep updating the data according to changing customers' demands and dynamic environmental trends, so that Marketing Managers may use this data for decision making about products and services.

Question 2: Is it possible to get data or information about the product with the help of descriptive research?

Answer: Organizations may use a descriptive research design to know that how different target groups respond to a certain product. For example, a clothing brand creates a survey asking general questions that measure the brand's image among its target customers.

Question 3: Why is it important for Marketing Mangers to get information about their customers?

Answer: Marketing Managers collect and maintain the information about their customers' needs, demands, behaviors, lifestyles, and professions etc. They use this information to come up to customers' expectations about products and services. They also keep updating the information according to changing customers' demands and dynamic environmental trends, so that they may sustain customers and face the competitors.

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Question 4: Explain Marketing Information System (MIS).

Answer: Marketing Information System is the collection, sorting and evaluation of market and customer data for decision making. Managers need such type of data on regular intervals for decision making.

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Theme # 5: Consumer Buyer Behavior

The most important component of the marketplace is consumer. The buying behavior of end user is referred to as consumer buying behavior. Consumer market consists of all the end users who purchase the goods or services for their personal use.

Every day, consumers are making many buying decisions for which marketers are researching on why, how, when and what are they purchasing. Marketers can learn how, when, what and how much the consumers are buying by studying actual consumer purchases but it is hard to know "whys" of consumer buying behavior. The answer to "why" the consumer is buying something lies deep inside the mind of the consumer. Often, the consumers don't know themselves why they are buying certain product. Figure 1 represents a model of consumer buyer behavior which illustrates that marketing and other environmental stimuli enters the "black box" of consumer which further produces specific responses. The major job of the marketers is to understand what is in the black box of consumer.

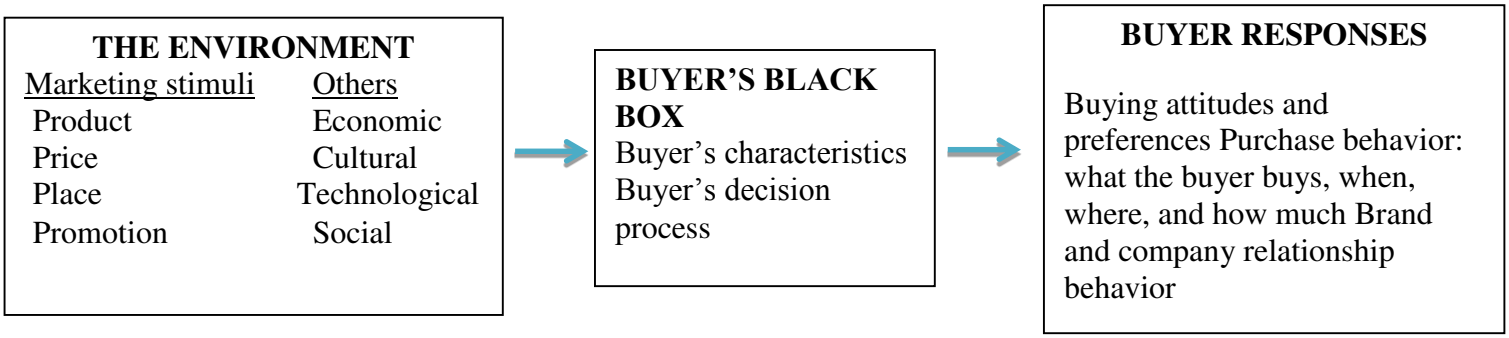


Figure 1: Model of consumer buyer behavior

Marketing stimuli involves product, place, promotion, and price. Other environmental stimuli consist of economic, technological, social, and cultural forces. The aim of marketers is to comprehend the process of buyer's black box which changes these stimuli into specific responses.

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Buyer's black box has two components; buyer's characteristics which deals with how consumer perceives and responds and other is buyers decision process which affects buyer behavior.

First, we will see the **buyer's characteristics which influence buyer's behavior** as shown in figure 2. Consumers' buying is significantly affected by social, cultural, personal, and psychological factors. These are the factors which are not in the control of marketers.

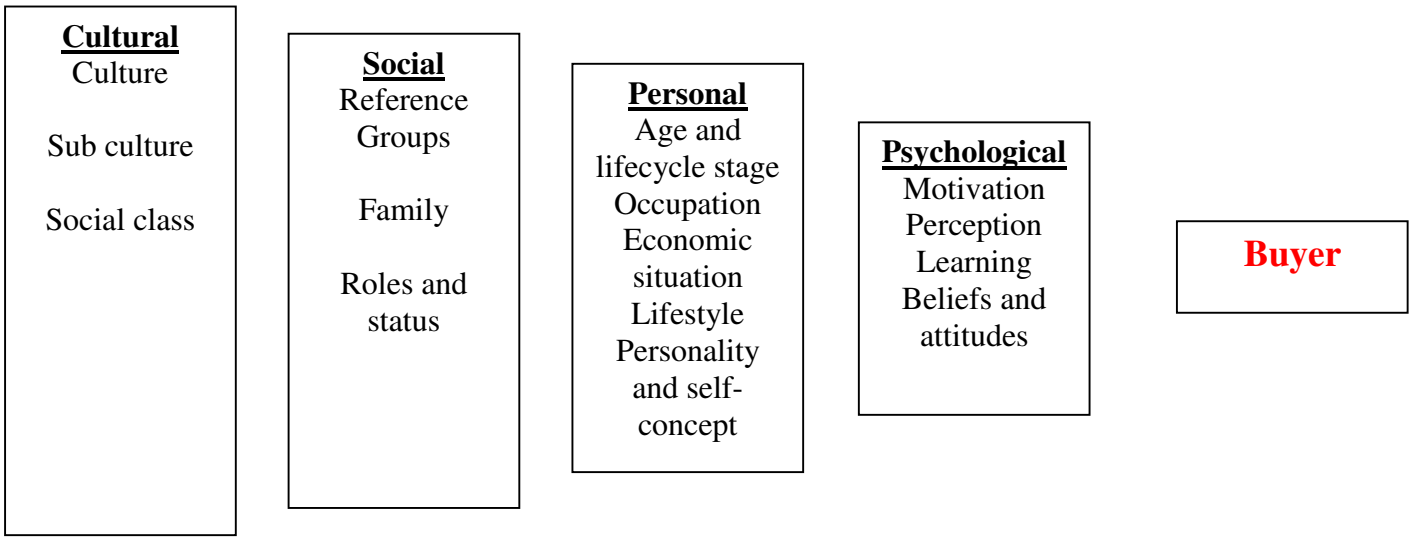


Figure 2: Buyer's characteristics Influencing Consumer Behavior

Cultural factors have a huge effect on the buying behavior of consumer. Marketers must recognize the importance of buyer's culture, social class, and subculture. The major reason of a buyer's wants, and behaviors is his/her culture. In other words, culture shapes the wants of people. *Culture* refers to as the set of basic wants, behaviors, perceptions, and values that a member of a society learns from his/her family or other institutions. Whereas every culture has its own traits and characteristics.

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Following are the characteristics of Pakistani culture:

- Orientation/inclination towards religion.
- Hospitality. The guests, visitor, tourists, whether local or international are always welcomed by Pakistani people and they are well taken care of.
- Passionate, expressive and emotional
- Aggressive
- Fun loving and colorful; they enjoy and celebrate each moment and event to the core. Hanging out and family or friends gathering is common in Pakistani culture.
- Hardworking and tough
- Family comes first in Pakistani culture. Pakistani culture is led by collectivism instead of individualism where family and other relationships are always there for each other's support.
- Humble, approachable, helpful and friendly
- Male dominant and conservativeness
- Diversity

Every culture has small cultures within it. These small cultural groups consist of the people who share same values and perceptions called *subcultures*. Subcultures are basically cultures within a culture. They include religions, nationalities, regions and ethnic groups etc. These small cultural groups (subcultures) can make an essential market segment and marketer soften design the products based on subcultures. Example of four major subcultures in Pakistan is as following:

Punjabi culture: main characteristics of Punjabi subculture are hospitality and love for food, poetry and music.
Sindhi culture: main characteristics of Sindhi subculture are love for mystics and Sufism, Sindhi folk songs and music.
KPK Culture: main characteristics of KPK subculture are hospitality, love, care and respect for guests, bravery and protection/respect to females.
Balochi culture: main characteristics of Balochi subculture are arts and crafts, tribes, festivals and storytelling tradition.

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Another factor affecting buyer behavior is social class. The *Social classes* are a society's divisions based on the similar interests, behaviors, and values of society's members.

1. **Upper Class:** This class consists of the elite who have inherited wealth. They also include people who have made high income or wealth through exceptional ability. This class can further be divided into upper uppers and lower uppers.

2. **Middle Class:** This social class comprised of independent businesspersons, corporate managers and professionals who have neither unusual wealth nor family status. They purchase branded products to maintain themselves according to the ongoing trends. This class can further be divided into upper middles and lower middles.

3. **Lower Class:** This social class comprised of poor who are working. Their standard of living is just above the poverty line. It also includes poorly educated unskilled laborers. This class can further be divided into upper lowers and lower lowers.

These social classes and their further divisions can become a distinct market segment for marketers as each social class share the same attitude, behavior and spending pattern.
Another major factor which Influences consumer behavior is **social factors** such as: groups, family, social roles and status and social networks.

Different Groups impact the consumer's behavior. The *Groups* which the person belongs to, have a direct impact on his/her purchasing behavior; such group is called membership group. On the other hand, reference groups are the groups which influence people who do not belong to them. They are inspired with that group, compare themselves with them and want to be like them. For example, for a cricket lover, the reference group will be national cricket team. Marketers must find the 'reference groups' within their target markets and try to influence the attitudes of the consumers through creating pressure via reference groups. For example, taking a cricket star in their advertisements to target cricket lovers.

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A new kind of social interface has been emerged over the last years, which is "*online social networking"*. Online social networks are the groups on internet or online communities where individuals meet, socialize, and exchange opinions on internet using social networking websites like Facebook, Instagram and Twitter. Marketers are trying to use these recent technological platforms to have one to one communication with customers and become the part of their lives and conversations.

Another important group which can influence a consumer's purchase decision is *Family*. Family structures and buying behaviors have been widely researched in marketing. Marketers are concerned to know the influence of husband, children and wife in family decision making as well as the overall buying behavior of family.

A person belongs to different groups at one time; for example, family, organization, sports club, online community. The position of an individual in each group is characterized by both his *status and role.* A role is defined as the activities/actions people of that group expect you to perform. Each role holds a status based on the general approval given to it by society. For example, a person may be the brand manager in his organization, a father and husband in family, a captain in sports team and opinion leader in online community.

A consumer's decision is also affected by **personal factors** that are his/her personal traits or characteristics e.g. age, economic situation, occupation, personality, life style and self-concept.
People's *occupation* plays a major role in what they buy. For example, business people may buy suits while a person working in factory will buy rough clothing. Marketers identify different occupational groups and see if they can target them according to their product. People keep on changing the goods and services during their lifetime. At young age, they use different products and will change them as the get aged. Taste of food, clothing, recreation and furniture changes as the person gets old.

Another factor which plays a major role in consumer's buying pattern is his *economic situation*. People spend on goods and services based on the income they earn. Marketers have to see the trends in personal income, interest rates and savings and reprise or redesign their products to target

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the specific group accordingly, if needed. People also buy goods and services according to their *life style*. The lifestyle of the people of same subculture group or same social class might be different as it is a person's style of living. Lifestyle encompasses consumers' major AIO dimensions which are: activities (hobbies, shopping, work, shopping, social events, sports), interests (family, fashion, recreation, food), and opinions (about social issues, business, themselves, products). Marketers have to understand that consumers don not purchase products, they purchase values and lifestyle.

Personality is defined as unique psychological traits that differentiate an individual or a group from that of others. It is usually defined as personal characteristics for instance sociability, honesty, autonomy, self-assurance, aggressiveness, and beauty. Personality of a person has a greater impact on his/her product choice. Marketing research suggests that brands also have personalities. Consumers buy the products which suit their personalities or the ones which have the same personality characteristics as the consumer has.

The buying choices of consumers are further affected by **psychological factors** which include attitude, beliefs, learning, perception and motivation.

People have many needs at one time; some needs are biological needs for instance hunger, thirst, or comfort whilst others are psychological for instance esteem needs, need for recognition, and love. A need turns into motive when it reaches to a certain level of intensity. When a need is so intense that it motivates/persuade a person to seek satisfaction, it is called *motive*. This *motivation* to seek water when you are thirsty or food when you are hungry is what marketers use to persuade consumers to buy their products. There are different theories of motivation; we will discuss here Abraham Maslow's theory of motivation called hierarchy of need theory.

Figure 3 shows the five needs in a pyramid, from extremely pressing needs at the bottom side or base to less pressing needs at the top of the pyramid. The needs include self-actualization needs, esteems need, social needs, safety needs and physiological needs. Maslow explained that these needs are sequential. One cannot move to the upper level need unless he/she has satisfied the previous need in the hierarchy. A person first tries to fulfill the basic needs. When these needs are

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satisfied, they will stop motivating the person and he/she will then try to satisfy the next pressing need.

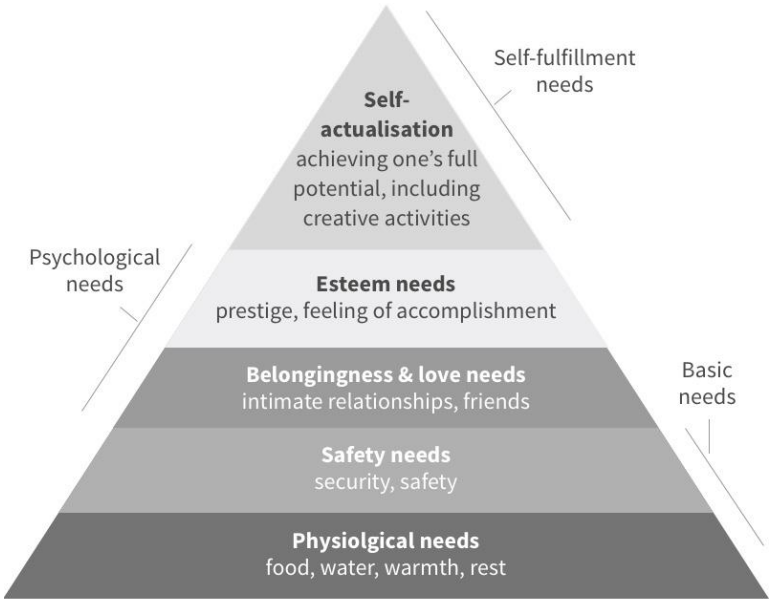


Figure 3: Maslow's hierarchy of need theory

When a person is motivated, he/she is ready to take some action. How that person will act, depends upon his/her perception. *Perception* is a process by which an individual selects, organizes, and interprets pieces of information in order to form a meaningful image of the world. It's a glass through which we see the world. Different individuals can form different views about the same object due to three perceptual processes: selective distortion, selective attention, and selective retention. Consumers are bombarded with thousands of ads or stimuli every day. It is not possible for them to pay full attention to all. The preference of the consumers to screen out information which they are exposed and not interested in is called *selective attention.* Marketers must work hard on marketing campaigns to capture the attention of target consumers. Even if the consumers pay attention to a certain stimuli does not mean that the information has been transferred the way it was intended to. Every person matches the received information into his/her existing mindset. The tendency of individuals to interpret information in a way which favor their existing beliefs is called *selective distortion.* Consumers do not remember everything they pay attention to. *Selective retention* means that consumers are expected to remember good things about a product they support and forget good things about competing products or brands.

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When people take action, they do learn. *Learning* is defined as the change which occurs in a person's behavior because of his/her experience. Most of the behavior is learned. For example, if a person buys Apple computer and his experience is good, he will buy Apple's products again, and his response will be reinforced.

Through perception and learning, consumers develop beliefs and attitudes which, in turn, impact their purchase behavior. A *belief* is referred to as a descriptive thought which a person holds about something. Beliefs might be based on opinion, faith, or knowledge. These beliefs create brand image of products which is the reason marketers are concerned about the beliefs that consumers make about their products. *Attitude* is defined as a person's comparatively constant evaluations, tendencies, and feelings about an idea or object. Attitude is what makes consumers like or dislike something. To summarize, social factors, cultural factors, psychological factors social factors, and personal factors collectively influence the buyer behavior and purchase decision.

The second component which influences buyer's black box is **buyer decision process**. Before discussing buyer decision process, we will see types of buying decision behavior.
Buying behavior of consumers differs for different products. Buying behavior for a toothpaste or shampoo will certainly be different from a car or mobile. Figure 4 shows different **types of buying behavior** based on the degree of differences among brands and the extent of buyer's involvement.

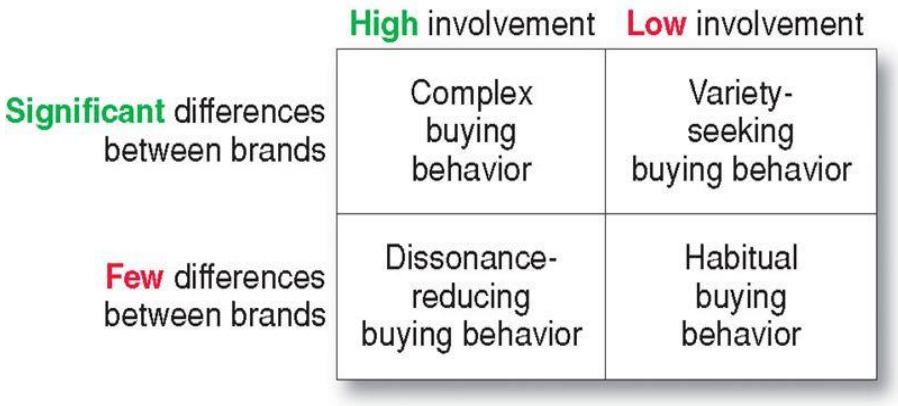


Figure 4: Types of buyer decision behavior

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C*omplex buying behavior* is undertaken by the consumers when they are highly engaged in the whole purchase process and there are significant perceived differences among brands. Buyers are highly engaged when products are costly, purchased infrequently and risky. Consumers undertake *dissonance reducing buying behavior* when they are highly involved with an expensive, risky and infrequent purchase but there are few perceived differences among brands. For example, if a person wants to purchase carpet, he will face few differences in carpet brands. In this type of buying, consumers may face post purchase dissonance (after-sale dissatisfaction) which marketers can reduce by after sale support so that consumer feel good about their purchase decision. *Habitual buying behavior* occurs where consumers are less involved and there are few significant brand differences. For example, low cost products like daily grocery items. Buyers undertake *variety seeking buying behavior* when there is low involvement but significant perceived differences among brands. In these cases, consumers go for brand switching. For example, if a consumer purchases biscuits, he/she would like to try different brand every time.

Now we will see how consumers make buying decisions. Figure 5 shows the five stages of buyer decision process.



Figure 5: Buyer decision process

The first stage in buying process is **need recognition** where the buyer identifies the need. This need can be caused either by internal stimuli (hunger or thirst) or external stimuli (where consumer thinks of buying a new mobile by watching an advertisement). Second stage is **information search** where consumer's drive is so strong that he/she starts searching for more information about the product. Information can be gathered from several sources such as personal sources (family, friends and colleagues), commercial sources (media, advertisement, and sales people), public sources (mass media, internet search) and experiential sources (examining, handling and using the product). Marketers need to know about **alternative evaluation** which is related to how consumers

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evaluate different products to choose the final product to purchase. Consumer uses some personal criteria of evaluating different brands which depends on individual consumer as well as specific buying situation. After evaluation among the alternatives, consumer chooses one product to purchase and make the actual **purchase decision.**

The process does not end here; after buying the product, buyer may be satisfied or dissatisfied with the product. If the performance of the product is below expectations, consumer will be dissatisfied. On the other hand, if the performance of the product meets expectations, buyer will be satisfied. Moreover, if the performance of the product is above expectations, buyer will be delighted.

An important thing to consider here is, in case of new products/innovations, buyer's decision process would be different. A new product is a good, idea, or service, that is recognized by some potential buyers as new. The perceptual process, through which a person goes from first knowing about an innovative product to final adoption of that product, is called **new product adoption process.** A consumer goes through the following five stages while adopting a new product/innovation.

Awareness: The consumer hears about the new product but have a little knowledge about it.
Interest: The consumer tries to get more information about the new product.
Evaluation: The consumer evaluates the benefits of the new product. Is it of any use to him? Does this purchase make sense? Will it benefit him?
Trial: It is very hard for consumers to buy a new product without trying. So, the consumer tries the new product (if allowed) on a small level to improve his or her assessment of its value.
Adoption: The buyer takes decision to fully use the product.
When introducing innovations/new products, marketers have to think on how they can help consumers pass through these stages to make them try the new product.

When introducing new products in the market, marketers should know how much the product characteristics influences its rate of adoption. Some innovations are adopted too quickly like microwave while others take long time to be accepted in market. Following are the **characteristics of products which influence new product's rate of adoption.**

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***Relative advantage*:** Consumers will adopt the new product more quickly if they think it is superior to the existing products. For example, when microwave was introduced, there was no such thing in market which could heat food in seconds without using stoves.

Compatibility: Compatibility is the extent to which a product matches the experiences and values of prospective consumers. It is related to the product traits that affect the adoption rate because consumers will not adopt the product initially if it is not compatible with their mindset.

Complexity: The extent to which a new product is hard to use or to understand is also one of the product traits that affect the adoption rate. For example, when microwave was first introduced in the market, it was adopted very fast because of the ease to use it.

Divisibility: Divisibility refers to the extent to which a product may be tried on a limited basis. Consumer wants to try some expensive product before purchasing it. For example, consumer will not buy the new car without having to test-drive it first. In case of the products which are too expensive, the rate of adoption is slow as there is less opportunity to test it before purchase.

Communicability: Even if all other product traits that affect the rate of adoption are satisfactory, communicability can still slow down the adoption of the product substantially. Communicability is the extent to which the results of utilizing an innovative product can be seen or described to others. Because microwaves lent itself to display and description, its consumption had spread faster among customers.

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GENERALLY ASKED QUESTIONS

Question 1: What is the key difference between exploratory and descriptive research with examples?

Answer: An exploratory research is the investigation of a problem which is not clearly defined and answers the 'why' element of a question. While in descriptive research we describe the characteristics of a phenomenon under study by answering the 'what' element of a question. For example, a researcher wants to investigate the purchasing pattern of a clothing brand so in order to answer the question 'what is the purchasing pattern of customers in Lahore'; he conducts descriptive research. While in order to study the 'why the customers of Lahore purchase a particular clothing brand?' he conducts exploratory research.

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Technical Articles – MGT301

Theme # 6: Business Markets and Business Buyer Behavior

In the previous theme, we discussed about consumer buying behavior. In this theme we will discuss "Business Markets and Business Buyer Behavior". The primary objective of this theme is to build the basic vocabulary and concepts of business buying behavior that will help you to apply this knowledge in the real-life scenario.

A. Business Markets:

In business markets, we sell products and services to other organizations rather than directly to the consumer also known as business to business market (B2B). In business markets a wide range of products exist from simple products (coffee, furniture, mobiles) to more complex products (aircraft, computer systems, surgical instruments etc). Major companies in this field include manufacturers, service providing companies and government institutes.

B. Business Buyer Behavior:

It is the intent and behavior of the organizations to purchase the products for their use or resell to the other organizations. They might be the products or services that can be used in the production of other products or services. The role of wholesaler and retailers are also part of this behavior because they purchase the goods and sell to others or rent them at a profit.

C. Business Buying Process:

It is the process in which the employees of the organizations decide which products or services are required, and then purchase the product by evaluating and selecting the best alternative solutions. It is beneficial for (Business to Business) marketing managers to understand the concept of business markets and business buying behavior so that they could apply these concepts to build profitable long term relationships with business consumers.

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D. Characteristics of Business Markets:

In this section, we will discuss some aspects of business markets that will help us to make a clear distinction from consumer markets.

1. The business markets deal with few customers than consumer markets. But these few customers generate higher revenue as compared to consumer markets.
2. The business markets are more geographically concentrated than consumer markets. For example, Faisalabad city is more renowned as an industrial city and Daska is more famous for producing surgical instruments.
3. The demand for business markets depends on consumer goods. We can say that derived demand is business demand. For example, due to the need for personal computers, Dell buys Intel microprocessor chips. Intel spends a lot of money on the advertisement regarding personal computers which boosts the sales of Intel microprocessor chips. As a result of this, a win-win situation is created between Intel and their partners.
4. The business markets have stronger buyer and seller dependency on each other as compared to consumer markets. The marketers of B2B often closely interact with the customers to identify customer's specific needs, offer solutions to the problem and gives after sale service support.

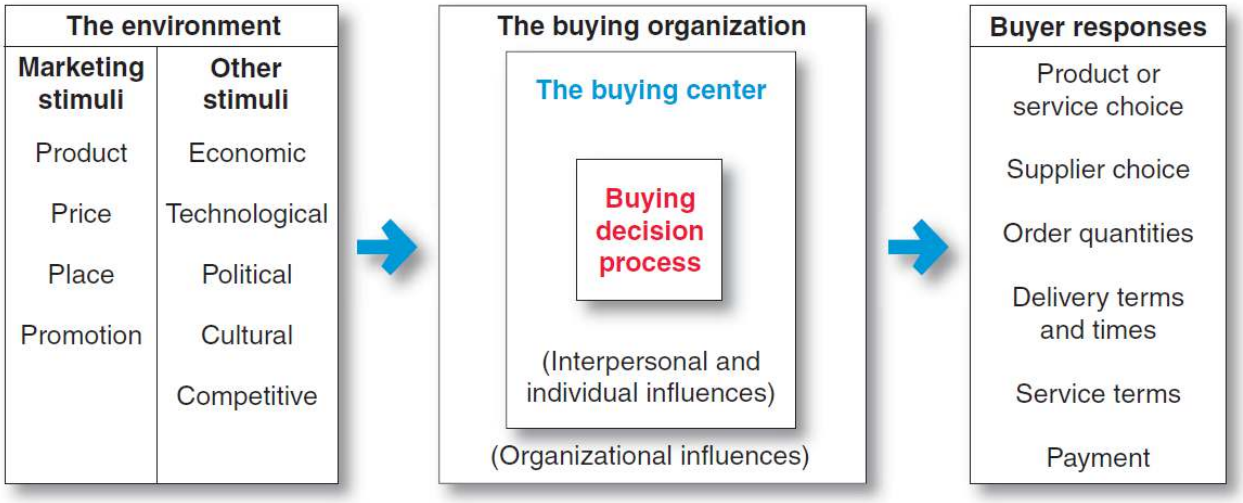
E. Explanation of Business Buying Process:

Business purchase requires more professionalism and also involves more than one decision participants. Companies offer various training programs to the employees to learn how to purchase effectively. More involvement of participants is required in case of complex purchase decisions. Most of the companies make buying committees which are the blend of top management employees and purchase experts. Now companies are facing a new challenge on the supplier side in the shape of better well-trained supply managers. There is a need to hire professional marketers and sales force managers so that they can handle these well-trained supply managers in a better way. As it is discussed earlier that business buyer faces more complex decisions making as compared to consumer buyers because it involves more complex, technical and economic considerations with massive involvement of money. In addition to this, it also involves multiple interactions of people at a different level of organization. The business buying process is more formalized than consumer buying process because it requires more

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formal documentation, product specifications, and proposal writings and requires formal approval for order placement.

F. The Model of Business Buyer Behavior:



The marketers are seeking the answer to the questions that how business buyers respond to different marketing stimuli. In the model, different types of stimuli affect the buying organization which leads to generating buyer responses. The stimuli enter in the organization and then converted into buyer responses. The keen responsibility of the marketers is to understand what is going on within the organization to translate stimuli into purchase behavior, it helps marketers to develop sound marketing strategies. Within the organization, the buying activity consists of two parts; first one is the buying center in which different employees involved in decision making and the second one is the buying decision process. The buying decision process and buying center are influenced by internal organizational, individual, interpersonal as well as external environmental factors.

G. Key Influences on Business Buying Behaviors:

Below are the factors those influence business buyers when they are going to make purchase decisions:

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1. **Environmental Factors:**

The current and expected economic environment has a significant influence on business decision making like product demand, the current condition of the economy and facing a shortage of material supply. As a result of this, many companies save more material in the warehouse to minimize the scarcity of material. Competitive firms, technology and political environment also affect business buying decisions. Culture is also changing business buyers in the global market environment. It is essential for marketers to understand how these factors are influencing the decision making and then accept these challenges and convert them into opportunities.

2. **Organizational Factors:**

As we know that every organization has its vision, mission, policies, practices, procedures and structures. It is the core responsibility of marketers to understand these organizational factors. The core questions which are addressed by the marketers are:

- **i.** How many people involved in the decision?
- **ii.** What are their ranks?
- **iii.** How we do the evaluation?
- **iv.** What are the limits of the organization?

3. **Interpersonal Factors:**

As we know that in the business buying process many people are involved in decision making so, interpersonal factors significantly influence this process. But remember it is difficult to identify the specific group dynamics and interpersonal factors. It is not compulsory that the highest rank officer always make a critical decision. As the participants have a special relationship with others, they control the reward and punishment system and also have particular expertise, so that due to these reasons they significantly influence the decision making process. Therefore, it the core responsibility of the marketers to understand these factors and designs the marketing strategy accordingly.

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4. **Individual Factors:**

Each member has characteristics which are different from other members. Each member has its own goals, performances, and perceptions. The distinct gender, age, personality, job rank and risk-taking abilities can influence business decision making. Everyone has its unique buying style; some individuals are more technical and do an in-depth analysis of supplier products, and some are good negotiators and feel comfortable while negotiating with the supplier.

H. Significant types of Buying Situation:

Usually, a buyer can face three types of buying situations. One extreme of this situation is straight rebuy involves the routine purchase and another extreme is the new task requires in-depth research. In the middle level modified rebuy exists which requires some research. The detailed description of each buying situation is given below:

1. **Straight Rebuy:**

In this situation, the buyer goes for purchase without any modifications or amendments. This is the routine work in which a list of selected suppliers is available. Due to the historical experience and good satisfaction level the purchaser reorder the regular products.

2. **Modified Rebuy:**

In this situation, the buyer changes the product specifications, terms and conditions, price and even supplier. More participants involved in modified rebuy as compared to straight rebuy. In this situation, already working suppliers feel pressure to perform well to remain in the business while outside suppliers try to capture the market by offering better products.

3. **New Task:**

In this situation, the buyer purchases the product the first time from the supplier. In this case, more people are involved in decision making, more risk and cost involved and more

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research is required. In the new task, the buyer must decide product specifications, service terms, order quality, price, and delivery time and payment conditions.

I. Participants in the Business Buying Process:

Following are the participants who may be involved in the buying decision process.

1. User:

Users are those people in the organization who use the product or service. They are the initial users of the product therefore; they initiate the demand for the product and also help the other participants regarding product specifications.

2. Influencers:

Most of the time these are the technical people who influence the purchase decision. They help and guide other members regarding product specifications and also for evaluating alternative options.

3. Buyers:

Buyers have the formal authority to place the order and select the terms and conditions for purchase. The central role of the buyer is supplier selection and negotiation. High ranked members of the organization are involved in case of buying complex product.

4. Deciders:

These people have the power to select or reject the vendor. Sometimes the power is formal or informal. Buyers in many organizations are also the deciders in routine buying.

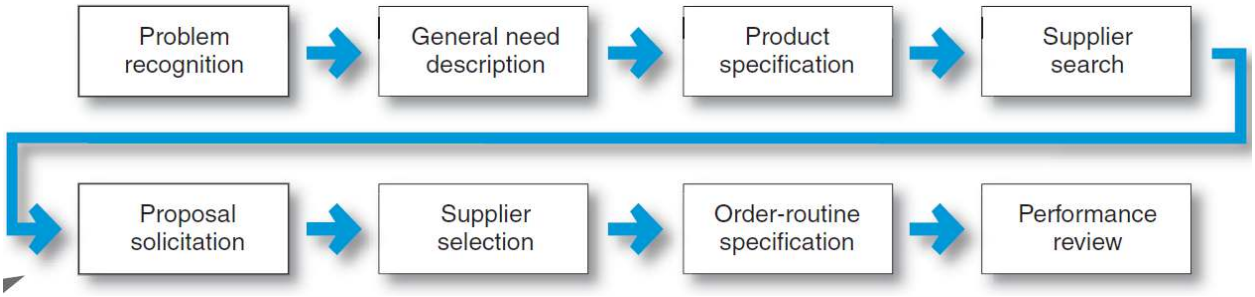
5. Gatekeepers:

They control the flow of information within the organizations. They can be technical persons or personal sectaries.

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J. The Buying Process of Business Buyer:

When the situation of buying is a new task, then the buyer usually performs these eight tasks, but in the case of straight or modified rebuy, the buyer may skip a few steps.



Flow chart of Business Buying Process

1. Problem Recognition:

In this step, the buyer initially identify a problem or a need and may require a product or service. This can either be a result of internal or external stimuli. If the company wants to launch a new product then the company need new machinery and raw material, this is an example of internal stimuli. In the case of external stimuli the buyer may receive a call from other suppliers who are offering a better product or service.

2. General Need Description:

After need identification, the next step is general need description in which the buyer describes the characteristics and requires the quantity of the product. For simple products the buyer faces few problems, and for complex products the buyer consults with other members i.e. Engineers and Users who better define the product.

3. Product Specification:

In this step, the buyer describes the technical product specifications with the help of the value analysis team. This team best identify the product characteristic and then write it accordingly.

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4. **Supplier Search:**

In this step, the buyer searches the appropriate supplier. In the process of supplier search, the buyer uses some phone directories, do an internet search and also contact other organizations for guidance. If the product is a costly and complex item then it takes more time to search the supplier.

5. **Proposal Solicitation:**

Only eligible suppliers submit the proposals in this stage. Just in case when the product is complex, the supplier gives additional detailed written proposals or sometimes gives presentations.

6. **Supplier Selection:**

In this step, the buyer read all the proposals and then selects the best supplier. The proposal includes product quality, number of units, delivery conditions and product specifications. The buyers rate these attributes and then choose the best supplier.

7. **Order-Routine Specification:**

Now the buyer finally prepares order routine specifications which include technical specifications, order quantity, warranties, maintenance and repair, etc. In addition to this, the buyer signs the contract with the supplier to maintain the long term relationship and also agrees to resupply the items as per need.

8. **Performance Review:**

In the last stage, the buyer reviews the performance of the supplier and analyzes the satisfaction level of the users. The buyer makes the decision either to discontinue or continue with the supplier based on supplier performance.

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K. Institutional Markets:

Institutional markets are based on different types of institutions like schools, railways, airline etc. Most of the institutes provide goods and services to the people in their care. These are huge markets and each institute has its own needs and requirements. Many of them have a low budget and captive patrons. For example, in hospitals limited eating options are available and you have to eat only those items which are currently available. So, the purchasing agent of hospital searches those vendors who give good quality food at nominal cost.

L. Government Markets:

In many countries, government is the primary buyer and supplier of different items. The government provides large or small opportunities to the other companies. When the government is involved in buying then it usually goes for the bidding process and gives the order to low price bidder. Government buyers are also affected by outside environmental factors, interpersonal and organizational factors as well.

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GENERALLY ASKED QUESTIONS

Question 1: What is the difference between institutional markets and government markets?

Answer: Organizations that provide goods and services to people in their care are generally known as institutional markets. Schools, colleges, hospitals, nursing home, prisons are some of the examples of institutional markets. Whereas, government markets include those government owned units that purchase or rent goods and services for carrying out the main functions of government. Government markets offer remarkable opportunities for small and large scale companies/buyers. Government organizations usually require suppliers to submit bids, and they give contract to the lowest cost effective bidder.

Question 2: What is the difference between institutional buyer and government buyer? There are government hospitals and government schools, whether they are institutional buyers or government buyers and whether the private institutions also fall under the definition of institutional buyer?

Answer: Institutional buyer is a broader term. Governmental and non-governmental organizations are institutional buyers**.** Government and Private are the status of institutions. For example, Punjab Text Board is a Government institution. Similarly, Agha Khan University is a Private educational institution.

Question 3: How do the companies set the prices of the products and how do they give hefty discounts during promotion periods; are they still at profit then?

Answer: When companies set prices there are many factors behind it like production cost, target market, buying power etc. Similarly when companies offer promotions or discounts, firstly they set objectives that how much of their product volume is going to be sold during promotion period and to what extent they can be at profit while promoting their promotion. Sometime companies earn huge profit due to selling of large volume because they do production in bulk and they are still earn profit in discount period.

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Question 4: Is there a good career for Students in marketing?

Answer: Present research shows that Employment of marketing managers is projected to grow 7 percent from 2019 to 2029, faster than the average for all occupations, so career in marketing is always attractive.

Question 5: Low price and large quantity are the main characteristics of the institutional and government market but it is also very common in large business units. Why is the low price being attractive for everyone?

Answer: Yes, low price is always attractive for everyone because it results in apparent cost savings.

Question 6: Define the term Gatekeeper as a participant in the business buying process.

Answer: They control the flow of information within the company; they can be sitting at different levels in an organization. Buyers who deal directly with a vendor are gatekeepers.

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Technical Articles – MGT301

Theme # 7: Customer Driven Marketing Strategy

Companies must address two questions in order to implement a customer-driven communication strategy:

1. Which consumers can we serve?

2. How can we provide service to them?

To answer the above queries, there are four foundations of organizational strategies.

Select customers to serve

1. Segmentation
2. Targeting

Decide owner value proposition

3. Differentiation
4. Positioning

Segmentation refers to subdividing the market and grouping it according to needs. In order to properly market to each user in a market where user needs are diversifying, it is important to subdivide the market according to specific attributes such as place of residence, birthplace, age, gender, and hobbies. We should consider the following variables for segmentation.

Geographic variables:

Geographic variables are variables that are used for segmentation by geographic elements. It is effective when dealing with foods, clothing, home appliances, and other items that are likely to make a difference in sales depending on the climate and lifestyle. For example;

1. Regions of the world (Asia, North America, Europe, Middle East, etc.)

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2. Climate (rainfall, snow cover, temperature, humidity, etc.)
3. Population density (more people in urban areas, less people in the suburbs, etc.)

Demographic variables:

Demographic variables are variables used to classify consumers by objective attributes. It is the most commonly used variable because it has strong ties to customer needs and is easy to measure. For example;

1. Age (20's, 30-40's, 50-60's, 70's and beyond)
2. Gender (male, female, etc.)
3. Occupation (service industry, manufacturing industry, IT system, office work, programmer, marketer, etc.)
4. Income (less than 3 million rupees, 3 million to less than 4 million rupees, 4 million to less than 5 million rupees, 5 million to less than 10 million rupees, etc.)
5. Academic background (junior high school, high school, junior college, university, graduate school, vocational school, etc.)
6. Family composition (single, married, having children, age of children, etc.)
7. Household size (1, 2, 3 or more, etc.)

Psychological variables:

Psychographic variables are variables used when segmenting based on personality, values, lifestyle, etc. It has been said that it is qualitative and difficult to narrow down the target, but the accuracy has improved considerably due to the spread of the Internet. For example;

1. Lifestyle and values (emphasis on brand image, preference for organic products, etc.)
2. Personality (sociable, introverted, nervous, ambitious, etc.)
3. Social class (upper, middle, upper-middle, lower-middle, lower, etc.)

Behavior variables:

Behavioral variables are variables used when segmenting by behavioral patterns, knowledge, reactions, etc. For example;

1. Usage (use every day, use in morning and evening, use on weekends, use in specific seasons, etc.)
2. Presence or absence of knowledge (repeat knows the product well, is interested but not familiar with it, does not recognize it at all, etc.)

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3. Frequency of use (light users, heavy users, middle users, etc.)

Both of the aforementioned categories are for segmenting the consumer industry; but, if a firm wish to segment the business market, specific variables such as client operational characteristics, buying methods, situational considerations, and personal characteristics should be considered. For better segmentation of the foreign sector, an organization can understand geographical area, economic factors, political factors, and cultural factors.

Requirements for effective segmentation:

Following are some requirements for effective segmentation:

1- **Measurable:** The segment size, its profiles, and purchasing power can be quantified but a few variables in segmentation are difficult to measure. For example, there are a huge number of left-handed people in America which is approximately equal to the population of Canada. But still, only a few products are designed for this segment.

2- **Accessible:** A market segment where a marketer can reach and serve them effectively. For example, targeting a group of people where we can reach and does not have any geographical, political, cultural and legal barriers.

3- **Substantial:** A market segment should be large and profitable enough to determine whether a segment has the potential to recover investment or not. For example, designing a special car for people who have a height of more than 8 feet.

4- Differentiable: The need of people in a segment should be similar within the segment and distinguish from the need of people of other segments. If a single and married man responds similarly to the sale of shirts, they are not part of separate segments.

5- Actionable: You have to be able to provide products or services to your segments. For example, a company spent a lot of money and time identifying a segment and they find out that they are unable to find customers for their product in that specific segment.

Market Targeting and Target Market

After segmentation, company evaluates each segment and then select the best suited for the organization, the whole process is called market targeting. Target market is a set of buyers who

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share common needs or characteristics that the company decides to serve. Company has to consider segment size and growth, segment structure attractiveness, and organization objectives and resources before targeting the market.

The principles of market segmentation in international marketing have their own characteristics. Depending on the object of analysis in international marketing, the following types of segmentation are distinguished:

1. Division of markets by country or region;
2. Distribution of consumers of one country (region) according to more detailed features (criteria).

The task of segmentation of international markets is closely related to the study of the attractiveness of markets in terms of international marketing activities. The selection of markets is made, in particular, based on the selection of the most promising segments for product promotion. Even between geographically close countries, there can be serious differences in the level of economic development, the peculiarities of the political system and culture, so international companies have to face the challenge of dividing the world market into segments. Companies can segment international markets based on one or more criteria. Countries can be segmented geographically by grouping them by region: for example, Western Europe, Pacific, Middle East, and Africa. Once the key markets have been selected, the company needs to segment them at the country level in order to identify the most promising consumer segments.

Market segmentation is more difficult in the "B2B" business area than in the "B2C" customer field since you do not apply the criteria to a large target group across the board but rather respond to the individual wishes of your business customers. Your offer must meet the right “B2B” target groups. Think about which companies you would like to address. Which industry is your offer suitable for? Are there common characteristics such as company size, sufficient liquid funds, legal form, sales volume, market share and number of employees? The more similarities the desired customers have in common with your company, the more likely it is that your offer will meet with interest. Think about whether you want to narrow down your geographic area or whether you want to expand your market. Some products depend on geographical locations. Economic characteristics

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such as sufficient liquid funds, purchasing behavior and the season (e.g., parasols) also play a role. The psychogenic characteristics include the cost-benefit ratio for your target customers. Can you convince them of your offer and what is the general attitude of the industry towards your offer?

After you have answered these questions and divided your target group into socio-demographic, economic, and psychographic characteristics, the last step is the need for information and search motivation. You are dependent on the decision-makers. What wishes, needs, problems and experiences do the responsible decision-makers have? Have you had good or bad experiences with your offer or that of a competitor? Do the responsible people know your company and offer, and are they interesting enough to do your own research? Ideally, your offer generates wishes and convinces your target group. Your content has to build sympathy points and establish expert status.

There are some types of target market strategies which are given below;

Undifferentiated/Mass Marketing: Target the whole market with one offer and focuses on common needs rather than what's different. You can say this strategy as "one-size-fits-all" and focus of this strategy is on common needs of customers.

Differentiated/Segmented Marketing: Targeting several different market segments and designing separate offer for each and goal is to achieve higher sales and stronger position. Main purpose of this strategy is to focus on differences.

Concentrated/Niche Marketing: In niche marketing a firm focuses on one specialized part of a segment. For example, a company is going to target only BMW customers.

Micro Marketing: Tailoring products and marketing programs to suit the needs and wants of specific individuals and local customers, also called tailor made marketing. For example, a tailor stitching clothes according to customer need same like that companies try to serve customers on individual level.

Local Marketing: Design different offering for different localities such as a brand has different offering/assortment in posh area and same branch has different offering/assortment in low income level area.

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Product Positioning: After segmentation and target marketing now company has to choose point of differences and what will be positioning strategy. The place that organization wishes to have in the mind of customers, distinct and better than the competitors is known as **product position** and the process by which such position is attained is known as **positioning**. Positioning depends upon point of difference and that point of difference is called competitive advantage.

Competitive advantage is an advantage over competitors gained by offering consumers greater value, either through lower prices or by providing more benefits that justify higher prices.

Some options for differentiation are given below;

1. Product Differentiation (Functionally different from others)

2. Service Differentiation (After sales services are different from others)

3. Channel Differentiation (Online sale/purchase of products)

4. People Differentiation (Staff/employee's style of dealing with customers is different from others)

5. Image Differentiation (A company may differentiate itself from its competitors by image)

Differences must be:

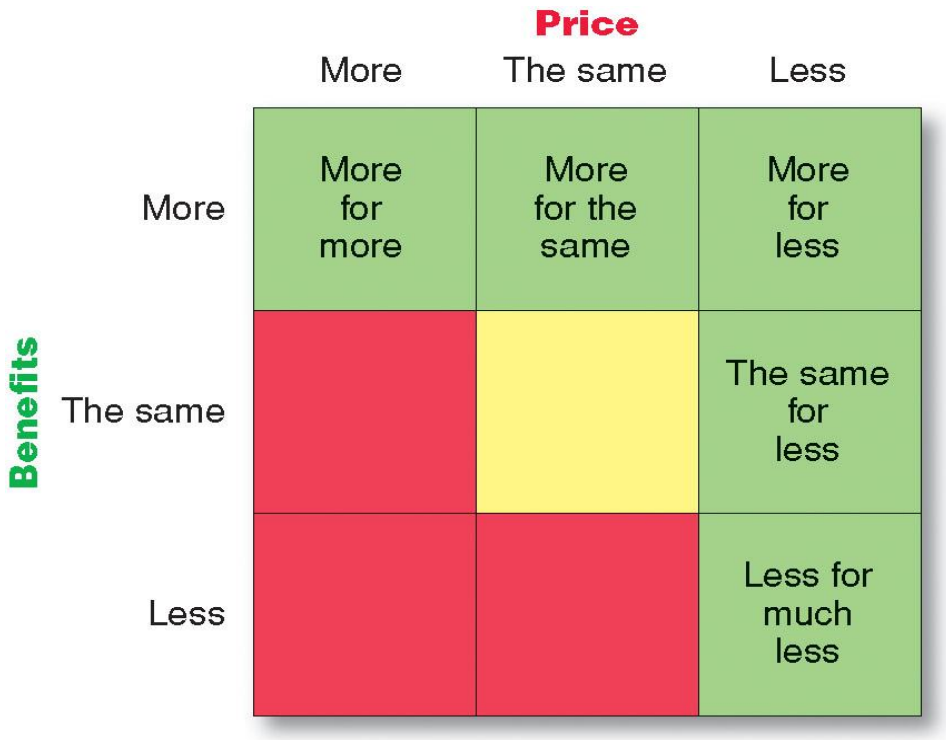
1- Important (valuable for customer)
2- Distinctive (clearly differentiate with competitor)
3- Superior (higher in rank, status, or quality.)
4- Communicable (differentiate product offering)
5- Preemptive (offering before your competitors)
6- Affordable (targeted customer will be able to buy the differentiated product.)
7- Profitable (can generate revenue or good return on investment.)

After segmentation, target market and positioning strategy now company has to decide about value proposition. **Value proposition** is the full mix of benefits upon which a brand is positioned. It is the answer to the customer's question "Why should I buy your brand?"

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Options to decide value proposition:



More for More: Price and quality (benefits) are more than competitors.

More for the same: More benefits and same price than competitors.

More for the less: More benefits and less price than competitors (Example, China product market)

The same for the less: Same benefits and less price than competitors.

Less for much less: Less benefits and less price as compare to competitors.

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GENERALLY ASKED QUESTIONS

Question 1: On what basis will we differentiate our customers?

Answer: Treating each customer who shows an interest in your products or business as an individual, with distinct differences from others, is the best way to create more long-term customers; marketers differentiate the customers on their lifestyle, income status, and neighborhood.

Question 2: What is the difference between psychographic and geographic segmentation?

Answer: In the Geographic segmentation, the market is segmented on the basis of the consumer's location, size of city and population density. For example, a company manufacturing the climbing equipment will most probably open its outlet in the mountain regions.

In Psychographic segmentation, the market is segmented on the basis of consumer's life style, activities, values, and interests. For example, high-tech and luxurious mobile manufacturing companies launch different mobiles on the basis of customer's psychographic.

Question 3: Elaborate segment structural attractiveness?

Answer: With the segment size and growth, structural attractiveness plays a key role in market targeting. A segment is less attractive if it already contains many strong and aggressive competitors. The existence of any actual or potential substitute products may limit prices and the profits that can be earned in a segment. In order to assess each segment's attractiveness, key factors that you must keep in mind should include market growth, market competitiveness, and market access.

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Question 4: What is odd/even pricing?

Answer: Odd/even pricing is a psychological pricing technique in which numeric value is used to influence the customer's perceptions of the product value. The "odd" part of this technique tends to a price ending in Rs.90.99/-. The "even" part tends to a price ending in a whole number in tenths, such as Rs.50/- or Rs.100/-.

Question 5: How to define Value Proposition?

Answer: Value proposition refers to the value a firm promises to deliver to its customers.

Question 6: What is niche marketing?

Answer: Niche marketing refers to a segment of a general market with specific needs and the company carefully identifies those unique needs of potential customers, and tailors their products and services accordingly. For example, a company that makes cars for the handicapped targets a specific group of people. Niche marketing is also called concentrated marketing.

Question 7: What is actionable segmentation?

Answer: Actionable is one of the five key characteristics of a good segment. It means, the segment should be actionable in the sense that marketer can measure the potential value of a segment. Data from that segment should be quantified and on the basis of that data decisions can be made regarding the product.

Question 8: What is the difference between User status and usage rate?

Answer: This question is related to market segmentation in which marketer divides the consumers on the basis of user Status and usage Rate. User status means; ex user, potential user or first time user of product. Whereas in usage rate market divides the buyer into light user, medium user or heavy users of a product.

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Technical Articles – MGT301

Theme # 8: Product, Brands & Services

A Product is anything that could be offered to customers in a market for consumption to satisfy their need or want. Consumption of a product creates an experience. Product experience is the overall value of a product or service to customers. There are three levels of products.

1) Core customer value.
2) Actual Product.
3) Augmented product.

A marketer must think about the core problem that he should resolve for his customers. What is the core benefit a customer gets from buying the product? For example, you buy toothpaste. So the core purpose of buying toothpaste is oral cleaning. The next level of a product is **the actual product**. The core value that has been identified in the first level, the marketer should add quality, brand name, design, and features to that core value to make it an actual product. The third level of the product is augmented product in which we provide additional benefits like customer service, after-sale service, warranty, and delivery, etc. It is built around the actual product and the core customer value.

There are two types of products. One is a consumer product and the second one is an industrial product. The products used for personal consumption are known as consumer products like milk, bread, and toothpaste, etc. The second one is industrial products which are used by a company for business consumption, for example, surgical instruments and machinery used in production, etc. Usually, mass media is used for the marketing of consumer products. Talking more about consumer products, they are classified into Shopping, Convenience, Specialty, and Unsought products. Convenience products are those consumer products and services that are inexpensive and less effort require to buy them. Also, customers buy these products frequently. Usually, customers buy these products with the least comparison. For example, coffee, soft drinks, and meat, etc. Shopping products are those consumer products and services that require comparison based on different factors like quality, design, price, and stability, etc. For example, bikes, cars,

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and electronic gadgets, etc. Specialty products are those consumer products and services that require a special effort to purchase by a significant group of buyers based on brand name and unique characteristic of the product. For example, sports cars, high-quality photography equipment, and famous designer's luxury collection, etc. The fourth type of consumer product is Unsought products. These are the products that a customer usually does not think of buy or does not want to buy or has no knowledge about the product and its buying process. For example, health/life insurance, funeral services, and blood donations, etc.

As we have discussed above that the products which are used by the company for business consumption are known as industrial products. These products are further classified into:

1) Capital items
2) Materials and parts
3) Supplies and services.

The Capital items are those industrial products that help in the production or operations. For example, production plant and equipment, etc. Materials and parts are those industrial items that include raw materials and manufactured materials usually sold directly to industrial users likewise stainless steel in surgical instruments, etc. Supplies and services are those industrial items include business services, operating supplies, maintenance and repair items, likewise oil or diesel required for the plant to produce something.

There are some special concepts associated with marketing. Let's discuss them one by one. The first one is organizational marketing. It is based on all of the activities performed to create, maintain, or change the targeted customer behavior toward an organization. The objective of organizational marketing is to build a better image of a company or organization in front of its customers. The second one is person marketing and it is based on all the activities performed to create, maintain, or change the targeted customer behavior toward particular people. Likewise, political parties use personal marketing to promote their political leaders. The third one is place marketing which is based on all of the activities performed to create, maintain, or change targeted customer behavior toward particular places. Countries use place marketing to promote tourism in

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their country. A country's foreign offices are the marketing offices of a country. They build a good image of their country to promote tourism and generate foreign exchange. The fourth concept is social marketing which is based on the use of commercial marketing strategies and tools to design programs that influence individuals' behavior to improve their well-being and society. Likewise Sapphire started a campaign of using eco-friendly seed bags.

As a marketer, when you develop a product you have to make certain decisions regarding that product. There are three levels of product decisions.

1) Individual product decisions
2) Product line decisions
3) Product mix decisions.

Individual product decisions include five types of decisions that are related to some characteristics of a product. These five types of decisions are as follow:
Attributes: Includes some benefits of products including quality, design, and, features, etc.
Packaging: Includes designing and production of wrapper or container of a product.
Labeling: Relates to the identification of brand, and product promotion.
Branding: Includes name, sign, logo, USP, and design that make customers able to identify a specific brand.

Support Services: Deals with warranties, after-sale services, and customer query handling.

Usually, organizations do not produce a single product. They produce multiple products like Unilever produces multiple products. Some products are related to each other like all the products in the apparel category. Some have the same nature of products but different in functionality likewise some organizations produce two-wheelers, trucks, cars, SUVs, and busses. So, you can product line is a group of products that are sold to similar customer groups, function in a similar manner because they are related, are marketed through the same franchises, or fall within specific price ranges. For example, Suzuki has one product line of two-wheelers, a second product line for

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cars, and third product line for SUV's and so on. Product line decisions include product length. It indicates that how many products are in a product line.

Line stretching is another concept of product line decision in which a company adopts an expansion strategy by launching a new product in the same product line with some different and additional features. For example, Suzuki introduces another new bike for females with different colors and different engine power. Line filling is a business strategy in which a company fulfills the market gap and tries to reduce competition by increasing the numbers of products in an existing product line. Many businesses use this to increase the market success of new products and fill out already established products.

The next decisions that a marketer has to take are product mix decisions. They consist of all the products offered for sale. There are four concepts about product mix, which are as follows: **Width** is the number of various product lines carries by a company. **Length** is the sum of all the items in a product line of a company. **Depth** is all the types of offered products in the line. **Consistency** is closely related to the different **product** lines.

The brand represents the consumer's views and feelings about a product and its functionality. So, you can say that it is all about delivering a specific set of features, advantages, services, and good customer experiences continuously to the buyers. It helps to identify and recall the brand. The process of brand-building consists of name selection, positioning, sponsorship, and development of the brand. The process of brand building depends on these four concepts that how you position your brand? How you select the brand name? How you utilize the concept of brand expansion? And how you implement brand development strategies?

Brand positioning defined as the image which a brand has in the minds of its customers and how customer distinguished a brand's product from the products of the competitors. Marketers can position brands at any of three levels which are beliefs, benefits, attributes, and values. The second important thing is to select the brand name. A brand name must be easy to pronounce, suggest its benefits and qualities, easy to remember, extendable, distinctive, translatable globally, capable of registration and must have legal protection.

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Brand sponsorship means that if you want to expand your business or want to get support from another brand. When a brand supports an activity, event, and organization or person for some mutual benefits it is known as brand sponsorship marketing. Four concepts are important in sponsorship. The first one is manufacturer brands and the name of the manufacturer will be used in it likewise the brand of beverages like Pepsi etc. the second one is the private brand. In a private brand, the local person sells its brand with all other international or manufacturer brands. Like ABC store sells ABC spices with the spices of national or international brands. The third one is the licensed brand in which an organization or brand can take the license of another brand to sell or produce a specific product. The fourth concept is co-branding. In co-branding, two or multiple brands collaborate to market a product or to fulfill a specific purpose like airlines co-brand with banks to sell tickets on discounts.

Brand development means to expand the brand or to increase the scope of a brand. A company has four choices while developing a brand. Those choices include line extensions, brand extensions, multi-brand, or new brands**.** An extension in which a brand adds new sizes, colors, forms, flavors of an existing product category under the existing brand name known as **Line extension**. When a brand introduces a new product category within an existing brand name it is known as **Brand extension.** When a brand markets different brands in a given product category it is known as **Multi-brands**. For example, Unilever and P&G (Procter & Gamble). A new brand means entering a business with a new brand name and new product category.

As we have discussed, a product is something that is tangible, affordable, and available for consumption and can satisfy the need or wants of the customer. With tangible products, an intangible product comes and we call them services. Service is an intangible and invisible product that results in value/benefit and has value in exchange. Such as transportation, health, education, etc. There are four characteristics of services which are inseparability, intangibility, variability, and perishability. Employee satisfaction, customer loyalty, and profitability are linked together to form a theory of business management which is known as the service-profit chain. The service-profit chain enables relationships between employee delight/satisfaction, customer loyalty, profitability, and productivity. It is elaborated as the profitability and growth are linked with customer loyalty. Loyalty depends on customer satisfaction level and satisfaction depends on the

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services provided. So, it is depending on the services provided or the value provided to the customer. Value is always created by productive, loyal and satisfied employees. High-quality after-sale services, support services, and policies enable employees to deliver the best results to customers.

All the relationships that exist between the company, the employees and the customers are highlighted in the services marketing triangle. There are three important types of services marketing according to the triangle. The first one is internal marketing and it is the marketing between the company and employees. In internal marketing, the company presents its idea to the employees and convinces them. The purpose of internal marketing to teach all employees about the products of the company and increase employee engagement with the goals of the company. The second one is an interactive marketing and it is the marketing between employees and customers. A one-to-one marketing practice that refers to an individual customer and prospect's actions. When marketers react to customer actions and try to meet the customer demands and expectations it is known as Interactive marketing. The third one is external marketing and it is the result of interactive marketing; the external marketing occurs and it is for customers or prospective customers as external marketing goes from a business organization to outside. The purpose of external marketing is to fill the business pipeline with future business.

A product has central value in an organization because due to products they offer their services to the customer through products. There are two strategies for getting the products to sell. One is to acquire a product and the other is to develop a new product. If you want to develop your product then the question is how to develop a product? The new product development process involves some steps. The process starts with the generation of an idea then idea screening, concept development, and testing, development of marketing strategy, business analysis, development of the product, test marketing, and commercialization. When an organization follows the process of product development they will come up with a product. Some products become successful and some are not. There are some reasons why a product fails? The reasons for failure include poor design, wrong timing, overestimation of market size, incorrect positioning, price too high, ineffective promotion management, competition, and high development costs. Products develop but they also grow old. Products have their life cycle. It starts with product development then the

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second phase comes which is introduction then growth, maturity, and finally the decline period. So, firms try to make their product life cycle long by focusing on the growth and maturity stage of the cycle.

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GENERALLY ASKED QUESTIONS

Question 1: There are some customers who are not satisfied and always angry. Can we ask them directly not to use our product/service if they are not satisfied just to avoid interaction from them so they may not speak in front of other customers?

Answer: It is not a good approach as it will spread more negative word of mouth because when these customers talk to others they will mislead other customers too. Therefore, such customers should be dealt with care by asking them the reasons of not satisfied with the services, and the service providers should take steps to minimize their issues. In this way you can win the hearts of customers.

Question 2: What is concept of consistency in the product mix decision?

Answer: The consistency of the product mix decision indicates exactly how consistently the company is taking decisions regarding adding a new or removing any prevailing product from the product mix, adding a new product line, expansion in any existing line, or taking new alternatives of a brand to expand the business and to increase the profitability.

Question 3: Can an idea be termed as product?

Answer: From the definition of product mentioned in the videos, it is evident that 'anything' that can be offered is called product. Therefore, we can say that any idea that is given in the market for the satisfaction of customers can be termed as product. It is possible that, that idea might not be acceptable by the general public. That particular idea may also be in the form of any type of product or service.

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Theme # 9: Price and Pricing

In this theme, we will discuss the second "P" of marketing mix i.e. Price. After product we have to think about the price of our product.

What is Price? As we know that product is a value that any organization offers to the customers or market. But we also know that marketing is not dealing with one way flow of marketing but it also deals with exchange of values. It is a two way reciprocal flow of values. So we can say that price is the value in which any organization offers its product to the market. Thus price is the second most important "P" of marketing mix. As after product we have to think about price of the product or price of the market offering. There are two definitions of price i.e.

1. Price is actually the amount of money charged for a product or service. Now if we see from customer's side "Price is the value a customer is ready to accept the product for".
2. Price is the total of all values (time and efforts) that customers give up in order to attain the benefits of having or using a product or service.
3. Price is the only component of marketing mix that generates profit; all further components (Product, Place/Distribution, and Promotion) represents cost.

What is pricing? It is a process of determining and setting price of a product. Pricing is the activity and price is the value that we have to determine for a product. Before setting price we need to see two things.

1. **Price Ceiling:** It is the upper limit beyond which customers cannot afford the price. It is the highest or maximum price limit beyond which a product does not remain affordable for the market.
2. **Price Floor:** What minimum price for a product can be charged to remain profitable is called price floor.

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In practice and reality companies are not operating on price ceiling and price floor. They are operating between both of them.

We can understand price ceiling and price floor through below diagram. In the below diagram price ceiling is on left side and price floor is on right side. Price ceiling represents the customer perceptions value that a customer give how much or maximum value of a product and after that he/she cannot demand that particular product. Price floor represents the product cost. It is the point at which an organization accomplish the cost of its factor of production. And if an organization sell the product below it, means it sells on loss and no one can survive for a long time at that point. The box in the center of the diagram determine the internal and external factors that an organization can considered in pricing process.



Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

Factors Affecting Pricing:

There are six factors that affect the pricing or pricing process i.e.

1. **Overall Marketing Strategy:** Which market segment an organization serve, which value proposition choose (more for more, more for same, more for the same, more for the less) to beat the competition. And also see that organization positioned itself on which basis.

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2. **Type of Demand:** What is the type of demand of the product of an organization? i.e. Price elasticity of the demand. The product lies in more elasticity of the demand or less elasticity of the demand. Price elasticity of demand tells us the sensitivity of the product to the change of the price. If less change in price and more change in demand then it is called more elastic products. Increase in price of the product give the set back to the organization if the product falls in more elastic products such as comforts, luxury or in a category in which a consumer can postponed to purchase it due to price fluctuations. And decrease in the price of such products can increase the demand and organization can earn more profit. The products that are less sensitive due to change of price are called less elastic products. There is no such change in demand due to decrease of price and increase in price have no huge change in demand if a product falls in less elastic products such as gasoline station, gas cylinders, bread and daily used items (necessities).

3. **Type of Market:** There are different type of markets i.e. Monopoly (one seller), Duopoly (two sellers), Oligopoly (more than two sellers but less than 10-12), Monopolistic competition (many sellers but maintains there distinct position), Perfect Competition (large numbers of sellers and large numbers of buyers). In monopoly firm is the price maker and decide at which price to sale the product. In perfect competition firms are price taker. No single force determine the price of the product. Market forces decide it and all firms adopt it. In duopoly, oligopoly and monopolistic competition firms may price maker or price taker. There is a need to see at which type of market you lies so that you can set the price of product accordingly.

4. **Economic Conditions:** It has been already discussed in external environment and consumer behavior. There are different indicators from which we assume the overall situation of a country. Economic conditions are affected by the costing of an organization and purchasing power of the customer. There are different indicators from which we assume the affordability of the people i.e. GDP growth rate, Per capita income, Inflation rate, type of inflation, balance of trade and exchange rate.

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5. **Government:** what is the political system of the country? It is centrally planned economy or free market economy. Then the political stability plays very important role. If there is a political stability in any country then there is overall stability. Generally the prices of the products do not fluctuate.)

6. **Social Concerns:** There are many concerns and segments that needs special attention i.e. senior citizens, overall society concerns about price fluctuation. In some cases due to the pricing of the product people dislike your product. They think organization exploit them.

Pricing Methods:

In pricing method we see the structuring of the pricing i.e. formula and bases from which we consider the base price of the product.

There are three basic methods for price structuring i.e.

1. Value Based Pricing
2. Cost Based Pricing
3. Competition Based Pricing

1. **Value based pricing** uses the buyers' perceptions of value, not the sellers' cost, as the key to pricing. Price is considered before the marketing program is set. In this method firstly we determine the value after that produce the product and then set the price of that product. We assigned the value of customer for pricing rather than the costing of the product.

2. **Cost Based Pricing** refers to setting the price based on the cost incurred for producing, distributing and selling the product plus a rational rate of return for effort & risk. Cost based pricing methods is similar to selling concept. In this method firstly we produce the product and then offer that product into the market. There is a chance that customers may refuse to buy the product on that offered value/price.

3. **Competition Based Pricing:** It is widely used structure/pricing method because it is very easy. We adopt the pricing structure that is used by our competitors. Price setting is based

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on competitors' strategies, prices, market offerings and costs. Fruits, vegetables and grocery markets etc. used competition based pricing. In base they use cost base pricing but the new entrant used competition based pricing.

Special Pricing Concepts:

Before turning to pricing strategies we have to discuss three small and interesting concepts of pricing that are called Special Pricing Concepts.

1. **Good-value Pricing:** The price which is perceived by the customer as a value at the par with the value delivered by the product. It is not only beneficial for the customers but also for the firm.
2. **Everyday low Pricing:** It is the pricing approach in which organizations or stores claim that their prices are lowest in the market and they are offering you everyday low pricing. This approach is attracted by the budgeted segments.
3. **High-low Pricing:** It is the combination of high and low prices. Some products are high priced and some products are on discounted prices.

Pricing Strategies:

Pricing strategies defines the principles that guide your pricing decisions. There are different groups of pricing strategies and we will discuss it group wise. There are four groups of pricing strategies.

1. New-Product Pricing Strategies
2. Product Mix Pricing Strategies
3. Price Adjustment Strategies
4. Price Changes

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1. New Product Pricing Strategies:

First of all we will discuss new product pricing strategy. There are further two types of pricing strategies i.e. marketing skimming and market penetration pricing. These are two opposite marketing strategies. Now we will discuss them in detail.

1.1. Market Skimming Pricing: Skimming pricing is one of the pricing strategies that involves charging a high price at the launch of the product for a short period of time. The product or service might be an innovation, a high end product or a differentiated product. The aim of such strategy is to obtain maximum revenues before any competitor product enters the market or in the case of an innovative product the company wants to recover its high costs of research and development which it incurred while developing it. Yet another purpose of this strategy might be to "skim off" customers to who are willing to pay more for an innovative or a high end product. Still another goal might be to communicate image of a superior product through high price.

1.2. Market Penetration Pricing: A marketing strategy in which a relatively low initial entry price is charged to attract new customers or to make the customers switch to the new product because of the lower price. The objective is to maximize market share or sales volume.

2. Product Mix Pricing Strategies:

There are five strategies that come under this strategy.

2.1. Product Line Pricing: It is a procedure used by retailers for separating goods into cost categories to create quality levels in the minds of customers. It typically contains placing appropriate price gaps between categories to inform prospective buyers about quality differences such as soap, shampoo, detergents etc.

2.2. Optional Product Pricing: It is a technique of determining the cost of the product in which a firm sets low cost for its basic products and gain profit from selling expensive accessories. Such as, cost of accessories like AC adopters and printer ink cartridges is extensive.

2.3. Captive Product Pricing: It refers to the pricing of the products such as computer software, camera film, razor blades, parts of machines etc. that are not used without a basic

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product. Pricing of the captive product is often based on product mix pricing strategy where firm will set a low price on the basic product with a high margin of profit on the captive product.

2.4. By-product Pricing: Refers to the products by slight or not any value manufactured as a result of the main product. Manufacturers will gain little or no profit other than the cost to get storage and delivery.

2.5. Product Bundle Pricing combines several products at a reduced price. In this strategy customers think that they get the high value in less price on the other side producer thinks that the slow selling products are also sold that are not sold individually.

3. Price Adjustment Strategies:

Price adjustment refers to adjust the prices of the product according to the different situations and changes that occurs in the market. There are seven types of price adjustment strategies i.e.

3.1. Discount and allowance pricing: to give reduction on the list price to the customers and allowances to the trade partners to increase the sale of the product.

3.2. Segmented Pricing: It is also called price discrimination in economics. In this strategy a company sells its product at two or more prices, where the differences in price are not based on differences in cost. For example in train there are different prices for different segments. Concessional tickets are given to the senior citizen, students.

3.3. Psychological Pricing: It is the practice of setting prices slightly lower than round numbers, for example Rs. 99.99 instead of at Rs. 100 will result in customers trusting that they are receiving a savings, and even if that savings is only one rupee, customers might feel more confident about making a purchase.

3.4 Promotional Pricing: to boost the sale of the product companies offers promotion on different events such as 14th August, 23rd Mach, Eid, Christmas etc.

3.5. Geographic Pricing: One product has charged different prices on the bases of geographical distance or level of development of geographical area.

3.6. Dynamic Pricing: prices of products are not fixed it can varies or flexible on event basis or daily basis.

3.7. International Pricing: The international pricing is a pricing strategy in which the stability in the product price resulting from international business. There are many variable factors that

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influence international pricing i.e. economic conditions, currency exchange rates, production expenses etc.

4. Price Changes:

We not only do the adjustments in the price of the product but also do price change in the life of the product. There are two types in price changes i.e.

4.1. Price Cuts

- **Excess capacity:** When vast production capacity and more stock of the product available then there is a need to cut the price.
- **Increased market share:** If there is a need to increase the market share then company cut the prices to penetrate in the market.

4.2.Price Increases

- **Cost inflation:** If the price of raw material increase in the country or increase the import duty due to exchange rate on the raw material then company increase the prices of the product.
- **Increased demand:** Due to increase in demand company can increase the prices of the product.
- **Lack of supply:** When demand increase and it is not possible for the organization to increase the supply then it can increase the price of the product.

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GENERALLY ASKED QUESTIONS

Question 1: What is the difference between centrally planned economy and free market?

Answer: A Centrally planned economy is also called a command economy, it is an economic system in which the government makes economic decisions regarding the manufacturing and the distribution of products. Whereas, the free market is an economic system based on supply and demand with little or no government control. Since, there is no intervention of the government in the free market economy therefore companies sell goods at the highest price that customers can likely and willingly pay. In a free market economy the workers usually earn the highest wages that companies are willing to pay against their services.

Question 2: What is the difference between price and costs?

Answer: Cost is the total amount incurred for making a product that is sold by a company; for example amount spent on raw material, labor, utilities etc. Price is the amount on which a product is sold in the market or it is also known as the amount on which a customer is willing to pay for a product or service.

Question 3: What is service variability?

Answer: Service variability is the change in the quality of the same service provided by different service providers. It varies from company to company and person to person. The change varies because of the nature of the service, according to the person who provides when it is provided and the method of delivery of the service. For example, the telecom industry. The call or internet packages vary from company to company. You can say teachers are also an example of it because the way of delivering the lecture varies from teacher to teacher.

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Question 4: What is the difference between line stretching and line filling?

Answer: Line filling means adding more items within the existing range. For example, Colgate Herbal is an example of line filling. Herbal is a line filling in already existing Colgate Toothpaste. Line stretching means lengthening the product line beyond the current range. There are mainly three ways to stretch product lines:

1. Downward product line stretching: In downward line stretching, if a company is offering a premium brand and wants to target middle/low-income consumers, it will go downward to offer an economical product. For example, Samsung's Note and Edge are premium level products but it's a series targeting the middle-income consumer.
2. Upward product line stretching: In upward, a company offers a premium level product to stretch its product line.
3. Two-way product line: In a two-way product line, a company offers both lower and premium level products.

Question 5: What is the factor affecting pricing i.e. "SOCIAL CONCERNS" and how it provide special attention to specific class?

Answer: When we talk about social concerns this means organization should take the pricing decision keeping in mind the social well-being of the whole society, for example, pricing of necessary food items or lifesaving medicines should be such that the entire society can afford and get benefit from it. Sometimes different customer segments pay different prices for the same product or service. Such as museums, movie theaters, and theme parks may charge lower prices for students and senior citizens and this happens just to fulfill the social concerns of the marginal class.

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Technical Articles – MGT301

Theme # 10: Marketing Communication

The meaning of promotion is “activity that encourages consumers to recognize your product or service and make a purchase.” As one of the 4Ps that make up the marketing mix, it is a significant channel for realizing communication between consumers and companies. Specific examples include advertising and sales promotions etc.

A promotion mix is a way to achieve your organization's marketing goals using a promotional mix of advertising, promotions, personal sales, and promotional sales. It consists of advertising, public relations, personal sales, and sales promotion. Promotion mix is defined as any form of communication that organizations use to establish a meaning for a product or service, as well as how it affects the purchasing behavior of the target customer. Promotional mixes should be designed in a way that informs target market customers about the value and benefits of the products or services offered.

Advertising is a kind of persuasive communication activity that promotes sales by simultaneously advertising the presence of goods or services to a large number of consumers. In other words, advertisements can be displayed in various media such as newspapers, pictures, photographs, designs, images, sounds, or other media such as newspapers, magazines, radio or television, or mail, posters, brochures, outdoor advertisements, theaters, or the Internet.

Sales promotion is part of marketing communications that increases sales by providing information or persuading customers about the performance of a product or service, with the goal of encouraging customers to purchase the product or service. Promotion is not only a marketing tool that directly generates demand, but also a communication tool used to create indirect profits by raising or optimizing the company’s image. Sales promotions create opportunities for consumers to reach their products, build new customers, and strengthen brand loyalty to existing customers, contributing to increased product sales.

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Personal selling is one of the oldest and most effective salespeople's strategies when convincing customers to buy a product. Since time immemorial, personal selling has been one of the great approach and promotion strategies. It is a powerful tool that allows you to get immediate feedback from the customer and that also has the highest percentage in the closing of sales. With this strategy, the salesperson not only informs from a personalized approach about the product or service offered by the company and how it can satisfy the individual needs of each client. Personal selling is a unique opportunity in which, in addition to a more humane approach, it is possible to demonstrate the benefits of the product. In addition, the customer has the opportunity to ask questions, and the salesperson takes care of any concerns they have about the product.

The theoretical definition of public relations is to "form friendly relationships through interactive communication between organizations and the public." "Public" is aimed not only at consumers who purchase products or services directly, but also to the general public (outside public relations), or members of the "organization" (in-house promotion).

In Digital marketing, internet-based devices are used that advertise and sell products and services to consumers through online advertising. Web browsers, smartphones, (console) games, are examples of typical Internet-based devices. Content marketing is a strategic marketing act that produces and distributes valuable, relevant, and steady content to attract and maintain a clearly defined audience. It's about providing relevant and useful content so that audiences and customers can solve their problems, rather than highlighting products or services.

IMC stands for integrated marketing communication, which is an integrated marketing communication strategy. In other words, it can be said that various marketing activities performed by the company or brand are integrated into one voice. If existing marketing activities were decentralized, IMC would be integrated into one. However, this integration does not mean the integration of channels where marketing activities such as TV, radio and newspapers take place. The integration here refers to the integration of the message to be delivered to the consumer and the image to be perceived. For example, how about a trusted company with an honest image on TV, a reasonable price in a magazine and a luxury item that everyone wants in an offline store? It's an exaggeration, but before the concept of the IMC strategy was established, everyone seemed to have passed it. This is very difficult for the 'integrated, one message delivery' mentioned earlier. It's hard

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for consumers to know what the company's identity is. Therefore, no matter what channel (media) marketing activities are carried out, the same image/message delivery is now essential.

Fewer steps are involved in developing an effective communication strategy. The first step is to develop an overall marketing communication strategy based on the analysis of your target audience. The second step is to establish a communication strategy for the target customers involved in the decision-making process, which should be organically linked to the marketing strategy. The third step is to select communication goals using a variety of organized information. Explicitly link the needs of your target audience with the effects of marketing communications you want to achieve. The fourth step in the strategic planning process, at which point the customer's decision-making process needs to be organized in more detail. It also identifies the strengths and weaknesses of various communication alternatives, such as advertising and promotions, and links them with marketing communications challenges to select the best alternatives. The final stage of the planning process is the selection of specific advertising or promotional media to deliver marketing communications. In the IMC, it is more important to use effective media that meet the communication goals and is more acceptable to consumers than the efficiency of independent media.

One of the most known and used models in advertising and marketing communications is the AIDA model. This model, proposed by Elmo Lewis, describes the process by which consumers make decisions and actions through four hierarchical steps: Attention, Interest, Desire, and Action. In short, for an advertisement to drive consumer purchase, its ultimate goal, it is first necessary for the consumer to pay attention to the advertisement. If an advertisement succeeds in catching the consumer's attention, the consumer is more likely to be interested in the message, and the interested consumer has a desire for the product or brand that the advertisement contains and ultimately leads to the behavior of purchase. The AIDA model is a hierarchical step; it becomes difficult to move on to the next step if the preceding step is not met. This model can be useful when explaining the importance of advertising creativity in the actual advertising scene. If you don't get the consumer's attention among the flood of advertisements, the next step can't be done.

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The rational message uses rational arguments and concepts about the characteristics of the products or services offered, positioning in the consumer's mind as the one that will best satisfy their needs. The emotional message is just the opposite, it appeals to our feelings, to something ethereal that is not seen directly, but that is there. Something that the brand seeks to awaken so that it is the consumer who decides for himself, establishing a powerful bond through the deepest feelings. The moral message is that which is issued in accordance with legal provisions, that which indicates the verifiable properties of the products or services, and that which preserves integrity. The message offered on a product or service must have real characteristics; it must be truthful and verifiable. A moral message cannot offer misleading concepts.

Push strategy: A manufacturer uses a sales promotion or a personal sale to induce a middleman to have a product and sell it to customers. Brand loyalty is low, and the choice of products is mostly determined at the purchase site. Therefore, the purchase induction of the store is essential.

Pull strategy: The manufacturer encourages consumers to actively buy on their own by informing the end consumer of the brand or product using advertisements or customer promotions.

Responsible marketing is one that collects and exposes the impacts or changes that organizations generate in society, influences the strategy of organizations, and foundations incorporating social responsibility values that provoke an improvement in the perception of the brand in all the actors in the environment of the same. Organizations do not function in isolation from the rest of society; on the contrary, they constantly interact with it. Therefore, they must develop actions that show an organization involved in the environment that surrounds it as part of society. A responsible marketing strategy can guide organizations' actions towards citizens, giving them a role beyond their natural figure of customers or users. Responsible marketing must have a clear definition with a very well-defined objective. It is essential to know how to identify the basic needs that we will try to cover with our brand approach, knowing perfectly the target audience on which we will base our actions—knowing how to differentiate the merely functional characteristics of the product or service from the true benefit that responsible marketing can bring to any brand, regardless of its size or reason for being. Valuing responsible marketing, a company will talk to its audience about its social and environmental initiatives, integrating these into its marketing plan to improve the brand image and attract customers and users of its products or services. That an organization is socially responsible means that it cares about people

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and the environment in which it conducts its business. It is important to ensure compliance with this policy by all its members and know how to communicate these values that define the company. The transformation of these values into something tangible is a key point; making the social tangible is complex, and we will only achieve it through actions that we can measure. Organizations with socially responsible tendencies can build a strong reputation that leads to increased stakeholder loyalty.

Mass media are responsible for delivering large amounts of information, current affairs, and contemporary issues to the unorganized general public. For example, Print media (newspapers, magazines, books, posters, flyers, etc.), Video media (TV, movies, computers, etc.) Voice Media (Radio, Records, etc.) and New Media-Internet, SNS, smartphones, etc.

There are different ways of allocating budget to the advertisement:

- Competitive parity method involves setting a budget that can be compared with competitors. Competitors do not share the money they spend, so you need to find a way to get other information. For example, find a competitor's ad in a local newspaper. Check the publication's ad kit to determine the cost of the ad size, calculate the frequency of the ad, and calculate the amount spent on that publication.

- Affordable budget method is a simple method in which we spend only as much money on advertising as we have (or less). The disadvantage of this method, however, is that spending too little money on advertising will not achieve due results.

- Objective and task method determines the advertising costs based on the short and long term goals of advertising for a brand. Objective-and-task approach as a means to achieve your goals for the future. In other words, the cost of advertising depends on the mix of Media Vehicles, which is a problem, because it does not solve the question of whether the cost of measuring the results of advertising goals and the cost of achieving those goals should be solved.

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- The percentage of sales method is a favorite method for chief financial officers who believe that using such a method of setting a budget will never spend too much on advertising. In essence, this method involves advertising expenses with results obtained on sale. However, it should be taken into account that advertising should cause sales growth – it should, therefore, be regarded as the cause (primary action) causing sales growth rather than as a sales effect. For this method, the exact opposite is true. Sales results determine advertising spending.

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GENERALLY ASKED QUESTIONS

Question 1: Which is the most important element of a marketing mix?

Answer: The product is the most important element of a marketing mix. Developing a total marketing mix program involves the marketing manager deployment her/himself with four p's of the marketing mix, i.e., product, price, place and promotion. The product development to be the first of these tools. Without a product, there is no question of a marketing mix. The whole plan is based on the product.

Question 2: How we increase or promote content marketing?

Answer: Content Marketing is one of the most active ways to achieve your marketing goals. It includes things like educational articles, e-books, videos, entertainment, and webinars that answer specific questions which people have asked and provide them with something they can't get elsewhere. Content marketing is as profitable strategy as paid search advertising or paid social marketing. There are so many ways to improve content marketing but for this, you need to read the details for your understanding.

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Technical Articles – MGT301

Theme # 11: Place/Distribution

Significance of Placement:

In a marketing mix the third 'P' of Placement is an important element which ensures the effective and timely availability of the product to the customer. To ensure this availability, various channels and intermediaries of distribution are involved such as retailers, wholesalers etc. all the intermediaries work for connecting the buyers to the producers physically distributing the product to various geographic locations. In order to improve the performance of the whole system all the intermediaries constitute the Value Delivery Network partnering among themselves. Every one of us visit retail stores around us to purchase different products which are made available by the retailers so that customer may have the easy access to them. This activity is to ensure the availability of the product to the designated target markets.

Partners in Value Systems:

Value delivery network includes various stages of product manufacturing including raw materials' processing and finished goods to the delivery to potential customers. These partners may be either the suppliers or distributers which serve the common purpose of delivering value to the ultimate customers.

Value Delivery Network:

A network of suppliers, distributers and customer which partner each other at various stages to ensure the delivery of final products to customers is called Value delivery network. There are two streams in value delivery network:

- Upstream partners
- Downstream partners

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Upstream Partners:

The raw material suppliers, parts suppliers, and information and expertise providers for the effective manufacturing of the product are referred to as upstream partners. The upstream partners are associated with the supply side of the value delivery network.

Downstream partners:

Downstream partners include marketing and distribution channels that are more directed towards the customers. Intermediaries provide the producers with the greater efficiency in ensuring the availability of goods and products to the market making use of their knowledge and capabilities, experience, and expertise in their scale of operations which can't be achieved by the organization on its own. The downstream aspect of the value network is more towards the distribution side towards the customers.

Intermediaries:

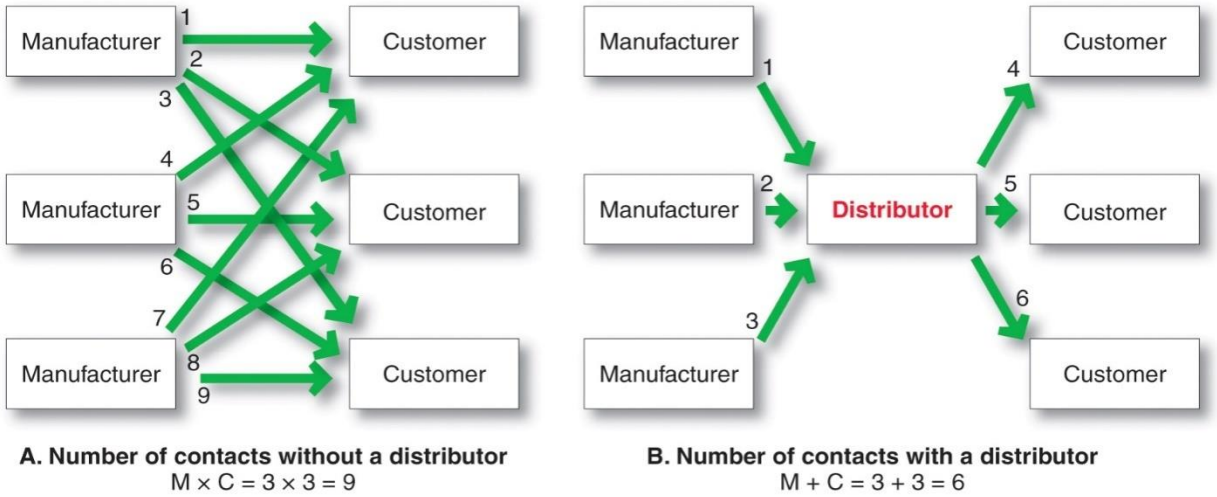
Intermediaries are the agents who offers the manufacturers their expertise in delivering the products to the target markets. This expertise arises from their experience, contacts, specialization, and scale of operations. They offer the value to the producers which they cannot achieve independently. From an economic point o view, intermediaries convert the mere assortments of products to what the customer wants. Producers only produce the products for customers but intermediaries are responsible to match these product with the wants of customers.

Secondly, intermediaries are responsible for bridging the time, place and possession gaps that distinct goods and services from those using them.

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How Channel Members Add Value?



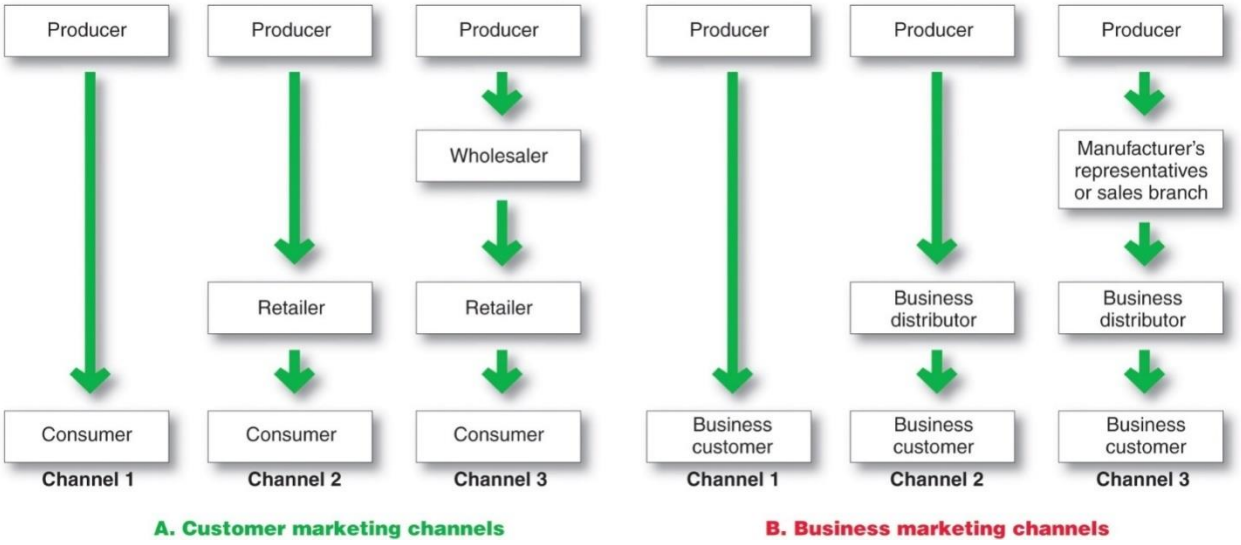
Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

In the above figure you may see three manufacturers and three customers on left side. In the absence of distributor there will be 9 contacts generated. The more the contact will be, the more will be the cost of contacting. But on the right side of the figure you may see no of contacts reduced to 6 by introduction of distributor thus reducing the cost of contacting and more time will be saved. Channel members are responsible to remove all the gaps between the producer and the consumers. Channel members add value to the network through information, matching, contact, matching, negotiation, physical distribution, financing, and risk taking. Channel members also arrange financing for the producer e.g. you may take the example of fertilizer industry where producers often charge advance payments from the wholesalers for upcoming seasons. Car manufacturers also charge advance payments from the customers through retailers and use for production purposes. In the absence of channel members it will be difficult to aware the customers of far flung areas of the country.

Management of various Flows:

They are responsible for physical flow of products, flow of ownerships, flow of payments, flow of information and promotion. In a marketing channel various firms partner each other for the promotion of the common good where each member or firm plays its role individually. They push channel members to promote their products in the market.

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In the figures above A shows customer marketing channels and B shows business marketing channels. In figure A producer is directly sending to customer so it is called a direct channel. In today's digital age this channel seems more appropriate as we may see direct selling through website. Then in the second column retailer is involved in between producer and consumer. In the last column there are four members involved in the chain vis. Producer, wholesaler, retailer and consumer. Same can be seen in the figure B above for producer to business consumers. Sometimes producers are using only single channel and sometimes they use multiple channels for distributing the products.

Marketing Channels:

Channels of marketing consist of the firms partnering for their common good with each member playing a particular role. Someone is producing other is wholesaling and some other will be distributing etc.

Types of Distribution systems:

Conventional distribution systems include one or several independent channel members such as producers, wholesalers and retailers which are independent in their identity and there is no specific binding contract among them as they are simultaneously working for different producers. Retailers may take gods from different producers and then sale according to the requirements of particular areas. Thus, each channel members is independent from other channel members.

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Vertical Marketing Systems (VMS)

In VMS, channel leadership consists of wholesalers, retailers and producers which act as a unified whole. VMS consists of corporate vertical marketing system which integrates various stages of production and distribution that are under single ownership. Mean there is one leader of the channel which can be producer, wholesaler, retailer etc.

Includes direct marketing activities to engage the customer directly carefully targeting the customers to generate the immediate responses for building lasting customer relationships.

VMS is further classified into three categories:

1. Corporate Marketing Systems
2. Contractual VMS
3. Administered VMS

Corporate Marketing Systems:

Corporate vertical marketing system combines consecutive stages of production and distribution under a single ownership. You may see the retailer owned by the manufacturer. This trend may be seen in textile industry where various mills or factories have setup their brand outlets to ensure the due placement of their products.

Contractual VMS

In Contractual VMS various firms unite at diverse levels of production and distribution contracting each other through achieving economies of scales that otherwise can't be achieved individually e.g. franchise organizations links various stages in production and distribution processes. We may see this arrangement in telecom industry in which franchise system is used. Also in case of automobile we may see various dealerships. In these cases producers have given exclusive rights to some of the dealers who are bound to only carry that specific producer's products. Various arrangements may include:

- Several stages in production distribution systems are linked by franchise organization.
- Manufacturer-sponsored retailer franchise system.
- Manufacturer-sponsored wholesaler franchise system.
- Service firm-sponsored retailer franchise system

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Administered VMS

In Administered VMS some of few channel members have dominating presence. This dominance in leadership arises from their size and power. It neither include common ownership nor contractual arrangement. Only on the basis of an exclusive player's size or power, it influences the channel member even in the absence of formal contract. This player may be any producer, retailer or wholesaler.

Horizontal Marketing System:

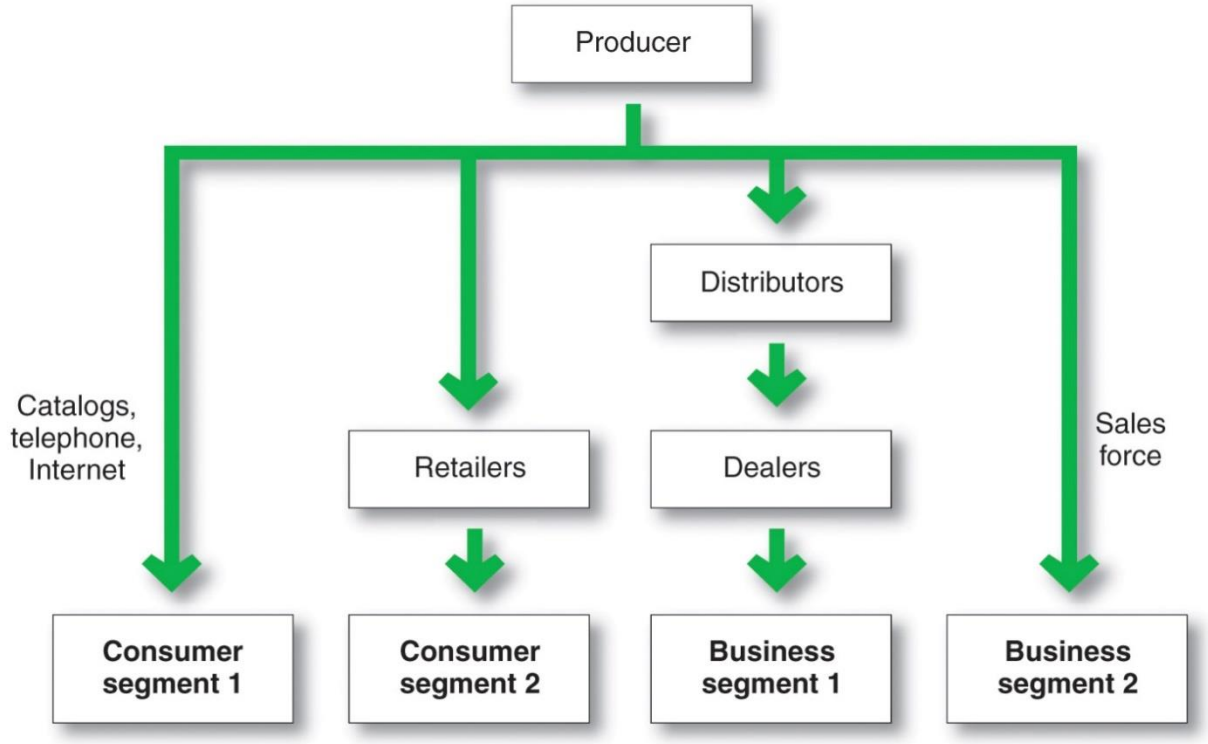
In horizontal marketing systems, two or more than two companies bond each other at one level in order to create a market opportunity. In doing so they combine various resources including production, marketing and financial resources etc. creating synergic effect that can't be achieved individually. In this case two different brands which may be competitors to each other make a complimentary arrangement e.g. a bank branch operating within the university or tire shops at gas stations. This arrangement has a synergic effect on each other and enhance their sales.

Multi-Channel Distribution Systems/Hybrid Marketing Channels

In Multichannel Distribution systems (Hybrid marketing channels) firm individually form two or more marketing channels in order to target particular customer segments. Channel design decisions are the important decisions in order to analyze customer needs, setting channel objectives, identifying major channel alternatives and evaluation of different channel performances. This can be understood through following figure:

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Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

In the above figure we may clearly see a single producer using various channels on even single consumer segments. All this effort is done to increase the sales using multiple channels which a single channel might not achieve independently.

While designing distribution channels following factors must be analyzed:

- Analyzing customer needs

How customers want them to be served?

- Setting channel objectives

Must understand why you are using single channel, dealership or retailers?

- Identifying major channel alternatives

What alternate channels do you have?

- Evaluation

Evaluate which alternative is better?

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Types of Distribution:

There are three types of distributions

- **Intensive distribution**
- **Exclusive distribution**
- **Selective distribution.**

Intensive Distribution:

In intensive distribution wide availability of product is ensured in order to expand the product to every outlet so that customers encounter the product everywhere using every possible channel it is mostly done for wide availability of products which fall under the category of convenience goods e.g., soft drinks have presence everywhere like gas stations, retail stores etc.

Exclusive Distribution:

Exclusive distribution is an agreement between supplier and the retailer in which retailer is granted with more power and privileges within the specific geographic location for carrying supplier's products. It is mostly used for specialty goods Cars dealerships have exclusive distribution as one brand dealer has only a single brand for distribution. A particular TV brand outlet only have that particular brand of TVs otherwise it may confuse the customers.

Selective Distribution:

The other strategy which lies between intensive and exclusive distribution is known as selective distribution which involves usage of more than one, but lesser than all the intermediaries and distributors who carry the company's products on the basis of a company specific set of rules. It is usually used for shopping goods like shoes, shirts, watches etc. these products are not frequently purchased.

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Channel Management Decisions:

Like all the P's of product, price and promotion, P of Placement is also a very important decision to consider. Channel management decisions include:

- Selecting Channel Members
- Managing Channel Members
- Motivating Channel Members
- Evaluating Channel Members

Effective channel management decisions for selecting, managing, motivating, and evaluating the channel members is very important for the company. Without taking these considerations your product or marketing program cannot succeed.

Selecting channel members is a very important factor and you need to be very careful while selecting the channel members according to nature of the product i.e., either you select intensive, exclusive or selective type of distribution and also the trustworthiness of the selected partners.
Managing the channel members is also a big concern as they themselves cannot operate as you want them to be. For this purpose, you need to constantly motivate the channel members as well by giving them various incentives like free product offerings, free national or international trips, seminars and conference invitations and much more in order to keep them motivated and loyal. Channel members and type of channels also needed to be evaluated regularly otherwise you will never know about the effectiveness of your placement strategy.

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Technical Articles – MGT301

Theme # 12: Sustainable Marketing, Social Responsibility and Ethics

Sustainability in general means the efficient use of natural resources in a way that those are not wasted and would be available for future generations as well. Sustainability is a broader term that has been adopted by different business / organizational functions. Sustainable marketing is one such example of those business functions. Sustainable marketing means an efficient fulfillment of the requirements of the consumers and also providing capability to the future generations for fulfillment of their needs. Societal marketing concept has more of a current orientation for a business. However, sustainable marketing concept is future oriented with respect to business need. Business managers often feel that marketing concept along with strategic planning concept is more present oriented with respect to business need as it is relatively lesser cost oriented with immediate results, e.g. profit. But it is the sustainable marketing which will ensure the long-term survival for a business in this fast-changing world.

Of late, there has been some criticism on the marketing activity. This criticism can be categorized under three points. 1) Impact on individuals; 2) Impact on society; and 3) Impact on other businesses. It is argued that individuals get impacted from marketing activity due to high prices of different products. For example, peak season high prices of commodities and price cartel in different sectors is one example of it. Deceptive price which is often called psychological pricing strategy also negatively impacts the individuals. For example, sale of different brands with price tags of Rs. 999 etc. is one such example of psychological pricing strategy. In fact, brands never lose their money. Mostly naming it as mega sale, many brands also sell their unsold stuff of poor quality with deceptive strategies which impacts the individuals. High pressure selling also occurs in such a scenario and that also effects the individuals. Sometimes, shoddy, harmful or unsafe products are also sold to the customers. Planned Obsolescence is another strategy that badly effects individuals. For example, technology products such as computers, smart phone companies, and motor vehicle companies bring their new models almost every year with different design of one or more added features just to get more sales and revenues. A layman who has the money to spend, at times would keep spending every year for getting new models of branded products and hence

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such customers keep providing billions of revenues to the brands. This happens exactly as per the strategic planning of brands in a marketplace. Sometime, poor service is provided to the disadvantaged customers. Secondly, this is also another criticism on the marketing activity that it badly impacts the society. False wants and materialism have been promoted in the society as a lifestyle. There is also cultural pollution and too few social goods in the society. Often the goods we purchase are the result of marketing activity which is mostly commercial marketing activity and not for the social cause. Third criticism on marketing is that it impacts other businesses. For example, with aggressive marketing strategy, companies may opt for acquisition of competitors. Unfair competitive marketing practices by a business affect other businesses and this often generates price wars and useful spending on marketing and advertising for winning that strategic bar war. Such expenses are then adjusted in the product price by those brands and ultimately the customer pays for that extra spending on marketing by those brands.

Such criticism on marketing activity sparked the movements of consumers for their rights. One example of such consumer movements is consumerism. Consumerism movement has the purpose of protecting buyers' rights. Both citizens and the governmental institutions favour this movement for consumer rights. Activists of this movement speak for the rights of consumers at different forums and try to convince the regulatory authorities to play their role to safeguard consumer laws. There are different rights of consumer for which he / she should be aware of. For example, right not to buy and to expect safe products. It is also a consumer's right to expect well performing products as was claimed to them at the time of product purchase. Similarly, true information about the product is the right of customers. It is also the right of consumers of the society to positively influence the product and marketing activity of a company. For example, local public is a stakeholder for knowing about the high prices' justification of a company / industry's products even if it is using the natural resources of that area and hence polluting the environment as well. Therefore, as an educated consumer, one must ask a company to act positively not only with respect to pricing and use of natural resource but also with reference to societal marketing and sustainable marketing activity. Hence, such actions through consumers' pressure and positive intervention should generate sustainable consumption as well.

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Environmentalism is a movement that is concerned with the protection of natural environment. This is also the part of efforts for promotion of sustainable marketing. Some of the actions that come under environmentalism include product stewardship, prevention from pollution, use of new clean technologies, sustainability vision and design for environment. Effectiveness in pollution prevention needs cleaning the waste and this also requires removing and curtailing the waste prior to its creation. Hence, it may involve measure like recycling, waste management and green production etc. Product stewardship aims at reducing the pollution throughout the production process and in the life cycle of a product. Design for environment (DFE) techniques aim at producing those products that are environmental friendly and recyclable. Hence, production of those cans, bottles, jars and paper etc. that can be recycled would be a good step. The new environmental friendly technologies help the industry in producing environmental friendly products. For example, solar lights and electric vehicles etc. A good sustainability vision can help the companies in an effective way. Sustainability vision is the need of the hour in an age of pollution and severe climate change etc.

There are also some principles for sustainable marketing activity. First principle of it is the consumer-oriented marketing which emphasizes that companies should organize marketing activities from consumers' perspective. For example, products and the services should be cost effective and useful for the consumer and for the environment. Customer value marketing is another principle according to which the companies should try to spend most of the resources for value building activities for their customers. Innovative marketing means that the companies should strive to develop effective products for the customers for meeting their expectations. Sense-of-mission marketing explains that the companies should define their mission in a way that considers the broad social context in the mission statement along with the product or service centric details. Societal marketing explains that the companies should consider the interests of society in general in the marketing activity along with the marketing of products or services. For example, taking care of the residential community living near an industrial plant.

It is ideal that the desirable products should be produced by the businesses for customers. A desirable product is the one that has a good level of satisfaction and required benefit for the customers. Similarly, there are some other product categories that can be discussed on such a

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yardstick. Deficient products are those that do not have an immediate charm and the required long-run benefits for the customers. Salutary products are the ones that have a little direct appeal but may potentially benefit a customer in the future. Pleasing products are the products that provide good level of immediate satisfaction but may potentially prove to be harmful for the customers in the long run.

Crux of the whole debate is that businesses should take care of marketing ethics. Marketing ethics is the term used for wide-ranging principles that people in the organizations should obey. This includes relations with suppliers, following the standards of advertising, effective customer service activities, fairness in pricing process, and other general ethical standards. For example, a marketing ethics principle might be 1) not to harm. This implies intentionally keeping away from hurtful activities or oversights by typifying high moral regard and sticking to every single pertinent law and guidelines in the decisions making process. 2) Raising trust level in the marketing system for all the stakeholders is another marketing ethic. This implies taking a stab at the confidence in the marketing system and reasonably managing the things in order to follow the fair practices for earning the due profit only. 3) Embracing ethical values is another marketing ethic. This means effective relationship with the customers by following the true principles of ethics like honesty, fairness in dealing, respect, correct guidance to the customer etc.

Finally, conclusion is that those organizations that satisfy the necessities and needs of clients ethically by keeping sustainable marketing principles in view will flourish. Organizations that neglect to address client issues, or that deliberately or inadvertently hurt clients and others in the society will decay in future. A good organization goes past thinking about the requirements of the present clients and has worry for tomorrow's clients who would exist in a more knowledgeable world.

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GENERALLY ASKED QUESTIONS

Question 1: What is the concept of selective distribution? Explain it with the help of an example.

Answer: It is a strategy of distribution that functions between the exclusive distribution and the intensive distribution. Actually, in case of shopping products organizations distribute products through fewer carefully chosen outlets/distributors. Selective distribution is effective in the industries where special pre- and post-sale services are required. Distribution of watches, clothes, shoes and some types of home appliances is the example of selective distribution.

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Technical Articles – MGT301

Theme # 13: Digital Marketing

In conventional marketing, companies use different tools like billboards, television, newspapers, brochures and pamphlets for marketing their products. Companies use these tools to create awareness about their products among masses. Digital marketing is somewhat different than the conventional marketing. In digital marketing we use internet/digital media for marketing the products. Digital media includes; digital display advertising, mobile phones advertising, social media and other digital technologies using internet. The fact behind the popularity of digital media is its ever growing source of entertainment in the form of social interaction with friends and company representatives.

Benefits of Digital Marketing

Conventional marketing is costly than the digital marketing because it is too expensive to advertise on billboard and television than to advertise on webpages in the form of banner ads or videos. Secondly, conventional media has limited reach as only local audiences know about your product if you advertise on billboards or purchase a spot on radio channel while over the internet entire globe becomes familiar about your offerings. Thirdly, conventional media has limited interaction with the end users because you don't interact with your audience through billboard or radio/television channels. However, in digital media the interaction with the customers is possible at the time of advertisement through messenger or online customer service by clicking on the banner ads. Fourthly, you are unable to find the exact effect of your advertising in conventional media because you don't know the number of customers who are impacted by the conventional media while in digital media the marketer is pretty sure to claim the exact impact of digital advertising because through number of clicks you can claim the number of customers who purchase your product.

History of Digital Marketing

Digital marketing is coinciding with the term of internet. We can say that with the advent of internet, digital marketing is started. The term 'internet' was first used in 1974 by US computer

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scientist Vinton Cerf. After the birth of internet, the term digital marketing was first used in 1990 and first search engine with the name of Archie was launched. First clickable ads run on internet in 1993. Launch of Yahoo and the first e-commerce transaction over netmarket in 1994 took place. In 1996, small search engines like looksmart and Alexe started operations. In 1997, first media site sixdegree.com launched. 1998 seen tremendous breakthrough with the birth of Google, launch of MSN by Microsoft, and Yahoo web searches. 2002 seen the launch of LinkedIn and in 2003 MySpace was launched. In 2004 world's biggest social contact site Facebook went live and 2005 seen the launch of YouTube. In 2006 MS live search started its working, twitter launched and Amazon sales crossed 10 billion dollar. In 2007 Tumbler and IPhone were launched. In 2008, Spotify was launched. With the exploration of digital world social media budgets increased to 64% in 2012. In 2013 Yahoo acquired Tumbler and in 2014 Facebook acquired WhatsApp. Due to this proliferation Internet of Things (IoT) term emerged. This means that internet has gone into each and every thing and soon the day will come when machine to machine communication start surpassing the human to human interaction and human to machine interaction.

Tools and technique of Digital Marketing

Different tools and techniques are used in digital marketing. These are as following:

Digital Display Advertising (DDA)

It is defined as:

'A form of digital marketing that uses display ads appearing on web pages as a means of communicating relevant commercial messages to a specific audience based on their profiles.' In simple words, we can say that it is a graphic advertising in the form of audio, video, images or texts on the internet to address site visitors.

In this technique, online ads are created on those webpages which have good traffic of users. These ads may be in the form of videos, images and popups. Formally, DDA follows four key stages like; define (define your target audience and objectives of your ads), format (Design the ad strategy and time to appear on web page), configure (Implementation of strategy in the best manner to attract and retain customers) and analyze (Analyze the strategy to know the best

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channel to create the awareness). By following a good DDA strategy you will make a positive influence on your target segments.

Social Media Marketing (SMM)

Social media marketing is the marketing of product or services over the social media in the form of Tweets, YouTube video, blogging and micro blogging etc.

Gone are the days when your advertised message disappeared after it was aired on television or on radio. Social media has given the life line to advertising as your message will remain on screen until you want. This type of marketing has an edge over the traditional marketing as it creates interaction with your customers enabling you to measure the result of your advertisement in an effective way. If we look into the statistics of online traffic then efficacy of SMM will be proved as, there are about 350 million people who are active on Facebook. More than 346 million people read blogs, and 184 million people are bloggers themselves. Twitter has more than 14 million registered users, and YouTube claims more than 100 million viewers per month. More consumers are connected with every passing minutes and it builds a huge platform for the marketer to advertise themselves over the social media.

Location Based Marketing/ Mobile Marketing

With the increase of mobile phones, new horizon in the form of mobile marketing has emerged. Everyone is carrying his mobile phone everywhere and used to gossip with friends by using different social media sites. Smart phones have enabled marketers to use innovative ways to send their promotional messages to end users. In location based marketing, GPS of end user is used to find the location and then send promotional messages regarding his locality. Customer's mobile devise is tracked by using appropriate location application programming interface (API) for the device or may be accessed through a server-side application that interfaces with the carrier's location platform.

Content Marketing

Content is a king. That is the modern phrase and it proves to be correct as far as very nature of internet is concerned. Content marketing is a type of marketing in which contents in the form of images, phrases, blogs or videos are used to implicitly market the product with the intention to

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stimulate interest of consumers. Contents on the webpage are arranged in ascending orders; top of the funnel (Contents to aware your customers regarding your products/service), middle of the funnel (Contents realizing the importance of your product in meeting their needs) and bottom of the funnel (Contents to demonstrate the product usage to help customers in purchase decision). A good content should have the following properties;

- it should be innovative and unique
- it should be written in such a manner that people want to share it
- it should be trustworthy and people can relate it to their lives
- it should be adapted by people on different platforms

Search Marketing (SEO)

"The process of refining your website using both on-page and off-page practices so that it will be indexed and ranked successfully by search engines. SEO stands for "search engine optimization." It is the process of getting traffic from the "free," "organic," "editorial" or "natural" search results on search engines. Being a good marketer, if you become successful in controlling the entry point on internet, you will get huge success. Search engines are the entry points on the internet through which a user get entered by typing a keyword over search bar. If we type something on the search bar, the program searches from the index of Google list and take you at desired page. Search engine optimization basically involves in being in that index list so that your webpage appears in front of the user and he will move to your web page. This is done by purchasing a keyword from auction that run by Google administration. Suppose you are dealing in camping equipment and you purchase the keywords 'camping' thus whenever a user types keyword 'camping', Google index will take the user to your webpage.

Pay per click advertising

In PPC, an online advertiser displays his ads on the search page when users entered a keyword. Due to its very nature it is also called as keyword advertising. Here, advertisers are charged only when user clicks on their ads. Appearing of ads link with the keywords that are used on search bar, therefore, ads are subject to ad auction that is actually a bidding system.

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4P's in Digital World:

1. Digital Product

Digital products are those products which are digital in nature versus the pure physical product. The products that are sold on internet like computers or homes are not termed as digital products. So, digital products are predominately digital in nature. Example of digital products includes the digital content; movies, books, songs, articles and data as well as digital services, like communications, subscriptions and software etc. A third category is the hybrid product such as airfare which contains digital (ticket) and a physical (flight) component. However, for both online and offline products there exist still some similarity in decisions like differentiating it from the competitors and how to brand it.

2. Digital Price

With the advent of internet and digital marketing, digital price faces new challenges due to the very nature of digital product because it is easy for the customers to compare the digital products online so it poses a great challenge for the marketer to price their digital products. Another challenge with the digital pricing is to maximize value by considering the implications for both the competitors and customers. Different strategies are used for pricing the digital product; value base pricing (based on the value of product i.e. higher valued product priced high), freemium pricing (offering a trial of product free like 30 days trial for minimum price and then charged on additional usage) and reframing pricing strategies (division of the price in such a manner that customer perceives that it is a low priced product. For instance, online course price per day or per session).

3. Digital Place

"Virtual, online environment (a website, for example) that allows individuals or firms to conduct business electronically is called digital place." There are two types of digital places exist on internet. One is the retail store of a firm existing on the webpage and other is the digital product using the space of other organization on webpage.

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4. Digital Promotion

It is simply defined as 'Promotion on internet by using different tools'. Digital promotion opens new avenues for marketer as they have now plenty of ways to communicate with their target customers. Digital promotion is a bi-directional process in which not only marketers communicate with the customers but customers also communicate with the marketers. But, this trend poses challenges to marketer because customers have different other ways to check organization's credibility and views. People not only get your viewpoints in the form of ads on some product/service but also get the experiences from their peers and relatives.

Consumers in Digital World

Digital era has empowered consumers in multiple ways. Consumers now have multiple options to access information and record their behaviors. So, we can say that consumer 2.0 is more empowered and informative than consumer 1.0. Digital Consumers can be divided into six categories based on the usage of internet; basic digital consumers, retail scouts, brand scouts, digitally driven consumers, calculated shoppers and external shoppers. With the rapid advancement in technology, consumer's access has grown further along with their expectations. Today we have different type of smart phones with 4G/5G connections. We can access anything and we can share anything. So it becomes difficult for the marketer to compete in this situation and there is need to understand the contributing factors that have led to such behavior.

Now, marketers need to set high standards of their products, make responsive websites, have multiple channel communication with the consumers, make fruitful dialogues with the customers and mitigate the tolerance level. In this way a marketer can tackle the modern consumers in an efficient manner.

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GENERALLY ASKED QUESTIONS

Question 1: What is the Difference between the conventional and digital marketing?

Answer: Conventional and digital marketing differs on the basis of following grounds:

Cost

Conventional marketing is costly than the digital marketing. In conventional marketing, you advertise on billboard, radio/TV and newspaper which are costly medium in nature. While in digital marketing you advertise on different social websites which is not costly as compared to conventional mode of advertising.

Reach

Conventional media reach is limited as people in that particular area know your product only. For example, ads on a cable channel or on a billboard reach to the people of that area only. However advertisement on a webpage reaches to the global audience along with the local audience.

Interaction

Another major difference is the interaction. In conventional advertisement, marketer can't interact with the customers at the time of advertisement. For example through radio/TV advertisement or billboard advertisement, you can't interact with your customers. However, through webpage advertising you can interact with your customers when customer click on your ad and messaging with the customer care department starts.

Conversion

In conventional marketing you can't measure the impact of your advertising in the form of number of customers who actually purchase your product versus the number of customers view your ads on billboard or TV. This is called the conversion rate. In digital marketing you can

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measure it through the number of customers click on your ads versus the number of customer who actually purchase your product.

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MGT301 Quiz-4 By Vu Topper RM

Principles of Marketing (Virtual University of Pakistan)

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Mgt301 Important Mcq's For Final Term
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Paid Tasks = LMS Handling + Online Classes + Project

1. The societal marketing concept call on marketers to balance consumer wants and desires, company profits, and society's interest.
   - True ✔
   - False

2. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.
   - True ✔
   - False

3. Demarketing is a marketing philosophy focused upon product differentiation and positioning
   - True ✔
   - False

4. Your accounting department must measure revenues and costs to help the marketing department know how well it is achieving its objectives.
   - True ✔
   - False

5. When sellers focus on existing needs and lose sight of the underlying customer wants, they suffer from marketing myopia.
   - True ✔
   - False

6. Most firms follow the production concept when they face overcapacity.
   - True
   - False ✔

7. The significant trends in the natural environment include shortages of raw materials and increased pollution
   - True ✔
   - False

8. When firms take aggressive action to affect the public and forces in their marketing environment, they are taking an environmental management perspective.
   - True ✔
   - False

9. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.
   - True ✔

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- False

10. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.
- True ✔
- False

21. Product, Price, Place and promotion make up the elements of a firm's marketing mix.
- True y
- False

22. The simplest definition of modern marketing is managing profitable customer rleationships.
- True y
- False

23. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.
- True y
- False

24. When backed by buying power, needs become demands.
- True y
- False

49. Characteristics such as age, gender, and marital status are known as ___
- Psychographic characteristics
- Biographical characteristics
- Geographical characteristics
- Behavioral characteristics

50. ___ works on supposition that consumers/customers buy products which fulfill their needs.
- Production concept
- Marketing concept y
- Selling concept
- Product Concept

51. Which of the following options refers to the activities that are associated with planning, pricing, promoting and distributing the product or service?
- Marketing y
- Selling
- Promotion
- All of given

52. ___ focuses on making every possible sale of the product, regardless of the need of customer.
- Production concept
- Marketing concept
- Selling concept y
- Product concept

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53. ___ focuses on making better-quality products for their customers.
- Production concept
- Marketing concept
- Selling concept
- Product concept y

54. Marketing is a process which aimed at ___
- Production
- Financial management
- Satisfaction of consumer needs/wants y
- None

55. The ___ is a marketing concept that holds that the company makes its marketing decisions by considering consumer's needs and, wants and society's long term interests.
- Product
- Production
- Selling
- Societal Marketing y

56. A transaction involves ___
- At least two individuals/ Parties
- Both is capable to communicate and deliver
- Both are free to accept or reject the offer
- All of given y

57. Delivering customer satisfaction in return of profit is known as:
- Management
- Marketing y
- Selling
- Distribution

58. Building, keeping and growing profitable value-laden relationships with all customers of a company refers to which of the following options?
- Customer lifetime value
- Customer perceived value
- Customer relationship management Y
- Societal marketing

59. The 4 P's of marketing are the product, price, place, and promotion. Occasionally marketers consider two more P's. These are:
- People and Processes
- Profits and Processes
- People and Profits y
- Profits and Procedure

60. All of the following are the actors of micro environment EXCEPT:

- Company
- Suppliers

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- Marketing Intermediaries
- Demographic environment y

61. All of the following are the forces of macro environment EXCEPT:

- Economic
- Natural
- Technological
- Public y

62. All of the following are the types of public's EXCEPT:

- Financial
- Media
- Local
- Suppliers y

63. Which of the following is known as the providers of resources to produced goods and services?

- Suppliers y
- Competitors
- Customers
- Public

64. All of the following are actors of political environment EXCEPT:

- Laws
- Government agencies
- Pressure groups
- Marketing intermediaries y

65. All of the following are indicators of economic environment EXCEPT:

- Per capita income
- Inflation rate
- Internet rate
- Gender ratio y

66. All of the following are indicators of demographic environment EXCEPT:

- Density
- Life expectancy
- Median age

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- Per capita income y

67. Which of the following micro environment actors help the company to promote, sell and distribute its products to final buyers?

- Marketing intermediaries y
- Competitors
- The company
- Public

68. In which of the following marketing channels no intermediaries involves to make their products available to final buyers?

- Direct channel y
- Flexible channel
- Indirect channel
- Static channel

69. In macro environment, 'pressure groups' and 'government agencies' are part of:

- Demographic environment
- Political environment y
- Economic environment
- Cultural environment

70. Expanding fields of health care, space, robotics, and bio-genetic industries refers to which of the following environment?

- Cultural environment
- Economic environment
- Technological environment y
- Demographic environment

71. Marketing stimuli consist of:

- Product
- Price
- Place
- All of given y

72. Which of the following is not an environmental stimulus?

- Economic factors
- Price factor y

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- Technological factors
- Cultural factors

73. Which of the following is the part of buyer's black box?

- Buyer's characteristics y
- Consumer behavior
- Buyer attitude
- Buyer's personality

74. Which of the following is NOT the part of cultural factors?

- Sub culture
- Culture
- Social class
- Family y

75. Which of the following is NOT the part of personal factors?

- Self-concept
- Lifestyle
- Age and life-cycle stage
- Roles and status y

76. Which of the following is NOT the part of psychological factors?

- Motivation
- Perception
- Learning
- Self-concept y

77. Which of the following best describes Upper class?

- Social elite who live on inherited wealth y
- Professionals
- Unskilled labors
- Independent business persons

78. Which of the following best describes the group which the consumers are inspired with, compare themselves with them and want to be like them?

- Membership group
- Brand community
- Social networking group

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- Reference group y

79. Which of the following needs does not belong to Maslow's hierarchy of needs?

- Cultural needs y
- Self-actualization needs
- Self-esteem needs
- Safety needs

80. Which of the following best describes the process by which people select, organize, and interpret information to form a meaningful picture of the world?

- Motivation
- Perception y
- Learning
- Self-concept

81. The tendency of consumers to remember good point made about a brand they favor and forget good points made about competing brands is called:

- Selective distribution
- Selective retention y
- Selective attention
- None

82. Which of the following buying behavior is undertaken by buyers when they are highly involved in purchase process and there are significant perceived differences among brands?

- Complex buying behavior y
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior

83. Which of the following buying behavior is undertaken by buyers when they are highly involved with an expensive, risky and infrequent purchase but there are few perceived differences among brands?

- Dissonance reducing buying behavior y
- Habitual buying behavior
- Variety Seeking buying behavior
- Complex buying behavior

84. Which of the following buying behavior is undertaken by buyers in purchase of grocery items?

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- Complex buying behavior
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior y

85. Which of the following buying behavior is undertaken by buyers in purchase of sports car?

- Complex buying behavior y
- Variety seeking buying behavior
- Dissonance reducing buying behavior
- Habitual buying behavior

86. Which of the following buying behavior is undertaken by buyers in purchase of biscuits?

- Complex buying behavior
- Variety seeking buying behavior y
- Dissonance reducing buying behavior
- Habitual buying behavior

87. Which of the following is NOT the part of social factors?

- Family y
- Social class
- Roles and status
- Reference Groups

88. The group which has a direct impact on consumer's purchasing behavior is called:

- Membership group y
- Brand community
- Reference group
- Social networking group

89. The tendency of people to interpret information in a way that will support what they already believe is called:

- Selective distortion y
- Selective retention
- Selective attention
- None

90. Which of the following buying behavior is undertaken by buyers in purchase of carpet?

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- Complex buying behavior
- Variety seeking buying behavior
- Habitual buying behavior
- Dissonance buying behavior y

91. Examples of business markets include which one of the following options?

- Manufacturers
- Service providing companies
- Government institutes
- All of given y

92. Which of the following markets deal with few customers and generate more revenue?

- Business markets y
- Consumer markets
- Financial markets
- Capital markets

93. The business markets have ___ buyer and seller dependency on each other as compared to consumer markets.

- Weak
- Strong y
- Moderate
- Little

94. The business buying process is more complex than consumer buying process because it requires:

- Formal documentation
- Product specification
- Proposal writings
- All of given y

95. In business buying behavior model, which of the following marketing stimuli affect the buying organization which leads to generate buyer responses?

- Price
- Place
- Promotion
- All of given y

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96. In which of the following buying situations, the buyer purchases a product or service for the first time?

- Straight rebuy
- Modified rebuy
- New task y
- None

97. In which of the following buying situations, the buyer wants to amend product specifications, prices, terms, or suppliers?

- Straight rebuy
- Modified rebuy y
- New task
- None

98. In which of the following buying situations, the buyer routinely reorders something without any amendments?

- Straight rebuy y
- Modified rebuy
- New task
- None

99. Which of the following participants are involved in the business buying decision process?

- Users
- Influencers
- Buyers
- All of given y

100. All of the following participants are involved in the business buying decision process EXCEPT:

- Buyers
- Deciders
- Rack jobbers y
- Gatekeepers

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76) Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
FALSE
77) The real value of marketing research and information lies not in quantity but in the customer insights provided.
TRUE
78) Customer needs and buying motives are typically obvious to marketers.
FALSE
79) An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
TRUE
80) Too much marketing information can be as harmful as too little.
TRUE
81) When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
TRUE
82) You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information is complete and in useable form to build an internal marketing database.
FALSE
83) Data age quickly, so keeping the database current requires dedicated resources.
TRUE
84) Major suppliers and resellers are not important sources of intelligence information for marketing decision making.
FALSE
85) Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
FALSE

76. In the last decade, Coach has ignored marketing research when designing new bags.
(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach’s exhaustive market research has failed to pay off.
(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.
(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
(Answer: True; p. 98; Moderate)

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81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort.
(Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.

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(Answer: True; p. 105; Moderate)
95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing.
(Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples.
(Answer: False; p. 110; Challenging)

102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.
(Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

1. The marketing of goods and services to companies, governments, or not-for-profit organizations for use in the creation of goods and services that they can produce and market to others is referred to as
Answer: business marketing.

2. Organizational buyers include manufacturers, wholesalers, retailers, and government agencies
Answer: That buy goods and services for their own use or resale

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3. Which of the following statements represents an organizational buying decision?
Answer: The owner of a fried chicken restaurant hires a snow removal service to keep the parking lot clear.

4. Organizational buyers can be divided into three different markets. They are
Answer: industrial, reseller, and government markets.

5. The services market sells diverse services such as legal advice, auto repair, and dry cleaning. Along with finance, insurance, real estate businesses, and _____, communication and public utility firms, as well as not-for-profit organizations, these firms represent about 75 percent of all industrial firms.
Answer: transportation

1. Product, price, place and promotion make up the elements of a firm's marketing mix.

   A. True (Chapter no 1 Original Book Page no 34)
   B. False

2. Selling is managing profitable customer relationships.

   A. True
   B. False (Lesson no 44 Page no 220 Old Handouts)

3. Human needs are shaped by culture and individual personality.

   A. True
   B. False (Chapter no 1 Original Book Page no 8)

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

   A. True (Lesson no 44 Page no 220 Old Handouts)
   B. False

5. When backed by buying power, needs become demands.

   A. True
   B. False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

   A. True
   B. False

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7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

A. True
B. **False**

8. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

A. True **B. False**

9. Marketing offers are limited to physical products.

A. True
B. **False**

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True
B. False

11. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)
B. False

12. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts)**

13. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

A. True
B. **False ??????**

14. The difference between human needs and wants is that needs are states of felt deprivation.

A. True
B. False

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15. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

A. True (Lesson no 4 Page no 20 Old Handouts) B. False

16. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

A. True (Lesson no 2 Page no 12 Old Handouts) B. False

17. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

A. True (Lesson no 4 Page no 21 Old Handouts) B. False

18. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

A. True **B. False (Lesson no 2 Page no 11 Old Handouts)**

19. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

A. True (Lesson no 44 Page no 222 Old Handouts) B. False

20. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

B. False

1. Raheela works for the Aftab Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Raheela plays the role of gatekeeper.

   a. True **b. False**

   Rachel Stein works for the LeBray Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Rachel plays the role of gatekeeper.
   Answer: FALSE

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AACSB: Analytical thinking
Skill: Application
Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
Difficulty: Easy

Note : Name changed.

2. In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

   a. **True (Lesson no 16 Page no 79 Old Handouts)** b. False

3. Mission statements must fit the market environment, as indicated here by the Girl Scouts' mission: "where girls grow strong."

   a. **True** b. False

   Mission statements must fit the market environment, as indicated here by the Girl Scounts of American's mission: "where girls grow strong."
   (Answer: True; p. 39; Moderate)

   Note: Difference in these statements are that there is no American's mission written in above statement.

4. The central question for marketers is how do consumers respond to various marketing efforts the company might use? The starting point is called the stimulusresponse of buyer behavior.

   a. **True (Answer: True; p. 129; Moderate)** b. False

5. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.

   a. **True (Answer: True; p. 147; Moderate)** b. False

6. The macroenvironment consists of the factors close to the company that affect its ability to service its customers, such as suppliers, customer markets, competitors, and publics.

   a. True **b. False**

7. Sarwar Incorporation wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.

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a. **True (Answer: True; p. 109; Easy)** b. False

8. When firms take aggressive action to affect the publics and forces in their marketing environment, they are taking an environmental management perspective.

a. **True (True; Moderate; p. 132)** b. False

9. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.

a. **True (Answer: True; p. 103; Easy)** b. False

10. In the supplier selection stage, the buyer reviews supplier performance.

a. True **b. False**

In the supplier selection stage the buyer reviews supplier performance. (F)

11. The production concept and product concept are two philosophies that can both lead to marketing myopia.

a. True **True (Theme 1 page 5) (100% Sure)** b. False

12. Holiday Inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

a. True **b. False (Answer: False; p. 50; Moderate)**

13. ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

a. **True (Answer: True; p. 38; Easy)** b. False

14. Marketing management is interested in serving all customers in every way to remain competitive in today's markets. **(DoubtFul)**

a. True **b. False (False; Moderate; p. 11)**

15. Today's marketers must be good at building relationships in order to connect effectively with customers, other in the company, and external partners.

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a. True True (Theme 1 page 1) (100% Sure) b. False

16. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

a. True (Chapter no 1 Page no 9 Original Book) b. False

17. The demand for many business goods tends to change more slowly than the demand for consumer goods.

a. True **b. False (Lecture no 16 Page no 74 Old Handouts)**

18. A company buying a product or service for the first time faces a new task situation.

a. True (Lesson no 16 Page no 76 Old Handouts) b. False

19. As an employee of Bankers Enterprises, you market wild and crazy games for teens to play at parties. You work in the business market.

a. True **b. False (False; Easy; p. 108)**

20. More and more companies are shifting their brand management focus toward customer relationship management.

a. True (Answer: True; p. 61; Easy) b. False

21. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

a. True True (Theme 1 page 2) (100% Sure) b. False

22. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.

a. **True (Answer: True; p. 49; Challenging)** b. False

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23. Most household income is used up in purchasing food, housing, and transportation.

a. **True** b. False

24. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

a. True **b. False False (Confirm) (100% Sure)**

25. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post purchase behavior.

a. **True (Answer: True; p. 144; Easy)** b. False

26. Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

a. **True (Answer: True; p. 39; Moderate)** b. False

27. Making more sales to current customers without changing a firm's products in market penetration.

a. **True (Answer: True; p. 44; Moderate)** b. False

28. The owner of 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any other group in the company, must be the trend trackers and opportunity seekers.

a. **True (True; Moderate; p. 107)** b. False

29. Marketing research firms, advertising agencies, media firms, and marketing consulting firms are referred to as marketing services agencies.

a. **True (True; Easy; p. 108)** b. False

30. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

a. True **b. False (Answer: False; p. 101; Challenging)**

31. Business demand ultimately derives from the demand for consumer goods.

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a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

32. The buying center is a fixed and formally identified unit within the buying organization.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

33. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.

a. True **b. False (Answer: False; p. 99; Challenging)**

34. The microenvironment consists of larger societal forces that affect the microenvironment, such as demographic, economic, political, and cultural forces.

a. True **b. False (False; Easy; p. 107)**

35. The difference between human needs and wants is that needs are states of felt deprivation.

a. True (True; Easy; p. 6) b. False

36. The collection of businesses and products that make up a company is called its marketing strategy.

a. True **b. False (Answer: False; p. 49; Easy)**

37. Too much information can be as harmful as too little.

a. **True (Answer: True; p. 98; Easy)** b. False

38. Within the organization, buying activity consists of two major parts: the buying center and the buying decision process.

a. **True (Lesson no 16 Page no 76 Old Handouts)** b. False

39. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

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a. True **b. False (Answer: False; p. 142; Challenging)**

40. According to Engel's laws, consumers tend to spend a smaller percentage of income on food as income rises.

a. True **b. False**

41. Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved. **(Read Chapter no 8 Page no 311 Original Book)**

a. True b. False

42. Tanveer Jafer works for a firm that is a distribution channel member that helps the company find customers or make sales to them. Tanveer works for a reseller.

a. **True (True; Moderate; p. 108)** b. False

43. Selling is managing profitable customer relationships.

a. True **b. False False (Theme 1 Page 6) (100% Sure)**

44. In the Boston Consulting Group approach, relative market share serves as a measure of company strength in the market.

a. True **b. False (Answer: False; p. 40; Easy)**

45. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

a. **True (Lecture no 16 Page no 74 Handouts)** b. False

46. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.

a. **True (Answer: True; p. 57; Moderate)** b. False

47. Influencers often help define specifications and also provide information for evaluating alternatives.

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a. **True (Lesson no 16 Page no 76 Old Handouts)** b. False

48. In the business buying process, the buyer and seller are relatively less dependent on each other.

a. True **b. False (Lesson no 16 Page no 75 Old Handouts)**

49. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

a. **True (Answer: True; p. 138; Easy)** b. False

50. All business buying decisions follow all steps of the business buying process. **(Doubtful)**

a. True **b. False**

51. At Air Online, "we provide online services," is a market-oriented business definition.

a. True **b. False**

At America Online, "we provide online services," is a market-oriented business definition. (Answer: False; p. 38; Moderate)

52. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

a. True True (Theme 1 Page 6) (100% Sure) b. False

53. Environmental concerns have been on the decline in the past decade; government legislation and the green movement may be the cause of this trend.

a. True **b. False Answer: FALSE**
Diff: 2 Page Ref: 80
Skill: Concept
Objective: 3-3

54. When a consumer learns about a new product for the first time and time makes a decision to try it, it is called the alternative evaluation process.

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a. True **b. False (Answer: False; p. 142; Moderate)**

55. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.

a. True **b. False (Answer: False; p. 143; Moderate)**

56. Most businesses that manufacture products for the consumer market also sell directly to consumers.

a. True b. False

57. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.

a. **True (Answer: True; p. 146; Moderate)** b. False

58. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

a. True **b. False (Answer: False; p. 144; Challenging)**

59. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.

a. **True (Answer: True; p. 132; Easy)** b. False

60. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

a. True **b. False (Answer: False; p. 101; Challenging)**

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61. Product, price, place and promotion make up the elements of a firm's marketing mix.

a. True True (Confirm) (100% Sure) b. False

62. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

a. True (Answer: True; p. 54; Moderate) b. False

63. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

a. True (True; Easy; p. 11) b. False

64. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

a. True (True; Moderate; p. 6) b. False

65. It is important to note that data becomes old/age quickly, and keeping the database current requires a major effort.

a. True (Answer: True; p. 99; Easy) b. False

66. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

a. True **b. False (False; Moderate; p. 107)**

67. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person.

a. True (Answer: True; p. 146; Moderate) b. False

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68. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.

a. True **b. False (Answer: False; p. 146; Challenging)**

69. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

a. True True (Theme 1 page 1) (100% Sure) b. False

70. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.

a. True **b. False (Answer: False; p. 102; Moderate)**

71. The first step in strategic planning is to define the company mission.

(Answer: True; p. 37; Moderate) a. True b. False

72. Almost all major purchases result in cognitive dissonance, or discomfort caused by post purchase conflict.

a. **True (Answer: True; p. 144; Easy)** b. False

73. Significant reasons for business laws to be enacted include protecting the interests of society, protecting consumers, and protecting companies from each other.

a. **True (True; Easy; p. 125)** b. False

74. The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

a. **True (Lesson no 16 Page no 79 Old Handouts)** b. False

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75. People differ greatly in their readiness to try new products. In each product area, there are “consumption pioneers.” They are also called laggards.

a. True **b. False (Answer: False; p. 146; Challenging)**

76. A market segment consists of consumers who respond in different ways to a given set of marketing efforts.

a. True **b. False (Answer: False; p. 50; Moderate)**

77. The selling concept holds that consumers will not buy enough of the firm’s products unless it undertakes a large-scale selling and promotion effort.

a. **True (True; Easy; p. 12)** b. False

78. Marketing offers are limited to physical products.

a. True **b. False (100% sure)**

79. Today’s marketers recognize the importance of working with their intermediaries as channels through which they sell their products rather than as mere products.

a. True **b. False False (Confirm) (100% Sure)**

80. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by “letting it ride.”

a. True **b. False (Answer: False; p. 101; Easy)**

81. In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

a. **True (Page Ref: 175 TRUE 17)** b. False

82. The significant trends in the natural environment includes shortages of raw materials and increased pollution.

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a. True
b. **False (False; Challenging; p. 123)**

83. Mission statements should both fit the market environment and be motivating.

a. **True (Answer: True; p. 39; Easy)** b. False

84. The main differences between business and consumer markets are in market structure and demand, the nature of the buying unit, and the types of decisions and the decision process involved.

a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

85. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."

a. **True (Answer: True; p. 102; Easy)** b. False

86. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

a. **True** b. False

87. Your accounting department must measure revenues and costs to help the marketing department know how well it is achieving its objectives.

a. **True (True; Easy; p. 108)** b. False

88. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.

a. True **b. False (Answer: False; p. 102; Moderate)**

89. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.

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a. True **b. False (Answer: False; p. 148; Challenging)**

90. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

a. True True (Theme 1 page 8) (100% Sure) b. False

91. The simplest definition of modern marketing is managing profitable customer relationships.

a. True (True; Easy; p. 5) b. False

92. Marketing mix is the set of uncontrollable, marketing tools that the firm can use to influence the demand for its products.

a. True **b. False (Answer: False; p. 52; Moderate)**

93. An effective MIS (Marketing Information System) assesses information needs, develops needed information, and distributes the information to help managers use in decision making.

a. True (Answer: True; p. 98; Moderate) b. False

94. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

a. True **b. False**

95. In a straight rebuy, the buyer wants to alter product specifications, prices, terms, or suppliers.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

96. Human needs are shaped by culture and individual personality.

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a. True **b. False (Lesson no 2 Page no 10 Old Handouts)**

97. Secondary data provide good staring points and often help to define problems and research objectives, though most companies must also collect primary data.

a. True (Answer: True; p. 105; Moderate) b. False

98. Gatekeepers have formal or informal power to select or approve the final suppliers.

a. True **b. False**

Gatekeepers have formal or informal power to select or approve the final suppliers.
Answer: FALSE
Skill: Concept
Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
Difficulty: Easy

99. Consumer organizations such as environmental and minority groups may question a company's marketing decisions. This type of public is called the local public.

a. True **b. False (False; Moderate; p. 110)**

100. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.

a. True
b. False False (Confirm) (Correct Product Concept) (100% Sure)

101. The reason the demographic environment is of major interest to marketers is because it involves people, and people make up markets.

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a. True **True (Confirm) (100% Sure)** b. False

102. Mission statements should be realistic and general in nature.

a. True **b. False (Answer: False; p. 39; Moderate)**

104. The newer the buying task, and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

a. True **b. False (Lesson no 16 Page no 79 Old Handouts)**

105. Guided by marketing strategy, the company designs a marketing mix made up of factors under its control-product, price, place, and promotion.

a. **True (Answer: True; p. 52; Moderate)** b. False

106. An SBU can be a company division, a product line within a division or sometimes a single product or brand.

a. **True (Answer: True; p. 40; Easy)** b. False

107. A belief is the specific mix of human traits that may be attributed to a particular brand.

a. True **b. False (Answer: False; p. 141; Moderate)**

108. "At Nike, we sell shoes" is a market-oriented business definition.

a. True **b. False (Answer: False; p. 38; Moderate)**

109. When backed by buying power, needs become demands.

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a. True
b. **False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)**

110. When backed by buying power, wants become demands.

a. **True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)** b. False

111. A dissonance reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.

a. True **b. False (Answer: False; p. 145; Challenging)**

112. Consumer buying behavior refers to the buying behavior of businesses.

a. True **b. False (Answer: False; p. 128; Easy)**

113. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.

a. **True (Answer: True; p. 113; Moderate)** b. False

114. Good sources of marketing intelligence information includes competitors, annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.

a. **True (Answer: True; p. 101; Moderate)** b. False

116. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

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a. True True (Theme 1 page 7) (100% Sure) b. False

117. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interests.

a. True True (Theme 1 page 6) (100% Sure) b. False

118. Most firms follow the production concept when they face overcapacity.

a. True **b. False False (Theme 1 page 5) (100% Sure)**

119. A company with limited resources might decide to serve all segments of a market.

a. True **b. False (Answer: False; p.50; Moderate)**

120. At Air Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition.

a. True **b. False**

At America Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition. (Answer: False; p.38; Moderate)

121. The image a product reflects in the minds of consumers is called market segmentation.

a. True **(Answer: False; p. 50; Easy) b. False**

122. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

a. **True True (Confirm) (100% Sure)** b. False

123. Major factors are changing the face of today's marketing communications. Mass markets have fragmented; thus, marketers are shifting away from mass marketing.

a. **True (Lesson no 32 Page no 160 Old Handouts)** b. False

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124. A break-even chart shows the total cost and total revenue expected at various sales volume levels.

a. **True (Lesson no 25 Page no 120 Old Handouts)** b. False

125. Demand and consumer value perceptions set the floor for prices.

a. True **b. False (False; p. 263; Moderate)**

126. In industrial markets, product managers have an influence on the company's price-setting decisions.

a. **True (True; p. 269; Easy)** b. False

127. Cost-based pricing relies on consumer perception of value to drive pricing.

a. True **b. False (False; p. 267; Easy)**

128. Informative ads are used primarily in the growth stage of the product life cycle.

a. True **b. False Answer: FALSE**
Diff: 2.
Page Ref: 431.
Skill: Concept Objective:15-2

129. Overhead cost is another term for variable cost.

a. True **b. False (False; p. 266; Easy)**

130. Slice of life, lifestyle, and personality symbol are all parts of public relations.

a. True **b. False (Lesson no 33 Page no 172 Old Handouts)**

131. Percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.

a. **True (Lesson no 32 Page no 165 Old Handouts)** b. False

132. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

a. **True (True; p. 277; Moderate)** b. False

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133. An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

a. **True (100% Sure)** b. False

134. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. **True (100% Sure)** b. False

135. When a company introduces a new brand name in the same product category, it is called line extension.

a. True **b. False (100% Sure)**

Answer: FALSE
Diff: 2 Page Ref: 250

Skill: Concept

Objective:

136. Lahore Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as the segmentation approach.

a. True **b. False**

Note: Name difference doubtful

137. Today, most companies have moved away from mass marketing and are being choosier about the customers with whom they wish to build relationships.

a. **True (100% Sure)** b. False

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138. Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price and style.

a. **True (100% Sure)** b. False

139. Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.

a. True **b. False (100% Sure)**

140. At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. You believe this is a correct definition.

a. True **b. False (100% Sure)**

141. At this point your company wants to move away from mass marketing and engage in target marketing. The three steps to take, in order, are market segmentation, marketing positioning and target marketing.

a. True (100% Sure) b. False

142. Commercial accounting is done through a system known as:

a. True **b. False False (Confirm) (100% Sure)**

143. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and internet cookies.

a. True **b. False (Answer: False; p. 111; Challenging)**

144. Marketers all agree that questionnaires are the most common research instrument.

a. **True (Answer: True; p. 111; Easy)** b. False

145. An increasing number of retailers and wholesalers have created their own brands-such as Hyper Star offering variety of food products. This is called co-branding.

a. True **b. False (False; p. 233; Challenging; LO3)**

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An increasing number of retailers and wholesalers have created their own brands—such as WalMart offers Sam's Choice beverages and food products. This is called co-branding. (False; p. 233; Challenging; LO3)

146. Customer retention is perhaps the best measure of quality-a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

a. **True Answer: TRUE** b. False
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

147. In international product and service marketing, it is important to know what different colors mean to different countries.

a. **True (True; p. 232; Easy; LO3) {AACSB: Global}** b. False

In international product and service branding, it is important to know what different words mean in different countries.
(True; p. 232; Easy; LO3) {AACSB: Global}

Note: Marketing and branding difference

148. Programs that include public health campaigns to reduce smoking, alcoholism, drug abuse, and overeating are examples of the social idea known as social marketing.

a. **True (Lesson no 13 Page no 544,545 Original Book)** b. False

149. In industrial markets, salespeople outrank top management in determining the sales price of products.

a. True **b. False (False; p. 269; Easy)**

150. POP promotions include displays and demonstrations that take place at the point of purchase or sale.
a. **True (Lesson no 34 Page no 177 Old Handouts)** b. False

151. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta and Pentax.

a. **True (True; p. 273; Moderate)** b. False

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152. The three characteristics for advertising appeals are: meaningful, believable and distinctive.

a. **True (Lesson no 33 Page no 171 Old Handouts)** b. False

153. Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

a. True **b. False**

154. Many marketers believe that behavior variables are the best starting point for building market segments.

a. **True (Lesson no 17 Page no 85 Old Handouts)** b. False

155. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

a. **True (True; p. 263; Easy)** b. False

156. Dove marketers can go beyond the brand's cleaning cream attributes and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.

a. True **b. False (False; Challenging; p. 292)**

157. Internal marketers face special challenges. They must figure out what products to introduce to other countries.

a. True **b. False (False; Moderate)**

158. Value-based pricing is the reverse of cost-based pricing.

a. **True (True; p. 264; Challenging)** b. False

159. An e-mail from a company that offers free shipping on your next purchase of more than Rs. 3000/= is an example of sales promotion. **(Doubtful)**

a. **True** b. False

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160. Co-branding is a form of product that consists of activities, benefits or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, airline, retail, tax preparation and home repair. **(Doubtful)**

a. True **b. False**

161. A company's total marketing communications mix is also called its promotion mix.

a. **True (Lesson no 32 Page no 159 Old Handouts)** b. False

162. Your assignment at work is to divide buyers into different groups based on social class, lifestyle and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.

a. **True** b. False

163. One important quality for a brand name is that it should translate easily into foreign languages.

a. **True (Lesson no 20 Page no 97 Old Handouts)** b. False

164. The simplest pricing method is break-even pricing-adding a standard markup to the cost of the product.

a. True **b. False (False; p. 267; Easy)**

165. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.

a. **True (Lesson no 32 Page no 167 Old Handouts)** b. False

166. Behavioral segmentation requires finding the major advantages or features people look for in the product class, the kinds of people who look for each advantage or feature and the major brands that deliver each advantage or feature.

a. True **b. False** 167. The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

a. True **b. False**
Answer: FALSE

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Diff: 2 Page Ref:238
Skill: Concept
Objective: 8-3

168. Competitors prices and offers are external factors that companies have to deal with.

a. True (True; p. 268; Easy) b. False

169. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.

a. **True (True; p. 277; Easy)** b. False

170. Shopping For The Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel and financial services. This firm would use income segmentation.

Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2 b. False

171. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

a. **True (From Google)** b. False

Manufacturers also **may offer an allowance** (usually so much off per case) in **return for the retailer's agreement to feature the manufacturer's products in some way**.

172. Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.

a. **True** b. False

173. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

a. True **b. False (False; p. 272; Easy)**

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174. Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

a. **True (Lesson no 34 Page no 175 Old Handouts)** b. False

175. Consumers position products with or without the help of marketers.

a. **True** b. False

176. The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

a. **True (Answer: True; p. 200; Easy; LO4)** b. False

177. Karachi Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.

a. **True Answer: TRUE** b. False
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

178. Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

a. True **b. False (Lesson no 19 Page no 93 Old Handouts)**

179. We define service as anything that can be offered to a market for attention, acquisition, use or consumption and that might satisfy a want or need.

a. True **b. False (100 % Sure)**

180. Each firm should be able to find a single way to segment each market.

a. True **b. False (Answer: False; p. 165; Easy)**

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181. In a product business, products are fairly standardized and can sit on shelves waiting for customers. In a service business, the customer and front-line service employee interact to create the service.

a. **True (Chapter no 15 Page no 634 Original Book)** b. False

182. Packaging does not include the material necessary to ship a product.

a. True **b. False**

183. This type of segmentation uses different marketing approaches for different time periods of peoples lives and different family situations. This segmentation method is called demographic.

a. True **b. False (Answer: False; p. 167; Moderate)**

184. Gender segmentation has long been used in clothing, cosmetics, toiletries and magazines.

a. **True (Chapter no 10 Page no 401 Original Book)** b. False

185. Products support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

a. True **b. False (Lesson no 20 Page no 99 Old Handouts)**

186. A company's product mix has four important dimensions: width, length, depth and consistency.

a. **True (Lesson no 13 Page no 570 Original Book)** b. False

187. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. **True (Lesson no 18 Page no 87 Old Handouts)** b. False

188. The brand of a product can determine its customer value.

a. **True (True; p. 226; Moderate; LO2)** b. False 189. Style is a larger concept than design. Design describes the appearance of a product.

a. True **b. False (Lesson no 20 Page no 96 Old Handouts)**

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190. Customers come to know a brand through a wide range of contacts and touch points. These include word of mouth, personal interactions with company Web pages. Many brands are not maintained by advertising but by brand experience.

a. **True (Chapter no 13 Page no 567 Original Book)** b. False

191. A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes the place the product occupies in the retailers minds relative to competing products.

(Read Lesson no 18 Page no 88 Old Handouts)

a. **True** b. False

192. An aspect of managing service differentiation is in the company's service delivery.

a. **True (100% Sure)** b. False

193. Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.

a. True **b. False (Answer: False; p. 173)**

194. Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more- for-less strategy.

a. True **Answer: FALSE**
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

195. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and

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self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.

a. **True (Answer: True; p. 139; Moderate)** b. False

196. A business marketer normally deals with far fewer buyers than the consumer marketer does.

a. **True (Lesson no 16 Page no 74 Old Handouts)** b. False

197) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.

a. True Answer: TRUE b. False
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

1. The most effective consumer promotion tool is sampling.
A. True (Page no 788 original book not handouts) B. False

2. Major factors are changing the face of today's marketing communications. Mass markets have fragmented, thus, marketers are shifting away from mass marketing.
A. True (Page no 720 original book not handouts) B. False

3. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

4. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive. **(True; p. 277; Moderate)**

5. The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.
(False; p. 267; Easy)

6. Environmental elements are categorized as external factors that affect pricing decisions.
Answer: TRUE

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Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

7. POP promotions include displays and demonstrations that take place at the point of purchase or sale.
A. True (Original book page no 788 not handouts) B. False

8. If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

9. Pricing often plays an important role in helping to accomplish company's multi-level objectives.
(True; p. 263; Easy)

10. Informative ads are used primarily in the growth stage of the product life cycle.
A. True **B. False**

11. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

12. Slice of life, lifestyle and personality symbol are all parts of public relations.
A. True **B.False (Book page no 769 original book not handouts)**

13. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

14. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

15. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

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16. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.
(True; p. 263; Easy)

17. A specific communication task to be accomplished with a specific target audience during a specific period of time is called an advertising objective.
A. True (Original book page no 905) B. False

18. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

19. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.
A. True (Page no 178 Old Handouts) B. False

20. Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.
A. True (Page no 200 Old Handouts) B. False

21. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.
(True; p. 277; Easy)

22. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

23. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

24. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

25. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

26. Value-based pricing is when costs vary directly with the level of product.

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(False; p. 264; Moderate)

27. The most expensive consumer promotion tool is sampling.
A. True (Page no 144 Old Handouts) B. False

28. Cost-based pricing relies on consumer perception of value to drive pricing. **(False; p. 267; Easy)**

29. *Overhead cost* is another term for *variable cost.*
(False; p. 266; Easy)

30. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

31. The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

32. A company's total marketing communications mix is also called its promotion mix.
A. True (Page no 160 old handouts) B. False

33. An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.
A. True B. False

34. Advertisers look for media that showcase the product effectively.
Fashions are best advertised on television, and automobile performance is best in color magazines.
A. True **B. False (Page no 174 old handouts)**

35. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

36. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

37. The three characteristics for advertising appeals are: meaningful, believable and distinctive.
A. True (Original Book page no 803,804) B. False

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38. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

39. The media planner has to know the reach, frequency, and impact of each ad.
A. True (Original Book Page no 807) B. False

Quiz No 3 2021 MGT 301

3. The most effective consumer promotion tool is sampling.
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Diff: 2 Page Ref: 300
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Objective: 10-3

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MGT301 SOLVED QUIZ 1 2021

Effort by Sarim

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1. Product, price, place and promotion make up the elements of a firm's marketing mix.

A. True (Chapter no 1 Original Book Page no 34)
B. False

2. Selling is managing profitable customer relationships.

A. True
B. **False (Lesson no 44 Page no 220 Old Handouts)**

3. Human needs are shaped by culture and individual personality.

A. True
B. **False (Chapter no 1 Original Book Page no 8)**

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

A. True (Lesson no 44 Page no 220 Old Handouts)
B. False

5. When backed by buying power, needs become demands.

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)**

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce

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the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

A. True

B. False

7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

A. True

B. **False**

9. Marketing offers are limited to physical products.

A. True

B. False

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True

B. False

9. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)

B. False

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10. **Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.**

A. True
B. **False (Lesson no 2 Page no 11 Old Handouts)**

11. **Marketing management is interested in serving all customers in every way to remain competitive in today's markets.**

A. True
B. **False (Not sure)**

12. **The difference between human needs and wants is that needs are states of felt deprivation.**

A. **True**
B. False

13. **When backed by buying power, needs become demands.**

A. True

B. **False (Lesson no 2 Page no 11 Old Handouts)**

14. **The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.**

A. **True (Lesson no 4 Page no 20 Old Handouts)**

B. False

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15. **Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.**

    A. **True (Lesson no 2 Page no 12 Old Handouts)**

    B. False

16. **The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.**

    A. **True (Lesson no 4 Page no 21 Old Handouts)**
    B. False

17. **When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.**

    A. True

    B. **False (Lesson no 2 Page no 11 Old Handouts)**

18. **Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.**

    A. **True (Lesson no 44 Page no 222 Old Handouts)**

    B. False

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19. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

B. False

MGT301 Solved Grand Quiz 2020

Question No 1

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Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 2

During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 3

Customer-perceived value depends on the product's perceived performance relative to a buyer's experience.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 4

When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 5

The elements of the marketing mix commonly

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known as the “four Ps” include: product, price, place, and promotion.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 6

Most businesses that manufacture products for the consumer market also sell directly to consumers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 7

Holiday inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 8

The owner of the 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any group in the company, must be the trend trackers and opportunity seekers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 9

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ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 10

Environmental concerns have been on the decline in the past decade; more government legislation and the green movement may be the cause of this trend.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 11

Today's marketers recognize the importance of working with their intermediaries as channel through which they sell their products rather than as mere partner.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 12

More and mor companies are shifting their brand management focus toward customer relationship management.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 13

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Today's marketers must be a good at building relationships in order to connect effectively with customers, others in the company, and external partners.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 14

Mission statement must fit the market environment, as indicated here by the Girl Scouts. "where girls grow strong".

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 15

Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 16

Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 17

The main differences between business and consumer markets are in market structure and

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demand, the nature of the buying unit, and the types of decisions and the decision process involved.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 18

Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the cost of a marketing offer relative to those of competing offers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 19

When you collect information from your company's accounting and sales stored in the computer, you are developing an internal database.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 20

When sellers focus on existing needs and lost sight of underlying customer wants, they suffer from marketing myopia.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 21

The buying center is a fixed and formally identified unit within the buying organization.

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Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 22

Social classes are society's relatively permanent and ordered whose members share similar values, interests, and behaviors.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 23

Who is out target market and what's our proposition are two important questions underlying marketing strategy.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 24

ABC interior Designs wants to collect research data through obtention. The three typical methods are video cameras, checkout scanners, and internet cookies.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 25

The simplest definition of modern marketing is managing profitable customer relationships.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

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Question No 26

“At Nike, we sell shoes” is a market-oriented business definition.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 27

The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quality needed, expected delivery time, return policies, and warranties.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 28

The newer the buying task, and the complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 29

The twofold of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

Question No 30

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No single competitive marketing strategy is best for all companies.

Select Correct Option

- ✓ **True** ..... (For More Visit VUStudents.pk)
- ✓ False

76. Harley-Davidson customers are mainly the Hell's Angels/Muscle Heads crowd. (Answer: False; p. 128; Easy)

77. The Harley-Davidson Company found out that buying behavior is simple and understanding it is the essential task of marketing management.
(Answer: False; p. 128; Moderate)

78. Consumer buying behavior refers to the buying behavior of businesses.
(Answer: False; p. 128; Easy)

79. The central question for marketers is: How do consumers respond to various marketing efforts the company might use? The starting point is called the stimulusresponse of buyer behavior. (Answer: True; p. 129; Moderate)

80. A dissonance-reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.
(Answer: False; p. 145; Challenging)

81. Each culture contains groups of people with shared value systems based on common life experiences and situations.
(Answer: True; p. 129; Moderate)

82. Asian Americans, the fastest growing and most affluent U.S. demographic segment, include Chinese Americans, Japanese Americans, Asian Indians, Korean Americans, and Filipino Americans.
(Answer: True; p. 132; Easy)

83. Younger consumers are better off financially than mature consumers. They are the ideal market for exotic travel, restaurants, high-tech home entertainment products, and leisure goods and services. (Answer: False; p. 132; Easy)

84. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.
(Answer: True; p. 132; Easy)

85. Social classes are now taking to the streets, as well as cafes, nightclubs, and the Internet, in record numbers. Their goal: to seek out the trendsetters in each

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community and subtly push them into talking up a specific brand to their friends and admirers.
(Answer: False; p. 132; Moderate)

86. Lifestyle is a person's pattern of living as expressed in his or her psychographics. (Answer: True; p. 136; Easy)

87. A belief is the specific mix of human traits that may be attributed to a particular brand.
(Answer: False; p. 141; Moderate)

88. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.
(Answer: True; p. 138; Easy)

89. A motive exists when consumers are highly involved with an expensive, infrequent, or risky purchase but see little difference among brands.
(Answer: False; p. 138; Easy)

90. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.
(Answer: True; p. 139; Moderate)

91. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.
(Answer: False; p. 142; Challenging)

92. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition. (Answer: False; p. 143; Moderate)

93. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in postpurchase behavior.
(Answer: True; p. 144; Easy)

94. Almost all major purchases result in cognitive dissonance, or discomfort caused by postpurchase conflict. (Answer: True; p. 144; Easy)

95. When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.
(Answer: False; p. 142; Moderate)

96. People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers." They are also called laggards.
(Answer: False; p. 146; Challenging)

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97. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.
(Answer: True; p. 146; Moderate)

98. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person. (Answer: True; p. 146; Moderate)

99. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.
(Answer: False; p. 146; Challenging)

100. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.
(Answer: False; p. 146; Challenging)

101. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.
(Answer: True; p. 147; Moderate)

102. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.
(Answer: False; p. 148; Challenging)

103. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.
(Answer: False; p. 144; Challenging)

104. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.
(Answer: True; p. 143; Moderate)

105. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition. (Answer: False; p. 143; Moderate)

1.

2. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

1. True
2. False

3. Marketing offers are limited to physical products.

1. True
2. False

4. Human needs are shaped by culture and individual personality.

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1. True
2. False

5. Selling is managing profitable customer relationships.
1. True
2. False

6. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.
1. True
2. False

7. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.
1. True
2. False

8. The production concept and product concept are two philosophies that can both lead to marketing myopia.
1. True
2. False

9. When backed by buying power, needs become demands.
1. True
2. False

10. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.
1. True
2. False

11. Mission statements should be realistic and general in nature.
1. True
2. False

12. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.
1. True
2. False

13. After carefully questioning your msjor suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
1. True
2. False

14. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.
1. True
2. False

15. Making more sales to current customers without changing a firm's products is market penetration.
1. True
2. False

16. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them

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caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

1. True
2. False

17. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

18. When you collect informationfrom your company's accounting and sales records stored in the computer. You are developing an internal database.

1. True
2. False

19. "At Nike, we sell shoes" is a market-oriented business definition.

1. True
2. False

20. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

1. True
2. False

21. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

1. True
2. False

22. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.

1. True
2. False

23. The buying center is a fixed and formally identified unit within the buying organization.

1. True
2. False

24. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

25. Dissonance-reducing buying behaviour occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

1. True
2. False

26. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

1. True
2. False

27. At Air Online, "we provide online services." is a market-oriented business definition.

1. True

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2. False

28. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

1. True
2. False

29. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

1. True
2. False

30. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.

1. True
2. False

31. Product, price, place, and promotion make up the elements of a firm's marketing mix.

1. True
2. False

32. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

1. True
2. False

33. Most firms follow the production concept when they face overcapacity.

1. True
2. False

34. The simplest definition of modern marketing is managing profitable customer relationships.

1. True
2. False

35. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

1. True
2. False

36. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

1. True
2. False

37. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

1. True
2. False

38. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

1. True

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2. False

39. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

1. True
2. False

40. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

1. True
2. False

41. The difference between human needs and wants is that needs are states of felt deprivation.

1. True
2. False

42. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

1. True
2. False

43. Most firms follow the production concept when they face overcapacity.

1. True
2. False

44. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

1. True
2. False

76. In the last decade, Coach has ignored marketing research when designing new bags.

(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach's exhaustive market research has failed to pay off.

(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.

(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.

(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.

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(Answer: True; p. 98; Moderate)

81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort. (Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

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91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.
(Answer: True; p. 105; Moderate)

95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing. (Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples. (Answer: False; p. 110; Challenging)

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102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them. (Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

121) Bombay Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.
Answer: TRUE
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

122) Shopping for the Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel, and financial services. This firm most likely uses income segmentation.
Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2

123) LaGrange Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as its segmentation approach.
Answer: FALSE

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Diff: 2 Page Ref: 197
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

124) Because Cruise Ships International currently has limited financial and personnel resources, it should avoid concentrated or niche marketing until its resources are again substantial.
Answer: FALSE
Diff: 2 Page Ref: 203
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-3

125) Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more-forless strategy.
Answer: FALSE
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

1) We define a _____ as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
A) private brand
B) service variability
C) service
D) product
E) service encounter
Answer: D
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept

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Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2

104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept
Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept

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Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201
Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

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113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3

117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.
Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.
Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.

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Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium. Answer: TRUE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377
Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff. Answer: TRUE
Diff: 2 Page Ref: 378

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Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE

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Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE
Diff: 1 Page Ref: 396

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Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE
Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1

124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE

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Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-4

101) Prices have a direct impact on a company's bottom line.
Answer: TRUE
Diff: 1 Page Ref: 290
Skill: Concept
Objective: 10-1

102) Demand and consumer value perceptions set the floor for prices.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

103) Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

104) Value-based pricing is being used when costs vary directly with the level of product.
Answer: FALSE
Diff: 3 Page Ref: 291
Skill: Concept
Objective: 10-2

105) Value-based pricing uses the company's perception of value.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

106) Value-based pricing is the reverse of cost-based pricing.
Answer: TRUE
Diff: 2 Page Ref: 291

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Skill: Concept
Objective: 10-2

107) EDLP is very similar to high-low pricing.
Answer: FALSE
Diff: 2 Page Ref: 293
Skill: Concept
Objective: 10-2

108) Overhead cost is another term for fixed cost.
Answer: TRUE
Diff: 1 Page Ref: 296
Skill: Concept
Objective: 10-2

109) Cost-based pricing relies on consumer perception of value to drive pricing.
Answer: FALSE
Diff: 2 Page Ref: 295
Skill: Concept
Objective: 10-2

110) Average unit cost increases with accumulated production experience.
Answer: FALSE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

111) An upward-sloping experience curve is beneficial for a company.
Answer: FALSE
Diff: 3 Page Ref: 297
Skill: Concept
Objective: 10-2

112) The simplest pricing method is cost-plus pricing, which involves adding a standard markup to the cost of the product.
Answer: TRUE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

113) Markup pricing is popular because prices tend to be similar and price competition is thus minimized.
Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept

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Objective: 10-2

114) Target return pricing is used when a firm tries to determine the price at which it will break even or make the profit it is seeking.
Answer: TRUE
Diff: 3 Page Ref: 298
Skill: Concept
Objective: 10-2

115) A break-even chart shows the total cost and total revenue expected at various sales volume levels.
Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept
Objective: 10-2

116) Environmental elements are categorized as external factors that affect pricing decisions.
Answer: TRUE
Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

117) In a pure monopoly, the market consists of one seller.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

118) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

119) If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

120) Once a company cuts prices, it's difficulty to raise prices again when the economy recovers.
Answer: TRUE

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Diff: 2 Page Ref: 304
Skill: Concept
Objective: 10-3

121) When faced with price competition, cutting prices is often not the best answer.
Answer: TRUE
Diff: 2 Page Ref: 290
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-1

122) Using value-based pricing, a marketer would not design a product and marketing program before setting the price.
Answer: TRUE
Diff: 3 Page Ref: 291
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-2

123) Monopolies charge the full price because they do not fear attracting competition or regulation.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 10-3

124) Marketers may learn a few simple rules that apply equally to all price-demand relationships.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 10-3

125) The more elastic the demand, the more it pays for the seller to raise the price.
Answer: FALSE
Diff: 2 Page Ref: 303
AACSB: Reflective Thinking Skills
Skill: Critical Thinking

Objective: 10-3

101) A company's marketing communications mix is also called its promotion mix.
Answer: TRUE

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Diff: 1 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1

102) Sales promotion makes use of press releases and special events.
Answer: FALSE
Diff: 2 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1

103) Mass markets have fragmented; thus, marketers are shifting away from mass marketing.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

104) Though mass marketing was effective in past decades, large companies no longer routinely invest large chunks of their advertising budgets in mass media outlets such as television and magazines.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

105) New communications technologies such as cell phones and the Internet give companies new media for interacting with targeted consumers, but these new technologies also give consumers more control over the advertising messages they receive.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Use of Information Technology
Skill: Concept
Objective: 14-2

106) Mass marketers can expect consumers to distinguish between commercial message sources to maintain a clear image of a company and its brands.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

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107) The integrated marketing concept ties together all of the company's messages and images.
Answer: TRUE
Diff: 1 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

108) Integrated marketing communications allows different brand messages to be developed by different departments within an organization.
Answer: FALSE
Diff: 2 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

109) A marketing communications director has overall responsibility for the company's communications efforts.
Answer: TRUE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

110) The communications process should start with mass media advertising to reach many consumers.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

111) The four major communication functions are encoding, decoding, response, and noise.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

112) Encoding is the process by which the receiver assigns meaning to symbols.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

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113) Decoding is the process of putting thought into symbolic form.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

114) Awareness, knowledge, and preference are buyer-readiness stages.
Answer: TRUE
Diff: 2 Page Ref: 416
Skill: Concept
Objective: 14-3

115) There are three types of appeal from which marketers may choose as they design their message content. These types are rational, emotional, and moral appeals.
Answer: TRUE
Diff: 2 Page Ref: 417
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

116) Buzz marketing involves cultivating opinion leaders and getting them to spread information about a product or service to others in their communities.
Answer: TRUE
Diff: 1 Page Ref: 419
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

117) The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

118) The affordable method sets promotion budgets to match competitors' outlays.
Answer: FALSE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

119) Large-scale advertising conveys a positive message about the seller's size, popularity, and success.
Answer: TRUE

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Diff: 2 Page Ref: 424
Skill: Concept
Objective: 14-4

120) If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

121) Vast improvements in information technology are speeding the movement toward segmented marketing. Answer: TRUE
Diff: 3 Page Ref: 409
AACSB: Use of Information Technology
Skill: Synthesis
Objective: 14-2

122) "Teaser" advertising is most closely associated with the buyer-readiness stage of liking a product.
Answer: FALSE
Diff: 3 Page Ref: 416
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

123) The "Stop. Think. Tylenol." ad is an example of a moral appeal.
Answer: FALSE
Diff: 2 Page Ref: 417
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

124) Advertisements for prescription drugs often feature potential benefits and negative side effects that consumers may experience with use of the medication. These ads present two-sided arguments.
Answer: TRUE
Diff: 2 Page Ref: 418
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

125) A recent trend toward more push than pull in the mixes of consumer-goods companies may achieve short-run sales at the expense of brand equity.
Answer: TRUE
Diff: 3 Page Ref: 426

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AACSB: Reflective Thinking Skills
Skill: Application
Objective: 14-4

101) A firm can obtain new products in two ways: acquisition or new-product development. Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

102) Up to 80 percent of all new consumer products fail or seriously underperform.
Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

103) New-product development begins with a systematic search for new product ideas through idea generation.
Answer: TRUE
Diff: 1 Page Ref: 261
Skill: Concept
Objective: 9-2

104) Companies rarely solicit ideas from customers during the idea generation stage of product development.
Answer: FALSE
Diff: 1 Page Ref: 262
Skill: Concept
Objective: 9-2

105) A product idea is an idea for a possible product a company can offer the market, while a product concept is a detailed version of the idea stated in meaningful consumer terms.
Answer: TRUE
Diff: 3 Page Ref: 264
Skill: Concept
Objective: 9-2

106) Concept testing works best with people who are familiar with the new idea and the new product's purpose. This generally includes top management, the sales force, and research and development. Answer: FALSE
Diff: 3 Page Ref: 265
Skill: Concept
Objective: 9-2

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107) The business analysis stage represents the first large jump in financial investment in the new-product development process.
Answer: FALSE
Diff: 2 Page Ref: 266
Skill: Concept
Objective: 9-2

108) The stage at which new product and marketing programs are introduced into realistic market settings is called concept testing.
Answer: FALSE
Diff: 1 Page Ref: 267
Skill: Concept
Objective: 9-2

109) A company launching a new product into the market must first decide on when to launch the product.
Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

110) JumBo Games is launching a new set of game toys in the commercialization stage. The first decision to make is introduction timing and the second is where to launch the new product. Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

111) Sequential product development has the advantage of not only being a teamoriented approach, but also of being faster in bringing products to market.
Answer: FALSE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

112) To avoid too few new-product ideas and the failure of many good ideas, management should install an innovation management system that collects, reviews, evaluates, and manages new-product ideas.
Answer: TRUE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

113) Using the PLC concept to develop marketing strategy can be problematic because strategy is both a cause and a result of the product's life cycle.
Answer: TRUE

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Diff: 3 Page Ref: 275
Skill: Concept
Objective: 9-3

114) Profits rise during the growth stage of the PLC because promotion costs are spread over a large volume and unit manufacturing costs fall.
Answer: TRUE
Diff: 2 Page Ref: 275
Skill: Concept
Objective: 9-3

115) Although products that remain in the maturity stage of the PLC seem unchanged, the most successful ones actually evolve to meet changing consumer needs.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

116) When sales of a product falter during the PLC, a company can take several approaches. The more common ones are to modify the marketing mix, modify the product, or modify the market.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

117) Companies need to pay attention to their aging products. Management should regularly review sales, market shares, costs, and profit trends, and then decide whether to maintain, harvest, or drop these declining products.
Answer: TRUE
Diff: 2 Page Ref: 279
Skill: Concept
Objective: 9-3

118) When a company decides to maintain a product in the decline stage, it will reduce costs and hope that sales hold up to increase the profits in the short run.
Answer: FALSE
Diff: 2 Page Ref: 279
Skill: Concept
Objective: 9-3

119) The federal government may prevent a company from adding products through acquisitions if acquisition threatens to lessen competition.
Answer: TRUE
Diff: 2 Page Ref: 280
AACSB: Ethical Understanding and Reasoning Abilities

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Skill: Concept
Objective: 9-4

120) The international growth of many professional and business services such as accounting, consulting, and advertising led to the globalization of the client companies they serve. Answer: FALSE
Diff: 3 Page Ref: 282
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 9-4

121) Malibu Beach Parties finds that the tastes and preferences of its customers change more rapidly than in the past. The manager should constantly look for external ideas from customers, suppliers, and the competition.
Answer: TRUE
Diff: 2 Page Ref: 262
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 9-2

122) Blair Housewares wants to add new lines of products to its 46-store chain. Managers are correct in believing that the purpose of idea generation is to create a few ideas and the purpose of succeeding stages is to increase that number.
Answer: FALSE
Diff: 2 Page Ref: 264
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2

123) GreenTree Lawn and Garden Products is engaged in marketing strategy development. Management should first create a statement outlining the product's planned price, distribution, and marketing budget for the first year.
Answer: FALSE
Diff: 3 Page Ref: 265
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2

124) GreenTree Lawn and Garden Products is engaged in a review of the sales, costs, and profit projections for some new products to find out whether they satisfy the company's objectives. This activity is called business product development.
Answer: FALSE
Diff: 2 Page Ref: 266
AACSB: Analytic Skills
Skill: Application
Objective: 9-2

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125) Sales for the time-tried household cleansers made by Brite and New, Inc. have been declining for some time. If these products are typical, sales are declining because of technological advances, shifts in consumer tastes, and lack of raw materials from foreign suppliers.
Answer: FALSE
Diff: 3 Page Ref: 278
AACSB: Reflective Thinking Skills
Skill: Application

Objective: 9-3

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept
Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE
Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

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106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

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112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3

113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

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118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product. Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE
Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow. Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

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124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2

104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193

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AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept
Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept
Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

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110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201
Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

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116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3

117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.
Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.
Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.
Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium. Answer: TRUE

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Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377
Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff. Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

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109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE
Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

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116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE
Diff: 1 Page Ref: 396
Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE

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Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1

124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE
Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-4

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept

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Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE
Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

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110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3

113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE

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Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product. Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE

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Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow. Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

True/False

1. Companies tend to set a pricing structure, rather than a single price, that covers different items in its line.
(True; p. 274; Moderate)

2. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

3. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.
(True; p. 263; Easy)

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4. Melt-In-Your-Mouth Candy Stores prices its candy displays at ten different price levels, ranging from $2.00 per pound to $4.95 per pound. This is an illustration of price points. (True; p. 276; Moderate)

5. Target costing reverses the usual marketing process.
(True; p. 269; Easy)

6. Overhead cost is another term for variable cost.
(False; p. 266; Easy)

7. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing. (True; p. 277; Easy)

8. Some industries commonly use two-part pricing, where the price is broken down into a fixed fee and a fixed usage rate.
(False; p. 277; Moderate)

84. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

85. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

86. Environmental elements are categorized as external factors that affect pricing decisions. (True; p. 268; Easy)

87. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.
(True; p. 277; Moderate)

88. In a regulated monopoly, the government permits the company to set rates that will yield a "fair" return.
(True; p. 272; Easy)

89. Nonregulated monopolies do not always charge the full price because they do not desire to attract competition.
(True; p. 272; Moderate)

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90. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

91. If demand changes greatly, we say the demand is inelastic.
(False; p. 273; Easy)

92. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

93. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

94. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
(True; p. 263; Easy)

95. All companies today now realize how valuable their by-products are for resale.
(False; p. 277; Easy)

96. The six major price-adjustment strategies include discount and allowance pricing, segmented pricing, psychographic pricing, promotional pricing, geographical pricing, and international pricing.
(False; p. 278; Moderate)

97. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

98. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

99. EDLP is very similar to competition-based pricing.
(False; p. 265; Easy)

100. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

101. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

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102. The difference between a discount and an allowance is that a discount is in its simplest terms a reduction in price.
(False; p. 278; Easy)

103. Cost-based pricing relies on consumer perception of value to drive pricing.
(False; p. 267; Easy)

105. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

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MGT301 Midterm Solved MCQs

Principles of Marketing (Virtual University of Pakistan)

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MGT301 Mega Quiz File By Innocent Prince Innocentprince47@gmail.com

Question No: 9 (Marks: 1) - Please choose one
Some banks have increased their market share by offering accounts especially for children in another city. This example illustrates which of the following growth strategies?

► Market penetration
► **Market development**
► Horizontal diversification
► Conglomerate diversification

Question No: 10 (Marks: 1) - Please choose one
Which of the following sets refers to the order or sequence of marketing management functions?

► Control – implementation – market planning
► Market planning – control – implementation
► Implementation – control – market planning
► **Marketing planning – implementation - control**

Question No: 11 (Marks: 1) - Please choose one
Your colleague is confused about using the marketing research process. In which footstep he is feeling difficulty?

► **Defining the problem**
► Defining the research objectives
► Defining the problem and research objectives
► Researching a research agency to help

Question No: 12 (Marks: 1) - Please choose one
Gathering secondary information is one of the steps of developing the research plan. What does the meaning of secondary information in marketing research?

► That does not currently exist in an organized form
► **That already exists somewhere, having been collected for another purpose**
► That the researcher can obtain through surveys and observation
► That already exists somewhere in an organized form

Question No: 13 (Marks: 1) - Please choose one
Which method of research can be used to obtain information if people are unwilling or unable to provide?

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► **Observations**
► Focus groups
► Personal interviews
► Questionnaires

Question No: 14 (Marks: 1) - Please choose one
Which one of the following statements BEST characterizes marketing research?

► Research is a continuous process, providing a constant flow of information
► **Research is conducted on a special-project basis**
► Research is performed when routine information is required
► Research is the basis for making recurring marketing decisions

Question No: 15 (Marks: 1) - Please choose one
ABC Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

► Respondents who refuse to cooperate or give biased answers
► Interviewers who make mistakes or take shortcuts
► **Interpreting and reporting the findings**
► Primary data that conflict with secondary data

Question No: 16 (Marks: 1) - Please choose one
Research of buying decisions by large companies to find out what they buy, where they buy, how and how much they buy refers to which one of the following buying decision?

► Market buying decision
► **Consumer buying decision**
► Social buying decision
► Group buying decision

Question No: 17 (Marks: 1) - Please choose one
Society's relatively permanent and ordered divisions whose members share similar values, interests and behaviors reflect which one of the following option?

► **Social classes**
► Habitual buyers
► Charismatic leaders
► Opinion leaders

Question No: 18 (Marks: 1) - Please choose one
Which one of the following factor relates to family that influences consumer behavior?

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► Cultural
► **Social**
► Personal
► Business

Question No: 19 (Marks: 1) - Please choose one
The buying process starts from which one of the following stage in which the buyer recognizes a problem or need?

► **Need recognition**
► Information search
► Evaluation of alternative
► Purchase decision

Question No: 20 (Marks: 1) - Please choose one
You purchase cleaning supplies for your custodial help regularly. It is showing which buying situation?

► Modified rebuy
► **Straight rebuy**
► Modified straight rebuy
► Consumer buy

Question No: 21 (Marks: 1) - Please choose one
“A purchase in which the customer buys the same goods in the same quantity on the same terms from the same supplier” refers to which one of the following buying situations?

► New-task
► Modified rebuy
► **Straight rebuy**
► Negotiated

Question No: 22 (Marks: 1) - Please choose one
When a company caters to clothing, cosmetics and toiletries markets, it is probably using which type of segmentation?

► Demographic
► **Gender**
► Behavior
► Geographic

Question No: 23 (Marks: 1) - Please choose one
Mr. ABC and his staff have decided to use target marketing to reach their sales goals. Which are their three steps (in order) to target marketing?

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► Market segmentation, market positioning and target marketing
► **Market segmentation, target marketing and market positioning**
► Market alignment, market segmentation and market positioning
► Market recognition, market preference and market insistence

Question No: 24 (Marks: 1) - Please choose one
Which of the following are industrial products that aid in the buyer's production or operations, including installations and accessory equipment?

► Materials
► Specialty items
► **Capital items**
► Supplies

Question No: 25 (Marks: 1) - Please choose one
Developing a product or service involves defining the benefits that it will offer. The benefits such as quality, features and design, style that are communicated and delivered comes under which of the following categories?

► Private brands
► **Product attributes**
► Consumer products
► Product mixes

Question No: 26 (Marks: 1) - Please choose one
Marketers need to position their brands clearly in target customers' minds. The strongest brands go beyond attributes or benefit positioning. On which of the following basis the products are positioned?

► Desirable benefit
► Good packaging
► Strong beliefs and values
► **Customer image**

Question No: 27 (Marks: 1) - Please choose one
An organization with several product lines has which one of the following mix that consists of all the product lines and items which a particular seller offers for sale?

► **Product mix**
► Brand mix
► Consumer mix
► Packaging mix

Question No: 28 (Marks: 1) - Please choose one
With what groups do firms conduct concept testing for new products?

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► Suppliers
► Employees
► **Target customers**
► Focus groups

Question No: 29 (Marks: 1) - Please choose one
After concept testing, a firm would engage in which stage for developing and marketing a new product?

► **Marketing strategy development**
► Business analysis
► Product development
► Test marketing

Question No: 30 (Marks: 1) - Please choose one
If the company's sales are slow down, and profits level off or decline. At which stage the company has reached?

► Introduction
► Decline
► Growth
► **Maturity**

Question No: 31 (Marks: 1) - Please choose one
Which of the following marketing mix activity is most closely associated with newsletters, catalogues and invitations to organization-sponsored events?

► Pricing
► **Promotion**
► Distribution
► Product

Question No: 32 (Marks: 1) - Please choose one
Three main strategies for intensive growth are market penetration, product development and _____.

► Product improvement
► Market saturation
► Market growth
► **Market development**

Question No: 33 (Marks: 1) - Please choose one
Buying goods and services for further processing or for use in the production process refers to which of the following markets?

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► Consumer markets
► Government markets
► **Business markets**
► International markets

Question No: 34 (Marks: 1) - Please choose one
Which one of the following factor does not affect the economic environment of organizations?

► **Donation to hospital**
► Exchange rate
► Value added tax
► Disposable income

Question No: 35 (Marks: 1) - Please choose one
Which one of the following are the MOST useful source of speedier and more comprehensive information?

► Suppliers
► Key customers
► **Company reports**
► Sales force

Question No: 36 (Marks: 1) - Please choose one
Which one of the following steps in the marketing research process deals in "defining the problems and research objectives, implementing the research plan, and interpreting and reporting the findings"?

► Developing the research budget
► Choosing the research agency
► Choosing the research method
► **Developing the research plan**

Question No: 37 (Marks: 1) - Please choose one
Which one of the following sets represents 4 C's of the marketing mix?

► **Customer solution, cost, convenience, communication**
► Customer, cost, convenience, comfort
► Convenience, communication, coverage, cost
► Cost, coverage, communication, consultancy

Question No: 38 (Marks: 1) - Please choose one
Chimney Sweeps employs people to clean fireplaces and chimneys in homes and apartments. The firm is primarily the marketer of which one of the following?

► An image

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► **A service**
► A good
► An idea

Question No: 39 (Marks: 1) - Please choose one
In BCG matrix, which one of the following SBUs finances the company's question marks and stars?

► Dogs
► **Stars**
► Cash cows
► Question marks

Question No: 40 (Marks: 1) - Please choose one
Environmental groups are one kind of which of the following publics?

► Citizen-action publics
► Media publics
► Government publics
► **Local publics**

Question No: 1 (Marks: 1) - Please choose one
A social and managerial process by which individuals and organizations obtain what they need and want through value creation refers to which one of the following concepts?

► Selling
► Advertising
► Barter
► **Marketing**

Question No: 3 (Marks: 1) - Please choose one
Which one of the following options represents this statement "What place do you want your product to hold in the consumer's mind"?

► Product
► **Positioning**
► Promotion
► Place

Question No: 4 (Marks: 1) - Please choose one
When a church targets different demographic groups to increase attendance, it is an example of which of the following options?

► **Not-for-profit marketing**
► Mindless marketing

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► Ethics in marketing
► Societal marketing

Question No: 5 (Marks: 1) - Please choose one
Stew Leonard, owner/operator of supermarkets, reacts adversely to losing a single customer sale. He feels that this amounts to losing the entire stream of future purchases that a customer is likely to make if he/she remains in the area. Which one is an illustration of the following concepts?

► Market share
► Profitability
► Customer lifetime value
► Market share maintenance

Question No: 6 (Marks: 1) - Please choose one
A network of networks that consists of millions of smaller domestic, academic, business, and government networks, which together carry various information and services. Which one of the following networks represents it?

► LAN
► Intranet
► Extranet
► Internet

Question No: 7 (Marks: 1) - Please choose one
Which one of the following options is best to explain the purpose of intranets?

► Buying and selling processes
► Business-to-business purchasing
► Communication among employees
► Maintaining customer relations

Question No: 8 (Marks: 1) - Please choose one
Which of the following sets refers to the order or sequence of marketing management functions?

► Control – implementation – market planning
► Market planning – control – implementation
► Implementation – control – market planning
► Marketing planning – implementation - control

Question No: 9 (Marks: 1) - Please choose one
Which of the following sets refers to the order of action in marketing control process?

► Measure performance – evaluate performance – corrective action – set goals

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► Corrective action – set goals - measure performance – evaluate performance
► Set goals - Measure performance – evaluate performance - corrective action
► Set goals - Measure performance – corrective action – evaluate performance

Question No: 10 (Marks: 1) - Please choose one
Advertising agencies are an example of which of the following marketing intermediaries?

► Insurance Company
► Financial intermediary
► Marketing services agency
► Physical distribution firm

Question No: 11 (Marks: 1) - Please choose one
Agencies that buy goods and services in order to produce public services or transfer them to those that need them reflect which of the following markets?

► Reseller markets
► Government markets
► International markets
► Business markets

Question No: 12 (Marks: 1) - Please choose one
In creating research questionnaires, which of the following is good advice for research specialist to follow?

► Use care in the wording and ordering of questions
► Questions do not have to be arranged in a logical order
► Ask personal questions in the middle of the instrument
► Avoid eye contact as it may confuse the respondents

Question No: 13 (Marks: 1) - Please choose one
Marketing stimuli consist of the four Ps. Which is NOT one of these Ps?

► Product
► Political
► Price
► Promotion

Question No: 14 (Marks: 1) - Please choose one
Maslow has a list of human needs from the most pressing to the least pressing. They include all of the following EXCEPT:

► Physiological needs
► Safety needs

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► **Need recognition**
► Self-actualization

Question No: 15 (Marks: 1) - Please choose one
Learning occurs through the interplay of all of the following EXCEPT:

► Drives
► Stimuli
► Cues
► **Behavior**

Question No: 16 (Marks: 1) - Please choose one
The mental act, condition or habit of placing trust or confidence in another shows which of the following options?

► Motive
► **Belief**
► Behavior
► Attitude

Question No: 17 (Marks: 1) - Please choose one
Which one of the following is NOT the stage that customers go through in the process of adopting a new product?

► Awareness
► Interest
► Evaluation
► **Culture**

Question No: 18 (Marks: 1) - Please choose one
Which of the following is NOT a primary motivation?

► Achievement
► Self-esteem
► Self-expression
► **Attitude**

Question No: 19 (Marks: 1) - Please choose one
A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following purchases?

► Straight rebuy purchase
► Delayed purchase
► **New-task purchase**
► Modified rebuy purchase

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Question No: 20 (Marks: 1) - Please choose one
Most organizational purchase decisions are made by which of the following categories?

► The sales force
► A team of purchasing agents
► **A firm's buying centre**
► Inventory control personnel

Question No: 21 (Marks: 1) - Please choose one
In its purchase of a small business computer, Mr. Ateeq asked that potential suppliers provide information only on units with 1Mb of memory. As management evaluates the purchase, it finds that 1Mb is inadequate for many of the software programs they use. In this instance, the firm would need to modify which aspect of the purchase process?

► Searching
► **Specification development**
► Alternative evaluation
► Performance evaluation

Question No: 22 (Marks: 1) - Please choose one
When Burger King targets different groups from children and teens to adults and seniors with different ads and media, it is practicing which one of the following segmentation?

► Demographic
► **Age and life cycle**
► Psychographic
► Behavioral

Question No: 23 (Marks: 1) - Please choose one
This type of segmentation centers on the use of the word “when” such as when consumers get the idea to buy, when they actually make their purchase, or when they use the purchased item. What do marketers call this?

► Behavioral
► **Occasion**
► Impulse
► Emergency

Question No: 24 (Marks: 1) - Please choose one
Which of the segmenting strategies carries higher-than-average risks in consumer markets?

► **Concentrated**

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► Differentiated
► Undifferentiated
► Multiple-segment

Question No: 25 (Marks: 1) - Please choose one
Which of the following are those products purchased for further processing or for use in conducting a business?

► Unsought products
► Specialty products
► Shopping products
► Industrial products

Question No: 26 (Marks: 1) - Please choose one
Which one of the following factor indicates "the name, term, sign, symbol, design or a combination of these that differentiate the product of one seller or group of sellers from the other sellers"?

► Brand
► Package
► Label
► Style

Question No: 27 (Marks: 1) - Please choose one
In which of the following cases two established brand names of different companies are used on the same product?

► Brand extension
► Brand equity
► Co-branding
► Cannibalization

Question No: 28 (Marks: 1) - Please choose one
When a company introduces additional items in a given product category under the same brand name, such as new flavors, forms, colors, ingredients, or package sizes refers to which of the following steps?

► Line extensions
► Product mix
► Service variability
► Service intangibility

Question # 5 of 15 (Start time: 09:09:50 PM) Total Marks: 1
Gathering of primary data by asking questions from concern people about their knowledge, attitudes, preferences and buying behavior refers to which of the following research?

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Select correct option:
Causal research
Observational research
Experimental research
Survey research

Question # 6 of 15 (Start time: 09:10:27 PM) Total Marks: 1
Relationship marketing is an integral part of which type of marketing philosophy?
Select correct option:
Customer and marketing philosophy
Product philosophy
Production philosophy
Selling philosophy

Question # 7 of 15 (Start time: 09:11:00 PM) Total Marks: 1
Which one of the following concepts reflects the term “Order processing”?
Select correct option:
Is the receipt and transmission of sales order information
Is the second stage in a physical distribution system
Is the same as order handling
Is characterized by electronic processing

Question # 8 of 15 (Start time: 09:12:23 PM) Total Marks: 1
All of the following are major steps in developing new products EXCEPT:
Select correct option:
Test marketing
Evaluation of competitors
Business analysis
Idea generation

Question # 9 of 15 (Start time: 09:13:31 PM) Total Marks: 1
Which one of the following statement is not include in marketing process
Select correct option:
Analyzing marketing opportunities
Selecting target market
Company’s mission statement
Developing marketing mix

Question # 10 of 15 (Start time: 09:14:10 PM) Total Marks: 1
Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?
Select correct option:
Persuasive advertising
Informative advertising
Comparative advertising
Institutional advertising

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Question # 11 of 15 (Start time: 09:14:44 PM) Total Marks: 1
Which of the following is a physical, concrete product that you can touch?
Select correct option:
A service
A good
An idea
A philosophy

Question # 12 of 15 (Start time: 09:15:03 PM) Total Marks: 1
A change in an individual's behavior prompted by information and experience refers to which one of the following concept?
Select correct option:
Learning
Role selection
Perception
Motivation

Question # 14 of 15 (Start time: 09:17:22 PM) Total Marks: 1
Which method of research can be used to obtain information if people are unwilling or unable to provide?
Select correct option:
Observation
Focus groups
Personal interviews
Questionnaires

Question # 15 of 15 (Start time: 09:17:53 PM) Total Marks: 1
Lawyers, accountants, and other professionals typically price by adding a standard markup for profit that reflects which one of the following concepts?
Select correct option:
Cost-plus pricing
Value-based pricing
Break-even price
Penetration pricing

Question # 1 of 15 (Start time: 09:19:52 PM) Total Marks: 1
Which of the following is NOT an alternative to increase in the price of a commodity?
Select correct option:
Reducing product size
Using less expensive materials
Unbundling the product
None of the above

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Question # 2 of 15 (Start time: 09:21:17 PM) Total Marks: 1
Which of the following phase of marketing research process is considered MOST expensive and subject to error?
Select correct option:
Exploratory research
Hypothesis
Data collection
Data validation

Question # 3 of 15 (Start time: 09:22:06 PM) Total Marks: 1
Which of the following method is simple to use and helps management think about the relationships among promotion spending, selling price, and profit per unit?
Select correct option:
Percentage-of-sales
Affordable
Competitive-parity
Objective-and-task

Question # 4 of 15 (Start time: 09:22:55 PM) Total Marks: 1
Which of the following characteristics should not be included in mission statement?
Select correct option:
Be realistic
Be broad
Be specific
Be motivating

Question # 5 of 15 (Start time: 09:23:47 PM) Total Marks: 1
Which of the following is a physical, concrete product that you can touch?
Select correct option:
A service
A good
An idea
A philosophy

Question # 6 of 15 (Start time: 09:24:07 PM) Total Marks: 1
Following are the elements of the marketing mix EXCEPT:
Select correct option:
Distribution
Product
Target market
Pricing

Question # 7 of 15 (Start time: 09:25:22 PM) Total Marks: 1
Which one of the following is a first step of the marketing process?

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Select correct option:
Selecting target markets
Analyzing marketing opportunities
Managing the marketing effort
Developing the marketing mix

Question # 8 of 15 (Start time: 09:26:02 PM) Total Marks: 1
Which of the following number refers to the Universal marketing functions?
Select correct option:
Seven
Eight
Nine
Ten

Question # 9 of 15 (Start time: 09:26:48 PM) Total Marks: 1
Systematic and scientific approach of getting information refers to which of the following approaches?
Select correct option:
Marketing survey
Marketing intelligence
Marketing research
Marketing study

Question # 10 of 15 (Start time: 09:27:28 PM) Total Marks: 1
What is the stage of the buyer decision process in which the consumer uses information to evaluate brands in the choice set?
Select correct option:
The alternative evaluation stage
The situational stage
The experimental stage
The informative stage

Question # 11 of 15 (Start time: 09:28:41 PM) Total Marks: 1
Ratio of new entrants in the industry refers to which one of the following option?
Select correct option:
Threat of new entrants
Bargaining power of buyers
Bargaining power of suppliers
Rivalry among competing firms

Question # 12 of 15 (Start time: 09:29:19 PM) Total Marks: 1
Which one of the following is a marketer's major positioning tool that has a direct impact on product or service performance; thus, it is closely linked to customer value and satisfaction?
Select correct option:
Product quality

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Product style
Product design
Product features

Question # 13 of 15 (Start time: 09:29:55 PM) Total Marks: 1
Order processing, inventory management, materials handling, warehousing, and transportation fall under which of the following activities?
Select correct option:
Wholesaling
Retailing
Physical distribution
Channel management

Question # 14 of 15 (Start time: 09:30:52 PM) Total Marks: 1
For a day care center, disposable diapers, juice boxes, cleaning supplies and electricity are examples of which one of the following costs?
Select correct option:
Fixed costs
Variable costs
Derived costs
Total costs

Question # 15 of 15 (Start time: 09:31:33 PM) Total Marks: 1
Which one of the following affects both demographic and psychological factors?
Select correct option:
Quantity discounts
Price elasticity
Quality discounts
Mark-up pricing

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Retailing
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Question # 9 of 15 (Start time: 11:03:58 PM) Total Marks: 1
Companies manage their supply chains through which of the following?
Select correct option:
Skilled operators
Information
Internet
Competitors

Question # 10 of 15 (Start time: 11:04:49 PM) Total Marks: 1
What is the initial stage in the development of an advertising campaign?
Select correct option:
Setting the budget for advertising
Identifying and analyzing the target audience
Defining the advertising objectives
Creating the advertising platform

Question # 11 of 15 (Start time: 11:05:58 PM) Total Marks: 1
Demography is the study of human population in term of
Select correct option:
Spending power
Buying power
Density
Natural resources

Question # 13 of 15 (Start time: 11:08:06 PM) Total Marks: 1
Which one of the following scheme is TRUE regarding marketing research?
Select correct option:
Gathering data, analysis, interpretation
Analysis, gathering data, interpretation
Interpretation, gathering data, analysis
Interpretation, reporting, analysis

Question # 14 of 15 (Start time: 11:08:50 PM) Total Marks: 1
Society and culture shape the basic form of human needs refers to which one of the following option?
Select correct option:
Needs
Wants
Values
An exchange

Question # 15 of 15 (Start time: 11:10:14 PM) Total Marks: 1
Which one of the following steps comes after identifying and defining problem in marketing research?
Select correct option:

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Interpretation
Implementation
Developing the research plan
Observation

Question # 1 of 15 (Start time: 11:15:56 PM)
Mobilink divides buyers into groups based on their knowledge, attitudes, uses or responses to a product. It is obviously using which type of segmentation?
Select correct option:
Behavioral
Psychographic
Demographic
Geographic

Question # 2 of 15 (Start time: 11:16:38 PM)
In relation to a product launch strategy, a company engaged in high levels of promotion at the same time as selling at a high price is following which one of the strategy?
Select correct option:
Slow penetration strategy
Rapid penetration strategy
Rapid skimming strategy
Slow skimming strategy

Question # 3 of 15 (Start time: 11:18:10 PM)
Products that are used directly in the production of a final product but are not easily identifiable are categorized as which one of the following?
Select correct option:
Component parts
Consumable supplies
Assembly components
Process materials

Question # 4 of 15 (Start time: 11:19:03 PM)
Marketing environment is made up of which of the following environment?
Select correct option:
Micro and micro environment
Demographic Environment
Economic Environment
Natural Environment

Question # 5 of 15 (Start time: 11:19:51 PM)
Sampling requires the answer to three questions. Which of the following is an inappropriate one?
Select correct option:
Who is to be sampled (what sampling unit)?

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How many people should be surveyed (what sample size)?
Why should they be sampled (justification)?
How should the people be chosen (what sampling method)?

Question # 6 of 15 (Start time: 11:20:34 PM)
In which strategy, producer promotes the product to wholesalers, the wholesalers promote to retailers and the retailers promote to consumers.
Select correct option:
Pull Strategy
Positioning Strategy
Push Strategy
Segmentation Strategy

Question # 7 of 15 (Start time: 11:21:24 PM)
If a retailer form Islamabad orders a quantity of merchandise to be delivered to his store in Lahore and is quoted a price that does not include transport costs, the retailer is paying a price called:
Select correct option:
F.O.B. destination
FOB price
Geographic price
Base-point price

Question # 8 of 15 (Start time: 11:22:14 PM)
Collection of raw facts refers to which of the following options?
Select correct option:
Information
Data
Results
Reports

Question # 9 of 15 (Start time: 11:23:26 PM)
The fact that organizational customers purchase products to be used directly or indirectly in the production of goods and services to satisfy customers' needs. This situation shows which of the following demands?
Select correct option:
Joint
Derived
Inelastic

Question # 10 of 15 (Start time: 11:24:44 PM)
Which one of the following is NOT a part of marketing channel firms (intermediaries)?
Select correct option:
Physical distribution firm
Marketing service agency

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Financial intermediary
Stock exchange

Question # 11 of 15 (Start time: 11:25:53 PM)
Which of the following is an intensive growth strategy of increasing sales in present markets with present products?
Select correct option:
Market development
Market penetration
Product development
Market saturation

Question # 12 of 15 (Start time: 11:26:27 PM)
Low consumer involvement in purchase and little significant brand difference comes in which type of buying behavior.
Select correct option:
Complex buying behavior
Dissonance-reducing buying behavior
Habitual buying behavior
Variety-seeking buying behavior

A company decides on its promotion budget by using four common methods to set the total budget for advertising. What is NOT one of these methods?
Select correct option:
The affordable method
The percentage-of-sales method
The competitive-parity method

Question # 14 of 15 (Start time: 11:28:28 PM)
The marketer's job does not end when the product is bought. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in which of the following behavior?
Select correct option:
Dissonance-Reducing Buying Behavior
Habitual buying behavior
Post purchase behavior
Variety-seeking buying behavior

Question # 15 of 15 (Start time: 11:29:12 PM)
Mr. ABC works for an organization in which his purchases must be accountable to the public. His buying procedures are extremely complex. Based on this description, he works for an organization in which market type?
Select correct option:
Reseller
Producer
Supplier

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Government

Question # 5 of 15 (Start time: 11:30:42 PM) Total Marks: 1
A retailer in an organization that purchases products for the purpose of reselling them to:
Select correct option:
Other retail organizations
The government
Ultimate consumers
Wholesalers

Question # 1 of 15 (Start time: 11:30:39 PM) Total Marks: 1
Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?
Select correct option:
Persuasive advertising
Informative advertising
Comparative advertising
Institutional advertising

Question # 2 of 15 (Start time: 11:31:28 PM) Total Marks: 1
Open-ended questions are especially useful in which of the following research when the researcher is trying to find out what people think but not measuring how many people think in a certain way?
Select correct option:
Causal research
Observational research
Experimental research
Exploratory research

Question # 6 of 15 (Start time: 11:31:54 PM) Total Marks: 1
Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?
Select correct option:
Exploratory
Descriptive
Casual
Qualitative

Question # 3 of 15 (Start time: 11:32:49 PM) Total Marks: 1
Which one of the following scheme is TRUE regarding marketing research?
Select correct option:
Gathering data, analysis, interpretation
Analysis, gathering data, interpretation
Interpretation, gathering data, analysis

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Interpretation, reporting, analysis

Question # 7 of 15 (Start time: 11:33:09 PM) Total Marks: 1
A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?
Select correct option:
Marketing strategy
Marketing mix
Market offering
Marketing plan

Question # 4 of 15 (Start time: 11:33:43 PM) Total Marks: 1
Shortage of raw material is specific area of concern of which environmental factor?
Select correct option:
Political Environment
Cultural Environment
Natural Environmental
Technological Environment

Question # 9 of 15 (Start time: 11:34:40 PM) Total Marks: 1
One risk of ___ is that sales may come at the expense of other items.
Select correct option:
Line extension
Packaging
Social marketing
Internet marketing

Question # 5 of 15 (Start time: 11:35:13 PM) Total Marks: 1
ABC Company developed its successful new line of ketchup by observing and listening to its which of the following groups?
Select correct option:
Employees
Sales force
Customers
Suppliers

Question # 10 of 15 (Start time: 11:35:52 PM) Total Marks: 1
Companies set prices by selecting a general pricing approach that includes one or more of three sets of factors. One of these is the buyer-based approach, which means:
Select correct option:
Value-based pricing
Sealed-bid pricing
Cost-plus pricing

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Low-price image

Question # 6 of 15 (Start time: 11:36:16 PM) Total Marks: 1
An arrangement in which a supplier grants a dealer the right to sell products in exchange for some type of consideration is:
Select correct option:
Wholesaling
Retailing
Franchising
Warehousing

Question # 11 of 15 (Start time: 11:36:54 PM) Total Marks: 1
Which of the following concept best describes the situation when the product's cost is too high and marketer looks for ways to bring it down?
Select correct option:
Selling concept
Product concept
Production concept
Marketing concept

Question # 7 of 15 (Start time: 11:37:18 PM) Total Marks: 1
Which type of cost-oriented pricing is most closely related to markup pricing?
Select correct option:
Cost-plus pricing
Odd pricing
Price fixing
Value pricing

Question # 12 of 15 (Start time: 11:38:11 PM) Total Marks: 1
All of the following are the logistics functions EXCEPT?
Select correct option:
Order processing
Warehousing
Inventory management
Retailing

Question # 8 of 15 (Start time: 11:38:38 PM) Total Marks: 1
"A firm decides to target several market segments or niches and designs separate offers for each" Which one of the following strategies BEST describes it?
Select correct option:
Undifferentiated marketing strategy
Differentiated marketing strategy
Concentrated marketing strategy
Custom marketing strategy

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Question # 9 of 15 (Start time: 11:39:51 PM) Total Marks: 1
Products that are used directly in the production of a final product but are not easily identifiable are categorized as which one of the following?
Select correct option:
Component parts
Consumable supplies
Assembly components
Process materials

Question # 1 of 15 (Start time: 01:52:28 PM) Total Marks: 1
Marketing manager wants to improve the packaging of new products after reading customer responses to its customer opinion poll. Which one of the following is NOT a function of packaging?
Select correct option:
It contains and protects the product
It contains the brand mark
It determines product quality
It may contain the brand symbol

Question # 2 of 15 (Start time: 01:53:53 PM) Total Marks: 1
Defining the problem and research objectives; developing the research plan; collecting information; analyzing the information; and presenting the findings, these are steps of which of the following steps?
Select correct option:
Marketing survey
Marketing intelligence
Marketing research
Marketing study

Question # 3 of 15 (Start time: 01:54:45 PM) Total Marks: 1
When a company caters to clothing, cosmetics and toiletries markets, it is probably using which type of segmentation?
Select correct option:
Age and life cycle
Gender
Behavior
Geographic

Question # 4 of 15 (Start time: 01:56:11 PM) Total Marks: 1
The mental act, condition or habit of placing trust or confidence in another shows which of the following option?
Select correct option:
Motive
Belief
Behavior
Attitude

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Which one of the following options represents the collection of businesses and products that make up a company
Select correct option:
Strategic business unit
Mission statement
Strategic plan
Business portfolio

Question # 5 of 15 (Start time: 01:56:41 PM) Total Marks: 1
A company decides on its promotion budget by using four common methods to set the total budget for advertising. What is NOT one of these methods?
Select correct option:
The affordable method
The percentage-of-sales method
The integrated method
The competitive-parity method

Question # 6 of 15 (Start time: 01:58:09 PM) Total Marks: 1
Horizontal conflict occurs among firms at the _____ level of the channel
Select correct option:
Same
Different

Question # 7 of 15 (Start time: 01:58:35 PM) Total Marks: 1
Pak Suzuki Motor Company needs to assess the company's image relative to a new competitor. The time schedule is flexible, the research budget is very limited and a low response rate will not be a major problem. Which one of the following survey would be used by Pak Suzuki Motor Company?
Select correct option:
Mail
Telephone
Personal interview
Population

Question # 8 of 15 (Start time: 02:00:00 PM) Total Marks: 1
"Value pricing" means setting a fair price for a marketing mix that gives the target market superior customer value.
Select correct option:
True
False

Question # 9 of 15 (Start time: 02:01:15 PM) Total Marks: 1
Which one of the following stage of the product life cycle generates most sales revenue for the firm?
Select correct option:
Introduction

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Growth
Maturity
Decline

Question # 10 of 15 (Start time: 02:02:13 PM) Total Marks: 1
Sales usually start to decline at which one of the following stages of the product life cycle?
Select correct option:
At the beginning of the termination stage
At the end of the growth stage
At the beginning of the decline stage
During the maturity stage

Question # 11 of 15 (Start time: 02:03:06 PM) Total Marks: 1
Consumer products and services refers to which of the following products that having unique characteristics or brand identification?
Select correct option:
Shopping products
Unsought products
Specialty products
Industrial products

Question # 12 of 15 (Start time: 02:04:35 PM) Total Marks: 1
Which of the following is a pricing strategy used while the product is in running phase?
Select correct option:
Market-Skimming Prices
Product Line Pricing

Question # 13 of 15 (Start time: 02:06:04 PM) Total Marks: 1
Culture is the most basic cause of a person's wants and behavior. On which basis it is divided into subcultures?
Select correct option:
Personality characteristics of a consumer
The motives that people have for their behavior
Shared value systems based on common life experiences
Geographic regions and income levels

Question # 14 of 15 (Start time: 02:06:51 PM) Total Marks: 1
In which of the following cases a company introduces additional items in a given product category under the same brand name, such as new flavors, forms, colors, ingredients, or package sizes?
Select correct option:
Line extensions
Product mix
Interactive marketing

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Service intangibility

Question # 15 of 15 (Start time: 02:07:26 PM) Total Marks: 1
In which of the following research the aim is to describe things such as the market potential for a product or the demographics and attitudes of customers who buy the product?
Select correct option:
Exploratory research
Descriptive research
Casual research
Observational research

Question # 1 of 15 (Start time: 02:18:44 PM) Total Marks: 1
A manufacturer spends a large amount of money on research and development leading to the introduction of a product that is likely to present the firm with a breakthrough opportunity. The manufacturer prices the product with the goal of achieving a 20 percent return on its investment.
Which of the following types of pricing objectives is the company using?
Select correct option:
Target return
Profit maximization
Nonprice competition
Meeting competition

Question # 2 of 15 (Start time: 02:19:11 PM) Total Marks: 1
Less frequently purchased consumer products and services which are compared by the customer on different product attributes, refers to which one of the following product?
Select correct option:
Unsought products
Specialty products
Shopping products
Industrial products

Question # 3 of 15 (Start time: 02:20:01 PM) Total Marks: 1
Maslow has a list of human needs from the most pressing to the least pressing. They include all of the following EXCEPT:
Select correct option:
Physiological need
Safety need
Need recognition
Self-actualization

Question # 4 of 15 (Start time: 02:20:51 PM) Total Marks: 1
The step or stage of the personal selling process in which the salesperson attempts to make a favorable impression, gather information about the

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customer's needs and objectives and build rapport with the prospective customer refers to which one of the following options?
Select correct option:
Prospecting
Reproach
Approach
Qualifying

Question # 5 of 15 (Start time: 02:22:22 PM) Total Marks: 1
What is the purpose of intranets?
Select correct option:
Buying and selling processes
Business-to-business purchasing
Communication among employees
Maintaining customer relations

Question # 6 of 15 (Start time: 02:22:57 PM) Total Marks: 1
When the purchasing manager of ABC Company buys material and thread, he considers a variety of factors. Which one of the following is LEAST likely to concern the buyer in the purchase decision?
Select correct option:
Does the quality of the goods meet company specifications?
Does the supplier also sell to my competitors?
Does the supplier consistently deliver on time?
Does the price meet the company budget requirements?

Question # 7 of 15 (Start time: 02:23:42 PM) Total Marks: 1
In SWOT analysis, threats and opportunities are part of which of the following environment?
Select correct option:
Internal
Inside
External
Domestic

Question # 8 of 15 (Start time: 02:24:18 PM) Total Marks: 1
Studies of the origin of man, religion, and thought-provoking ad campaigns are on the rise. This study reflects which of the following views?
Select correct option:
People’s views of the universe
People’s views of nature
People’s views of society
People’s views of organization

Question # 9 of 15 (Start time: 02:24:50 PM) Total Marks: 1

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Which of the following environment involves natural resources that are needed as inputs by marketers or that are affected by marketing activities?
Select correct option:
Cultural environment
Natural environment
Political environment
Technological environment

Question # 10 of 15 (Start time: 02:25:23 PM) Total Marks: 1
All departments must _____if the firm wants to be successful.
Select correct option:
Think competitors
Think customers
Think research and development
None of all

Question # 11 of 15 (Start time: 02:26:59 PM) Total Marks: 1
Selecting an overall company strategy for long-run survival and growth refers to which one of the following tasks?
Select correct option:
Strategic market planning
Annual market planning
Short-term planning
Long-term planning

Question # 12 of 15 (Start time: 02:28:26 PM) Total Marks: 1
Product developers need to think about products and services on three levels. Each level adds more customer value. Which one of the following is the most basic level that addresses the question, “What is the buyer really buying?”
Select correct option:
Actual product
Augmented product
Core benefit
Co-branding

Question # 14 of 15 (Start time: 02:30:17 PM) Total Marks: 1
Which of the following products are bought by final consumers for personal consumption that include convenience products, shopping products, specialty products and unsought products?
Select correct option:
Consumer products
Industrial products
Actual products
Augmented products

Question # 15 of 15 (Start time: 02:30:46 PM) Total Marks: 1

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Learning occurs through the interplay of all of the following EXCEPT which one of the following?
Select correct option:
Drives
Stimuli
Cues
Behavior

Question No: 2 (Marks: 1) - Please choose one
Which of the following is not the market challenging strategy?

Attack the leader
Acquire smaller firm
Expand market share
Avoid the leader

Question No: 3 (Marks: 1) - Please choose one
_____ can use the bulletin boards, chat rooms and news letters for communication that can facilitate the exchange
Buyers
Virtual business
Manufacturers/sellers
None of the given options

Early adopters will continue buying and later buyers will start following their lead in_____:
Growth stage
Decline stage
Maturity stage
Introduction stage

Question No: 5 (Marks: 1) - Please choose one
Two basic ways to set list prices are the cost-oriented and _____oriented approaches.
Volume
Expense
Demand
Profit

Question No: 6 (Marks: 1) - Please choose one
Sales decline because of many reasons, including:
Technological advances
Shift in customer tastes
Increased competition
All of the given options

Question No: 7 (Marks: 1) - Please choose one

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_____ involves a combination of promotion and a product alternation for the foreign market
Communication adaptation
Dual adaptation
Product innovation
Production adaptation

Question No: 8 (Marks: 1) - Please choose one
Marketing concept holds that achieving organizational goals depends on determining _____:
Needs and wants of target market
Customer or consumer of target market
Producer and seller target market
Price, place, product and promotion(4 P's)

Question No: 9 (Marks: 1) - Please choose one
_____is not the major public relation decision
Setting public relation objectives
Choosing public relation messages and vehicles
Implementing the private relation plan

Evaluating the result

Question No: 10 (Marks: 1) - Please choose one
The number of product lines in the product mix is described as_____:
Product mix length
Product assortment
Product mix width
Product mix consistency

Question No: 11 (Marks: 1) - Please choose one
A common practice among marketers is to increase sales to current customers without changing their products. What is this practice called?
Market skimming
Market penetration
Market development
Product extension

Question No: 12 (Marks: 1) - Please choose one
The _____ calls for "good deeds" followed by good words.
Marketing communication
Marketing management
Advertising
Sales promotion

Question No: 13 (Marks: 1) - Please choose one
Direct presentation of a product to a customer by a representative of the selling organization is termed as_____
Advertisement

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Personal selling
Optimal product
None of the given options

Question No: 14 (Marks: 1) - Please choose one
The rule of E-marketing is_____
Intellectual capital rules
Time compression
All of the given options
Marketing deconstruction

Question No: 15 (Marks: 1) - Please choose one
Following are the strategies of environmental sustainability except:
Pollution prevention
Product stewardship
New environmental technology
None of the given options

Question No: 1 (Marks: 1) - Please choose one
A person who is bringing buyers and sellers together and assists in negotiation is called:

Broker
Selling Agent
Agent
Purchasing Agent

Question No: 2 (Marks: 1) - Please choose one
A person has something which is tangible and can satisfy his need or want is a:

Benefit
Product
Value
Service

Question No: 3 (Marks: 1) - Please choose one
A person X obtains his desired object from a person Y and offers something in return to the person Y, his act is called:

Transaction
Trade
Exchange
Barter

Question No: 4 (Marks: 1) - Please choose one
A person is directly presenting a product to the customer. He is doing:

Relationship Selling
Personal Selling
Non Personal Selling

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None of the above

Question No: 5 (Marks: 1) - Please choose one
Company is offering short term incentives to encourage the purchase or sale of a product or service. Company is doing:

Publicity
Sales Promotion
Both 1 & 2
None of the above

Question No: 6 (Marks: 1) - Please choose one
Suppose Nestlé is trying to increase its sales by introducing its existing/current product like Nestlé mineral water in a new market. It is adopting:

Market Penetration Strategy
Market development Strategy
Product Development Strategy
Diversification

Question No: 7 (Marks: 1) - Please choose one
A researcher is taking data from the balance sheet of a company. He is collecting:

Primary Data
Mathematical Data
Descriptive Data
Secondary Data

Question No: 9 (Marks: 1) - Please choose one
A person is purchasing a product and selling this product to customers. The person is called:

Intermediary
Seller
Reseller
Supplier

Question No: 10 (Marks: 1) - Please choose one
The different important decisions which are to be taken while designing the advertising campaign, does not include:

Mission
Money
Message
None of the above

Question No: 11 (Marks: 1) - Please choose one
The discount which is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping is called:

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Functional Discount
Cash Discount
Seasonal Discount
None of the above

Question No: 12 (Marks: 1) - Please choose one
The promotional strategy that calls for spending a lot on promotion to build up consumer demand; if successful, consumer will ask their retailers for the product, the retailer will ask the wholesalers and wholesalers will ask the producers, is called:

Push Strategy
Pull Strategy
Intensive Strategy
None of the above

Question No: 13 (Marks: 1) - Please choose one
The store that carries a wide variety of product lines is called:

Super stores
Department store
Convenience store
Specialty stores

Question No: 14 (Marks: 1) - Please choose one
A quantity discount is basically a price reduction to:

Sellers
Buyers
Whole sellers
2 & 3

Question No: 15 (Marks: 1) - Please choose one
Strategy for setting a product's price often has to be changed when the product is part of a:

Product line
Product mix
Competition
None of the above

Question No: 4 (Marks: 1) - Please choose one
_____ is a complex concept that must be carefully defined
1. Product
2. Price
3. Promotion
4. Placement

Question No: 5 (Marks: 1) - Please choose one

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_____ is demand-stimulating activity designed to supplement advertising and facilitate personal selling.
1. Direct marketing
2. Direct selling
3. Sales promotion
4. Personal selling

Question No. 6 Marks: 1
The twofold goal of marketing is to attract new customers by promising superior Value and to _____.
1. Keep and grow current customers by delivering satisfaction
2. Keep and grow current customers by delivering competitive pricing
3. Keep and grow current customers by delivering friendly service
4. All of the given options

Question No: 2 (Marks: 1) - Please choose one
A common practice among marketers is to identify and develop new markets for their existing products. This practice is called _____.
1. product development
2. market penetration
3. market development
4. market skimming

Question No: 3 (Marks: 1) - Please choose one
Marketing plays a key role in a company's strategic planning. Which of the following does marketing provide?
1. guiding philosophy
2. inputs
3. strategies
4. All of the given options

Question No: 5 (Marks: 1) - Please choose one
The marketing information system is not limited to use by the company it serves. It may also provide information to _____.
1. the government
2. external partners
3. Various Publics
4. None of the given options

Question No: 6 (Marks: 1) - Please choose one
Companies can conduct e-marketing in any of four ways. What is not one of these
1. creating a Web site
2. placing ads online
3. calling their customers to do surveys
4. setting up or participating in Web communities

Question No: 7 (Marks: 1) - Please choose one
As a marketer of pesticides, you should be concerned about the entire following natural environment trends mentioned in your text except _____.

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1. shortages of raw materials
2. increased pollution
3. increased government intervention
4. government subsidies

Question No: 8 (Marks: 1) - Please choose one
New technologies create new opportunities and new _____.
1. products
2. services
3. markets
4. means of financing purchases

Question No: 9 (Marks: 1) - Please choose one
What is one way that a social class is not measured?
1. occupation
2. education
3. income
4. number of children in the family

Question No: 10 (Marks: 1) - Please choose one
Your colleague is confused about using the marketing research process. He seems to be having problems with _____, which is often the hardest step to take.
1. defining the problem
2. defining the research objectives
3. defining the problem and research objectives
4. choosing a research agency to help

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MGT301 Grand quiz f BY Junaid

Principles of Marketing (Virtual University of Pakistan)

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JUNAID MALIK

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AL-JUNAID INSTITUTE GROUP

MGT301 Grand quiz

1. **Which one of the following is the major benefit of using event sponsorship?**
    a. **Enhances personal selling efforts**
    b. **Provides an excellent back-drop for advertisements**
    c. **Provide large amounts of free media coverage**
    d. **Neutralizes the effects of unfavorable public relations**
2. **Which of the following sales management tool shows that which customers and prospects to see during the next 12 months and in which months as well as which activities to carry out?**
    a. **Time-and-duty analysis**
    b. **Sales force automation systems**
    c. **Annual call plan**
    d. **Sales quota plan**
3. **An effective form of direct marketing today is using the 30-minute television advertising programs for a single product to get instant feedback from customers refers to which of the following concepts?**
    a. **TV advertising**
    b. **Infomercials**
    c. **Home shopping TV**
    d. **Publicity**
4. **Shortage of raw material is specific area of concern of which environmental factor?**
    a. **Political Environment**
    b. **Cultural Environment**
    c. **Natural Environmental**
    d. **Technological Environment**
5. **For a day care center, disposable diapers, juice boxes, cleaning supplies and electricity are examples of which one of the following costs?**
    a. **Fixed costs**
    b. **Variable costs**
    c. **Derived costs**
    d. **Total costs**

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6. **Which of the following is a way in which a firm can respond to the price change by the competitor?**
   a. **Reduce price**
   b. **Reduce the quality**
7. **A _____ combines successive stages of production and distribution under single ownership.**
   a. **Administered vertical marketing system**
   b. **Conventional marketing channel**
   c. **Use of power brokers in a channel framework**
   d. **Corporate vertical marketing system**
8. **When suppliers, distributors, and customers partner with each other to improve the performance of the entire system, they are participating in which of the following systems?**
   a. **Value delivery network**
   b. **Channel of distribution**
   c. **Supply chain**
   d. **Demand chain**
9. **Which one of the following steps comes after identifying and defining problem in marketing research?**
   a. **Interpretation**
   b. **Implementation**
   c. **Developing the research plan**
   d. **Observation**
10. **General pricing approaches and pricing strategies are _____ things.**
    a. **One and the same things**
    b. **Different things**

11. **Which of the following is NOT an external factor while setting the price of a new product?**

    a. **Nature of Market and Demand**
    b. **Competitor's Strategies and prices**
    c. **Environmental factors**
    d. **None of the above**

12. **Which one of the following is a technique to stimulate the creation of ideas?**
    a. **Barnstorming**

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b. **Briefing**
c. **Brainstorming**
d. **Banqueting**

13. **The BCG growth-share matrix classifies which of the following four types of SBUs?**
    a. **Product; price; promotion; placement**
    b. **Sales; market share; price; promotion**
    c. **Stars; cash cows; question marks; dogs**
    d. **Planning; organizing; leading; controlling**

14. **A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?**
    a. **Marketing strategy**
    b. **Marketing mix**
    c. **Market offering**
    d. **Marketing plan**

15. **All of the following are the forces of company's micro environment EXCEPT:**
    a. **The company**
    b. **The Supplier**
    c. **Competitor**
    d. **Demographic**

16. **Items offered free or at minimal cost as a bonus for purchasing a product refers to which one of the following options?**
    a. **Rebates**
    b. **Premiums**
    c. **Samples**
    d. **Coupons**

17. **In SWOT analysis, threats and opportunities are part of which of the following environment?**
    a. **Internal**
    b. **Inside**
    c. **External**
    d. **Domestic**

18. **Which one of the following is NOT a part of marketing channel firms (intermediaries)?**

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a. **Physical distribution firm**
b. **Marketing service agency**
c. **Financial intermediary**
d. **Stock exchange**

19. **addWhen Kodak sets the general price range of its cameras low and its related film high, it is practicing which one of the following pricing?**
    a. **Market-penetration pricing**
    b. **Market-skimming pricing**
    c. **Product line pricing**
    d. **Captive-product pricing**
20. **The process of dividing a total market into market groups so that persons within each group have relatively similar product needs refers to which of the following concepts?**
    a. **Segmenting**
    b. **Differentiating**
    c. **Target marketing**
    d. **Concentrating**
21. **Connecting with employees in the company refers to which of the following options?**
    a. **Extranet**
    b. **Internet**
    c. **Intranet**
    d. **World wide web**
22. **Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer unique value and lasting relationships?**
    a. **Personal selling and direct marketing**
    b. **Public relation and publicity**
    c. **E-commerce and E-business**
    d. **Advertising and sales promotion**
23. **Which of the following is NOT a form of direct marketing?**
    a. **Personal selling**
    b. **Advertising**
    c. **Telephone marketing**
    d. **Direct-mail marketing**
24. **Elimination can BEST be described as the process of deleting a product from the product mix when it:**
    a. **Is perceived as a failure by top management**

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b. **Increases production costs and decreases profits**
c. **No longer responds to promotional efforts**
d. **No longer satisfies a sufficient number of customers**

25. **A company decides on its promotion budget by using four common methods to set the total budget for advertising. What is NOT one of these methods?**
    a. **The affordable method**
    b. **The percentage-of-sales method**
    c. **The competitive-parity method**
26. **Which of the following characteristics should not be included in mission statement?**
    a. **Be realistic**
    b. **Be bro**
    c. **Be specific**
    d. **Be motivating**
27. **When management at Honda Motorcycles makes decisions on which type of saddlebags, handle bars, and seats for its bikes, they become engaged in which one of the following pricing?**
    a. **Product line pricing**
    b. **Optional-product pricing**
    c. **Captive-product pricing**
    d. **Value-based pricing**
28. **People vary in their emphasis on serving themselves versus serving others reflects which of the following views?**
    a. **People's views of themselves**
    b. **People's views of others**
    c. **People's views of organizations**
    d. **People's views of societies**
29. **Study of human populations in terms of size, density, location, age, sex, race, occupation and other statistics refers to which of the following studies?**
    a. **Segmentation**
    b. **Demography**
    c. **Psychographic**
    d. **Geographic**
30. **The Students Union is buying office equipment. For a supplier, the Students Union is an example of which one of the following markets?**
    a. **A producer market**
    b. **A reseller market**

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c. **An institutional market**
d. **A government market**

31. **Which one of the following is NOT a part of marketing control process?**
    a. **Set goals for organization**
    b. **Measure performance**
    c. **Take risk for profit**
    d. **Evaluate performance**
32. **A manufacturer spends a large amount of money on research and development leading to the introduction of a product that is likely to present the firm with a breakthrough opportunity. The manufacturer prices the product with the goal of achieving a 20 percent return on its investment. Which of the following types of pricing objectives is the company using?**
    a. **Target return**
    b. **Profit maximization**
    c. **Nonprice competition**
    d. **Meeting competition**
33. **In which of the following pricing the seller selects a given city as a "basing point" and charges all customers the freight cost from that city to the customer location, regardless of the city from which the goods are actually shipped?**
    a. **Base-point pricing**
    b. **Freight absorption pricing**
    c. **Transfer pricing**
    d. **Zone pricing**
34. **Which one of the following option is true for Marketing?**
    a. **Demand management**
    b. **Customer relationship**
    c. **Making a sale**
    d. **Making a profit**
35. **ABC Company developed its successful new line of ketchup by observing and listening to its which of the following groups?**
    a. **Employees**
    b. **Sales force**
    c. **Customers**
    d. **Suppliers**

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36. **Research of buying decisions by large companies to find out what they buy, where they buy, how much they buy refers to which one of the following buying decision?**
    a. **Market buying decision**
    b. **Consumer buying decision**
    c. **Consumer buying decision**
    d. **Group buying decision**
37. **Large tools and machines used in a production process for a considerable length of time are classified as which one of the following?**
    a. **Office equipment**
    b. **Accessory equipment**
    c. **Raw material**
    d. **Consumable supply**
38. **the aim of the promotion, while introducing a new consumer product, is to achieve high awareness levels, the firm will most likely make heavy use of which one of the following promotional mix?**
    a. **Advertising**
    b. **Sales promotion**
    c. **Personal selling**
    d. **Publicity**
39. **Orders can be submitted by which of the following ways:**
    a. **By mail or telephone**
    b. **Through salespeopl**
    c. **Via computer**
    d. **All of the given options**
40. **Which one of the following options represents the collection of businesses and products that make up a company?**
    a. **Strategic business unit**
    b. **Mission statement**
    c. **Strategic plan**
    d. **Business portfolio**
41. **The degree to which a market segment is sufficiently large or profitable refers to which of the following concepts?**
    a. **Substantiality**
    b. **Accessible**
    c. **Actionable**

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d. **Measurable**

42. **Three key issues associated with initiating price changes are, the circumstances, the tactics and:**
    a. **Sales targets**
    b. **Bad publicity**
    c. **Stock levels**
    d. **Competitor reactions**
43. **A state of "felt deprivation" in human is called:**
    a. **Want**
    b. **Demand**
    c. **Value**
    d. **Need**
44. **Sales promotion includes a wide assortment of tools. Which one of the following is NOT one of these tools?**
    a. **Contests**
    b. **Premiums**
    c. **Telephone surveys**
    d. **Coupons**
45. **Which one of the following is a part of 4 C's?**
    a. **Consumer**
    b. **Company**
    c. **Convenience**
    d. **Competitors**
46. **Which method of research can be used to obtain information if people are unwilling or unable to provide?**
    a. **Observation**
    b. **Focus groups**
    c. **Personal interviews**
    d. **Questionnaires**
47. **Which one of the following category provides the resources needed by the company and competitors to produce goods and services?**
    a. **Suppliers**
    b. **Customers**
    c. **Competitors**
    d. **Publics**
48. **Which one of the following is the first step of marketing research process?**
    a. **Define problem**
    b. **Data analysis**

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c. **Interpretation**
d. **Implementation**

49. **Which of the segmenting strategies carries higher-than-average risks in consumer markets?**
    a. **Multiple-segment**
    b. **Concentrated**
    c. **Differentiated**
    d. **Undifferentiated**
50. **Which of the following is a pricing strategy used while the product is in running phase?**
    a. **Market-Skimming Prices**
    b. **Product Line Pricing**
51. **What is the purpose of intranets?**
    a. **Buying and selling processes**
    b. **Business-to-business purchasing**
    c. **Communication among employees**
    d. **Maintaining customer relations**
52. **Which one of the following can be estimated from historical data or from price/quantity data across sales districts?**
    a. **Price elasticity**
    b. **Features/benefits**
    c. **Price/quantity**
    d. **Pricing patterns**
53. **Which one of the following takes possession of truckloads of potatoes, arranges for storage, and transports them to auctions to be sold?**
    a. **Selling agent**
    b. **Commission broker**
    c. **Commission merchant**
    d. **Selling broker**
54. **What does the term sales quota refer to?**
    a. **Sales objectives**
    b. **Time to make a sale**
    c. **Sales methods**
    d. **Number of customers**
55. **Which of the following is "something of value" that might be offered to FINAL CONSUMERS as part of the "price equation"?**
    a. **Sufficient margin to allow for profit**
    b. **Promotion aimed at customers**

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c. **Price-level guarantees**
d. **Repair facilities**

56. **Three common techniques sales managers use to boost sales force morale that include the organizational climate, sales quotas and which one of the following is the third technique?**
    a. **Positive incentives**
    b. **Positive thinking**
    c. **Positive recognition**
    d. **Positive feedback**
57. **Which of the following planning is not the type of planning?**
    a. **Strategic Planning**
    b. **Tactical Planning**
    c. **Production Planning**
    d. **Operational Planning**
58. **Which one of the following is NOT an ethical pricing issue?**
    a. **Product dumping**
    b. **Predatory pricing**
    c. **Price fixing**
    d. **Slow Skimming**
59. **Large tools and machines used in a production process for a considerable length of time are classified as which one of the following?**
    a. **Office equipment**
    b. **Accessory equipment**
    c. **Raw material**
    d. **Consumable supply**
60. **Which of the following is NOT a part of the macro-environment?**
    a. **Demographic forces**
    b. **Natural forces**
    c. **Competitors' forces**
    d. **Political forces**
61. **The principles of personal selling described as which one of the following orientation?**
    a. **Relationship orientation**
    b. **Service orientation**
    c. **Customer orientation**
    d. **Transaction orientation**

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62. **Which of the following may be ignored while making channel distribution decisions?**
    a. **Analyzing Consumer Service Needs**
    b. **Setting Channel Objectives and Constraints**
    c. **Identifying Major Alternatives**
    d. **None of the above**
63. **The search for new-product ideas should be _____ rather than haphazard.**
    a. **Consistent**
    b. **Systematic**
    c. **Continual**
    d. **Seldom**
64. **The consumer can obtain information from any of several sources. Which is NOT one of these sources?**
    a. **Personal**
    b. **Commercial**
    c. **Attitude**
    d. **Public**
65. **A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?**
    a. **Problem recognition**
    b. **Product specification**
    c. **Product selection**
    d. **Product purchase**
66. **Those factors that determine the size and means of payment exchanged for goods and services are part of which one of the following mix?**
    a. **Price promotion mix**
    b. **Price factor mix**
    c. **Basic price mix**
    d. **Production price mix**

67. **Which one of the following is an alternative to product line stretching that adds more items within the present range of the line?**
    a. **Product mix**

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b. **Interactive marketing**
c. **Product line filling**
d. **Co-branding**

68. **What are the companies doing from the following options as a result of an explosion of more focused media that better match today's targeting strategies?**
    a. **More narrowcasting and less broadcasting**
    b. **Less broadcasting and more narrowcasting**
    c. **Less narrowcasting and broadcasting**
    d. **More narrowcasting and broadcasting**
69. **After analysis and processing data, it is converted into which of the following forms?**
    a. **Facts**
    b. **Postulates**
    c. **Information**
    d. **Results**
70. **Following activities are the part of marketing process EXCEPT which of the following?**
    a. **Analyzing marketing opportunities**
    b. **Selecting target markets**
    c. **Developing the business portfolio**
    d. **Managing the marketing effort**
71. **Political force is one of the forces of marketing macro environment. How marketers view political forces?**
    a. **Easily ignored**
    b. **Easily influenced**
    c. **Simple to recognize**
    d. **Beyond their control**
72. **Unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment refers to which one of the following?**
    a. **Belief**
    b. **Culture**
    c. **Personality**
    d. **Self-awareness**
73. **Which of the following marketing mix activity is most closely associated with newsletters, catalogues and invitations to organization-sponsored events?**
    a. **Pricing**
    b. **Distribution**

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c. **Product development**
d. **Promotion**

74. **What does it reflect "The receiver's response to a message"?**
    a. **Feedback**
    b. **Media**
    c. **Noise**
    d. **Decoding**
75. **Nationally distributed consumer convenience products such as cigarettes are MOST likely distributed through which of the following channels?**
    a. **Producer, agents, wholesalers, retailers, consumers**
    b. **Producer, wholesalers, consumers**
    c. **Producer, wholesalers, retailers, consumers**
    d. **Producer, industrial distributor, wholesalers, retailers, consumers**
76. **Marketing stimuli consist of the four Ps. Which is NOT one of these Ps?**
    a. **Product**
    b. **Political**
    c. **Promotion**
    d. **Place**

77. **Which of the following set refers to the order of action in marketing control process?**
    a. **Measure performance – evaluate performance – corrective action – set goals**
    b. **Corrective action – set goals - measure performance – evaluate performance**
    c. **Set goals - Measure performance – evaluate performance - corrective action**
    d. **Set goals - Measure performance – corrective action – evaluate performance**
78. **Polaroid is aiming its Cool Cam camera at teenagers. Which of the following options reflect Teenagers?**

    a. **Target audience**
    b. **Segmentation**
    c. **Target market**

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d. **Focus group**

79. **Which one of these is a department of advertising agency?**
    a. **Creative**
    b. **Research**
    c. **Media**
    d. **All of above**
80. **Which one of the following factors influences the consumer buying decision process?**
    a. **Person-specific**
    b. **Social**
    c. **Demographic**
    d. **Situational**
81. **People change the goods and services they buy over time because of two important factors. Which one of the following sets reflects these factors?**
    a. **Belief and attitude**
    b. **Perception and personality**
    c. **Age and life-cycle stage**
    d. **Family and tradition**
82. **Measure and evaluate performance is the part of which marketing function**
    a. **Marketing Analysis**
    b. **Marketing Implementation**
    c. **Marketing Planning**
    d. **Marketing Control**
83. **Less frequently purchased consumer products and services which are compared by the customer on different product attributes, refers to which one of the following product?**
    a. **Unsought products**
    b. **Specialty products**
    c. **Shopping products**
    d. **Industrial products**

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84. **Which of the following is NOT an internal factor while setting the price of a new product?**

a. **Marketing Strategy**
b. **Objectives**
c. **Marketing Mix**
d. **None of the above**

85. **Marketing information from which of the following databases can be accessed more quickly and cheaply**

a. **External**
b. **Internal & External**
c. **Internal**
d. **Representatives**

86. **During the new product development process, the creation of a large pool of ideas for potential new products is the primary goal of which one of the following steps?**

a. **Idea generation**
b. **Idea screening**
c. **Concept development**
d. **Prototype development**

87. **Survey research, called the backbone of primary research, is the most widely used method for primary data collection and is best suited for gathering which of the following information?**

a. **Personal**
b. **Attitude**
c. **Descriptive**
d. **Exploratory**

88. **A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?**

a. **Problem recognition**
b. **Product specification**
c. **Product selection**
d. **Product purchase**

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89. Low consumer involvement in purchase and little significant brand difference comes in which type of buying behavior.

a. Complex buying behavior
b. Dissonance-reducing buying behavior
c. Habitual buying behavior
d. Variety-seeking buying behavior

90. In which one of the following stages of the product life cycle sales fall off and profits stop?

a. Growth
b. Introduction
c. Decline
d. Maturity

91. Which type of wholesaler not only provides transportation and delivers products to retailers, but also provides the service of placing products on retailers' shelves?

a. Truck wholesaler
b. Cash-and-carry wholesaler
c. Rack jobber
d. Rack jobber

92. Which one of the following is NOT base for marketing segmentation?

a. Consumer markets
b. Industrial markets
c. Business markets
d. International markets

93. Michael Porter developed which of the following model?

a. GE Approach/Model
b. BCG Model
c. Five Forces Model
d. Value Chain model

94. Mr. Kashan works on the prototype of a new action-orientated computer game module, he is engaging in which phase of the new product development process?

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a. **Idea generation**
b. **Commercialization**
c. **Test marketing**
d. **Product development**

95. **When a company caters to clothing, cosmetics and toiletries markets, it is probably using which type of segmentation?**
    a. **Age and life cycle**
    b. **Gender**
    c. **Behavior**
    d. **Geographic**
96. **Which one of the following is the first step in the new product development?**
    a. **Idea screening**
    b. **Concept development**
    c. **Idea generation**
    d. **Concept testing**
97. **Which one of the following is NOT a content of marketing plan?**
    a. **Objectives**
    b. **Control**
    c. **Budget**
    d. **Production**
98. **What is the initial stage in the development of an advertising campaign?**
    a. **Setting the budget for advertising**
    b. **Identifying and analyzing the target audience**
    c. **Defining the advertising objectives**
    d. **Creating the advertising platform**
99. **Which one of the following is NOT a part of industry structure analysis?**
    a. **Buyers**
    b. **Sellers**
    c. **Entry/exit barriers**
    d. **Competitor**

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100. If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most likely use?

a. **Advertising**
b. **Publicity**
c. **Personal selling**
d. **Sales promotion**

101. In creating research questionnaires, which of the following is good advice for research specialist to follow?

a. **Use care in the wording and ordering of questions**
b. Questions do not have to be arranged in a logical order
c. Ask personal questions in the middle of the instrument
d. **Avoid eye contact as it may confuse the respondents**

102. Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?

a. **Product line**
b. **Line extension**
c. **Private brand**
d. **Product bandwidth**

103. Which one of these is not included in product classification?

a. **Durable products**
b. **Nondurable products**
c. **Actual products**
d. **Pure services**

104. Which promotion mix ingredient costs considerably more than advertising to reach one person but can provide more immediate feedback?

a. **Publicity**
b. **Sales promotion**

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c. **Personal selling**
d. **Public relations**

105. Which one of the following is the function of a channel of distribution?

a. **Directs the flow of products from producers to customers**
b. **Links producers to other marketing intermediaries**
c. **Takes title to products and resells them**
d. **Manages transportation and warehousing functions**

106. When the aim of the promotion, while introducing a new consumer product, is to achieve high awareness levels, the firm will most likely make heavy use of which one of the following promotional mix?

a. **Advertising**
b. **Sales promotion**
c. **Personal selling**
d. **Publicity**

107. In SWOT analysis, threats and opportunities are part of which of the following environment?

a. **Internal**
b. **Inside**
c. **External**
d. **Domestic**

108. Large number of manufacturers and greater number of product variety increases

a. **Bargaining power of buyers**
b. **Bargaining power of suppliers**
c. **Rivalry among the competitors**
d. **Threat of substitute**

109. A company can increase its business in four ways. Which is not one of these ways?

a. It can add new product lines, thus widening its product mix.

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b. It can lengthen its existing product lines.
c. It can add more versions of each product and thus deepen its product mix.
d. The company can discontinue some of its lines.

110. The act of setting prices for customers located in different parts of the world is called _____.

a. Geographic Pricing
b. Value based Pricing

111. The various stages of the personal selling process are illustrated below, which one of the following is NOT specific roles of the sales representative?

a. Negotiating and closing the sale
b. Sales presentation
c. Prospecting
d. Devising product strategy

112. Collecting, analyzing and interpretation of data refer to which of the following concepts?

a. Marketing research
b. Marketing intelligence
c. Marketing information
d. Marketing knowledge

113. Anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need refers to which one of the following concepts?

a. Product
b. Price
c. Place
d. Promotion

114. The process of dividing a total market into market groups so that persons within each group have relatively similar product needs refers to which of the following concepts?

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a. **Segmenting**
b. **Differentiating**
c. **Target marketing**
d. **Concentrating**

115. **Heavy promotion exists in which of following philosophies?**

a. **Outside-in perspective**
b. **Inside-out perspective**
c. **Societal marketing concept**
d. **Production concept**

116. **Which public take developments into account on larger scale?**

a. **Financial publics**
b. **Media publics**
c. **Government publics**
d. **Citizen-action publics**

117. **In relation to a product launch strategy, a company engaged in high levels of promotion at the same time as selling at a high price is following which one of the strategy?**

a. **Slow penetration strategy**
b. **Rapid penetration strategy**
c. **Rapid skimming strategy**
d. **Slow skimming strategy**

118. **Why is the headline of a print advertisement such a critical component of the copy?**

a. **It determines the final layout design.**
b. **It is often the only part of the advertisement that is read.**
c. **It takes up the most space.**
d. **It links the copy to the signature.**

119. **Network television advertising is very expensive. The media planner looks both at the total cost of using a medium and at which of the following cost?**

a. **Cost per exposure**

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b. **Cost of premium offers**
c. **Cost of the magazine it is using**
d. **Opportunity cost**

120. Which one of the following stage introduces a new product into the market?

a. **Product Concept**
b. **Product Development**
c. **Test Marketing**
d. **Commercialization**

121. Which of the following tasks are included in marketing management?

a. **Marketing analysis**
b. **Marketing planning**
c. **Marketing implementation**
d. **All of the above**

122. Which one of the following options BEST represents the involvement of management and employees in the continuous improvement of the production of goods and services?

a. **Total Quality Management**
b. **Marketing Management**
c. **Customer Relationship Management**
d. **Knowledge Management**

123. A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following purchases?

a. **Straight rebuy purchase**
b. **Delayed purchase**
c. **New-task purchase**
d. **Modified rebuy purchase**

124. Which of the following is a pricing strategy used at the launch of a product?

a. **Market-Skimming Prices**
b. **Product Line Pricing**

125. In international pricing companies that market their products internationally must decide what prices to charge in the different countries in which they operate.

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a. True
b. False

126. Which one of the following groups serves as opinion leaders to the rest of the market?
a. Late majority
b. Early Adopter
c. Early Majority
d. Laggards

127. Which one of the following is not the component of micro environment?
a. Suppliers
b. Competitors
c. Political
d. Intermediaries

128. All of the following are the logistics functions EXCEPT?
a. Order processing
b. Warehousing
c. Inventory management
d. Retailing

129. Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?

a. Exploratory
b. Descriptive
c. Casual
d. Qualitative

130. A _____ is a retail establishment that combines supermarket and discount store shopping in one location.

a. Superstore
b. Department store
c. Hypermarket
d. Mega market

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131. **Choose the best description regarding marketing view point.**
   a. **Matching a product with its market**
   b. **Promoting and selling products**
   c. **Facilitating and satisfying exchange relationships**
   d. **Distributing products at the right price to stores**

132. **Product develpers need to think about products and services on three levels. Each level adds more customer value. Which one of the following is the most basic level that addresses the question, "What is the buyer really buying?"**
   a. **Actual product**
   b. **Augmented product**
   c. **Core benefit**
   d. **Co-branding**

133. **High involvement in purchase and perceive a significant differences among brands comes in which type of buying behavior.**
   a. **Dissonance-reducing buying behavior**
   b. **Complex buying behavior**
   c. **Variety-seeking buying behavior**
   d. **Habitual buying behavior**

134. **Marketing management is really a:**
   a. **Supply Chain Management**
   b. **Demand Management**
   c. **Product Management**
   d. **Knowledge Management**

135. **A skimming price policy for a product is appropriate when demand for the product is elastic.**
   a. **True**
   b. **False**

136. **In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?**
   a. **Relative market share**
   b. **BCG matrix**

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c. **Business portfolio**
d. **Market growth rate**

137. Which one of the following affects both demographic and psychological factors?

a. **Quantity discounts**
b. **Price elasticity**
c. **Quality discounts**
d. **Mark-up pricing**

138. There are __ ways through which the organizations change their prices to meet the change in demand of a product.

a. **1**
b. **2**

139. Competitor price increases are more likely to be followed when they are due to:

a. **Falling sales**
b. **General rising costs**
c. **Increased advertising**
d. **Price wars**

140. Which one of the following concept is the latest in a marketing philosophy?

a. **Societal marketing concept**
b. **Selling concept**
c. **Marketing concept**
d. **Production concept**

141. Whether the price raised or lowered, the action will affect on: Select correct option:

a. **Buyers**
b. **Competitors**
c. **Competitors**
d. **All of above**

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142. Which of the following concept best describes the situation when the product's cost is too high and marketer looks for ways to bring it down?

a. Selling concept
b. Product concept
c. Production concept
d. Marketing concept

143. Which one of the following involves designing and producing the container or wrapper for a product?

a. Packaging
b. Designing
c. Branding
d. Labeling

144. ABC Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

a. Respondents who refuse to cooperate or give biased answers
b. Interviewers who make mistakes or take shortcuts
c. Interpreting and reporting the findings
d. Primary data that conflict with secondary data

145. The total market approach to finding a target market will probably be UNSUCCESSFUL when:

a. Product differentiation is used
b. The firm defines the total market as its target market
c. People within the market have heterogeneous needs
d. People within the market have homogeneous needs

146. The process of shaping and refining potential product ideas refers to which one of the following options?

a. Prototype development
b. Concept development
c. Test marketing
d. Idea screening

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147. **Which one of the following research instrument is used to collect large amount of information at the low cost?**

a. **Mail questionnaires**
b. **Telephone interviewing**
c. **Personal interviewing**
d. **Computer interviewing**

148. **"How are you telling consumers in your target group about your product" This question belongs to which marketing concept?**

a. **Product**
b. **Price**
c. **Place**
d. **Promotion**

149. **Which one of the following wholesaler provides a convenient and effective method of selling small items to customers in remote areas that other wholesalers might find unprofitable to serve?**

a. **Mail-order wholesalers**
b. **Specialty-line wholesalers**
c. **Cash-and-carry wholesalers**
d. **Truck wholesalers**

150. **Once a product prototype is developed, it is ready for. Which one of the following steps best describe this statement of the new product development?**

a. **Commercialization**
b. **Idea screening**
c. **Concept development**
d. **Test marketing**

151. **Through vehicle the coded message is transmitted from the source to the receiver. Which one of the following vehicle is used for this purpose?**

a. **Decoder**
b. **Encoder**
c. **Relay channel**

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d. **Media**

152. What does the meaning of the physical arrangement of the illustration, headline, subheadline, body copy and the signature?

a. **Copy**
b. **Art design**
c. **Layout**
d. **Storyboard**

153. Which of the following is not the type of retailers?

a. **Self-service retailers**
b. **Limited service retailers**
c. **Half service retailers**
d. **Full service retailers**

154. Which one of the following option is true for Marketing?

a. **Demand management**
b. **Customer relationship**
c. **Making a sale**
d. **Making a profit**

155. Following are the elements of the marketing mix EXCEPT:

a. **Distribution**
b. **Product**
c. **Target market**
d. **Pricing**

156. One risk of ___ is that sales may come at the expense of other items.

a. **Line extension**
b. **Packaging**
c. **Social marketing**
d. **Internet marketing**

157. Building, keeping and growing profitable value-laden relationships with all customers of a company refers to which one of the following concept?

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a. **Customer lifetime value**
b. **Customer perceived value**
c. **Customer relationship management**
d. **Societal marketing**

158. **Following are the elements of the marketing mix EXCEPT:**

a. **Distribution**
b. **Product**
c. **Target market**
d. **Pricing**

159. **XYZ Company launched new CDs players and tested it in new restaurant. XYZ Company is considering which of the following strategies?**

a. **Product development**
b. **Market development**
c. **Diversification**
d. **Market penetration**

160. **Niche marketing is opposite to which one of the following concepts?**

a. **New Marketing exploration**
b. **Knowledge management**
c. **Mass marketing**
d. **Market intelligence**

161. **Marketing researchers usually draw conclusions about large groups of consumers by studying which of the following small component of the total consumer population?**

a. **Group**
b. **Sample**
c. **Target group**
d. **Audience**

162. **Marketing intermediary is one of the forces of marketing micro environment. What roles do they play?**

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a. **Identify individuals & households**
b. **Identify marketing service agencies**
c. **Promote, sell & distribute goods to final buyers**
d. **Minimize supply costs to attract customers**

163. **Which of the following phase of marketing research process is considered MOST expensive and subject to error?**

a. **Exploratory research**
b. **Hypothesis**
c. **Data collection**
d. **Data validation**

164. **Which product life cycle stage features an emphasis on informative promotion, development of distribution channels and low sales?**

a. **Market establishment**
b. **Market introduction**
c. **Market growth**
d. **Market maturity**

165. **Drawing conclusion from research after analysis of collected data called:**

a. **Gathering**
b. **Collection**
c. **Interpretation**
d. **Survey**

166. **Unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment refers to which one of the following?**

a. **Belief**
b. **Culture**
c. **Personality**
d. **Self-awareness**

167. **Which of the following environment consists of the factors that affect consumer purchasing power and spending patterns?**

a. **Demographic environment**

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b. **Cultural environment**
c. **Economic environment**
d. **Consumer environment**

168. **Which of the following environment includes laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society?**

a. **Natural environment**
b. **Political environment**
c. **Societal environment**
d. **Cultural environment**

169. **Which of the following is not the type of retailers?**

a. **Self-service retailers**
b. **Limited service retailers**

170. **For a day care center, disposable diapers, juice boxes, cleaning supplies and electricity are examples of which one of the following costs?**

a. **Fixed costs**
b. **Variable costs**
c. **Derived costs**
d. **Total costs**

171. **If a retailer needed help with store design and training sales personnel, it would most likely use the services of which of the following wholesalers?**

a. **Full-service wholesaler**
b. **Full-price wholesaler**
c. **Rack jobber**
d. **Cash-and-carry wholesaler**

172. **Consumer products and services refers to which of the following products that having unique characteristics or brand identification?**

a. **Shopping products**
b. **Unsought products**
c. **Specialty products**
d. **Industrial products**

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173. **Yoghurt represents which type of product for most consumers?**

a. **Convenience**
b. **Shopping**
c. **Specialty**
d. **Unsought**

174. **Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?**

a. **Exploratory**
b. **Descriptive**
c. **Casual**
d. **Qualitative**

175. **High involvement in purchase and see little difference among brands comes in which type of buying behavior.**

a. **Complex buying behavior**
b. **Habitual buying behavior**
c. **Dissonance-reducing buying behavior**
d. **Variety-seeking buying behavior**

176. **When a company cannot supply all its customers' needs; what would be an effect on price?**

a. **Price will increase**
b. **Price will remain same**
c. **Price will decrease**
d. **Price will decrease up to a curtails limit**

177. **Which of the following traits should salespeople have?**

a. **Honesty**
b. **Patience**
c. **Responsiveness**
d. **All of the given options**

178. **Which of the following forces shows the marketing macro environment?**

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a. Demographic, economic, natural, technological, political, and social
b. Demographic, natural, economic, political, social, and cultural
c. Demographic, economic, natural, technological, political, and cultural
d. Demographic, economic, natural, social, political, and legal

179. The type of salesperson that usually requires training in physical science or engineering refers to which one of the following salespersons?

a. Trade salesperson
b. Missionary salesperson
c. Technical salesperson
d. Sales assistants

180. The Students Union is buying office equipment. For a supplier, the Students Union is an example of which one of the following markets?

a. A producer market
b. A reseller market
c. An institutional market
d. A government market

181. Supply's sales force of ABC Company continues to expand, the firm plans to add a fleet of company cars to its sales compensation package. For ABC Company, this would represent which one of the following purchases?

a. New-task
b. Modified rebuy
c. Straight rebuy
d. Repetitive

182. Which one of these is included in levels of marketing segmentations?

a. Mass Marketing
b. Segment Marketing
c. Niche Marketing
d. All of given above

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183. What type of new product strategy, Pizza Hut is using when it allows Marriott to offer its new specialty pizzas in the hotel chain's room service menu?

a. Market development
b. Product development
c. Market saturation
d. Market penetration

184. Demographic segmentation divides the market into groups based on which of the following variables?

a. Size, location, industry, customer
b. Size, company, industry, technology
c. Location, size, occupation, race
d. Customer, technology, company, industry

185. Marketing manager wants to improve the packaging of new products after reading customer responses to its customer opinion poll. Which one of the following is NOT a function of packaging?

a. It contains and protects the product
b. It contains the brand mark
c. It determines product quality
d. It may contain the brand symbol

186. Which of the following is the last step in marketing research process?

a. Developing the research plan
b. Interpreting and reporting the findings
c. Defining the problem and research objectives
d. Implementing the research plan

187. Observers have noted a shift from a "me-society" to a "we-society." Which of the following statement reflect this statement?

a. People's views of themselves
b. People's views of others
c. People's views of organizations
d. People's views of society

188. Items offered free or at minimal cost as a bonus for purchasing a product refers to which one of the following options?

a. Rebates

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b. **Premiums**
c. **Samples**
d. **Coupons**

189. British Steel provides steel to various manufacturers in Britain. British Steel would most likely segment markets based on which one of the following variables:

a. **Demographic**
b. **Psychographic**
c. **Type of organization**
d. **Market density**

190. There are three decision involved in designing a sample. Which of the following is NOT a part of sample designing?

a. **Sampling unit**
b. **Sampling size**
c. **Sampling procedure**
d. **Sampling cost**

191. Which of the following planning is not the type of planning

a. **Strategic Planning**
b. **Tactical Planning**
c. **Production Planning**
d. **Operational Planning**

192. Which one of the following is the function of a channel of distribution?

a. **Directs the flow of products from producers to customers**
b. **Links producers to other marketing intermediaries**
c. **Takes title to products and resells them**
d. **Manages transportation and warehousing functions**

193. Fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to fatness that harms

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consumer health and causes health problems in the long run. This statement reflects which one of the following concepts?

a. **Marketing concept**
b. **Societal marketing concept**
c. **Product concept**
d. **Production concept**

194. Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?

a. **Exploratory**
b. **Descriptive**
c. **Casual**
d. **Qualitative**

195. All of the following are the stages involved in the consumer adoption process EXCEPT:

a. **Desire**
b. **Awareness**
c. **Interest**
d. **Trial**

196. To reduce inventory management costs, many companies use a system where they carry only small inventories of parts or merchandise, often only enough for a few days of operation refers to which of the following concepts?

a. **Just-in-time logistics**
b. **Limited inventory logistics**
c. **Economic order quantity**
d. **Supply chain management**

197. Low consumer involvement in purchase but significant perceived brand difference comes in which type of buying behavior.

a. **Complex buying behavior**
b. **Dissonance-reducing buying behavior**
c. **Habitual buying behavior**
d. **Variety-seeking buying behavior**

198. In SWOT analysis, strength and weaknesses are part of which of the following environment?

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a. **Internal**
b. **Outdoor**
c. **External**
d. **Outside**

199. Which one of the following options represents the collection of data for the purpose of applying appropriate actions at a subsequent time?

a. **Lifestyle**
b. **Learning**
c. **Perception**
d. **Attitude**

200. People often buy the kind of clothing. What does it show?

a. **Attitude**
b. **Status**
c. **Learning**
d. **Lifestyle**

201. In the BCG approach, stars are high-share, high-growth businesses or products. They need heavy investment to finance rapid growth. When their growth slows down, they turn into which of the following?

a. **Dogs**
b. **Question marks**
c. **Cash cows**
d. **SBU**

202. Which one of the following stage introduces a new product into the market?

a. **Product Concept**
b. **Product Development**
c. **Test Marketing**
d. **Commercialization**

203. In which of the following research the aim is to describe things such as the market potential for a product or the demographics and attitudes of customers who buy the product?

a. **Exploratory research**
b. **Descriptive research**

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c. **Casual research**
d. **Observational research**

204. Mr. A retains complete ownership of all members of its distribution channel. Mr. A channel would be best described as which of the following VMS?

a. **Corporate**
b. **Contractual**
c. **Conventional**
d. **Administered**

205. If you are attempting to create primary demand toward your product, you will use which type of the following ads?

a. **Informative**
b. **Persuasive**
c. **Reminder**
d. **Cooperative**

206. A _____ combines successive stages of production and distribution under single ownership.

a. **Administered vertical marketing system**
b. **Conventional marketing channel**
c. **Use of power brokers in a channel framework**
d. **Corporate vertical marketing system**

207. The fact that organizational customers purchase products to be used directly or indirectly in the production of goods and services to satisfy customers' needs. This situation shows which of the following demands?

a. **Joint**
b. **Derived**
c. **Inelastic**
d. **More fluctuating**

208. Which one of the following affects both demographic and psychological factors?

a. **Quantity discounts**

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b. **Price elasticity**
c. **Quality discounts**
d. **Mark-up pricing**

209. The mental act, condition or habit of placing trust or confidence in another shows which of the following option?

a. **Motive**
b. **Belief**
c. **Behavior**
d. **Attitude**

210. Which one of the following research instruments is used to collect information quickly?

a. Mail questionnaires
b. Telephone interviewing
c. Personal interviewing
d. Computer interviewing

211. Which one of the following steps is NOT a part of marketing process?

a. **Analyzing marketing opportunities**
b. **Selecting target market**
c. **Designing the business portfolio**
d. **Develop marketing mix**

212. Which of the following SBUs are not the types of SBU

a. **Stars**
b. **Cash Cows**
c. **Cats**
d. **Dogs**

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MGT301 Grand Quiz Searching Mega File

Principles of Marketing (Virtual University of Pakistan)

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MGT301 GRAND QUIZ AND QUIZZES FILE (Most Important)

1. Product, price, place and promotion make up the elements of a firm's marketing mix.

   A. True (Chapter no 1 Original Book Page no 34)
   B. False

2. Selling is managing profitable customer relationships.

   A. True
   B. False (Lesson no 44 Page no 220 Old Handouts)

3. Human needs are shaped by culture and individual personality.

   A. True
   B. False (Chapter no 1 Original Book Page no 8)

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

   A. True (Lesson no 44 Page no 220 Old Handouts)
   B. False

5. When backed by buying power, needs become demands.

   A. True
   B. False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

   A. True
   B. False

7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

   A. True
   B. False

8. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

   A. True **B. False**

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9. Marketing offers are limited to physical products.

A. True
B. False

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True
B. False

11. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)
B. False

12. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

A. True
B. False (Lesson no 2 Page no 11 Old Handouts)

13. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

A. True
B. False ??????

14. The difference between human needs and wants is that needs are states of felt deprivation.

A. True
B. False

15. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

A. True (Lesson no 4 Page no 20 Old Handouts) B. False

16. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

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A. True (Lesson no 2 Page no 12 Old Handouts) B. False

17. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

A. True (Lesson no 4 Page no 21 Old Handouts) B. False

18. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

A. True **B. False (Lesson no 2 Page no 11 Old Handouts)**

19. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

A. True (Lesson no 44 Page no 222 Old Handouts) B. False

20. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)
B. False

1. Raheela works for the Aftab Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Raheela plays the role of gatekeeper.

   a. True **b. False**

   Rachel Stein works for the LeBray Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Rachel plays the role of gatekeeper.
   Answer: FALSE
   AACSB: Analytical thinking
   Skill: Application
   Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
   Difficulty: Easy

   Note : Name changed.

2. In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

   a. True (Lesson no 16 Page no 79 Old Handouts) b. False

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3. Mission statements must fit the market environment, as indicated here by the Girl Scouts' mission: "where girls grow strong."

a. True b. False

Mission statements must fit the market environment, as indicated here by the Girl Scounts of American's mission: "where girls grow strong."
(Answer: True; p. 39; Moderate)

Note: Difference in these statements are that there is no American's mission written in above statement.

4. The central question for marketers is how do consumers respond to various marketing efforts the company might use? The starting point is called the stimulus-response of buyer behavior.

a. True (Answer: True; p. 129; Moderate) b. False

5. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.

a. True (Answer: True; p. 147; Moderate) b. False

6. The macroenvironment consists of the factors close to the company that affect its ability to service its customers, such as suppliers, customer markets, competitors, and publics.

a. True **b. False**

7. Sarwar Incorporation wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.

a. True (Answer: True; p. 109; Easy) b. False

8. When firms take aggressive action to affect the publics and forces in their marketing environment, they are taking an environmental management perspective.

a. True (True; Moderate; p. 132) b. False

9. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.

a. True (Answer: True; p. 103; Easy) b. False

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10. In the supplier selection stage, the buyer reviews supplier performance.

a. True **b. False**

In the supplier selection stage the buyer reviews supplier performance. (F)

11. The production concept and product concept are two philosophies that can both lead to marketing myopia.

a. True **True (Theme 1 page 5) (100% Sure)** b. False

12. Holiday Inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

a. True **b. False (Answer: False; p. 50; Moderate)**

13. ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

a. True (Answer: True; p. 38; Easy) b. False

14. Marketing management is interested in serving all customers in every way to remain competitive in today's markets. **(DoubtFul)**

a. True **b. False (False; Moderate; p. 11)**

15. Today's marketers must be good at building relationships in order to connect effectively with customers, other in the company, and external partners.

a. True True (Theme 1 page 1) (100% Sure) b. False

16. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

a. True (Chapter no 1 Page no 9 Original Book) b. False

17. The demand for many business goods tends to change more slowly than the demand for consumer goods.

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a. True **b. False (Lecture no 16 Page no 74 Old Handouts)**

18. A company buying a product or service for the first time faces a new task situation.

a. True (Lesson no 16 Page no 76 Old Handouts) b. False

19. As an employee of Bankers Enterprises, you market wild and crazy games for teens to play at parties. You work in the business market.

a. True **b. False (False; Easy; p. 108)**

20. More and more companies are shifting their brand management focus toward customer relationship management.

a. True (Answer: True; p. 61; Easy) b. False

21. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

a. True True (Theme 1 page 2) (100% Sure) b. False

22. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.

a. True (Answer: True; p. 49; Challenging) b. False

23. Most household income is used up in purchasing food, housing, and transportation.

a. True b. False

24. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

a. True **b. False False (Confirm) (100% Sure)**

25. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post purchase behavior.

a. True (Answer: True; p. 144; Easy) b. False

26. Revlon has clearly defined its "mission" of selling lifestyle and self-

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expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

a. True (Answer: True; p. 39; Moderate) b. False

27. Making more sales to current customers without changing a firm's products in market penetration.

a. True (Answer: True; p. 44; Moderate) b. False

28. The owner of 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any other group in the company, must be the trend trackers and opportunity seekers.

a. True (True; Moderate; p. 107) b. False

29. Marketing research firms, advertising agencies, media firms, and marketing consulting firms are referred to as marketing services agencies.

a. True (True; Easy; p. 108) b. False

30. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

a. True **b. False (Answer: False; p. 101; Challenging)**

31. Business demand ultimately derives from the demand for consumer goods.

a. True (Lesson no 16 Page no 74 Old Handouts) b. False

32. The buying center is a fixed and formally identified unit within the buying organization.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

33. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.

a. True **b. False (Answer: False; p. 99; Challenging)**

34. The microenvironment consists of larger societal forces that affect the microenvironment, such as demographic, economic, political, and cultural forces.

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a. True **b. False (False; Easy; p. 107)**

35. The difference between human needs and wants is that needs are states of felt deprivation.

a. True (True; Easy; p. 6) b. False

36. The collection of businesses and products that make up a company is called its marketing strategy.

a. True **b. False (Answer: False; p. 49; Easy)**

37. Too much information can be as harmful as too little.

a. True (Answer: True; p. 98; Easy) b. False

38. Within the organization, buying activity consists of two major parts: the buying center and the buying decision process.

a. True (Lesson no 16 Page no 76 Old Handouts) b. False

39. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

a. True **b. False (Answer: False; p. 142; Challenging)**

40. According to Engel's laws, consumers tend to spend a smaller percentage of income on food as income rises.

a. True **b. False**

41. Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved. **(Read Chapter no 8 Page no 311 Original Book)**

a. True b. False

42. Tanveer Jafer works for a firm that is a distribution channel member that helps the company find customers or make sales to them. Tanveer works for a reseller.

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a. True (True; Moderate; p. 108) b. False

43. Selling is managing profitable customer relationships.

a. True **b. False False (Theme 1 Page 6) (100% Sure)**

44. In the Boston Consulting Group approach, relative market share serves as a measure of company strength in the market.

a. True **b. False (Answer: False; p. 40; Easy)**

45. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

a. True (Lecture no 16 Page no 74 Handouts) b. False

46. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.

a. True (Answer: True; p. 57; Moderate) b. False

47. Influencers often help define specifications and also provide information for evaluating alternatives.

a. True (Lesson no 16 Page no 76 Old Handouts) b. False

48. In the business buying process, the buyer and seller are relatively less dependent on each other.

a. True **b. False (Lesson no 16 Page no 75 Old Handouts)**

49. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

a. True (Answer: True; p. 138; Easy) b. False

50. All business buying decisions follow all steps of the business buying process. **(Doubtful)**

a. True **b. False**

51. At Air Online, "we provide online services," is a market-oriented business definition.

a. True **b. False**

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At America Online, "we provide online services," is a market-oriented business definition. (Answer: False; p. 38; Moderate)

52. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

a. True True (Theme 1 Page 6) (100% Sure) b. False

53. Environmental concerns have been on the decline in the past decade; government legislation and the green movement may be the cause of this trend.

a. True **b. False Answer: FALSE**
Diff: 2 Page Ref: 80
Skill: Concept
Objective: 3-3

54. When a consumer learns about a new product for the first time and time makes a decision to try it, it is called the alternative evaluation process.

a. True **b. False (Answer: False; p. 142; Moderate)**

55. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.

a. True **b. False (Answer: False; p. 143; Moderate)**

56. Most businesses that manufacture products for the consumer market also sell directly to consumers.

a. True b. False

57. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.

a. True (Answer: True; p. 146; Moderate) b. False

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58. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

a. True **b. False (Answer: False; p. 144; Challenging)**

59. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.

a. True (Answer: True; p. 132; Easy) b. False

60. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

a. True **b. False (Answer: False; p. 101; Challenging)**

61. Product, price, place and promotion make up the elements of a firm's marketing mix.

a. True True (Confirm) (100% Sure) b. False

62. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

a. True (Answer: True; p. 54; Moderate) b. False

63.At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

a. True (True; Easy; p. 11) b. False

64. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

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a. True (True; Moderate; p. 6) b. False

65. It is important to note that data becomes old/age quickly, and keeping the database current requires a major effort.

a. True (Answer: True; p. 99; Easy) b. False

66. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

a. True **b. False (False; Moderate; p. 107)**

67. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person.

a. True (Answer: True; p. 146; Moderate) b. False

68. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.

a. True **b. False (Answer: False; p. 146; Challenging)**

69. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

a. True True (Theme 1 page 1) (100% Sure) b. False

70. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.

a. True **b. False (Answer: False; p. 102; Moderate)**

71. The first step in strategic planning is to define the company mission.

(Answer: True; p. 37; Moderate) a. True b. False

72. Almost all major purchases result in cognitive dissonance, or discomfort caused by post purchase conflict.

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a. True (Answer: True; p. 144; Easy) b. False

73. Significant reasons for business laws to be enacted include protecting the interests of society, protecting consumers, and protecting companies from each other.

a. True (True; Easy; p. 125) b. False

74. The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

a. True (Lesson no 16 Page no 79 Old Handouts) b. False

75. People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers." They are also called laggards.

a. True **b. False (Answer: False; p. 146; Challenging)**

76. A market segment consists of consumers who respond in different ways to a given set of marketing efforts.

a. True **b. False (Answer: False; p. 50; Moderate)**

77. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

a. True (True; Easy; p. 12) b. False

78. Marketing offers are limited to physical products.

a. True **b. False (100% sure)**

79. Today's marketers recognize the importance of working with their intermediaries as channels through which they sell their products rather than as mere products.

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a. True **b. False False (Confirm) (100% Sure)**

80. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."

a. True **b. False (Answer: False; p. 101; Easy)**

81. In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

a. True (Page Ref: 175 TRUE 17) b. False

82. The significant trends in the natural environment includes shortages of raw materials and increased pollution.

a. True

b. False (False; Challenging; p. 123)

83. Mission statements should both fit the market environment and be motivating.

a. True (Answer: True; p. 39; Easy) b. False

84. The main differences between business and consumer markets are in market structure and demand, the nature of the buying unit, and the types of decisions and the decision process involved.

a. True (Lesson no 16 Page no 74 Old Handouts) b. False

85. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."

a. True (Answer: True; p. 102; Easy) b. False

86. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

a. True b. False

87. Your accounting department must measure revenues and costs to help the

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marketing department know how well it is achieving its objectives.

a. True (True; Easy; p. 108) b. False

88. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.

a. True **b. False (Answer: False; p. 102; Moderate)**

89. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.

a. True **b. False (Answer: False; p. 148; Challenging)**

90. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

a. True True (Theme 1 page 8) (100% Sure) b. False

91. The simplest definition of modern marketing is managing profitable customer relationships.

a. True (True; Easy; p. 5) b. False

92. Marketing mix is the set of uncontrollable, marketing tools that the firm can use to influence the demand for its products.

a. True **b. False (Answer: False; p. 52; Moderate)**

93. An effective MIS (Marketing Information System) assesses information needs, develops needed information, and distributes the information to help managers use in decision making.

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a. True (Answer: True; p. 98; Moderate) b. False

94. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.

a. True **b. False**

95. In a straight rebuy, the buyer wants to alter product specifications, prices, terms, or suppliers.

a. True **b. False (Lesson no 16 Page no 76 Old Handouts)**

96. Human needs are shaped by culture and individual personality.

a. True **b. False (Lesson no 2 Page no 10 Old Handouts)**

97. Secondary data provide good staring points and often help to define problems and research objectives, though most companies must also collect primary data.

a. True (Answer: True; p. 105; Moderate) b. False

98. Gatekeepers have formal or informal power to select or approve the final suppliers.

a. True **b. False**

Gatekeepers have formal or informal power to select or approve the final suppliers.
Answer: FALSE
Skill: Concept
Objective: LO 6.2: Identify the major factors that influence business buyer behavior.
Difficulty: Easy

99. Consumer organizations such as environmental and minority groups may question a company's marketing decisions. This type of public is called the local public.

a. True **b. False (False; Moderate; p. 110)**

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100. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.

a. True
b. False False (Confirm) (Correct Product Concept) (100% Sure)

101. The reason the demographic environment is of major interest to marketers is because it involves people, and people make up markets.

a. True True (Confirm) (100% Sure) b. False

102. Mission statements should be realistic and general in nature.

a. True **b. False (Answer: False; p. 39; Moderate)**

104. The newer the buying task, and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

a. True **b. False (Lesson no 16 Page no 79 Old Handouts)**

105. Guided by marketing strategy, the company designs a marketing mix made up of factors under its control-product, price, place, and promotion.

a. True (Answer: True; p. 52; Moderate) b. False

106. An SBU can be a company division, a product line within a division or sometimes a single product or brand.

a. True (Answer: True; p. 40; Easy) b. False

107. A belief is the specific mix of human traits that may be attributed to a particular brand.

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a. True **b. False (Answer: False; p. 141; Moderate)**

108. "At Nike, we sell shoes" is a market-oriented business definition.

a. True **b. False (Answer: False; p. 38; Moderate)**

109. When backed by buying power, needs become demands.

a. True
b. False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

110. When backed by buying power, wants become demands.

a. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)
b. False

111. A dissonance reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.

a. True **b. False (Answer: False; p. 145; Challenging)**

112. Consumer buying behavior refers to the buying behavior of businesses.

a. True **b. False (Answer: False; p. 128; Easy)**

113. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.

a. True (Answer: True; p. 113; Moderate) b. False

114. Good sources of marketing intelligence information includes competitors, annual reports, business publications, trade show exhibits, press releases,

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advertisements, and Web pages.

a. True (Answer: True; p. 101; Moderate) b. False

116. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

a. True True (Theme 1 page 7) (100% Sure) b. False

117. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interests.

a. True True (Theme 1 page 6) (100% Sure) b. False

118. Most firms follow the production concept when they face overcapacity.

a. True **b. False False (Theme 1 page 5) (100% Sure)**

119. A company with limited resources might decide to serve all segments of a market.

a. True **b. False (Answer: False; p.50; Moderate)**

120. At Air Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition.

a. True **b. False**

At America Online, "we create customer connectivity, anytime, anywhere." is a product-oriented business definition. (Answer: False; p.38; Moderate)

121. The image a product reflects in the minds of consumers is called market segmentation.

a. True **(Answer: False; p. 50; Easy) b. False**

122. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

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a. True True (Confirm) (100% Sure) b. False

123. Major factors are changing the face of today's marketing communications. Mass markets have fragmented; thus, marketers are shifting away from mass marketing.

a. True (Lesson no 32 Page no 160 Old Handouts) b. False

124. A break-even chart shows the total cost and total revenue expected at various sales volume levels.

a. True (Lesson no 25 Page no 120 Old Handouts) b. False

125. Demand and consumer value perceptions set the floor for prices.

a. True **b. False (False; p. 263; Moderate)**

126. In industrial markets, product managers have an influence on the company's price-setting decisions.

a. True (True; p. 269; Easy) b. False

127. Cost-based pricing relies on consumer perception of value to drive pricing.

a. True **b. False (False; p. 267; Easy)**

128. Informative ads are used primarily in the growth stage of the product life cycle.

a. True **b. False Answer: FALSE**
Diff: 2.
Page Ref: 431.
Skill: Concept Objective:15-2

129. Overhead cost is another term for variable cost.

a. True **b. False (False; p. 266; Easy)**

130. Slice of life, lifestyle, and personality symbol are all parts of public relations.

a. True **b. False (Lesson no 33 Page no 172 Old Handouts)**

131. Percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.

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a. True (Lesson no 32 Page no 165 Old Handouts) b. False

132. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

a. True (True; p. 277; Moderate) b. False

133. An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

a. True (100% Sure) b. False

134. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. True (100% Sure) b. False

135. When a company introduces a new brand name in the same product category, it is called line extension.

a. True **b. False (100% Sure)**
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective:

136. Lahore Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as the segmentation approach.

a. True **b. False**

Note: Name difference doubtful

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137. Today, most companies have moved away from mass marketing and are being choosier about the customers with whom they wish to build relationships.

a. True (100% Sure) b. False

138. Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price and style.

a. True (100% Sure) b. False

139. Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.

a. True **b. False (100% Sure)**

140. At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. You believe this is a correct definition.

a. True **b. False (100% Sure)**

141. At this point your company wants to move away from mass marketing and engage in target marketing. The three steps to take, in order, are market segmentation, marketing positioning and target marketing.

a. True (100% Sure) b. False

142. Commercial accounting is done through a system known as:

a. True **b. False False (Confirm) (100% Sure)**

143. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and internet cookies.

a. True **b. False (Answer: False; p. 111; Challenging)**

144. Marketers all agree that questionnaires are the most common research instrument.

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a. True (Answer: True; p. 111; Easy) b. False

145. An increasing number of retailers and wholesalers have created their own brands-such as Hyper Star offering variety of food products. This is called co-branding.

a. True **b. False (False; p. 233; Challenging; LO3)**

An increasing number of retailers and wholesalers have created their own brands—such as Wal-Mart offers Sam's Choice beverages and food products. This is called co-branding. (False; p. 233; Challenging; LO3)

146. Customer retention is perhaps the best measure of quality-a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

a. True Answer: TRUE b. False
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

147. In international product and service marketing, it is important to know what different colors mean to different countries.

a. True (True; p. 232; Easy; LO3) {AACSB: Global} b. False

In international product and service branding, it is important to know what different words mean in different countries.
(True; p. 232; Easy; LO3) {AACSB: Global}

Note: Marketing and branding difference

148. Programs that include public health campaigns to reduce smoking, alcoholism, drug abuse, and overeating are examples of the social idea known as social marketing.

a. True (Lesson no 13 Page no 544,545 Original Book) b. False

149. In industrial markets, salespeople outrank top management in determining the sales price of products.

a. True **b. False (False; p. 269; Easy)**

150. POP promotions include displays and demonstrations that take place at the point of purchase or sale.

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a. True (Lesson no 34 Page no 177 Old Handouts) b. False

151. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta and Pentax.

a. True (True; p. 273; Moderate) b. False

152. The three characteristics for advertising appeals are: meaningful, believable and distinctive.

a. True (Lesson no 33 Page no 171 Old Handouts) b. False

153. Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

a. True **b. False**

154. Many marketers believe that behavior variables are the best starting point for building market segments.

a. True (Lesson no 17 Page no 85 Old Handouts) b. False

155. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

a. True (True; p. 263; Easy) b. False

156. Dove marketers can go beyond the brand's cleaning cream attributes and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.

a. True **b. False (False; Challenging; p. 292)**

157. Internal marketers face special challenges. They must figure out what products to introduce to other countries.

a. True **b. False (False; Moderate)**

158. Value-based pricing is the reverse of cost-based pricing.

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a. True (True; p. 264; Challenging) b. False

159. An e-mail from a company that offers free shipping on your next purchase of more than Rs. 3000/= is an example of sales promotion. **(Doubtful)**

a. True b. False

160. Co-branding is a form of product that consists of activities, benefits or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, airline, retail, tax preparation and home repair. **(Doubtful)**

a. True **b. False**

161. A company's total marketing communications mix is also called its promotion mix.

a. True (Lesson no 32 Page no 159 Old Handouts) b. False

162. Your assignment at work is to divide buyers into different groups based on social class, lifestyle and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.

a. True b. False

163. One important quality for a brand name is that it should translate easily into foreign languages.

a. True (Lesson no 20 Page no 97 Old Handouts) b. False

164. The simplest pricing method is break-even pricing-adding a standard markup to the cost of the product.

a. True **b. False (False; p. 267; Easy)**

165. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.

a. True (Lesson no 32 Page no 167 Old Handouts) b. False

166. Behavioral segmentation requires finding the major advantages or features people look for in the product class, the kinds of people who look for each advantage or feature and the major brands that deliver each advantage or feature.

a. True **b. False**

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167. The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

a. True **b. False**
Answer: FALSE
Diff: 2 Page Ref:238
Skill: Concept
Objective: 8-3

168. Competitors prices and offers are external factors that companies have to deal with.

a. True (True; p. 268; Easy) b. False

169. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.

a. True (True; p. 277; Easy) b. False

170. Shopping For The Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel and financial services. This firm would use income segmentation.

Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2 b. False

171. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

a. True (From Google) b. False

Manufacturers also **may offer an allowance** (usually so much off per case) in **return for the retailer's agreement to feature the manufacturer's products in some way**.

172. Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.

a. True b. False

173. The demand curve shows the number of units the market will buy in a given

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time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

a. True **b. False (False; p. 272; Easy)**

174. Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

a. True (Lesson no 34 Page no 175 Old Handouts) b. False

175. Consumers position products with or without the help of marketers.

a. True b. False

176. The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

a. True (Answer: True; p. 200; Easy; LO4) b. False

177. Karachi Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.

a. True Answer: TRUE b. False
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

178. Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

a. True **b. False (Lesson no 19 Page no 93 Old Handouts)**

179. We define service as anything that can be offered to a market for attention, acquisition, use or consumption and that might satisfy a want or need.

a. True **b. False (100 % Sure)**

180. Each firm should be able to find a single way to segment each market.

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a. True **b. False (Answer: False; p. 165; Easy)**

181. In a product business, products are fairly standardized and can sit on shelves waiting for customers. In a service business, the customer and front-line service employee interact to create the service.

a. True (Chapter no 15 Page no 634 Original Book) b. False

182. Packaging does not include the material necessary to ship a product.

a. True **b. False**

183. This type of segmentation uses different marketing approaches for different time periods of peoples lives and different family situations. This segmentation method is called demographic.

a. True **b. False (Answer: False; p. 167; Moderate)**

184. Gender segmentation has long been used in clothing, cosmetics, toiletries and magazines.

a. True (Chapter no 10 Page no 401 Original Book) b. False

185. Products support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

a. True **b. False (Lesson no 20 Page no 99 Old Handouts)**

186. A company's product mix has four important dimensions: width, length, depth and consistency.

a. True (Lesson no 13 Page no 570 Original Book) b. False

187. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

a. True (Lesson no 18 Page no 87 Old Handouts) b. False

188. The brand of a product can determine its customer value.

a. True (True; p. 226; Moderate; LO2) b. False

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189. Style is a larger concept than design. Design describes the appearance of a product.

a. True **b. False (Lesson no 20 Page no 96 Old Handouts)**

190. Customers come to know a brand through a wide range of contacts and touch points. These include word of mouth, personal interactions with company Web pages. Many brands are not maintained by advertising but by brand experience.

a. True (Chapter no 13 Page no 567 Original Book) b. False

191. A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes the place the product occupies in the retailers minds relative to competing products. **(Read Lesson no 18 Page no 88 Old Handouts)**

a. True b. False

192. An aspect of managing service differentiation is in the company's service delivery.

a. True (100% Sure) b. False

193. Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.

a. True **b. False (Answer: False; p. 173)**

194. Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more-for-less strategy.

a. True

Answer: FALSE
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

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195. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.

a. True (Answer: True; p. 139; Moderate) b. False

196. A business marketer normally deals with far fewer buyers than the consumer marketer does.

a. True (Lesson no 16 Page no 74 Old Handouts) b. False

197) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.

a. True Answer: TRUE b. False
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

1. The most effective consumer promotion tool is sampling.
   A. True (Page no 788 original book not handouts) B. False

2. Major factors are changing the face of today's marketing communications. Mass markets have fragmented, thus, marketers are shifting away from mass marketing.
   A. True (Page no 720 original book not handouts) B. False

3. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
   (False; p. 275; Easy)

4. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.
   (True; p. 277; Moderate)

5. The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.
   (False; p. 267; Easy)

6. Environmental elements are categorized as external factors that affect pricing decisions.

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Answer: TRUE
Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

7. POP promotions include displays and demonstrations that take place at the point of purchase or sale.
A. True (Original book page no 788 not handouts) B. False

8. If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

9. Pricing often plays an important role in helping to accomplish company's multi-level objectives.
(True; p. 263; Easy)

10. Informative ads are used primarily in the growth stage of the product life cycle.
A. True **B. False**

11. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

12. Slice of life, lifestyle and personality symbol are all parts of public relations.
A. True **B.False (Book page no 769 original book not handouts)**

13. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

14. If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

15. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

16. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

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(True; p. 263; Easy)

17. A specific communication task to be accomplished with a specific target audience during a specific period of time is called an advertising objective.
A. True (Original book page no 905) B. False

18. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

19. Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.
A. True (Page no 178 Old Handouts) B. False

20. Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service.
A. True (Page no 200 Old Handouts) B. False

21. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.
(True; p. 277; Easy)

22. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

23. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

24. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

25. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

26. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

27. The most expensive consumer promotion tool is sampling.
A. True (Page no 144 Old Handouts) B. False

28. Cost-based pricing relies on consumer perception of value to drive pricing.

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(False; p. 267; Easy)

29. *Overhead cost* is another term for *variable cost.*
(False; p. 266; Easy)

30. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

31. The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

32. A company's total marketing communications mix is also called its promotion mix.
A. True (Page no 160 old handouts) B. False

33. An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.
A. True B. False

34. Advertisers look for media that showcase the product effectively. Fashions are best advertised on television, and automobile performance is best in color magazines.
A. True **B. False (Page no 174 old handouts)**

35. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

36. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

37. The three characteristics for advertising appeals are: meaningful, believable and distinctive.
A. True (Original Book page no 803,804) B. False

38. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

39. The media planner has to know the reach, frequency, and impact of each ad.
A. True (Original Book Page no 807) B. False

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Quiz No 3 2021 MGT 301

3. The most effective consumer promotion tool is sampling.
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4. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.
   (True; p. 277; Moderate)

6. The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.
   (False; p. 267; Easy)

6. Environmental elements are categorized as external factors that affect pricing decisions.
   Answer: TRUE
   Diff: 2 Page Ref: 300
   Skill: Concept
   Objective: 10-3

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Objective: 14-4

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A. True (Original Book Page no 807) B. False

MGT301 SOLVED QUIZ 1 2021

Effort by Sarim

1. **Product, price, place and promotion make up the elements of a firm's marketing mix.**

   A. True (Chapter no 1 Original Book Page no 34)
   B. False

2. **Selling is managing profitable customer relationships.**

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A. True

B. False (Lesson no 44 Page no 220 Old Handouts)

3. Human needs are shaped by culture and individual personality.

A. True

B. False (Chapter no 1 Original Book Page no 8)

4. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

A. True (Lesson no 44 Page no 220 Old Handouts)

B. False

5. When backed by buying power, needs become demands.

A. True

B. False (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

6. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

A. True

B. False

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7. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

A. True
B. False

9. Marketing offers are limited to physical products.

A. True

B. False

10. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

A. True
B. False

9. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

A. True (Lesson no 2 Page no 11 Old Handouts)
B. False

10. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

A. True
B. False (Lesson no 2 Page no 11 Old Handouts)

11. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

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A. True

B. False (Not sure)

12. The difference between human needs and wants is that needs are states of felt deprivation.

A. True

B. False

13. When backed by buying power, needs become demands.

A. True

B. False (Lesson no 2 Page no 11 Old Handouts)

14. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

A. True (Lesson no 4 Page no 20 Old Handouts)

B. False

15. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

A. True (Lesson no 2 Page no 12 Old Handouts)

B. False

16. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

A. True (Lesson no 4 Page no 21 Old Handouts)

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B. False

17. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

A. True

B. False (Lesson no 2 Page no 11 Old Handouts)

18. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

A. True (Lesson no 44 Page no 222 Old Handouts)

B. False

19. When backed by buying power, wants become demands.

A. True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

B. False

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MGT301 Solved Grand Quiz 2020

Question No 1

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Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 2

During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 3

Customer-perceived value depends on the product's perceived performance relative to a buyer's experience.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 4

When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 5

The elements of the marketing mix commonly

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known as the “four Ps” include: product, price, place, and promotion.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 6

Most businesses that manufacture products for the consumer market also sell directly to consumers.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 7

Holiday inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 8

The owner of the 21-store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any group in the company, must be the trend trackers and opportunity seekers.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 9

ABC Fortunes has just developed a formal statement of

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its purpose. This firm has put together a mission statement.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 10

Environmental concerns have been on the decline in the past decade; more government legislation and the green movement may be the cause of this trend.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 11

Today's marketers recognize the importance of working with their intermediaries as channel through which they sell their products rather than as mere partner.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 12

More and mor companies are shifting their brand management focus toward customer relationship management.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 13

Today's marketers must be a good at building

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relationships in order to connect effectively with customers, others in the company, and external partners.

Select Correct Option

- ✓ True
- ✓ **False**.....(For More Visit VUStudents.pk)

Question No 14

Mission statement must fit the market environment, as indicated here by the Girl Scouts. "where girls grow strong".

Select Correct Option

- ✓ **True**.....(For More Visit VUStudents.pk)
- ✓ False

Question No 15

Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."

Select Correct Option

- ✓ True
- ✓ **False**.....(For More Visit VUStudents.pk)

Question No 16

Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

Select Correct Option

- ✓ **True**.....(For More Visit VUStudents.pk)
- ✓ False

Question No 17

The main differences between business and consumer markets are in market structure and demand, the nature of the buying unit, and the

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types of decisions and the decision process involved.

Select Correct Option

- ✓ True .....(For More Visit VUStudents.pk)
- ✓ False

Question No 18

Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the cost of a marketing offer relative to those of competing offers.

Select Correct Option

- ✓ True .....(For More Visit VUStudents.pk)
- ✓ False

Question No 19

When you collect information from your company's accounting and sales stored in the computer, you are developing an internal database.

Select Correct Option

- ✓ True .....(For More Visit VUStudents.pk)
- ✓ False

Question No 20

When sellers focus on existing needs and lost sight of underlying customer wants, they suffer from marketing myopia.

Select Correct Option

- ✓ True .....(For More Visit VUStudents.pk)
- ✓ False

Question No 21

The buying center is a fixed and formally identified unit within the buying organization.

Select Correct Option

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- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 22

Social classes are society's relatively permanent and ordered whose members share similar values, interests, and behaviors.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 23

Who is out target market and what's our proposition are two important questions underlying marketing strategy.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 24

ABC interior Designs wants to collect research data through obtention. The three typical methods are video cameras, checkout scanners, and internet cookies.

Select Correct Option

- ✓ True
- ✓ **False** ..... (For More Visit VUStudents.pk)

Question No 25

The simplest definition of modern marketing is managing profitable customer relationships.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 26

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“At Nike, we sell shoes” is a market-oriented business definition.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 27

The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quality needed, expected delivery time, return policies, and warranties.

Select Correct Option

- ✓ True
- ✓ **False**..... (For More Visit VUStudents.pk)

Question No 28

The newer the buying task, and the complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 29

The twofold of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

Select Correct Option

- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

Question No 30

No single competitive marketing strategy is best for all companies.

Select Correct Option

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- ✓ **True** .....(For More Visit VUStudents.pk)
- ✓ False

76. Harley-Davidson customers are mainly the Hell's Angels/Muscle Heads crowd.
(Answer: False; p. 128; Easy)

77. The Harley-Davidson Company found out that buying behavior is simple and understanding it is the essential task of marketing management.
(Answer: False; p. 128; Moderate)

78. Consumer buying behavior refers to the buying behavior of businesses.
(Answer: False; p. 128; Easy)

79. The central question for marketers is: How do consumers respond to various marketing efforts the company might use? The starting point is called the stimulus-response of buyer behavior.
(Answer: True; p. 129; Moderate)

80. A dissonance-reducing buying behavior is designed to probe consumers' hidden, subconscious motivations.
(Answer: False; p. 145; Challenging)

81. Each culture contains groups of people with shared value systems based on common life experiences and situations.
(Answer: True; p. 129; Moderate)

82. Asian Americans, the fastest growing and most affluent U.S. demographic segment, include Chinese Americans, Japanese Americans, Asian Indians, Korean Americans, and Filipino Americans.
(Answer: True; p. 132; Easy)

83. Younger consumers are better off financially than mature consumers. They are the ideal market for exotic travel, restaurants, high-tech home entertainment products, and leisure goods and services.
(Answer: False; p. 132; Easy)

84. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors.
(Answer: True; p. 132; Easy)

85. Social classes are now taking to the streets, as well as cafes, nightclubs, and the Internet, in record numbers. Their goal: to seek out the trendsetters in each community and subtly push them into talking up a specific brand to their friends and admirers.
(Answer: False; p. 132; Moderate)

86. Lifestyle is a person's pattern of living as expressed in his or her psychographics.
(Answer: True; p. 136; Easy)

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87. A belief is the specific mix of human traits that may be attributed to a particular brand.
(Answer: False; p. 141; Moderate)

88. A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.
(Answer: True; p. 138; Easy)

89. A motive exists when consumers are highly involved with an expensive, infrequent, or risky purchase but see little difference among brands.
(Answer: False; p. 138; Easy)

90. Maslow's theory is that human needs are arranged in a hierarchy. They include physiological needs, safety needs, social needs, esteem needs, and self-actualization needs. An unsatisfied need motivates one to take action to satisfy it.
(Answer: True; p. 139; Moderate)

91. Alternative evaluation is the process by which people select, organize, and interpret information to form a meaningful picture of the world.
(Answer: False; p. 142; Challenging)

92. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.
(Answer: False; p. 143; Moderate)

93. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in postpurchase behavior.
(Answer: True; p. 144; Easy)

94. Almost all major purchases result in cognitive dissonance, or discomfort caused by postpurchase conflict.
(Answer: True; p. 144; Easy)

95. When a consumer learns about a new product for the first time and makes a decision to try it, it is called the alternative evaluation process.
(Answer: False; p. 142; Moderate)

96. People differ greatly in their readiness to try new products. In each product area, there are "consumption pioneers." They are also called laggards.
(Answer: False; p. 146; Challenging)

97. Early adopters are guided by respect; they are opinion leaders in their communities and adopt new ideas early but carefully.
(Answer: True; p. 146; Moderate)

98. The early majority are deliberate; although they rarely are leaders, they adopt new ideas before the average person.
(Answer: True; p. 146; Moderate)

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99. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.
(Answer: False; p. 146; Challenging)

100. In general, innovators tend to be relatively older, more mature, and have a lower income than late adopters.
(Answer: False; p. 146; Challenging)

101. Five characteristics are especially important in influencing an innovation's rate of adoption. Two of these are relative advantage and compatibility.
(Answer: True; p. 147; Moderate)

102. Although consumers in different countries have different values, attitudes, and behaviors, the products they buy are very similar to each other.
(Answer: False; p. 148; Challenging)

103. Dissonance-reducing buying behavior occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.
(Answer: False; p. 144; Challenging)

104. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.
(Answer: True; p. 143; Moderate)

105. The consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and purchase decision. The first factor is need recognition.
(Answer: False; p. 143; Moderate)
1.
2. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.
1. True
2. False
3. Marketing offers are limited to physical products.
1. True
2. False
4. Human needs are shaped by culture and individual personality.
1. True
2. False
5. Selling is managing profitable customer relationships.
1. True
2. False
6. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.
1. True

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2. False
7. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.
1. True
2. False
8. The production concept and product concept are two philosophies that can both lead to marketing myopia.
1. True
2. False
9. When backed by buying power, needs become demands.
1. True
2. False
10. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.
1. True
2. False
11. Mission statements should be realistic and general in nature.
1. True
2. False
12. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.
1. True
2. False
13. After carefully questioning your msjor suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.
1. True
2. False
14. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.
1. True
2. False
15. Making more sales to current customers without changing a firm's products is market penetration.
1. True
2. False
16. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
1. True
2. False
17. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.
1. True
2. False
18. When you collect informationfrom your company's accounting and sales records stored in the computer. You are developing an internal database.
1. True
2. False

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19. "At Nike, we sell shoes" is a market-oriented business definition.
1. True
2. False
20. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.
1. True
2. False
21. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.
1. True
2. False
22. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.
1. True
2. False
23. The buying center is a fixed and formally identified unit within the buying organization.
1. True
2. False
24. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.
1. True
2. False
25. Dissonance-reducing buying behaviour occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.
1. True
2. False
26. Demarketing is a marketing philosophy focused upon product differentiation and positioning.
1. True
2. False
27. At Air Online, "we provide online services." is a market-oriented business definition.
1. True
2. False
28. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.
1. True
2. False
29. Customer Relationship Management (CRM) is nothing more than a customer data management activity.
1. True
2. False
30. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.
1. True

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2. False
31. Product, price, place, and promotion make up the elements of a firm's marketing mix.
1. True
2. False
32. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.
1. True
2. False
33. Most firms follow the production concept when they face overcapacity.
1. True
2. False
34. The simplest definition of modern marketing is managing profitable customer relationships.
1. True
2. False
35. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.
1. True
2. False
36. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.
1. True
2. False
37. Marketers of products, services, and ideas only practice marketing, whereas buyers do not.
1. True
2. False
38. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce smoking of tobacco products, it adds more tax to the products and is practicing demarketing.
1. True
2. False
39. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.
1. True
2. False
40. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.
1. True
2. False
41. The difference between human needs and wants is that needs are states of felt deprivation.
1. True
2. False
42. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.
1. True
2. False
43. Most firms follow the production concept when they face overcapacity.

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1. True
2. False

44. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.
1. True
2. False

76. In the last decade, Coach has ignored marketing research when designing new bags.
(Answer: True; p. 96; Easy)

77. Many analysts believe that Coach's exhaustive market research has failed to pay off.
(Answer: True; p. 96; Easy)

78. Today, marketing managers are viewing research information not only as an input for making internal decisions but also as an input for external partners.
(Answer: True; p. 97; Moderate)

79. Most marketers today believe they still lack a sufficient quantity of research data to make high-quality decisions.
(Answer: False; p. 97; Easy)

80. An effective MIS assesses information needs, develops needed information, and distributes the information to help managers use it in decision making.
(Answer: True; p. 98; Moderate)

81. Too much information can be as harmful as too little.
(Answer: True; p. 98; Easy)

82. When you glean information from your company's accounting and sales records stored in the computer, you are developing an internal database.
(Answer: True; p. 99; Moderate)

83. You have just extracted sales and cost data used by the accounting department for preparing financial statements. Most likely, this information should be complete and in useable form to build an internal marketing database.
(Answer: False; p. 99; Challenging)

84. It is important to note that data age quickly, and keeping the database current requires a major effort.
(Answer: True; p. 99; Easy)

85. After carefully questioning your major suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

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(Answer: False; p. 101; Challenging)

86. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.
(Answer: False; p. 101; Challenging)

87. Good sources of marketing intelligence information include competitors' annual reports, business publications, trade show exhibits, press releases, advertisements, and Web pages.
(Answer: True; p. 101; Moderate)

88. Your firm faces determined marketing intelligence efforts by competitors. You take the typical response by "letting it ride."
(Answer: False; p. 101; Easy)

89. Marketing research is conducted to systematically design, collect, and report data directly relevant to a specific marketing situation facing the organization.
(Answer: False; p. 102; Moderate)

90. The research and development department just released a report and commented that "Defining the problem and research objectives is often the hardest step in the research process."
(Answer: True; p. 102; Easy)

91. Once the research problems and objectives have been defined, researchers must determine the exact information needed and present it to management.
(Answer: False; p. 102; Challenging)

92. After conducting formal marketing research for your department, you make an oral presentation with notes to management. You are following normal marketing research steps.
(Answer: False; p. 102; Moderate)

93. Marketing researchers can conduct their own searches of secondary data sources today by using commercial secondary data sources.
(Answer: True; p. 103; Easy)

94. Secondary data provide good starting points and often help to define problems and research objectives, though most companies must also collect primary data.
(Answer: True; p. 105; Moderate)
95. ABC Interior Designs wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and Internet cookies.
(Answer: False; p. 111; Challenging)

96. A single-source data system uses huge consumer panels and electronically monitors survey respondents' purchases and exposure to various marketing activities.
(Answer: True; p. 107; Moderate)

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97. Focus groups use no interviewer to bias the answers, may produce more honest answers, and can be used to collect large amounts of data at a low cost per respondent.
(Answer: False; p. 108; Moderate)

98. You have decided upon a method of collecting research data with flexible interviewing, whereby trained interviewers can explain difficult questions and explore issues as the situation requires. Audio-visual aids can also be used. We refer to this as focus group interviewing.
(Answer: False; p. 108; Moderate)

99. Parley Trade Shows wants to use the latest technology in marketing research. You are told this method is online (Internet) marketing research.
(Answer: True; p. 109; Easy)

100. Ideally, a sample should be representative so that the researcher can make accurate estimates of the thoughts and behaviors of the larger population.
(Answer: True; p. 110; Easy)

101. You want to calculate confidence limits for sampling error. It would be best to use nonprobability samples.
(Answer: False; p. 110; Challenging)

102. Marketers all agree that questionnaires are the most common research instrument.
(Answer: True; p. 111; Easy)

103. The researcher interprets findings, draws conclusions, and reports those conclusions to management. Ideally, we should present important findings that are useful to the major decisions faced by management to prevent overwhelming them.
(Answer: True; p. 113; Moderate)

104. You have just identified the "touch points" of the 400 best customers in your database. At this point, you want to manage detailed information about each of them to maximize customer loyalty. You should use customer relationship management (CRM).
(Answer: True; p. 113; Challenging)

105. Buy-It-Lower Stores has gained many benefits from CRM. If this company is typical, it will realize how to provide higher levels of customer service and develop deeper customer relationships. Management can also pinpoint low-value customers and begin to eliminate them while tailoring offers to specific customers.
(Answer: False; p. 114; Challenging)

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121) Bombay Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.
Answer: TRUE
Diff: 2 Page Ref: 191
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

122) Shopping for the Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel, and financial services. This firm most likely uses income segmentation.
Answer: TRUE
Diff: 2 Page Ref: 194
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-2

123) LaGrange Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as its segmentation approach.
Answer: FALSE
Diff: 2 Page Ref: 197
AACSB: Analytic Skills
Skill: Application
Objective: 7-2

124) Because Cruise Ships International currently has limited financial and personnel resources, it should avoid concentrated or niche marketing until its resources are again substantial.
Answer: FALSE
Diff: 2 Page Ref: 203
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 7-3

125) Kia offers a new car model with the same features as a comparable but higher priced Toyota or Ford and provides a longer warranty. Kia is following a more-for-less strategy.
Answer: FALSE
Diff: 3 Page Ref: 213
AACSB: Analytic Skills
Skill: Application
Objective: 7-4

1) We define a _____ as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
A) private brand

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B) service variability
C) service
D) product
E) service encounter
Answer: D
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2

104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept

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Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept
Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201

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Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3

117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.
Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.

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Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.
Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium.
Answer: TRUE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377

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Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1
111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

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112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE
Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3
118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE

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Diff: 1 Page Ref: 396
Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE
Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1
124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE
Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills

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Skill: Application
Objective: 13-4

101) Prices have a direct impact on a company's bottom line.
Answer: TRUE
Diff: 1 Page Ref: 290
Skill: Concept
Objective: 10-1

102) Demand and consumer value perceptions set the floor for prices.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

103) Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

104) Value-based pricing is being used when costs vary directly with the level of product.
Answer: FALSE
Diff: 3 Page Ref: 291
Skill: Concept
Objective: 10-2

105) Value-based pricing uses the company's perception of value.
Answer: FALSE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2

106) Value-based pricing is the reverse of cost-based pricing.
Answer: TRUE
Diff: 2 Page Ref: 291
Skill: Concept
Objective: 10-2
107) EDLP is very similar to high-low pricing.
Answer: FALSE
Diff: 2 Page Ref: 293
Skill: Concept

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Objective: 10-2

108) Overhead cost is another term for fixed cost.
Answer: TRUE
Diff: 1 Page Ref: 296
Skill: Concept
Objective: 10-2

109) Cost-based pricing relies on consumer perception of value to drive pricing.
Answer: FALSE
Diff: 2 Page Ref: 295
Skill: Concept
Objective: 10-2

110) Average unit cost increases with accumulated production experience.
Answer: FALSE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

111) An upward-sloping experience curve is beneficial for a company.
Answer: FALSE
Diff: 3 Page Ref: 297
Skill: Concept
Objective: 10-2

112) The simplest pricing method is cost-plus pricing, which involves adding a standard markup to the cost of the product.
Answer: TRUE
Diff: 1 Page Ref: 297
Skill: Concept
Objective: 10-2

113) Markup pricing is popular because prices tend to be similar and price competition is thus minimized.
Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept
Objective: 10-2

114) Target return pricing is used when a firm tries to determine the price at which it will break even or make the profit it is seeking.
Answer: TRUE
Diff: 3 Page Ref: 298
Skill: Concept
Objective: 10-2

115) A break-even chart shows the total cost and total revenue expected at various sales volume levels.

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Answer: TRUE
Diff: 2 Page Ref: 298
Skill: Concept
Objective: 10-2

116) Environmental elements are categorized as external factors that affect pricing decisions.
Answer: TRUE
Diff: 2 Page Ref: 300
Skill: Concept
Objective: 10-3

117) In a pure monopoly, the market consists of one seller.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

118) The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the lower the demand.
Answer: TRUE
Diff: 2 Page Ref: 302
Skill: Concept
Objective: 10-3

119) If demand changes greatly with price, we say the demand is inelastic.
Answer: FALSE
Diff: 2 Page Ref: 303
Skill: Concept
Objective: 10-3

120) Once a company cuts prices, it's difficulty to raise prices again when the economy recovers.
Answer: TRUE
Diff: 2 Page Ref: 304
Skill: Concept
Objective: 10-3

121) When faced with price competition, cutting prices is often not the best answer.
Answer: TRUE
Diff: 2 Page Ref: 290
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-1
122) Using value-based pricing, a marketer would not design a product and marketing program before setting the price.
Answer: TRUE

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Diff: 3 Page Ref: 291
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 10-2

123) Monopolies charge the full price because they do not fear attracting competition or regulation.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 10-3

124) Marketers may learn a few simple rules that apply equally to all price-demand relationships.
Answer: FALSE
Diff: 2 Page Ref: 302
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 10-3

125) The more elastic the demand, the more it pays for the seller to raise the price.
Answer: FALSE
Diff: 2 Page Ref: 303
AACSB: Reflective Thinking Skills
Skill: Critical Thinking

Objective: 10-3

101) A company's marketing communications mix is also called its promotion mix.
Answer: TRUE
Diff: 1 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1
102) Sales promotion makes use of press releases and special events.
Answer: FALSE
Diff: 2 Page Ref: 408
AACSB: Communication Abilities
Skill: Concept
Objective: 14-1

103) Mass markets have fragmented; thus, marketers are shifting away from mass marketing.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Communication Abilities

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Skill: Concept
Objective: 14-2

104) Though mass marketing was effective in past decades, large companies no longer routinely invest large chunks of their advertising budgets in mass media outlets such as television and magazines.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

105) New communications technologies such as cell phones and the Internet give companies new media for interacting with targeted consumers, but these new technologies also give consumers more control over the advertising messages they receive.
Answer: TRUE
Diff: 2 Page Ref: 409
AACSB: Use of Information Technology
Skill: Concept
Objective: 14-2

106) Mass marketers can expect consumers to distinguish between commercial message sources to maintain a clear image of a company and its brands.
Answer: FALSE
Diff: 2 Page Ref: 410
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

107) The integrated marketing concept ties together all of the company's messages and images.
Answer: TRUE
Diff: 1 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2
108) Integrated marketing communications allows different brand messages to be developed by different departments within an organization.
Answer: FALSE
Diff: 2 Page Ref: 412
AACSB: Communication Abilities
Skill: Concept
Objective: 14-2

109) A marketing communications director has overall responsibility for the company's communications efforts.
Answer: TRUE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities

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Skill: Concept
Objective: 14-2

110) The communications process should start with mass media advertising to reach many consumers.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

111) The four major communication functions are encoding, decoding, response, and noise.
Answer: FALSE
Diff: 2 Page Ref: 414
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

112) Encoding is the process by which the receiver assigns meaning to symbols.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

113) Decoding is the process of putting thought into symbolic form.
Answer: FALSE
Diff: 2 Page Ref: 415
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

114) Awareness, knowledge, and preference are buyer-readiness stages.
Answer: TRUE
Diff: 2 Page Ref: 416
Skill: Concept
Objective: 14-3
115) There are three types of appeal from which marketers may choose as they design their message content. These types are rational, emotional, and moral appeals.
Answer: TRUE
Diff: 2 Page Ref: 417
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

116) Buzz marketing involves cultivating opinion leaders and getting them to spread information about a product or service to others in their communities.

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Answer: TRUE
Diff: 1 Page Ref: 419
AACSB: Communication Abilities
Skill: Concept
Objective: 14-3

117) The percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.
Answer: TRUE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

118) The affordable method sets promotion budgets to match competitors' outlays.
Answer: FALSE
Diff: 2 Page Ref: 423
Skill: Concept
Objective: 14-4

119) Large-scale advertising conveys a positive message about the seller's size, popularity, and success.
Answer: TRUE
Diff: 2 Page Ref: 424
Skill: Concept
Objective: 14-4

120) If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.
Answer: TRUE
Diff: 2 Page Ref: 425
Skill: Concept
Objective: 14-4

121) Vast improvements in information technology are speeding the movement toward segmented marketing.
Answer: TRUE
Diff: 3 Page Ref: 409
AACSB: Use of Information Technology
Skill: Synthesis
Objective: 14-2

122) "Teaser" advertising is most closely associated with the buyer-readiness stage of liking a product.
Answer: FALSE
Diff: 3 Page Ref: 416
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

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123) The "Stop. Think. Tylenol." ad is an example of a moral appeal.
Answer: FALSE
Diff: 2 Page Ref: 417
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

124) Advertisements for prescription drugs often feature potential benefits and negative side effects that consumers may experience with use of the medication. These ads present two-sided arguments.
Answer: TRUE
Diff: 2 Page Ref: 418
AACSB: Analytic Skills
Skill: Application
Objective: 14-3

125) A recent trend toward more push than pull in the mixes of consumer-goods companies may achieve short-run sales at the expense of brand equity.
Answer: TRUE
Diff: 3 Page Ref: 426
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 14-4

101) A firm can obtain new products in two ways: acquisition or new-product development.
Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

102) Up to 80 percent of all new consumer products fail or seriously underperform.
Answer: TRUE
Diff: 2 Page Ref: 260
Skill: Concept
Objective: 9-1

103) New-product development begins with a systematic search for new product ideas through idea generation.
Answer: TRUE
Diff: 1 Page Ref: 261
Skill: Concept
Objective: 9-2

104) Companies rarely solicit ideas from customers during the idea generation stage of product development.
Answer: FALSE

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Diff: 1 Page Ref: 262
Skill: Concept
Objective: 9-2
105) A product idea is an idea for a possible product a company can offer the market, while a product concept is a detailed version of the idea stated in meaningful consumer terms.
Answer: TRUE
Diff: 3 Page Ref: 264
Skill: Concept
Objective: 9-2

106) Concept testing works best with people who are familiar with the new idea and the new product's purpose. This generally includes top management, the sales force, and research and development.
Answer: FALSE
Diff: 3 Page Ref: 265
Skill: Concept
Objective: 9-2

107) The business analysis stage represents the first large jump in financial investment in the new-product development process.
Answer: FALSE
Diff: 2 Page Ref: 266
Skill: Concept
Objective: 9-2

108) The stage at which new product and marketing programs are introduced into realistic market settings is called concept testing.
Answer: FALSE
Diff: 1 Page Ref: 267
Skill: Concept
Objective: 9-2

109) A company launching a new product into the market must first decide on when to launch the product.
Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

110) JumBo Games is launching a new set of game toys in the commercialization stage. The first decision to make is introduction timing and the second is where to launch the new product.
Answer: TRUE
Diff: 2 Page Ref: 268
Skill: Concept
Objective: 9-2

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111) Sequential product development has the advantage of not only being a team-oriented approach, but also of being faster in bringing products to market.
Answer: FALSE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

112) To avoid too few new-product ideas and the failure of many good ideas, management should install an innovation management system that collects, reviews, evaluates, and manages new-product ideas.
Answer: TRUE
Diff: 2 Page Ref: 270
Skill: Concept
Objective: 9-2

113) Using the PLC concept to develop marketing strategy can be problematic because strategy is both a cause and a result of the product's life cycle.
Answer: TRUE
Diff: 3 Page Ref: 275
Skill: Concept
Objective: 9-3

114) Profits rise during the growth stage of the PLC because promotion costs are spread over a large volume and unit manufacturing costs fall.
Answer: TRUE
Diff: 2 Page Ref: 275
Skill: Concept
Objective: 9-3

115) Although products that remain in the maturity stage of the PLC seem unchanged, the most successful ones actually evolve to meet changing consumer needs.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

116) When sales of a product falter during the PLC, a company can take several approaches. The more common ones are to modify the marketing mix, modify the product, or modify the market.
Answer: TRUE
Diff: 2 Page Ref: 277
Skill: Concept
Objective: 9-3

117) Companies need to pay attention to their aging products. Management should regularly review sales, market shares, costs, and profit trends, and then decide whether to maintain, harvest, or drop these declining products.
Answer: TRUE
Diff: 2 Page Ref: 279

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Skill: Concept
Objective: 9-3

118) When a company decides to maintain a product in the decline stage, it will reduce costs and hope that sales hold up to increase the profits in the short run.
Answer: FALSE
Diff: 2 Page Ref: 279
Skill: Concept
Objective: 9-3

119) The federal government may prevent a company from adding products through acquisitions if acquisition threatens to lessen competition.
Answer: TRUE
Diff: 2 Page Ref: 280
AACSB: Ethical Understanding and Reasoning Abilities
Skill: Concept
Objective: 9-4

120) The international growth of many professional and business services such as accounting, consulting, and advertising led to the globalization of the client companies they serve.
Answer: FALSE
Diff: 3 Page Ref: 282
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 9-4

121) Malibu Beach Parties finds that the tastes and preferences of its customers change more rapidly than in the past. The manager should constantly look for external ideas from customers, suppliers, and the competition.
Answer: TRUE
Diff: 2 Page Ref: 262
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 9-2

122) Blair Housewares wants to add new lines of products to its 46-store chain. Managers are correct in believing that the purpose of idea generation is to create a few ideas and the purpose of succeeding stages is to increase that number.
Answer: FALSE
Diff: 2 Page Ref: 264
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2

123) GreenTree Lawn and Garden Products is engaged in marketing strategy development. Management should first create a statement outlining the product's planned price, distribution, and marketing budget for the first year.

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Answer: FALSE
Diff: 3 Page Ref: 265
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 9-2
124) GreenTree Lawn and Garden Products is engaged in a review of the sales, costs, and profit projections for some new products to find out whether they satisfy the company's objectives. This activity is called business product development.
Answer: FALSE
Diff: 2 Page Ref: 266
AACSB: Analytic Skills
Skill: Application
Objective: 9-2

125) Sales for the time-tried household cleansers made by Brite and New, Inc. have been declining for some time. If these products are typical, sales are declining because of technological advances, shifts in consumer tastes, and lack of raw materials from foreign suppliers.
Answer: FALSE
Diff: 3 Page Ref: 278
AACSB: Reflective Thinking Skills
Skill: Application

Objective: 9-3

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept
Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE

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Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

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111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3

113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

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118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product.
Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE
Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.
Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

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124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

101) Today, most companies have moved back toward mass marketing and are being choosier about the customers with whom they wish to build relationships.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

102) Your company wants to move away from mass marketing and engage in customer-driven marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.
Answer: FALSE
Diff: 2 Page Ref: 190
Skill: Concept
Objective: 7-1

103) Demographic segmentation can be used to divide the market by different time periods of people's lives and different family situations.
Answer: TRUE
Diff: 2 Page Ref: 191
Skill: Concept
Objective: 7-2
104) Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.
Answer: TRUE
Diff: 2 Page Ref: 193
AACSB: Multicultural and Diversity Understanding
Skill: Concept
Objective: 7-2

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105) Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.
Answer: TRUE
Diff: 2 Page Ref: 194
Skill: Concept
Objective: 7-2

106) Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.
Answer: FALSE
Diff: 2 Page Ref: 197
Skill: Concept
Objective: 7-2

107) For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.
Answer: FALSE
Diff: 2 Page Ref: 198
Skill: Concept
Objective: 7-2

108) Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.
Answer: TRUE
Diff: 2 Page Ref: 198
AACSB: Use of Information Technology
Skill: Concept
Objective: 7-2

109) There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.
Answer: TRUE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy
Skill: Concept
Objective: 7-2
110) Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.
Answer: FALSE
Diff: 2 Page Ref: 199
AACSB: Dynamics of the Global Economy

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Skill: Concept
Objective: 7-2

111) In evaluating different market segments, a firm should look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
Answer: TRUE
Diff: 2 Page Ref: 201
Skill: Concept
Objective: 7-3

112) At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.
Answer: TRUE
Diff: 1 Page Ref: 201
Skill: Concept
Objective: 7-3

113) Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.
Answer: TRUE
Diff: 2 Page Ref: 202
Skill: Concept
Objective: 7-3

114) Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.
Answer: TRUE
Diff: 1 Page Ref: 203
Skill: Concept
Objective: 7-3

115) Though the use of mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals as businesses practiced individual marketing.
Answer: TRUE
Diff: 3 Page Ref: 205
Skill: Concept
Objective: 7-3

116) Mass marketing is becoming a marketing principle for the 21st century.
Answer: FALSE
Diff: 2 Page Ref: 205
Skill: Concept
Objective: 7-3
117) When a company chooses a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.

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Answer: TRUE
Diff: 3 Page Ref: 206
Skill: Concept
Objective: 7-3

118) A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes?the place the product occupies in the retailers' minds relative to competing products.
Answer: FALSE
Diff: 2 Page Ref: 207
AACSB: Communication Abilities
Skill: Concept
Objective: 7-4

119) Consumers position products in their minds in order to simplify the buying process.
Answer: TRUE
Diff: 3 Page Ref: 207
Skill: Concept
Objective: 7-4

120) A market rarely exists for products that offer less and therefore cost less.
Answer: FALSE
Diff: 3 Page Ref: 214
Skill: Concept

Objective: 7-4

101) Wholesaling includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.
Answer: FALSE
Diff: 1 Page Ref: 374
Skill: Concept
Objective: 13-1

102) Marketers who use shopper marketing use the retail store itself as an important marketing medium.
Answer: TRUE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

103) Department stores carry narrow product lines with deep assortments within those lines.
Answer: FALSE
Diff: 1 Page Ref: 376
Skill: Concept
Objective: 13-1

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104) In recent years, convenience stores have redesigned their stores to closely focus on serving their primary target market made up of young, blue-collar men.
Answer: FALSE
Diff: 3 Page Ref: 377
Skill: Concept
Objective: 13-1

105) Category killers carry a deep assortment of a particular product line and have a knowledgeable staff.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

106) Off-price retailers pay regular wholesale prices for their merchandise but maintain low prices by accepting lower margins and selling higher volume.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

107) A discount store buys at less-than-regular wholesale prices and charges consumers less than retail.
Answer: FALSE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

108) Independent off-price retailers may in fact be divisions of larger retail corporations.
Answer: TRUE
Diff: 2 Page Ref: 378
Skill: Concept
Objective: 13-1

109) Warehouse clubs appeal almost exclusively to low-income consumers seeking bargains.
Answer: FALSE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

110) Chain stores are located near residential areas and are open long hours, seven days a week; they carry a limited line of high-turnover goods.
Answer: FALSE
Diff: 2 Page Ref: 377
Skill: Concept
Objective: 13-1

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111) In a retailer cooperative, independent retailers contract with each other to set up a central buying operation and conduct joint promotional efforts.
Answer: TRUE
Diff: 2 Page Ref: 381
Skill: Concept
Objective: 13-1

112) Retailers first must position themselves in a market and then decide how they will define the target customers in these markets.
Answer: FALSE
Diff: 2 Page Ref: 383
Skill: Concept
Objective: 13-2

113) To create the right atmosphere, some retailers control every aspect of the consumer's store experience, including what customers hear and smell.
Answer: TRUE
Diff: 1 Page Ref: 386
Skill: Concept
Objective: 13-2

114) Power centers are decreasing in number.
Answer: FALSE
Diff: 2 Page Ref: 388
Skill: Concept
Objective: 13-2

115) The wheel-of-retailing concept deals mainly with wholesalers rolling out reduced service levels.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

116) The life cycle of new retail forms is getting longer.
Answer: FALSE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3

117) Retail convergence means greater competition for retailers and greater difficulty in differentiating offerings.
Answer: TRUE
Diff: 2 Page Ref: 390
Skill: Concept
Objective: 13-3
118) Megaretailers have shifted the balance of power between retailers and producers, giving retailers more power.
Answer: TRUE
Diff: 2 Page Ref: 390

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Skill: Concept
Objective: 13-3

119) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.
Answer: TRUE
Diff: 1 Page Ref: 396
Skill: Concept
Objective: 13-4

120) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.
Answer: TRUE
Diff: 2 Page Ref: 398
AACSB: Use of Information Technology
Skill: Concept
Objective: 13-4

121) Full-service retailers such as JC Penney provide more sales assistance because they carry more shopping goods about which customers need information.
Answer: FALSE
Diff: 3 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-1

122) Limited-service retailers, such as specialty stores and first-class department stores, employ salespeople who assist customers in every phase of the shopping process.
Answer: FALSE
Diff: 2 Page Ref: 376
AACSB: Reflective Thinking Skills
Skill: Synthesis
Objective: 13-1

123) Factory outlets, independent off-price retailers, and warehouse clubs all buy their merchandise in a similar fashion.
Answer: TRUE
Diff: 3 Page Ref: 378
AACSB: Reflective Thinking Skills
Skill: Critical Thinking
Objective: 13-1
124) Unlike mass marketers, niche marketers expect to see continued growth in their online sales.
Answer: FALSE
Diff: 3 Page Ref: 391
AACSB: Use of Information Technology
Skill: Application
Objective: 13-3

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125) The distinction between large retailers and large wholesalers is changing because most large wholesalers are abandoning their retail operations.
Answer: FALSE
Diff: 2 Page Ref: 400
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 13-4

101) A service is anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.
Answer: FALSE
Diff: 1 Page Ref: 224
Skill: Concept
Objective: 8-1

102) Unsought products are products that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.
Answer: FALSE
Diff: 1 Page Ref: 227
Skill: Concept
Objective: 8-1

103) Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.
Answer: TRUE
Diff: 1 Page Ref: 226
Skill: Concept
Objective: 8-1

104) Style is a larger concept than design. Design describes the appearance of a product.
Answer: FALSE
Diff: 3 Page Ref: 230
Skill: Concept
Objective: 8-2

105) Branding can add consumer value to a product.
Answer: TRUE
Diff: 2 Page Ref: 231
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

106) Because so many purchase decisions are made in stores, a product's packaging may be a seller's last and best chance to influence consumers.
Answer: TRUE
Diff: 2 Page Ref: 232
AACSB: Communication Abilities

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Skill: Concept
Objective: 8-2

107) Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.
Answer: FALSE
Diff: 2 Page Ref: 233
AACSB: Communication Abilities
Skill: Concept
Objective: 8-2

108) Cannibalization and customer confusion about product differentiation are two potential results if line filling is overdone.
Answer: TRUE
Diff: 3 Page Ref: 235
Skill: Concept
Objective: 8-2

109) A company can stretch its product either upward or downward, but not both directions.
Answer: FALSE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

110) A company might stretch its product line upward to add prestige to its current products.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

111) A company's product mix has four important dimensions: width, length, depth, and consistency.
Answer: TRUE
Diff: 2 Page Ref: 235
Skill: Concept
Objective: 8-2

112) Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.
Answer: FALSE
Diff: 2 Page Ref: 237
Skill: Concept
Objective: 8-3
113) In a service business, the customer and front-line service employee interact to create the service.
Answer: TRUE

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Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

114) The service-profit chain is the set of all product lines and items that a particular seller offers for sale.
Answer: FALSE
Diff: 2 Page Ref: 238
Skill: Concept
Objective: 8-3

115) One aspect of managing service differentiation is the company's service delivery.
Answer: TRUE
Diff: 2 Page Ref: 241
Skill: Concept
Objective: 8-3

116) Customer retention is perhaps the best measure of quality?a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.
Answer: TRUE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

117) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.
Answer: FALSE
Diff: 2 Page Ref: 242
Skill: Concept
Objective: 8-3

118) Attributes are the least desirable level for brand positioning because competitors can easily copy attributes and customers are more interested in what attributes will do for them than in the attributes themselves.
Answer: TRUE
Diff: 2 Page Ref: 244
Skill: Concept
Objective: 8-4

119) When a company introduces a new brand name in the same product category, it is called line extension.
Answer: FALSE
Diff: 2 Page Ref: 250
Skill: Concept
Objective: 8-4

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120) Customers come to know a brand through a wide range of contacts and touch points, including word of mouth, personal interactions with company people, telephone interactions, and company Web pages.
Answer: TRUE
Diff: 1 Page Ref: 251
AACSB: Communication Abilities
Skill: Concept
Objective: 8-4

121) Sony offers consumers more than just camcorders; it provides consumers with a complete solution to their picture-taking problems. This offering is called an augmented product.
Answer: TRUE
Diff: 3 Page Ref: 226
AACSB: Analytic Skills
Skill: Application
Objective: 8-1

122) Quaker produces a variety of cereals. This variety is called its product line.
Answer: TRUE
Diff: 2 Page Ref: 234
AACSB: Analytic Skills
Skill: Application
Objective: 8-2

123) An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.
Answer: TRUE
Diff: 2 Page Ref: 238
AACSB: Analytic Skills
Skill: Application
Objective: 8-3

124) Dove marketers can go beyond the brand's cleansing cream properties and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.
Answer: FALSE
Diff: 3 Page Ref: 244
AACSB: Analytic Skills
Skill: Application
Objective: 8-4

125) Retailers and wholesalers who have created their own brands?such as Walmart's Sam's Choice beverages and food products?are participating in co-branding.
Answer: FALSE
Diff: 3 Page Ref: 246
AACSB: Reflective Thinking Skills
Skill: Application
Objective: 8-4

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True/False

1. Companies tend to set a pricing structure, rather than a single price, that covers different items in its line.
(True; p. 274; Moderate)

2. Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.
(False; p. 275; Easy)

3. Pricing often plays an important role in helping to accomplish a company's multi-level objectives.
(True; p. 263; Easy)

4. Melt-In-Your-Mouth Candy Stores prices its candy displays at ten different price levels, ranging from $2.00 per pound to $4.95 per pound. This is an illustration of price points.
(True; p. 276; Moderate)

5. Target costing reverses the usual marketing process.
(True; p. 269; Easy)

6. Overhead cost is another term for variable cost.
(False; p. 266; Easy)

7. When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.
(True; p. 277; Easy)

8. Some industries commonly use two-part pricing, where the price is broken down into a fixed fee and a fixed usage rate.
(False; p. 277; Moderate)

84. In industrial markets, salespeople outrank top management in determining the sales price of products.
(False; p. 269; Easy)

85. In industrial markets, product managers have an influence on the company's price-setting decisions.
(True; p. 269; Easy)

86. Environmental elements are categorized as external factors that affect pricing decisions.
(True; p. 268; Easy)

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87. When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.
(True; p. 277; Moderate)

88. In a regulated monopoly, the government permits the company to set rates that will yield a "fair" return.
(True; p. 272; Easy)

89. Nonregulated monopolies do not always charge the full price because they do not desire to attract competition.
(True; p. 272; Moderate)

90. The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.
(False; p. 272; Easy)

91. If demand changes greatly, we say the demand is inelastic.
(False; p. 273; Easy)

92. The more elastic the demand, the more it pays for the seller to raise the price.
(False; p. 273; Challenging)

93. If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.
(True; p. 273; Moderate)

94. Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.
(True; p. 263; Easy)

95. All companies today now realize how valuable their by-products are for resale.
(False; p. 277; Easy)

96. The six major price-adjustment strategies include discount and allowance pricing, segmented pricing, psychographic pricing, promotional pricing, geographical pricing, and international pricing.
(False; p. 278; Moderate)

97. Value-based pricing is when costs vary directly with the level of product.
(False; p. 264; Moderate)

98. Value-based pricing is the reverse of cost-based pricing.
(True; p. 264; Challenging)

99. EDLP is very similar to competition-based pricing.

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(False; p. 265; Easy)

100. Competitors' prices and offers are external factors that companies have to deal with.
(True; p. 268; Easy)

101. Demand and consumer value perceptions set the floor for prices.
(False; p. 263; Moderate)

102. The difference between a discount and an allowance is that a discount is in its simplest terms a reduction in price.
(False; p. 278; Easy)

103. Cost-based pricing relies on consumer perception of value to drive pricing.
(False; p. 267; Easy)

105. A break-even chart shows the total cost and total revenue expected at various sales volume levels.
(True; p. 267; Easy)

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MGT301 quiz2 Theme 3

Principles of Marketing (Virtual University of Pakistan)

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MGT301 THEME 3

Updated Quiz 2 Fall 2021

Orange monkey team

1. **Your company wants to move away from mass marketing and engage in target marketing. The four steps to take, in order, are market segmentation, marketing positioning, differentiation, and targeting.**
   False

2. **Bombay Gifts divides its markets into units of nations, regions, and cities. Bombay uses geographic segmentation.**
   True

3. **Demographic segmentation uses different marketing approaches for different time periods of peoples' lives and different family situations.**
   False

4. **Gender segmentation has long been used in clothing, cosmetics, toiletries, and magazines.**
   True

5. **Shopping For The Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel, and financial services. This firm would use income segmentation.**
   True

6. **Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.**
   True

7. **Behavioral segmentation requires finding the major advantages or features people look for in the product class, the kinds of people who look for each advantage or feature, and the major brands that deliver each advantage or feature.**
   False

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8. **LaGrange Florists segments markets into groups of nonusers, ex-users, potential users, first-time users, and regular users of its flowers and services. This firm uses usage rate as the segmentation approach.**
   False

9. **Research about and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.**
   False

10. **For simplicity's sake, most marketers generally limit their segmentation analysis to one or a few variables.**
    False

11. **Clusters of marketable groups of customers with similar likes, dislikes, lifestyles, and purchase behaviors can be identified by multivariable segmentation systems that merge and analyze geographic, demographic, lifestyle, and behavioral data.**
    True

12. **Business and consumer marketers use the same set of variables to segment their markets.**
    False

13. **A growing number of U.S.-based companies have developed the resources and the will to operate in many foreign companies.**
    False

14. **There are many exceptions to the geographic segmentation assumption that consumers in nations close to one another will have many common behaviors and traits.**
    True

15. **Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.**
    False

16. **Karyn Caudill, marketing director for a major hospital in Houston, Texas, sees the growing number of ethnic groups and subcultures in her area. She has discovered that for market segments to be useful they must be measurable, accessible, substantial, differentiable, and actionable.**
    True

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17. In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

True

18. At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. This is a correct definition.

True

19. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

True

20. Because Cruise Ships International currently has limited financial and personnel resources, it should avoid concentrated or niche marketing until resources are again substantial.

False

21. Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.

True

22. Though mass marketing has been widespread in the past 100 years, for centuries consumers were served as individuals where businesses practiced individual marketing.

True

23. Mass marketing is becoming a marketing principle for the 21st century.

False

24. When a company faces choosing a target marketing strategy, its choices are influenced by factors related to company resources, the degree of product variability, and the product's life-cycle stage.

False

25. Most marketing targeted at children, minorities, or other special segments provides benefits to targeted consumers.

True

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26. A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

False

27. A product's position is the way the product is defined by consumers on important attributes—the place the product occupies in consumers' minds relative to competing products

True

28. Consumers position products in their minds in order to simplify the buying process.

True

29. When Kia offers a new model of car with the same features as a comparable Toyota or Ford and provides a longer warranty, it is following a more-for-less strategy.

False

30. A market rarely exists for products that offer less and therefore cost less.

False

31. The buying center is a fixed and formally identified unit within the buying organization.

True

32. The newer the buying task and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

True

33. Most businesses that manufacture products for the consumer market also sell directly to consumers.

True

34. There are less participants involved in modified rebuy as compared to straight rebuy

False

35. In the supplier selection stage the buyer review supplier performance

False

36. A company buying a product or service for the first time faces a new task situation.

True

37. Identify in the modified rebuy situation the buyer does not think of changing the product specifications price or a supplier

False

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38. The business marketer normally deals with far fewer but far larger buyers than the consumer marketer does

True

39. In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

True

40. Lahore Florists segments markets into groups of nonusers, ex-users, potential users, first time users and regular users of its flowers and services. This firm usage rate as the segmentation approach

True

41. Yusra always feels super excited after purchasing trendy clothes from Sapphire store is an example of a new task buying situation

False

42. Karachi gifts divides its markets into units of nations, regions and cities, Bombay uses geographic segmentation.

False

43. The buying decision process and buying center are influenced by internal organizational factors

True

44. Today most companies have moved away from mass marketing and are being choosier about the customer with whom they wish to build relationship

True

45. In the proposal solicitation stage of the business buying process the buyer invites qualified suppliers to submit proposals

True

46. Raheela works for the aftab beverage company. She helps define product specifications and also provides information for evaluating alternatives. Raheela plays the role of gatekeeper

False

47. Consumer position products with or without the help of marketers

True

48. Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved

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False

49. In the business buying process, the buyer and seller are relatively less dependent on each other

False

50. In the business buying process, buyer and seller are often much more dependent on each other.

True

51. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

True

52. The first step in strategic planning is to define the company mission

True

53. Strategic planning is known as the process to discourage strategic fit between organizational capabilities and goals in a dynamic marketing

False

54. It is defined as the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

True

55. A market segment consists of consumers who respond in different ways to a given set of marketing efforts

False…confirm

56. A market segment consists of consumers who respond in similar way to a given set of marketing efforts

True…confirm

57. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationship

True

58. A company with limited resources might decide to serve all segments of a market

False

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59. A company may decide to serve only one or a few special segments, or perhaps it might decide to offer a complete range of products to serve all market segments.

True

60. Mission statement should both fit the market environment and be motivating

True

61. An SBU can be a company division, a product line within a division or sometimes a single product or brand

True

62. The image a product reflects in the minds of consumers is called market segmentation

False

63. Holiday Inn has divided the total customer market into smaller segments and selected the most promising segments. Deciding what position it wants to occupy in these segments is called targeting.

True

64. IN SWOT analysis, threat shows internal limitations of the company that creates a hindrance for a company to achieve its objectives

True

65. At air online, we create customer connectively, anytime, anywhere is a product-oriented business definition

False

66. Recently Pakistan has been added to Amazon's(E-commerce company) seller list, with the inclusion, the seller from Pakistan will have to produce new products for the new market. This is related to the market development concept

False

67. Recently Pakistan has been added to Amazon's(E-commerce company) seller list, with the inclusion, the seller from Pakistan will offer their existing product in the new market. This is related to the product development concept

False

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68. Recently Pakistan has been added to Amazon's(E-commerce company) seller list, with the inclusion, the seller from Pakistan will offer their existing product in the new market. This is related to the Market development concept.

True

69. Recently Pakistan has been added to Amazon's(E-commerce company) seller list, with the inclusion, the seller from Pakistan will have to produce new products for current market. This is related to the Product development concept

True

70. Strategic market planning is the task of selecting an overall company strategic for long-run survival and growth

True

71. The collection of businesses and products that make up a company is called its marketing strategy

False

72. The collection of businesses and products that make up a company is called its business portfolio

True

73. The elements of the marketing mix commonly known as the "four ps" include product, price, place and promotion.

True

74. At Air Online we provide online services is a market-oriented business definition

False

75. At Nike, we sell shoes is a market oriented business definition

True

76. In the boston consulting group approach relative market share serves as a measure of company strength in the market

True

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77. Guided by marketing strategy, the company desgins a marketing mix made up of factors under its control-product price, place and promotion

True

78. Mission statements must fit the market environment as indicated here by the girl scouts where girls grow strong

True

79. Revlon has clearly defined its mission of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company

True

80. ABC Fortunes has just developed a formal statement of its purpose. This firm has put together a mission statement.

True

81. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.

True

82. More and more companies are shifting their brand management focus toward customer relationship management.

True

83. In marketing the social-ecological analysis on the interrelationships among individuals, governments, and public policy.

True

84. The pestel does not evaluate the factors like government policy, political stability, or instability in overseas markets

False

85. The pestel evaluate the factors like government policy, political stability, or instability in overseas markets Political Economic Social Technological Ecological Legal.

True

86. Mission statement should be realistic and general in nature

True

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87. Making more sales to current customers without changing a firm's products in market penetration.

True

88. Mission statements should be realistic and general in nature.

False

89. Mission statement must avoid realistic and general in nature

True

90. Strategic Business Unit (SBU) is known as the unit of any organization that has a similar planning as compare to other business of the company/organization with separate mission and objective.

True

91. Market Penetration—making more sales to present customers without changing products in any way. Market penetration means trying to increase sales of a firm's present products in its present markets probably through a more aggressive marketing mix

True

92. Diversification—a strategy for company growth by starting up or acquiring businesses outside the company's current products and markets. Diversification means moving into totally different lines of business perhaps entirely unfamiliar products, markets, or even levels in the production-marketing system.

True

93. A supplier can be a person who provides the products or goods to consumers. A supplier could be a manufacturer.

False

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MGT301 Quiz1 Searching file

Computer Architecture (Virtual University of Pakistan)

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MGT301 Searching file

Provide by Orange Monkey

1. **When railroad companies thought that user wanted trains rather than transportation and overlooked the growing challenge of other mode of transportation they were for the being the selling concept**

   False

2. **When backed by buying power, needs become demands.**

   False

3. **Smart marketers look on the attributes of the products and services they sell. They create brand experience for consumers.**

   True

4. **The selling concept holds the consumer will not buy enough of the firms products unless it undertakes a large-scale selling and promotion effort**

   True

5. **Costumer value is defined as the customer's evaluation of the percieved difference between all the benefits and all the costs fo a marketing offer relative to those of competing offers.**

   A) True (Theme 1 page 8) (100% Sure)

6. **The selling concept holds that consumers will not buy enough of the firms products unless it undertakes a large-scale selling and promotion effort.**

   A) True (Theme 1 page 5) (100% Sure)

7. **Customer Relationship Management (CRM) is nothing more than a customer data management activity.**

   A) False

8. **When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.**

   A) False (Confirm) (Correct Product Concept) (100% Sure)

9. **The significant trends in the natural environment include shortage of raw material and increased pollution**

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True

10. **Environment concerns have been on the decline in the past decade, more government legislation and the green movement may be the cause of this trend.**

False

11. **The marketing mix of tangible products includes all, EXCEPT**

Process / physical evidence

12. **Marketers of products, services and ideas only practice marketing, whereas buyers do not.**

False

13. **Which of the following actors/forces are the persons or companies that provide resources required by the firm and its opponents to make goods**

Suppliers

14. **A firm that operates in more than one country in known as:**

Global firm

15. **With relevance 4Ps versus 4Cs the product matches with which of the following option?**

Customer solution

16. **The strategic planning process consists all, Except**

Formulating marketing strategy

17. **Which of the following options refers to providing the resources needed to produce goods and services?**

Company

18. **The process of creating value is the forms of goods, services and ideas that improves consumer life is called**

Societal marketing

19. **Your accounting department and measure revenues and costs to help the marketing department know how well it is achieving its objective**

True

20. ABC organization wants to lunch a new baby cereal in the market**. For this purpose it wants to get it information about the selection of different products by parents. This**

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process of getting information falls under which of the following marketing function?

Information about he ways to do business

21. **Toyota Motors wants to launch a new model of care for the elite class. For this purpose it hires a marketing manager who will be responsible for the advertisement and sales of that new model of new car. With respect to the planning perspective in which category the planning of marketing managers falls?**

    Strategic planning

22. **When firms take aggressive action to affect the publics in their marketing environment, they are taking and environmental management perspective**

    True

23. **Tanveer jafer works for a firm that is a distribution channel member that helps the company find customers or make sales to them. Tanveer works for a reseller**

    True

24. **Today's marketers must be good at building relationship in order to connect effectively with customers, other in the company, and external partners**

    True

25. **Significant reasons for business laws to be enacted include protecting the interests of society, protecting consumers, and protecting companies from each other**

    True

26. **Customer-perceived value depends on the product's perceived performance relative to a buyer's expectation**

    false

27. **Commercial accounting is done through a system known as**

    False

28. **The verbal portion of an advertisement, including headlines, body, and signature reflects which one of the following concepts? Select correct option:**

    Storyboard

29. **Connecting with employees in the company refers to which of the following options? Select**

    Intranet

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30. Which one of the following affects both demographic and psychological factors?

Price elasticity

31. The name of a vast public web of computer networks that connect users of all types all around the world to each other?

Internet

32. According to Mintzberg, when a manager searches the organization and its environment for opportunities and initiates projects to bring about change, the manager is acting in which role?

Entrepreneur

33. Which one of the following concept states that consumers will favor products that offer the most quality, performance and features? Select correct option:

Product concept

34. Collecting, analyzing and interpretation of data refer to which of the following concepts?

Marketing research

35. In SWOT analysis, strength and weaknesses are part of which of the following environment?

Internal

36. A manufacturer spends a large amount of money on research and development leading to the introduction of a product that is likely to present the firm with a breakthrough opportunity. The manufacturer prices the product with the goal of achieving a 20 percent return on its investment. Which of the following types of pricing objectives is the company using? Select correct option:

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Target return

37. Which of the following is an intensive growth strategy of increasing sales in present markets with present products?

Market penetration

38. Which one of the following concept is the latest in a marketing philosophy?

Societal marketing

39. Publics including workers, managers, volunteers and the board of directors show which of the following publics?

Internal Publics

40. A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?

Marketing mix

41. In the BCG approach, stars are high-share, high-growth businesses or products. They need heavy investment to finance rapid growth. When their growth slows down, they turn into which of the following?

Dogs

42. Value pricing" means setting a fair price for a marketing mix that gives the target market superior customer value.

True

43. Which one of the following promotion tools includes press releases and special events?

Publicity

44. Companies should set up systems that _____ customer to complain. Select correct option:

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Encourage

45. Buyer decision process consists of five stages. Which of the following is NOT one of these stages?

Information search

46. Publics--carry news, features, and editorial opinions refer to which of the following publics?

Media publics

47. All of the following are the customer markets EXCEPT which of the following?

Government markets

48. The standards that state the amount each salesperson should sell and how sales should be divided among the company's products. It refers to which one of the following concepts?

Sales quotas

49. There are major steps in media selection. Which is NOT one of these steps?

Deciding on format elements

50. Society and culture shape the basic form of human needs refers to which one of the following option?

Wants

51. What is our business? Who's our customer? What do our customers value? What should our business be? All these simple-sounding questions define which of the following concepts?

Mission statement

52. Finance, research and development, purchasing and manufacturing are all activities of which element of the micro environment?

The company

53. All of the following are the stages in the adoption process EXCEPT: Select correct option:

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Laggards

54. Connecting with employees in the company refers to which of the following options?

Intranet

55. A _____ is a retail establishment that combines supermarket and discount store shopping in one location.

Hypermarket

56. Which one of the following is NOT a part of industry structure analysis? Select correct option:

Competitor page 49

57. Characteristics such as age, gender and marital status are known as _____

Biographical characteristics

58. In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?

BCG matrix

59. Which one of the following is the function of direct distribution channel? Select correct option:

The flow of products from producers to customers

60. A firm that operates in more than one country known as: Select correct option:

Global firm

61. Which of the following is not one of the four primary management functions?

Staffing

62. Which one of the following SBUs is low-growth, high share businesses which generate a lot of cash that the firm uses to pay its bills and support other SBUs that need investment.

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Cash cows

63. Following are the elements of the marketing mix EXCEPT:

Target market

64. Which one of the following is the function of direct distribution channel?

The flow of products from producers to customers

65. Connecting with employees in the company refers to which of the following options?

Intranet

66. To reduce inventory management costs, many companies use a system where they carry only small inventories of parts or merchandise, often only enough for a few days of operation refers to which of the following concepts? Select correct option:

Just-in-time logistics

67. What can be offered to a market to satisfy a need or want?

Product page10

68. Distribution of product to get it in the market refers to which of the following activities?

Place or distribution activities

69. Which of the following statements about the determinants of personality is true?

Personality appears to be a result of external factors

70. Which of the following group is focused by producer to sell their products?

Intermediaries

71. Which one of the following is the major direct-marketing communications tool in today's business world?

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Television marketing

72. Which one of the following factor relates to family that influences consumer behavior?

Social

73. Which of the following is NOT a sales promotion? Select correct option:

Premiums

74. Which one of the following is the way in which consumers perceive an actual or potential product?

Product concept

75. Which one of the following option is true for Marketing? Select correct option:

Demand management

76. The verbal portion of an advertisement, including headlines, body, and signature reflects which one of the following concepts?

Storyboard

77. What are the companies doing from the following options as a result of an explosion of more focused media that better match today's targeting strategies?

Less broadcasting and more narrowcasting

78. People often buy the kind of clothing. What does it show? Select correct option:

Lifestyle

79. A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?

Problem recognition

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80. Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?

Product line

81. Which of the following advertising is used heavily for creating a primary demand when introducing a new product in the market?

Informative advertising

82. Which one of the following is NOT a part of market potential? Select correct option?

Inflation

83. Mobilink divides buyers into groups based on their knowledge, attitudes, uses or responses to a product. It is obviously using which type of segmentation?:

Behavioral

84. The first step in the marketing control process is BEST described as one where the marketer performs which of the following activities?

Sets specific goals page39

85. Which one of the following is an example of a convenience consumer product?

Petrol

86. Which one of the following is a part of marketing functions? Select correct option:

- **Standardizing and grading**
- **Financing & Risk taking**
- **Securing Marketing Information**
- ***All of the above***

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87. Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer-unique value and lasting relationships?

Personal selling and direct marketing

88. Winning a new customer is usually more costly than retaining an existing customer. How much time it is costly?

5-10 times

89. Belief that "violence is wrong" is an evaluative statement. Such an opinion constitutes which of the following component of an attitude. Select correct option:

Cognitive

90. A person on the University Book Shop's survey asks respondents to tell the shop, in their own words, what they like least about textbook shopping. What is a type of this question?

An open-ended

91. In contrast to vending machines which dispense only products, there are other systems that dispense information and take orders without direct human aid. This system refers to which one of the following options?

The internet

92. Which one of the following is the first step of marketing research process? Select correct option:

Define problem

93. Which one of the following option is true for the core marketing concept? Select correct option:

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- **Needs**
- **Wants**
- **Demands**
- **All of the given options**

94. What type of new product strategy, Pizza Hut is using when it allows Marriott to offer its new specialty pizzas in the hotel chain's room service menu?

Market development

95. A firm has decided to localize its products and services to meet local market demands. Which one of the following approaches is a good approach for this segmentation?

Geographic

96. LG is going to introduce a new mobile set in the market. How the consumers will be aware of this product?

By Promotion

97. To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people and sales assistants. Which one of the following can also be another part of the sales force?

Telemarketers

98. Marketing manager wants to improve the packaging of new products after reading customer responses to its customer opinion poll. Which one of the following is NOT a function of packaging?

It determines product quality page98

99. A cash discount of "2/10, net 30," means that:

Payment is due within 30 days; the buyer can deduct 2 percent if the bill is paid within 10 days.

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100. Products that are used directly in the production of a final product but are not easily identifiable are categorized as which one of the following?

Component parts

101. If you wish to emphasize the importance of making decisions consistent with fundamental liberties and privileges, the focus of your teaching will also be on which of the following?

Rights

102. Which of the following management is responsible for setting the company's mission, objectives, broad strategies and policies?

Top management

103. Mr. A is a marketing manager for a large consumer foods company. He is studying distribution, promotion and price of the company's product. Mr. A is studying which of the following concepts?

Marketing strategy

108. Which one of the following sets refers to the key building blocks for developing and managing customer relationship?

d. Customer value and customer satisfaction

109. "Provide more quality products and services without variation in the quality" refers to which of the following marketing functions?

a. Standardizing and grading

110. What does this statement show "Increasing demand as well as changing or even reducing demand"?

De marketing

111. When Nokia introduced its new mobile set in the market in response to consumer demand, it was following which one of the following philosophies?

Marketing concept

112. Which one of the following models can be used to analyze the environment both for new and existing business?

Five forces model

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113. Most portfolio analysis methods evaluate SBUs on which of following two dimensions?

Market growth rate; relative market share

114. In SWOT analysis, strength and weaknesses are part of which of the following environment?

Internal

115. All of the following activities are the part of marketing process EXCEPT:

Developing the business portfolio

116. Which of the following is an intensive growth strategy of increasing sales in current markets with current products?

Market penetration

117. Niche marketing is opposite to which one of the following concepts?

Mass marketing

118. Which one of the following is NOT a part of marketing control process?

Take risk for profits

119. All of the following are examples of customer market EXCEPT:

Government markets

120. Publics-carry news, features and editorial opinion refers to which of the following publics?

Media publics

121. Study of human populations in terms of size, density, location, age, sex, race, occupation and other statistics refers to which of the following studies?

Demography

123. What is another name of Echo boomers?

Baby boomlets

124. An SBU can be a company division, a product line with a division, or sometimes a single product or brand

True

125. Revlon has clearly defined its "mission" of selling lifestyle and self-expression. As the firm prepares to launch its strategic plan, the mission needs to be turned into a detailed set of objectives that guide the whole company

True

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126. Marketers all agree that questionnaires are the most common research instrument.

True

127. ABC interior design wants to collect research data through mechanical observation. The three typical methods are video cameras, checkout scanners, and internet cookies

False

128. Guided by marketing strategy, the company designs a marketing mix made up of factors under its control-product, price, place, and promotion

True

129. The first step in strategic planning is to define the company mission

True

130. After conducting formal marketing research for your department , you make an oral presentation with notes to management. You are following normal marketing research steps

False

131. Marketing research is considered to systematically design, collect and report data directly relevant to a specific marketing situation facing the organization

True

132. A company with limited resources might decade to serve all segments of a market

False

133. The difference between human needs and wants is that needs are states of felt deprivation

True

134. Human needs are shaped by culture and individual personality

False

135. The owner of the 21 store chain of bicycles, explained to the store managers at a recent sales meeting that marketers, more than any other group in the company, must be the trend trackers and opportunity seekers

True

136. As an employee of bankers enterprises, you market wild and crazy games for teens to play at parties. You work in the business market.

False

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137. A university hires a professor for giving lectures to MBA students. The university is primarily the marketer of which of the following?

A service

138. Though which of the following connectivity mediums one can communicate with others through social networks, forums, chats, emails?

Internet

139. Nestle company is dealing in large number of products like milk, mieral water, juices, dairy creams and ghee. These products are called.

Product portfolio

140. XYZ firm is involved in providing advice on risk assessment and priority setting, this firms is basically providing which of the following options to its customers?

Product , service , Support, all option

141. Which part of BCG matrix shows low-share business units in high-growth markets and requires a lot of cash to hold their share?

Dogs

142. A network of networks that consists of millions of smaller domestic, academic, business and government networks, which together carry various information and services it represent which of the following network?

Internet

143. Consumer will favor product that are highly available and affordable. The concept is relevant to which of the following options

Selling concept

144. A demand of a product comes from

All options

145. Dealing with uncertainty about future customer purchases refers to which of the following marketing functions?

Securing marketing info

146. Today's marketers must be good at building relationships in order to connect effectively with customers, others in the company, and external partners

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True

147. The societal marketing concept call on marketers to balance consumer wants and desires, company profits, and society's interest.

True

148. Customer value is defined as the customer's evaluation of the perceived difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

True

149. Demarketing is a marketing philosophy focused upon product differentiation and positioning

True

150. Your accounting department must measure revenues and costs to help the marketing department know how well it is achieving its objectives.

True

151. . When sellers focus on existing needs and lose sight of the underlying customer wants, they suffer from marketing myopia.

True

152. Most firms follow the production concept when they face overcapacity.

False

153. The significant trends in the natural environment include shortages of raw materials and increased pollution

True

154. When firms take aggressive action to affect the public and forces in their marketing environment, they are taking an environmental management perspective.

True

155. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce the smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

True

156. Marketing management is interested in serving all customers in every way to remain competitive in today's market

True

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Selling is managing profitable customer relationships.

True
False (Lesson no 44 Page no 220 Old Handouts)

11. An exchange is the core concept of marketing, whereas a transaction is marketing's unit of measurement.

True (Lesson no 2 Page no 11 Old Handouts)
False

13. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

True
False (Not sure)

16. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

True (Lesson no 4 Page no 20 Old Handouts)
False

19. When seller focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

True
False (Lesson no 2 Page no 11 Old Handouts)

21. When backed by buying power, wants become demands.

True (Lesson no 2 Page no 11 Old Handouts and Lesson no 44 Page no 222 Old Handouts)

False

1. **Mr. Mohsen is currently involved in marketing research. He is using flexible as well as difficult questions which allow further explanation. Identify this form of research which Mohsen is using?**

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1. Personal interviewing
2. Online interviewing
3. Telephone interviewing
4. Mall intercepts

2. Consumer behavior is very much affected by the social factors. Social factors include:

1. Culture
2. Subculture
3. Social Class
4. Groups

3. How many steps are involved in marketing research process?

1. Three
2. Four
3. Two
4. Five

4. Which one of the following sets represents 4 C's of the marketing mix?

1. Customer Solution, Cost, Convenience, Communication
2. Customer, Cost, Convenience, Comfort
3. Convenience, Communication, Coverage, Cost
4. Cost, Coverage, Communication, Consultancy

5. Strategic control involves looking at whether a company's basic strategies are well matched to its opportunities.

1. True
2. False

6. Demand marketing is concerned with?

1. Increasing demand
2. Decreasing demand
3. Finding demand
4. All of the given

7. Most firms follow the production concept when they face overcapacity.

1. False

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8. **Making more sales to current customers without changing a firm's products is market penetration.**

    1. True
    2. False

9. **Bunny bread is mostly used in breakfast times in different areas of Lahore. Manufacture of Bunny bread has made this for all type of customers ranging from housewives to children and teens to old people. Bunny bread is using which of the following market coverage strategy?**

    1. Differentiated
    2. Undifferentiated
    3. Concentrated
    4. None of the given

10. **The aim of De-marketing is:**

    1. To reduce demand temporarily
    2. To reduce demand permanently
    3. To shift demand
    4. All of the given options

11. **Ali is very efficient in computer technology and reads all the latest information on electronics. He also has a very charming and charismatic personality, so when he recommends certain equipment, other people tend to follow his advice. Ali is a/an _____.**

    1. Group member
    2. Opinion Leader
    3. Group Moderator
    4. All of the given

12. **The creative people must find the best style, tone, words, and format for executing the message. Which of the following is the style that shows one or more typical people using the product in a normal setting?**

    1. Lifestyle
    2. Slice of life
    3. Personality symbol
    4. Real-world depiction

13. **Which type of wholesaler not only provides transportation and delivers products to retailers, but also provides the service of placing products on retailers' shelves?**

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1. Truck wholesaler
2. Cash-and-carry wholesaler
3. Rack jobber
4. Rack jobber

14. The buying center is a fixed and formally identified unit within the buying organization.

1. True
2. False

15. Females are now more indulged in working in offices then the earlier. This shifts in demographic represents which one of the following?

1. Increasing diversity of population
2. Changing family and living patterns
3. Emergence of a new market
4. Income and education increases

16. What does the meaning of the physical arrangement of the illustration, headline, subheadline, body copy and the signature?

1. Copy
2. Art design
3. Layout
4. Storyboard

17. All of the following are the sources where consumer can obtain information EXCEPT:

1. Personal
2. Commercial
3. Attitude
4. Public

18. Which of the following is the marketing unit of measurement?

1. Value
2. Transaction
3. Profit
4. Satisfaction

19. Which of the following environment consists of the factors that affect consumer purchasing power and spending patterns?

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1. Demographic environment
2. Cultural environment
3. Economic environment
4. Consumer environment

20. ABC Company is identifying and developing new markets for its current product. ABC Company is exploring possibilities for which of the following strategies?

1. Product development
2. Market penetration
3. Diversification
4. Market development

21. The marketing research process includes all, EXCEPT:

1. Defining the problem
2. Developing the research plan
3. Making critical decisions
4. Reporting the findings

22. Marketing Research composed of the following steps: defining the problems and research objectives, implementing the research plan, interpreting and reporting the findings. Which of the following step is missing?

1. Developing the research budget
2. Choosing the research agency
3. Choosing the research method
4. Developing the research plan

23. Large number of manufacturers and greater number of product variety increases

1. Bargaining power of buyers
2. Bargaining power of suppliers
3. Rivalry among the competitors
4. Threat of substitute

24. Who is our target market and what's our value proposition are two important questions underlying marketing strategy.

1. True
2. False

25. Customer Relationship Management (CRM) is nothing more than a customer data management activity.

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1. True
2. False

26. Collection of raw facts refers to which of the following options?

1. Information
2. Data
3. Results
4. Reports

27. A researcher on the University Book Shop's survey asks respondents to tell what they like least about textbook shopping. What type of question it is?

1. An open-ended
2. A dichotomous
3. A multiple choice
4. A close ended

28. When railroad companies thought that users wanted trains rather than transportation and overlooked the growing challenge of other modes of transportation they were following the selling concept.

1. True
2. False

29. When sellers focus on existing needs and lose sight of underlying customer wants, they suffer from marketing myopia.

1. True
2. False

30. The simplest definition of modern marketing is managing profitable customer relationships.

1. True
2. False

31. Which of the following is NOT a part of the macro-environment?

1. Demographic forces
2. Natural forces
3. Competitors' forces
4. Political forces

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32. What is our business? Who's our customer? What do our customers value? What should our business be? All these simple-sounding questions define which of the following concepts?

1. Objectives and goals
2. Mission statement
3. Business portfolio
4. Operational strategies

33. The societal marketing concept calls on marketers to balance consumer wants and desires, company profits, and society's interest.

1. True
2. False

34. Nokia is about to launch a new product but uncertain about the success and failure of the product is called?

1. Securing market information
2. Risk taking
3. Competition
4. Financing

35. The customer focused marketing is described as:

1. Identify your profitable customers
2. Build relationships with customers
3. Provide sustainable advantage over competitors
4. All of the given options

36. "How are you telling consumers in your target group about your product" This question belongs to which marketing concept?

1. Product
2. Price
3. Place
4. Promotion

37. Human needs are shaped by culture and individual personality.

1. True
2. False

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38. Alternative evaluation is how the consumer processes information to arrive at brand choices. Consumers do not use a simple and single evaluation process in all buying situations.

1. True
2. False

39. Those factors that determine the size and means of payment exchanged for goods and services are part of which one of the following mix?

1. Price promotion mix
2. Price factor mix
3. Basic price mix
4. Production price mix

40. What is the reason(s) of acquiring information from the market?

1. All of the given

41. Similar to 4P's of marketing, the 4C's are:

1. Care, choice, community, challenge
2. Care, choice, community, collection
3. Care, company, community, challenge
4. Care, collaboration, command, challenge

42. The process of dividing a total market into small market groups to meet the desired needs of each customer in each group. It is refers to which of the following concepts?

1. Segmenting
2. Differentiating
3. Target marketing
4. Concentrating

43. The marketing environment is made up of _____ forces.

1. Three
2. Two
3. Four
4. Five

44. A local firm wants to adopt the marketing concept. To be consistent with this move, it should adopt which of the following philosophies?

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1. Making money is our business
2. The customer is always right
3. Keep prices low
4. Focus on competitors only

45. When you collect informationfrom your company's accounting and sales records stored in the computer. You are developing an internal database.

1. True
2. False

46. Consumers are spending more on products and services that will improve their lives rather than their image" reflects which aspect of the cultural environment?

1. People's view of others
2. People's view of themselves
3. People's view of organizations
4. People's view of nature

47. ABC Company, the sportswear designer and manufacturer, decided to open its own specialty shops to sell its merchandise, the firm was engaging in which of the following?

1. Vertical channel integration
2. **A conventional marketing channel**
3. Horizontal channel integration
4. Channel expansion

48. Marketing management is interested in serving all customers in every way to remain competitive in today's markets.

1. True
2. False

49. Consumer market can be segmenting in how many ways?

1. 1
2. 2
3. 3
4. 4

50. Demarketing is a marketing philosophy focused upon product differentiation and positioning.

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1. True
2. False

51. At times it becomes necessary to reduce demand for some products and services. When the government tries to reduce smoking of tobacco products, it adds more tax to the products and is practicing demarketing.

1. True
2. False

52. Product, price, place, and promotion make up the elements of a firm's marketing mix.

1. True
2. False

53. After carefully questioning your msjor suppliers and resellers, you ascertain they do not form important sources of intelligence information for marketing decision making.

1. True
2. False

54. The buying process starts from which one of the following stages in which the buyer recognizes a problem or need?

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. Purchase decision

55. What does the term sales quota refer to?

1. Sales objectives
2. Time to make a sale
3. Sales methods
4. Number of customers

56. Ethical issues such as; irritation to consumers, unfairness deception or fraud, and invasion of privacy refer to which of the following?

1. Mass marketing
2. Direct marketing
3. Indirect marketing

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4. All of the given

57. To find the right product for your customers is relevant to which of the following concept?

1. Product concept

58. Which of the following advertising becomes more important to build selective demand as competition increases?

1. Persuasive advertising
2. Informative advertising
3. Patronage advertising
4. Reminder-oriented advertising

59. The twofold goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering satisfaction.

1. True
2. False

60. Dissonance-reducing buying behaviour occurs when consumers are highly involved with an expensive, infrequent, or risky purchase but see a lot of difference among brands.

1. True
2. False

61. Smart marketers look beyond the attributes of the products and services they sell. They create brand experiences for consumers.

1. True
2. False

62. In which of the following contact method where a group of six to ten people have been gathered for interviewing to know the reasons of success or failure of any brand or product?

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1. Personal Interviewing
2. Telephonic Interviewing
3. Computer Interviewing
4. Mail Questionnaires

63. Marketing strategy is the marketing logic by which a company hopes to achieve profitable customer relationships.

1. True
2. False

64. Mr. Amjad wants to start a textile business. In the initial phase he wants to get some useful data about competitors marketing strategies. Which of the following will give him a true competitor insight?

1. Business Publications
2. Press Releases
3. Competitor's Advertisements
4. All of the given

65. Hybrid cars and android technology in mobiles are examples of:

1. Technological products
2. Economical products
3. Ecological products
4. Natural products

66. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

67. A company decides on its promotion budget by using four common methods to set the total budget for advertising. What is NOT one of these methods?

1. The affordable method
2. The percentage-of-sales method
3. *The integrated method*
4. The competitive-parity method

68. Winning a new customer is usually more costly than retaining an existing customer. How much time it is costly?

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1. 5-10 times
2. 10-15 times
3. 15-20 times
4. 20-25 times

69. A sales representative from a software company approaches to accounting firm and offer a "new software package" that can perform bookkeeping tasks much better than the firm's existing package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?

1. Problem recognition

70. What is the first step in the selling process?

1. Approaching the customer
2. Making the presentation
3. Overcoming objections
4. Prospecting and qualifying

71. In which of the following pricing the seller selects a given city as a "basing point" and charges all customers the freight cost from that city to the customer location, regardless of the city from which the goods are actually shipped?

1. Base-point pricing
2. Freight absorption pricing
3. Transfer pricing
4. Zone pricing

72. The different ways to market product to customers include: direct mail, catalog, telemarketing and online marketing is part of?

1. Direct marketing channels
2. Selling
3. Promotion
4. Advertising

73. Which one of these is not the benefit of buyers in direct marketing?

1. Convenient

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2. Greater product access and selection
3. Customer relationship building
4. Buying is easy

74. Which promotion mix ingredient costs considerably more than advertising to reach one person but can provide more immediate feedback?

1. Publicity
2. Sales promotion
3. Personal selling
4. Public relations

75. Mr. Sajid is confused about using the marketing research process. He seems to be having problems in one of step which is often considered as the hardest step to take. You are required to identify this step?

1. Defining the problem
2. Defining the research objectives
3. Defining the problem and research objectives
4. Researching a research agency to help

76. "At Nike, we sell shoes" is a market-oriented business definition.

1. True
2. False

77. Customer-perceived value depends on the product's perceived performance relative to a buyer's expectations.

1. True
2. False

78. Which one of the following the “target audience” for an advertising campaign?

1. Information base on which to develop the campaign
2. Location and geographic distribution of persons
3. Group of people toward whom the advertisements are directed
4. Overall goal of the advertising campaign

79. In which of the following stage marketer provides quality product and services without variation in quality?

1. Storing
2. Selling

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3. Standardizing and grading
4. Risk Taking

80. Marketing plan is started from which one of the following component?

1. Executive summary
2. Marketing strategy
3. Action programs
4. Opportunity analysis

81. In international marketing research, a common problem which marketers may have to face is the availability of which one of the following?

1. Primary data
2. Research specialists
3. Secondary data
4. Intelligence limitations

82. It is one of the major responsibility of marketing manager to have complete marketing information before defining and understanding the consumer markets. Marketing information is very important because it is used to:

1. Satisfy company objectives
2. Make better marketing decisions
3. Make management's job easier
4. Please customers

83. Mission statements should be realistic and general in nature.

1. True
2. False

84. Delivering superior customer value and customer satisfaction are the two keys to building lasting customer relationships.

1. True
2. False

85. HSY, designer has a leading brand image in the minds of the customers. It is called as:

1. Promotion
2. Positioning
3. Advertising

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4. Awareness

86. A marketing research department provides product information, so that the customer might come up with some alternatives. Such situation describes which of the following consumer buying behavior stage?

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. The purpose of decision

87. When your marketing manager discussed factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, you knew that she was talking about the external marketing concept.

1. True
2. False

88. Which of the following set refers to the order of action in marketing control process?

1. Measure performance – evaluate performance – corrective action – set goals
2. Corrective action – set goals - measure performance – evaluate performance
3. Set goals - Measure performance – evaluate performance - corrective action
4. Set goals - Measure performance – corrective action – evaluate performance

89. Secondary data must be:

1. Relevant
2. Accurate
3. Current
4. All of the given

90. Last step of marketing research process is _____.

1. defining the problem and research objectives
2. developing the research plan
3. analyzing the information
4. presenting the findings

91. The marketing research step that comes after "identifying and defining the research problem" in the marketing research process is which one of the following?

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1. Interpretation
2. Implementation
3. Developing the research plan
4. Observation

92. Which one of the following is the function of a channel of distribution?

1. Directs the flow of products from producers to customers
2. Links producers to other marketing intermediaries
3. Takes title to products and resells them
4. Manages transportation and warehousing functions

93. Mr. A retains complete ownership of all members of its distribution channel. Mr. A channel would be best described as which of the following VMS?

1. Corporate
2. Contractual
3. Conventional
4. Administered

94. Which of the following advertising is used in which a company directly or indirectly compares its brand with one or more other brands?

1. Informative advertising
2. Reminder advertising
3. Comparative advertising
4. Institutional advertising

95. Your manager asked you to go through three of your competitors' garbage bins to gather marketing intelligence from their discarded paperwork. One of them caught you in the act and has summoned you to court. The judge will most likely rule this to be an illegal activity and fine you and your company.

1. True
2. False

96. Which of the following option refers to the actors and forces outside marketing that can affect marketing management ability?

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1. Marketing environment
2. Marketing planning
3. Marketing strategy
4. Marketing audit

97. Which one of the following information can easily be collected through experimental research?

1. Unknown
2. Causal
3. Complicated
4. Interactive

98. Which of the following is the set of actual and potential buyers of a product?

1. **A market**
2. An audience
3. A group
4. A segment

99. Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

1. True
2. False

100. Pepsi cola is a carbonated water drink which is used to quench thirst. Here Pepsi cola denotes which type of level of product?

1. Core product
2. Actual product
3. Augmented product
4. Industrial product

101. The principles of personal selling described as which one of the following orientation?

1. Relationship orientation
2. Service orientation
3. Customer orientation

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4. Transaction orientation

102. All of the following are included in the Porters five forces model of competition EXCEPT:

1. Bargaining Power of Competitors
2. Bargaining Power of Buyers
3. Threat of New Entrants
4. Bargaining Power of Suppliers

103. The difference between and wants is that needs are states of felt deprivation.

1. True
2. False

104. Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer-unique value and lasting relationships?

1. Personal selling and direct marketing
2. Public relation and publicity
3. E-commerce and E-business
4. Advertising and sales promotion

105. HTC decided to lower its prices due to recent economic recession. The firm is responding to which of the following option?

1. Political environment
2. Economic environment
3. Cultural environment
4. Demographic environment

106. Which form of data that already exist somewhere and can be obtained more quickly and easily even at lower cost?

1. Primary
2. Census
3. Secondary
4. Syndicated

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107. When the aim of the promotion, while introducing a new consumer product, is to achieve high awareness levels, the firm will most likely make heavy use of which one of the following promotional mix?

1. Advertising
2. Sales promotion
3. Personal selling
4. Publicity

108. What would be the ingredients of a baby cereal to attract a large target market? It is the problem statement of which of the following research?

1. Exploratory Research
2. Descriptive Research
3. Causal Research
4. All of the given

109. Which one of the following research studies illustrates that "Sale is decreasing due to substitute product"?

1. Causal research
2. Observational research
3. Experimental research
4. Survey research

110. Data/Information that already exists and collected somewhere else and readily available from other sources as well is known as:

1. Primary data
2. Secondary data
3. Encrypted data
4. Bulk data

111. All of the Ahmad's friends try to copy his style, his dressing and the way he speaks. He is also considered as one of the most reliable person in the group. Ahmad is regarded as a/an:

1. Group member

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2. Opinion Leader
3. Group Moderator
4. All of the given

112. The selling concept holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.

1. True
2. False

113. In the process of buying routinely purchased items, buyers also plays the role of which of the following category?

1. Deciders
2. Gatekeepers
3. Influencers
4. Buyers

114. The late majorities are skeptical; they adopt an innovation only after their friends have tried it.

1. True
2. False

115. All of the following are the logistics functions EXCEPT?

1. Order processing
2. Warehousing
3. Inventory management
4. Retailing

116. _____ is defined as achieving goals depends on knowing the needs and wants of the target markets and delivering the desired satisfaction better than competitors do?

1. Marketing concept
2. Production concept
3. Marketing management
4. Societal marketing

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117. Marketing offers are limited to physical products.

1. True
2. False

118. At Air Online, "we provide online services." is a market-oriented business definition.

1. True
2. False

119. _____ is the public information about a company, good, or service appearing in the mass media as a news item.

1. Publication
2. Publishing
3. Publicity
4. All of the given

120. When the size, purchasing power and profiles of business market segments can be determined, they are said to possess the requirement of being what?

1. Measurable
2. Accessible
3. Substantial
4. Actionable

121. Suppose you are at the point of testing hypotheses about decreasing sales in a certain markets and their causes. You are involved in what type of research?

1. Exploratory
2. Descriptive
3. Causal
4. Focus group

122. Zara, the cosmetics brand focuses on quality products, performance and features. It holds which of the following concept?

1. Production concept
2. Product concept
3. Marketing concept
4. Total Quality Management

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123. Political force is one of the forces of marketing macro environment. How marketers view political forces?

1. Easily ignored
2. Easily influenced
3. Simple to recognize
4. Beyond their control

124. Virtual University of Pakistan is using the systematic design, collection, analysis, and reporting of data relevant to marketing its new undergraduate and graduate programs to minority students. What do you call this?

1. Promotion
2. Marketing research
3. Cost-benefit analysis
4. Identifying the target market

125. Which of the following method is simple to use and helps management think about the relationships among promotion spending, selling price, and profit per unit?

1. Percentage-of-sales
2. Affordable
3. Competitive-parity
4. Objective-and-task

126. Strategic market planning is the task of selecting an overall company strategy for long-run survival and growth.

1. True
2. False

127. Which of the following is used as research instrument for data collection?

1. Experiment
2. Observation
3. Questionnaire
4. Information

128. The societal marketing concept is divided into:

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1. Society, company, government
2. Society, company, consumers
3. Company, consumers, competitors
4. Society, company, competitors

129. The production concept and product concept are two philosophies that can both lead to marketing myopia.

1. True
2. False

Which one of the following is the major benefit of using event sponsorship?

- **Enhances personal selling efforts**
- **Provides an excellent back-drop for advertisements**
- **Provide large amounts of free media coverage**

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- **Neutralizes the effects of unfavorable public relations**

Which of the following sales management tool shows that which customers and prospects to see during the next 12 months and in which months as well as which activities to carry out?

Time-and-duty analysis

- **Sales force automation systems**
- **Annual call plan**
- **Sales quota plan**

An effective form of direct marketing today is using the 30-minute television advertising programs for a single product to get instant feedback from customers refers to which of the following concepts?

- **TV advertising**
- **Infomercials**
- **Home shopping TV**
- **Publicity**

3 Shortage of raw material is specific area of concern of which environmental factor?

1. **Political Environment**
2. **Cultural Environment**
3. **Natural Environmental**
4. **Technological Environmen**

Which of the following is a way in which a firm can respond to the price change by the competitor?

1. **Reduce price**
2. **Reduce the quality**

A _____ combines successive stages of production and distribution under single ownership.

1. **Administered vertical marketing system**
2. **Conventional marketing channel**
3. **Use of power brokers in a channel framework**
4. **Corporate vertical marketing system**

When suppliers, distributors, and customers partner with each other to improve the performance of the entire system, they are participating in which of the following systems?

1. **Value delivery network**
2. ***Channel of distribution***
3. **Supply chain**
4. **Demand chain**

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Which one of the following steps comes after identifying and defining problem in marketing research?

1. **Interpretation**
2. **Implementation**
3. **Developing the research plan**
4. **Observation**

General pricing approaches and pricing strategies are _____ things.

1. **One and the same things**
2. **Different things**

Which of the following is NOT an external factor while setting the price of a new product?

1. **Nature of Market and Demand**
2. **Competitor's Strategies and prices**
3. **Environmental factors**
4. **None of the above**

Which one of the following is a technique to stimulate the creation of ideas?

1. **Barnstorming**
2. **Briefing**
3. **Brainstorming**
4. **Banqueting**

The BCG growth-share matrix classifies which of the following four types of SBUs?

1. **Product; price; promotion; placement**
2. **Sales; market share; price; promotion**
3. **Stars; cash cows; question marks; dogs**
4. **Planning; organizing; leading; controlling**

A marketing manager of a large consumer foods company is studying distribution, promotion, and price of the company's product. Marketing manager is studying which one of the following concepts?

1. **Marketing strategy**
2. **Marketing mix**
3. **Market offering**
4. **Marketing plan**

All of the following are the forces of company's micro environment EXCEPT:

1. **The company**
2. **The Supplier**
3. **Competitor**
4. **Demographic**

Items offered free or at minimal cost as a bonus for purchasing a product refers to which one of the following options?

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1. **Rebates**
2. **Premiums**
3. **Samples**
4. **Coupons**

In SWOT analysis, threats and opportunities are part of which of the following environment?

1. **Internal**
2. **Inside**
3. **External**
4. **Domestic**

Which one of the following is NOT a part of marketing channel firms (intermediaries)?

1. **Physical distribution firm**
2. **Marketing service agency**
3. **Financial intermediary**
4. **Stock exchange**

addWhen Kodak sets the general price range of its cameras low and its related film high, it is practicing which one of the following pricing?

1. **Market-penetration pricing**
2. **Market-skimming pricing**
3. **Product line pricing**
4. **Captive-product pricing**

The process of dividing a total market into market groups so that persons within each group have relatively similar product needs refers to which of the following concepts?

1. **Segmenting**
2. **Differentiating**
3. **Target marketing**
4. **Concentrating**

Connecting with employees in the company refers to which of the following options?

1. **Extranet**
2. **Internet**
3. **Intranet**
4. **World wide web**

Which of the following communication and promotion tools involve direct connections with customers aimed toward building customer unique value and lasting relationships?

1. **Personal selling and direct marketing**
2. **Public relation and publicity**
3. **E-commerce and E-business**
4. **Advertising and sales promotion**

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Which of the following is NOT a form of direct marketing?

1. **Personal selling**
2. **Advertising**
3. **Telephone marketing**
4. **Direct-mail marketing**

Elimination can BEST be described as the process of deleting a product from the product mix when it:

1. **Is perceived as a failure by top management**
2. **Increases production costs and decreases profits**
3. **No longer responds to promotional efforts**
4. **No longer satisfies a sufficient number of customers**

A company decides on its promotion budget by using four common methods to set the total budget for advertising. What is NOT one of these methods?

1. **The affordable method**
2. **The percentage-of-sales method**
3. **The competitive-parity method**

Which of the following characteristics should not be included in mission statement?

1. **Be realistic**
2. **Be bro**
3. **Be specific**
4. **Be motivating**

When management at Honda Motorcycles makes decisions on which type of saddlebags, handle bars, and seats for its bikes, they become engaged in which one of the following pricing?

1. **Product line pricing**
2. **Optional-product pricing**
3. **Captive-product pricing**
4. **Value-based pricing**

People vary in their emphasis on serving themselves versus serving others reflects which of the following views?

1. **People's views of themselves**
2. **People's views of others**
3. **People's views of organizations**
4. **People's views of societies**

Study of human populations in terms of size, density, location, age, sex, race, occupation and other statistics refers to which of the following studies?

1. **Segmentation**
2. **Demography**
3. **Psychographic**

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4. **Geographic**

The Students Union is buying office equipment. For a supplier, the Students Union is an example of which one of the following markets?

1. **A producer market**
2. **A reseller market**
3. **An institutional market**
4. **A government market**

Which one of the following is NOT a part of marketing control process?

1. **Set goals for organization**
2. **Measure performance**
3. **Take risk for profit**
4. **Evaluate performance**

A manufacturer spends a large amount of money on research and development leading to the introduction of a product that is likely to present the firm with a breakthrough opportunity. The manufacturer prices the product with the goal of achieving a 20 percent return on its investment. Which of the following types of pricing objectives is the company using?

1. **Target return**
2. **Profit maximization**
3. **Nonprice competition**
4. **Meeting competition**

In which of the following pricing the seller selects a given city as a "basing point" and charges all customers the freight cost from that city to the customer location, regardless of the city from which the goods are actually shipped?

1. **Base-point pricing**
2. **Freight absorption pricing**
3. **Transfer pricing**
4. **Zone pricing**

Which one of the following option is true for Marketing?

1. **Demand management**
2. **Customer relationship**
3. **Making a sale**
4. **Making a profit**

ABC Company developed its successful new line of ketchup by observing and listening to its which of the following groups?

1. **Employees**
2. **Sales force**
3. **Customers**
4. **Suppliers**

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Research of buying decisions by large companies to find out what they buy, where they buy, how much they buy refers to which one of the following buying decision?

1. **Market buying decision**
2. **Consumer buying decision**
3. **Group buying decision**

Large tools and machines used in a production process for a considerable length of time are classified as which one of the following?

1. **Office equipment**
2. **Accessory equipment**
3. **Raw material**
4. **Consumable supply**

the aim of the promotion, while introducing a new consumer product, is to achieve high awareness levels, the firm will most likely make heavy use of which one of the following promotional mix?

1. **Advertising**
2. **Sales promotion**
3. **Personal selling**
4. **Publicity**

Orders can be submitted by which of the following ways:

1. **By mail or telephone**
2. **Through salespeopl**
3. **Via computer**
4. **All of the given options**

Which one of the following options represents the collection of businesses and products that make up a company?

1. **Strategic business unit**
2. **Mission statement**
3. **Strategic plan**
4. **Business portfolio**

The degree to which a market segment is sufficiently large or profitable refers to which of the following concepts?

1. **Substantiality**
2. **Accessible**
3. **Actionable**
4. **Measurable**

Three key issues associated with initiating price changes are, the circumstances, the tactics and:

1. **Sales targets**
2. **Bad publicity**

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3. **Stock levels**
4. **Competitor reactions**

A state of "felt deprivation" in human is called:

1. **Want**
2. **Demand**
3. **Value**
4. **Need**

Sales promotion includes a wide assortment of tools. Which one of the following is NOT one of these tools?

1. **Contests**
2. **Premiums**
3. **Telephone surveys**
4. **Coupons**

Which one of the following is a part of 4 C's?

1. **Consumer**
2. **Company**
3. **Convenience**
4. **Competitors**

Which method of research can be used to obtain information if people are unwilling or unable to provide?

1. **Observation**
2. **Focus groups**
3. **Personal interviews**
4. **Questionnaires**

Which one of the following category provides the resources needed by the company and competitors to produce goods and services?

1. **Suppliers**
2. **Customers**
3. **Competitors**
4. **Publics**

Which one of the following is the first step of marketing research process?

1. **Define problem**
2. **Data analysis**
3. **Interpretation**
4. **Implementation**

Which of the segmenting strategies carries higher-than-average risks in consumer markets?

1. **Multiple-segment**

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2. **Concentrated**
3. **Differentiated**
4. **Undifferentiated**

Which of the following is a pricing strategy used while the product is in running phase?

1. **Market-Skimming Prices**
2. **Product Line Pricing**

What is the purpose of intranets?

1. **Buying and selling processes**
2. **Business-to-business purchasing**
3. **Communication among employees**
4. **Maintaining customer relations**

Which one of the following can be estimated from historical data or from price/quantity data across sales districts?

1. **Price elasticity**
2. **Features/benefits**
3. **Price/quantity**
4. **Pricing patterns**

Which one of the following takes possession of truckloads of potatoes, arranges for storage, and transports them to auctions to be sold?

1. **Selling agent**
2. **Commission broker**
3. **Commission merchant**
4. **Selling broker**

What does the term sales quota refer to?

1. **Sales objectives**
2. **Time to make a sale**
3. **Sales methods**
4. **Number of customers**

Which of the following is "something of value" that might be offered to FINAL CONSUMERS as part of the "price equation"?

1. **Sufficient margin to allow for profit**
2. **Promotion aimed at customers**
3. **Price-level guarantees**
4. **Repair facilities**

Three common techniques sales managers use to boost sales force morale that include the organizational climate, sales quotas and which one of the following is the third technique?

1. **Positive incentives**
2. **Positive thinking**

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3. **Positive recognition**
4. **Positive feedback**

Which of the following planning is not the type of planning?

1. **Strategic Planning**
2. **Tactical Planning**
3. **Production Planning**
4. **Operational Planning**

Which one of the following is NOT an ethical pricing issue?

1. **Product dumping**
2. **Predatory pricing**
3. **Price fixing**
4. **Slow Skimming**

Large tools and machines used in a production process for a considerable length of time are classified as which one of the following?

1. **Office equipment**
2. **Accessory equipment**
3. **Raw material**
4. **Consumable supply**

Which of the following is NOT a part of the macro-environment?

1. **Demographic forces**
2. **Natural forces**
3. **Competitors' forces**
4. **Political forces**

The principles of personal selling described as which one of the following orientation?

1. **Relationship orientation**
2. **Service orientation**
3. **Customer orientation**
4. **Transaction orientation**

Which of the following may be ignored while making channel distribution decisions?

1. **Analyzing Consumer Service Needs**
2. **Setting Channel Objectives and Constraints**
3. **Identifying Major Alternatives**
4. **None of the above**

The search for new-product ideas should be _____ rather than haphazard.

1. **Consistent**
2. **Systematic**
3. **Continual**

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4. **Seldom**

The consumer can obtain information from any of several sources. Which is NOT one of these sources?

1. **Personal**
2. **Commercial**
3. **Attitude**
4. **Public**

A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?

1. **Problem recognition**
2. **Product specification**
3. **Product selection**
4. **Product purchase**

Those factors that determine the size and means of payment exchanged for goods and services are part of which one of the following mix?

1. **Price promotion mix**
2. **Price factor mix**
3. **Basic price mix**
4. **Production price mix**

Which one of the following is an alternative to product line stretching that adds more items within the present range of the line?

1. **Product mix**
2. **Interactive marketing**
3. **Product line filling**
4. **Co-branding**

What are the companies doing from the following options as a result of an explosion of more focused media that better match today's targeting strategies?

1. **More narrowcasting and less broadcasting**
2. **Less broadcasting and more narrowcasting**
3. **Less narrowcasting and broadcasting**
4. **More narrowcasting and broadcasting**

After analysis and processing data, it is converted into which of the following forms?

1. **Facts**
2. **Postulates**
3. **Information**
4. **Results**

Following activities are the part of marketing process EXCEPT which of the following?

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1. **Analyzing marketing opportunities**
2. **Selecting target markets**
3. **Developing the business portfolio**
4. **Managing the marketing effort**

Political force is one of the forces of marketing macro environment. How marketers view political forces?

1. **Easily ignored**
2. **Easily influenced**
3. **Simple to recognize**
4. **Beyond their control**

Unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment refers to which one of the following?

1. **Belief**
2. **Culture**
3. **Personality**
4. **Self-awareness**

Which of the following marketing mix activity is most closely associated with newsletters, catalogues and invitations to organization-sponsored events?

1. **Pricing**
2. **Distribution**
3. **Product development**
4. **Promotion**

What does it reflect "The receiver's response to a message"?

1. **Feedback**
2. **Media**
3. **Noise**
4. **Decoding**

Nationally distributed consumer convenience products such as cigarettes are MOST likely distributed through which of the following channels?

1. **Producer, agents, wholesalers, retailers, consumers**
2. **Producer, wholesalers, consumers**
3. **Producer, wholesalers, retailers, consumers**
4. **Producer, industrial distributor, wholesalers, retailers, consumers**

Marketing stimuli consist of the four Ps. Which is NOT one of these Ps?

1. **Product**
2. **Political**
3. **Promotion**
4. **Place**

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Which of the following set refers to the order of action in marketing control process?

1. **Measure performance – evaluate performance – corrective action – set goals**
2. **Corrective action – set goals – measure performance – evaluate performance**
3. **Set goals – Measure performance – evaluate performance – corrective action**
4. **Set goals – Measure performance – corrective action – evaluate performance**

Polaroid is aiming its Cool Cam camera at teenagers. Which of the following options reflect Teenagers?

1. **Target audience**
2. **Segmentation**
3. **Target market**
4. **Focus group**

Which one of these is a department of advertising agency?

1. **Creative**
2. **Research**
3. **Media**
4. **All of above**

Which one of the following factors influences the consumer buying decision process?

1. **Person-specific**
2. **Social**
3. **Demographic**
4. **Situational**

People change the goods and services they buy over time because of two important factors. Which one of the following sets reflects these factors?

1. **Belief and attitude**
2. **Perception and personality**
3. **Age and life-cycle stage**
4. **Family and tradition**

Measure and evaluate performance is the part of which marketing function

1. **Marketing Analysis**
2. **Marketing Implementation**
3. **Marketing Planning**
4. **Marketing Control**

Less frequently purchased consumer products and services which are compared by the customer on different product attributes, refers to which one of the following product?

1. **Unsought products**
2. **Specialty products**
3. **Shopping products**
4. **Industrial products**

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Which of the following is NOT an internal factor while setting the price of a new product?

1. **Marketing Strategy**
2. **Objectives**
3. **Marketing Mix**
4. **None of the above**

Marketing information from which of the following databases can be accessed more quickly and cheaply

1. **External**
2. **Internal & External**
3. ***Internal***
4. **Representatives**

During the new product development process, the creation of a large pool of ideas for potential new products is the primary goal of which one of the following steps?

1. **Idea generation**
2. **Idea screening**
3. **Concept development**
4. **Prototype development**

Survey research, called the backbone of primary research, is the most widely used method for primary data collection and is best suited for gathering which of the following information?

1. **Personal**
2. **Attitude**
3. **Descriptive**
4. **Exploratory**

A sales representative from a software company shows an accounting firm that a new software package can perform bookkeeping tasks that the firm's present package cannot. The accounting firm is most likely in which stage of the organizational buying decision process?

1. **Problem recognition**
2. **Product specification**
3. **Product selection**
4. **Product purchase**

Low consumer involvement in purchase and little significant brand difference comes in which type of buying behavior.

1. **Complex buying behavior**
2. **Dissonance-reducing buying behavior**
3. **Habitual buying behavior**
4. **Variety-seeking buying behavior**

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In which one of the following stages of the product life cycle sales fall off and profits stop?

1. **Growth**
2. **Introduction**
3. **Decline**
4. **Maturity**

Which type of wholesaler not only provides transportation and delivers products to retailers, but also provides the service of placing products on retailers' shelves?

1. **Truck wholesaler**
2. **Cash-and-carry wholesaler**
3. **Rack jobber**
4. **Rack jobber**

Which one of the following is NOT base for marketing segmentation?

1. **Consumer markets**
2. **Industrial markets**
3. **Business markets**
4. **International markets**

Michael Porter developed which of the following model?

1. **GE Approach/Model**
2. **BCG Model**
3. **Five Forces Model**
4. **Value Chain model**

Mr. Kashan works on the prototype of a new action-orientated computer game module, he is engaging in which phase of the new product development process?

1. **Idea generation**
2. **Commercialization**
3. **Test marketing**
4. **Product development**

When a company caters to clothing, cosmetics and toiletries markets, it is probably using which type of segmentation?

1. **Age and life cycle**
2. **Gender**
3. **Behavior**
4. **Geographic**

Which one of the following is the first step in the new product development?

1. **Idea screening**
2. **Concept development**
3. **Idea generation**

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4. **Concept testing**

Which one of the following is NOT a content of marketing plan?

1. **Objectives**
2. **Control**
3. **Budget**
4. **Production**

What is the initial stage in the development of an advertising campaign?

1. **Setting the budget for advertising**
2. **Identifying and analyzing the target audience**
3. **Defining the advertising objectives**
4. **Creating the advertising platform**

Which one of the following is NOT a part of industry structure analysis?

1. **Buyers**
2. **Sellers**
3. **Entry/exit barriers**
4. **Competitor**

If a company's customers are concentrated in a small geographic area and the company sells technical products, which promotion method will it most likely use?

1. **Advertising**
2. **Publicity**
3. **Personal selling**
4. **Sales promotion**

In creating research questionnaires, which of the following is good advice for research specialist to follow?

1. **Use care in the wording and ordering of questions**
2. **Questions do not have to be arranged in a logical order**
3. **Ask personal questions in the middle of the instrument**
4. **Avoid eye contact as it may confuse the respondents**

Which one of the following categories refers to a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges?

1. **Product line**
2. **Line extension**
3. **Private brand**
4. **Product bandwidth**

Which one of these is not included in product classification?

1. **Durable products**
2. **Nondurable products**

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3. **Actual products**
4. **Pure services**

Which promotion mix ingredient costs considerably more than advertising to reach one person but can provide more immediate feedback?

1. **Publicity**
2. **Sales promotion**
3. **Personal selling**
4. **Public relations**

Which one of the following is the function of a channel of distribution?

1. **Directs the flow of products from producers to customers**
2. **Links producers to other marketing intermediaries**
3. **Takes title to products and resells them**
4. **Manages transportation and warehousing functions**

When the aim of the promotion, while introducing a new consumer product, is to achieve high awareness levels, the firm will most likely make heavy use of which one of the following promotional mix?

1. **Advertising**
2. **Sales promotion**
3. **Personal selling**
4. **Publicity**

In SWOT analysis, threats and opportunities are part of which of the following environment?

1. **Internal**
2. **Inside**
3. **External**
4. **Domestic**

Large number of manufacturers and greater number of product variety increases

1. **Bargaining power of buyers**
2. **Bargaining power of suppliers**
3. **Rivalry among the competitors**
4. **Threat of substitute**

A company can increase its business in four ways. Which is not one of these ways?

1. **It can add new product lines, thus widening its product mix.**
2. **It can lengthen its existing product lines.**
3. **It can add more versions of each product and thus deepen its product mix.**
4. **The company can discontinue some of its lines.**

The act of setting prices for customers located in different parts of the world is called _____.

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1. **Geographic Pricing**
2. **Value based Pricing**

The various stages of the personal selling process are illustrated below, which one of the following is NOT specific roles of the sales representative?

1. **Negotiating and closing the sale**
2. **Sales presentation**
3. **Prospecting**
4. **Devising product strategy**

Collecting, analyzing and interpretation of data refer to which of the following concepts?

1. **Marketing research**
2. **Marketing intelligence**
3. **Marketing information**
4. **Marketing knowledge**

Anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need refers to which one of the following concepts?

1. **Product**
2. **Price**
3. **Place**
4. **Promotion**

The process of dividing a total market into market groups so that persons within each group have relatively similar product needs refers to which of the following concepts?

1. **Segmenting**
2. **Differentiating**
3. **Target marketing**
4. **Concentrating**

Heavy promotion exists in which of following philosophies?

1. **Outside-in perspective**
2. **Inside-out perspective**
3. **Societal marketing concept**
4. **Production concept**

Which public take developments into account on larger scale?

1. **Financial publics**
2. **Media publics**
3. **Government publics**
4. **Citizen-action publics**

In relation to a product launch strategy, a company engaged in high levels of promotion at the same time as selling at a high price is following which one of the strategy?

1. **Slow penetration strategy**

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2. **Rapid penetration strategy**
3. **Rapid skimming strategy**
4. **Slow skimming strategy**

Why is the headline of a print advertisement such a critical component of the copy?

1. **It determines the final layout design.**
2. **It is often the only part of the advertisement that is read.**
3. **It takes up the most space.**
4. **It links the copy to the signature.**

Network television advertising is very expensive. The media planner looks both at the total cost of using a medium and at which of the following cost?

1. **Cost per exposure**
2. **Cost of premium offers**
3. **Cost of the magazine it is using**
4. **Opportunity cost**

Which one of the following stage introduces a new product into the market?

1. **Product Concept**
2. **Product Development**
3. **Test Marketing**
4. **Commercialization**

Which of the following tasks are included in marketing management?

1. **Marketing analysis**
2. **Marketing planning**
3. **Marketing implementation**
4. **All of the above**

Which one of the following options BEST represents the involvement of management and employees in the continuous improvement of the production of goods and services?

1. **Total Quality Management**
2. **Marketing Management**
3. **Customer Relationship Management**
4. **Knowledge Management**

A transaction in which the organization is making an initial purchase of an item to be used to perform a new job refers to which of the following purchases?

1. **Straight rebuy purchase**
2. **Delayed purchase**
3. **New-task purchase**
4. **Modified rebuy purchase**

Which of the following is a pricing strategy used at the launch of a product?

1. **Market-Skimming Prices**

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2. **Product Line Pricing**

In international pricing companies that market their products internationally must decide what prices to charge in the different countries in which they operate.

1. **True**
2. **False**

Which one of the following groups serves as opinion leaders to the rest of the market?

1. **Late majority**
2. **Early Adopter**
3. **Early Majority**
4. **Laggards**

Which one of the following is not the component of micro environment?

1. **Suppliers**
2. **Competitors**
3. ***Political***
4. **Intermediaries**

All of the following are the logistics functions EXCEPT?

1. **Order processing**
2. **Warehousing**
3. **Inventory management**
4. **Retailing**

Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?

1. **Exploratory**
2. **Descriptive**
3. **Casual**
4. **Qualitative**

A _____ is a retail establishment that combines supermarket and discount store shopping in one location.

1. **Superstore**
2. **Department store**
3. **Hypermarket**
4. **Mega market**

Choose the best description regarding marketing view point.

1. **Matching a product with its market**
2. **Promoting and selling products**
3. **Facilitating and satisfying exchange relationships**
4. **Distributing products at the right price to stores**

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Product develpers need to think about products and services on three levels. Each level adds more customer value. Which one of the following is the most basic level that addresses the question, "What is the buyer really buying?"

1. **Actual product**
2. **Augmented product**
3. **Core benefit**
4. **Co-branding**

High involvement in purchase and perceive a significant differences among brands comes in which type of buying behavior.

1. **Dissonance-reducing buying behavior**
2. **Complex buying behavior**
3. **Variety-seeking buying behavior**
4. **Habitual buying behavior**

Marketing management is really a:

1. **Supply Chain Management**
2. **Demand Management**
3. **Product Management**
4. **Knowledge Management**

A skimming price policy for a product is appropriate when demand for the product is elastic.

1. **True**
2. **False**

In the Boston Consulting Group approach, which one of the following is a measure of company strength in the market?

1. **Relative market share**
2. **BCG matrix**
3. **Business portfolio**
4. **Market growth rate**

Which one of the following affects both demographic and psychological factors?

1. **Quantity discounts**
2. **Price elasticity**
3. **Quality discounts**
4. **Mark-up pricing**

There are __ ways through which the organizations change their prices to meet the change in demand of a product.

1. **1**
2. **2**

Competitor price increases are more likely to be followed when they are due to:

1. **Falling sales**

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2. **General rising costs**
3. **Increased advertising**
4. **Price wars**

Which one of the following concept is the latest in a marketing philosophy?

1. **Societal marketing concept**
2. **Selling concept**
3. **Marketing concept**
4. **Production concept**

Whether the price raised or lowered, the action will affect on: Select correct option:

1. **Buyers**
2. **Competitors**
3. **Competitors**
4. **All of above**

Which of the following concept best describes the situation when the product's cost is too high and marketer looks for ways to bring it down?

1. **Selling concept**
2. **Product concept**
3. **Production concept**
4. **Marketing concept**

Which one of the following involves designing and producing the container or wrapper for a product?

1. **Packaging**
2. **Designing**
3. **Branding**
4. **Labeling**

ABC Research Group must guard against problems during the implementation phase of marketing research for its clients. Typically, management will not encounter which of these problems?

1. **Respondents who refuse to cooperate or give biased answers**
2. **Interviewers who make mistakes or take shortcuts**
3. **Interpreting and reporting the findings**
4. **Primary data that conflict with secondary data**

The total market approach to finding a target market will probably be UNSUCCESSFUL when:

1. **Product differentiation is used**
2. **The firm defines the total market as its target market**
3. **People within the market have heterogeneous needs**
4. **People within the market have homogeneous needs**

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The process of shaping and refining potential product ideas refers to which one of the following options?

1. **Prototype development**
2. **Concept development**
3. **Test marketing**
4. **Idea screening**

Which one of the following research instrument is used to collect large amount of information at the low cost?

1. **Mail questionnaires**
2. **Telephone interviewing**
3. **Personal interviewing**
4. **Computer interviewing**

"How are you telling consumers in your target group about your product" This question belongs to which marketing concept?

1. **Product**
2. **Price**
3. **Place**
4. **Promotion**

Which one of the following wholesaler provides a convenient and effective method of selling small items to customers in remote areas that other wholesalers might find unprofitable to serve?

1. **Mail-order wholesalers**
2. **Specialty-line wholesalers**
3. **Cash-and-carry wholesalers**
4. **Truck wholesalers**

Once a product prototype is developed, it is ready for. Which one of the following steps best describe this statement of the new product development?

1. **Commercialization**
2. **Idea screening**
3. **Concept development**
4. **Test marketing**

Through vehicle the coded message is transmitted from the source to the receiver. Which one of the following vehicle is used for this purpose?

1. **Decoder**
2. **Encoder**
3. **Relay channel**
4. **Media**

What does the meaning of the physical arrangement of the illustration, headline, subheadline, body copy and the signature?

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1. Copy
2. **Art design**
3. **Layout**
4. **Storyboard**

Which of the following is not the type of retailers?

1. **Self-service retailers**
2. **Limited service retailers**
3. **Half service retailers**
4. **Full service retailers**

Which one of the following option is true for Marketing?

1. **Demand management**
2. **Customer relationship**
3. **Making a sale**
4. **Making a profit**

Following are the elements of the marketing mix EXCEPT:

1. **Distribution**
2. **Product**
3. **Target market**
4. **Pricing**

One risk of ___ is that sales may come at the expense of other items.

1. **Line extension**
2. **Packaging**
3. **Social marketing**
4. **Internet marketing**

Building, keeping and growing profitable value-laden relationships with all customers of a company refers to which one of the following concept?

1. **Customer lifetime value**
2. **Customer perceived value**
3. **Customer relationship management**
4. **Societal marketing**

Following are the elements of the marketing mix EXCEPT:

1. **Distribution**
2. **Product**
3. **Target market**
4. **Pricing**

XYZ Company launched new CDs players and tested it in new restaurant. XYZ Company is considering which of the following strategies?

1. **Product development**

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2. **Market development**
3. **Diversification**
4. **Market penetration**

Niche marketing is opposite to which one of the following concepts?

1. **New Marketing exploration**
2. **Knowledge management**
3. **Mass marketing**
4. **Market intelligence**

Marketing researchers usually draw conclusions about large groups of consumers by studying which of the following small component of the total consumer population?

1. **Group**
2. **Sample**
3. **Target group**
4. **Audience**

Marketing intermediary is one of the forces of marketing micro environment. What roles do they play?

1. **Identify individuals & households**
2. **Identify marketing service agencies**
3. **Promote, sell & distribute goods to final buyers**
4. **Minimize supply costs to attract customers**

Which of the following phase of marketing research process is considered MOST expensive and subject to error?

1. **Exploratory research**
2. **Hypothesis**
3. **Data collection**
4. **Data validation**

Which product life cycle stage features an emphasis on informative promotion, development of distribution channels and low sales?

1. **Market establishment**
2. **Market introduction**
3. **Market growth**
4. **Market maturity**

Drawing conclusion from research after analysis of collected data called:

1. **Gathering**
2. **Collection**
3. **Interpretation**
4. **Survey**

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Unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment refers to which one of the following?

1. **Belief**
2. **Culture**
3. **Personality**
4. **Self-awareness**

Which of the following environment consists of the factors that affect consumer purchasing power and spending patterns?

1. **Demographic environment**
2. **Cultural environment**
3. **Economic environment**
4. **Consumer environment**

Which of the following environment includes laws, government agencies, and pressure groups that influence and limit various organizations and individuals in a given society?

1. **Natural environment**
2. **Political environment**
3. **Societal environment**
4. **Cultural environment**

Which of the following is not the type of retailers?

1. **Self-service retailers**
2. **Limited service retailers**

For a day care center, disposable diapers, juice boxes, cleaning supplies and electricity are examples of which one of the following costs?

1. **Fixed costs**
2. **Variable costs**
3. **Derived costs**
4. **Total costs**

If a retailer needed help with store design and training sales personnel, it would most likely use the services of which of the following wholesalers?

1. **Full-service wholesaler**
2. **Full-price wholesaler**
3. **Rack jobber**
4. **Cash-and-carry wholesaler**

Consumer products and services refers to which of the following products that having unique characteristics or brand identification?

1. **Shopping products**
2. **Unsought products**
3. **Specialty products**
4. **Industrial products**

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Yoghurt represents which type of product for most consumers?

1. **Convenience**
2. **Shopping**
3. **Specialty**
4. **Unsought**

Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?

1. **Exploratory**
2. **Descriptive**
3. **Casual**
4. **Qualitative**

High involvement in purchase and see little difference among brands comes in which type of buying behavior.

1. **Complex buying behavior**
2. **Habitual buying behavior**
3. **Dissonance-reducing buying behavior**
4. **Variety-seeking buying behavior**

When a company cannot supply all its customers' needs; what would be an effect on price?

1. **Price will increase**
2. **Price will remain same**
3. **Price will decrease**
4. **Price will decrease up to a curtails limit**

Which of the following traits should salespeople have?

1. **Honesty**
2. **Patience**
3. **Responsiveness**
4. **All of the given options**

Which of the following forces shows the marketing macro environment?

1. **Demographic, economic, natural, technological, political, and social**
2. **Demographic, natural, economic, political, social, and cultural**
3. ***Demographic, economic, natural, technological, political, and cultural***
4. **Demographic, economic, natural, social, political, and legal**

The type of salesperson that usually requires training in physical science or engineering refers to which one of the following salespersons?

1. **Trade salesperson**
2. **Missionary salesperson**

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3. **Technical salesperson**
4. **Sales assistants**

The Students Union is buying office equipment. For a supplier, the Students Union is an example of which one of the following markets?

1. **A producer market**
2. **A reseller market**
3. **An institutional market**
4. **A government market**

Supply's sales force of ABC Company continues to expand, the firm plans to add a fleet of company cars to its sales compensation package. For ABC Company, this would represent which one of the following purchases?

1. **New-task**
2. **Modified rebuy**
3. **Straight rebuy**
4. **Repetitive**

Which one of these is included in levels of marketing segmentations?

1. **Mass Marketing**
2. **Segment Marketing**
3. **Niche Marketing**
4. **All of given above**

What type of new product strategy, Pizza Hut is using when it allows Marriott to offer its new specialty pizzas in the hotel chain's room service menu?

1. **Market development**
2. **Product development**
3. **Market saturation**
4. **Market penetration**

Demographic segmentation divides the market into groups based on which of the following variables?

1. **Size, location, industry, customer**
2. **Size, company, industry, technology**
3. **Location, size, occupation, race**
4. **Customer, technology, company, industry**

Marketing manager wants to improve the packaging of new products after reading customer responses to its customer opinion poll. Which one of the following is NOT a function of packaging?

1. **It contains and protects the product**
2. **It contains the brand mark**
3. **It determines product quality**
4. **It may contain the brand symbol**

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Which of the following is the last step in marketing research process?

1. **Developing the research plan**
2. **Interpreting and reporting the findings**
3. **Defining the problem and research objectives**
4. **Implementing the research plan**

Observers have noted a shift from a "me-society" to a "we-society." Which of the following statement reflect this statement?

1. **People's views of themselves**
2. **People's views of others**
3. **People's views of organizations**
4. **People's views of society**

Items offered free or at minimal cost as a bonus for purchasing a product refers to which one of the following options?

1. **Rebates**
2. **Premiums**
3. **Samples**
4. **Coupons**

British Steel provides steel to various manufacturers in Britain. British Steel would most likely segment markets based on which one of the following variables:

1. **Demographic**
2. **Psychographic**
3. **Type of organization**
4. **Market density**

There are three decision involved in designing a sample. Which of the following is NOT a part of sample designing?

1. **Sampling unit**
2. **Sampling size**
3. **Sampling procedure**
4. **Sampling cost**

Which of the following planning is not the type of planning

1. **Strategic Planning**
2. **Tactical Planning**
3. **Production Planning**
4. **Operational Planning**

Which one of the following is the function of a channel of distribution?

1. **Directs the flow of products from producers to customers**
2. **Links producers to other marketing intermediaries**
3. **Takes title to products and resells them**

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4. **Manages transportation and warehousing functions**

Fast-food restaurants offer tasty and convenient food at affordable prices; they contribute to fatness that harms consumer health and causes health problems in the long run. This statement reflects which one of the following concepts?

1. **Marketing concept**
2. **Societal marketing concept**
3. **Product concept**
4. **Production concept**

Suppose marketers at Lever Brothers are trying to determine whether the use of coupons for detergent was the reason for a sales increase in a particular store. What would be this type of study conducted to answer this question?

1. **Exploratory**
2. **Descriptive**
3. **Casual**
4. **Qualitative**

All of the following are the stages involved in the consumer adoption process EXCEPT:

1. **Desire**
2. **Awareness**
3. **Interest**
4. **Trial**

To reduce inventory management costs, many companies use a system where they carry only small inventories of parts or merchandise, often only enough for a few days of operation refers to which of the following concepts?

1. **Just-in-time logistics**
2. **Limited inventory logistics**
3. **Economic order quantity**
4. **Supply chain management**

Low consumer involvement in purchase but significant perceived brand difference comes in which type of buying behavior.

1. **Complex buying behavior**
2. **Dissonance-reducing buying behavior**
3. **Habitual buying behavior**
4. **Variety-seeking buying behavior**

In SWOT analysis, strength and weaknesses are part of which of the following environment?

1. **Internal**
2. **Outdoor**
3. **External**
4. **Outside**

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Which one of the following options represents the collection of data for the purpose of applying appropriate actions at a subsequent time?

1. **Lifestyle**
2. **Learning**
3. **Perception**
4. **Attitude**

People often buy the kind of clothing. What does it show?

1. **Attitude**
2. **Status**
3. **Learning**
4. **Lifestyle**

In the BCG approach, stars are high-share, high-growth businesses or products. They need heavy investment to finance rapid growth. When their growth slows down, they turn into which of the following?

1. **Dogs**
2. **Question marks**
3. **Cash cows**
4. **SBU**

Which one of the following stage introduces a new product into the market?

1. **Product Concept**
2. **Product Development**
3. **Test Marketing**
4. **Commercialization**

In which of the following research the aim is to describe things such as the market potential for a product or the demographics and attitudes of customers who buy the product?

1. **Exploratory research**
2. **Descriptive research**
3. **Casual research**
4. **Observational research**

Mr. A retains complete ownership of all members of its distribution channel. Mr. A channel would be best described as which of the following VMS?

1. **Corporate**
2. **Contractual**
3. **Conventional**
4. **Administered**

If you are attempting to create primary demand toward your product, you will use which type of the following ads?

1. **Informative**

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2. **Persuasive**
3. **Reminder**
4. **Cooperative**

A _____ combines successive stages of production and distribution under single ownership.

1. **Administered vertical marketing system**
2. **Conventional marketing channel**
3. **Use of power brokers in a channel framework**
4. **Corporate vertical marketing system**

The fact that organizational customers purchase products to be used directly or indirectly in the production of goods and services to satisfy customers' needs. This situation shows which of the following demands?

1. **Joint**
2. **Derived**
3. **Inelastic**
4. **More fluctuating**

Which one of the following affects both demographic and psychological factors?

1. **Quantity discounts**
2. **Price elasticity**
3. **Quality discounts**
4. **Mark-up pricing**

The mental act, condition or habit of placing trust or confidence in another shows which of the following option?

1. **Motive**
2. **Belief**
3. **Behavior**
4. **Attitude**

Which one of the following research instruments is used to collect information quickly?

1. **Mail questionnaires**
2. **Telephone interviewing**
3. **Personal interviewing**
4. **Computer interviewing**

Which one of the following steps is NOT a part of marketing process?

1. **Analyzing marketing opportunities**
2. **Selecting target market**
3. **Designing the business portfolio**
4. **Develop marketing mix**

Which of the following SBUs are not the types of SBU

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Stars

1. **Cash Cows**
2. **Cats**
3. **Dogs**

1) Which of the following terms is used to describe the factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers?

A) the marketing environment

2) You are directed to study the actors close to the company that affect its ability to serve its customers–departments within the company, suppliers, marketing intermediaries, customer markets, competitors, and publics. What are you studying?

A) the macroenvironment

B) the microenvironment

3) You are directed to study the factors that are larger societal forces that affect your company–demographic, economic, natural, technological, political, and cultural. What are you studying?

A) the macroenvironment

4) Which of the following is NOT a type of factor in a company's macroenvironment?

D) competitor

5) All of the groups within a company are called the _____.

C) internal environment

6) Which type of organization helps companies to stock and move goods from their points of origin to their destination?

A) financial intermediary

B) physical distribution firm

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7) Banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods and services are referred to as _____.

A) financial intermediaries

8) A company's marketing environment includes various _____ that are made up of groups that have an actual or potential interest in, or impact on, an organization's ability to achieve its objectives.

D) publics

9) Which of the following is NOT an example of a public that is part of a company's marketing environment?

A) financial

E) marketing department

10) A radio station that carries news, features, and editorial opinions about your area is best classified as which type of public?

A) financial

B) media

11) Consumer organizations and environmental groups are examples of _____ publics.

D) citizen-action

E) media

12) Workers, managers, and members of the board of directors are all part of a company's _____.

A) general public

B) internal public

13) Percy Original caters to a market of individuals and households that buy goods and services

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for personal consumption. What type of market does Percy Original cater to?

D) consumer

E) marketing intermediary

14) Which type of market buys goods and services to produce public services or to transfer them to others who need them?

A) government

15) Members of which type of market buy goods and services for further processing or for use in the production process?

A) business

16) Rachel Patino works for a wholesale company called Distributors Unlimited. She is responsible for buying and selling goods at a profit to small retailers. What is her market?

A) business

B) reseller

17) Your marketing department is currently researching the size, density, location, age, and occupations of your target market. Which environment is being researched?

A) demographic

18) The three largest age groups in America are the baby boomers, Generation Xers, and _____.

A) seniors

B) Millennials

19) The most important demographic trend in the United States is the _____.

A) changing age structure of the population

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20) The youngest of the baby boomers are now in their _____.

C) mid-40s

21) Which of the following is the most commercially influential American demographic age group today?

B) baby boomers

22) Which of the following descriptions most accurately characterizes the baby boomers?

D) They hold 75% of the country's financial assets.

E) They were largely unaffected by the recent recession.

23) Which demographic group was once labeled "the MTV generation" but has become the most educated generation to date?

A) Generation X

24) Which of the following descriptions most accurately characterizes Gen Xers?

A) There are more Gen Xers than Millennials.

B) They were the first generation of latchkey kids.

25) Which demographic group is also referred to as the echo boomers?

A) Generation X

B) Millennials

26) Which demographic group includes large tween and teen markets?

A) Generation X

B) Millennials

27) Which of the following descriptions most accurately characterizes Millennials?

A) They are children of baby boomers.

28) Which demographic group is characterized by a total fluency and comfort with computer, digital, and Internet technology?

A) Generation X

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B) Millennials

E) baby boomers

29) Which of the following demographic groups has NOT seen a percentage increase in the past 50 years?

A) women staying at home with their children

30) The number of _____ households is now growing faster than the number of _____ households.

D) nontraditional; traditional

E) male-dominant; female-dominant

31) In 1950, women made up less than 40 percent of the workforce; now they make up _____.

E) 59 percent

32) Americans are very mobile. Over the past two decades, the U.S. population has shifted most heavily toward the _____ states.

A) Midwestern

B) Northwestern

C) Sunbelt

33) Which of the following geographical areas has NOT experienced a recent population increase?

D) the Northeast

E) the South

34) In the 1950's the American population began shifting from large cities to _____.

D) suburbs

E) coastal towns

35) As more and more Americans are moving to "micropolitan areas," marketers can most

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reasonably assume that _____.

B) micropolitan areas may offer the same advantages as metropolitan areas

36) An increasing number of American workers work out of their homes with technological conveniences such as PCs, high-speed Internet access, and fax machines. These workers are referred to as the _____ market.

A) LOHAS

B) SOHO

37) Which of the following most accurately reflects the popularity of telecommuting?

C) About 40% of American businesses currently offer telecommuting programs for their employees.

38) Over the past 50 years, which of the following groups of workers has become smaller?

A) managers

B) manufacturers

39) Because of increasing _____, Americans will demand higher quality products, books, magazines, travel, personal computers, and Internet services.

C) levels of education

40) Which of the following is an accurate statement about the diversity of the American population?

B) More than 12 percent of people living in the United States were born in another country.

41) Of the following, which is the fastest-growing group in the United States?

C) Hispanics

42) Because of an expected increase in ethnic populations, marketers are likely to place a greater

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emphasis on _____.

A) geographic segmentation

B) targeted advertising messages

43) Members of which of the following groups are more likely than the general population to have professional jobs, own a vacation home, own a notebook computer, and own individual stocks?

A) Gen Xers

B) gays and lesbians

44) Of the following diversity segments in the American population, which is currently the largest?

A) adults with disabilities

45) The _____ environment consists of factors that affect consumer purchasing power and spending patterns.

D) economic

.

46) A country with a(n) _____ economy consumes most of is own agricultural and industrial outputs and offers few market opportunities.

D) subsistence

47) A country with a(n) _____ economy has rich markets for many different kinds of goods.

A) industrial

48) Value marketing is the strategy of offering consumers _____.

D) reasonable quality at a fair price

49) Which of the following statements about income distribution in the United States is NOT

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true?

A) In recent decades, the rich have gotten richer.

B) In recent decades, the middle class has grown.

D) consumers at all levels of income distribution

51) Which of the following combinations of expenses use up most household income?

C) food, housing, transportation

52) Ernst Engel's laws generally have been supported by recent studies. He discovered that as family income rises, the percentage spent on _____ declines and the percentage spent on _____ remains about constant.

D) food; housing

53) The natural resources that are needed as inputs by marketers or that are affected by marketing activities are referred to as the _____.

A) raw material market

B) natural environment

54) Which of the following American government agencies is charged with setting and enforcing pollution standards?

A) the Environmental Protection Agency (EPA)

55) What movement has encouraged marketers to pursue environmentally sustainable strategies?

A) the EPA

B) the black market

C) the green movement

56) Which country leads the world in research and development spending?

E) the United States

57) Which of the following is a result of regulations set up by the Food and Drug Administration

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and the Consumer Product Safety Commission?

C) Research costs for companies have grown.

58) Marketers should be aware of laws, government agencies, and pressure groups that influence or limit various organizations and individuals in a given society. This is the _____ environment.

C) political

59) Even the most liberal advocates of free-market economies agree that the system works best with _____ regulation.

D) at least some

60) Legislation affecting business around the world will continue to _____.

A) become simplified

B) increase

61) The legislation created to limit the number of commercials aired during children's programming is called the _____.

D) Children's Television Act

62) Business legislation has been created for three basic reasons: to protect companies from each other, to protect consumers, and to _____.

A) protect the interests of society

63) The recent rash of business scandals and increased concerns about the environment have created fresh interest in the issues of _____ and _____.

A) ethics; promotion responsibility

B) ethics; social responsibility

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64) A company or association's _____ is designed to help guide responses to complex social responsibility issues.

A) code of ethics

65) The primary concern for consumers with the boom in Internet marketing is _____.

C) privacy

66) Cause-related marketing is _____.

C) a primary form of corporate giving

67) A society's basic values, perceptions, preferences, and behaviors are all part of its _____ environment.

B) cultural

68) A society's core beliefs and values have a high degree of _____.

A) persistence

69) A society's _____ are expressed in how people view themselves, organizations, society, nature, and the universe.

A) marketing responses

B) cultural values

70) Watching the cultural trends of how people view others, observers have noted an increased interest in _____.

A) socializing with co-workers

B) going out less and staying home more

71) Trends in people's views of organizations indicate that which of the following has increased in the past twenty years?

A) employees' loyalty to their employers

B) confidence in American political organizations

C) distrust in big American businesses

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72) Watching the cultural trends of how people view society, observers have noted that since September 11, 2001, marketers responded to the increased _____ of Americans with special products and promotions.

A) loyalty

B) patriotism

73) Which of the following is a potential downside to using patriotic themes in marketing programs?

A) Levels of patriotism fluctuate rapidly.

B) Patriotism has been on the decline in the past decade.

C) Such promotions can be viewed as attempts to gain from others' triumph or tragedy.

74) Cultural forecasters have noted a renewed American interest in _____.

A) dominating and taming nature

B) the fine arts

C) work as a source of satisfaction and self-definition

D) spirituality

75) Marketers can take a(n) _____ by taking aggressive action to affect the publics and forces in their marketing environments.

A) environmental perspective

B) proactive stance

76) When the marketing manager Suzie Kwan discusses factors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers, she is talking about the external marketing concept.

Answer: FALSE

77) Marketers, more than any other group in the company, must be aware of the microenvironment and macroenvironment, tracking trends and seeking opportunities.

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Answer: TRUE

78) The microenvironment consists of larger societal forces that affect a company, such as demographic, economic, political, and cultural forces.

Answer: FALSE

79) The macroenvironment consists of the factors close to the company that affect its ability to service its customers, such as suppliers, customer markets, competitors, and publics.

Answer: FALSE

80) Trudie Jones works for a distribution channel firm that helps several electronics companies find customers or make sales to them. Trudie works for a reseller.

Answer: TRUE

81) Marketing research firms, advertising agencies, media firms, and marketing consulting firms are all referred to as marketing services agencies.

Answer: TRUE

82) Today's marketers should view their intermediaries as channels through which they sell their products rather than as full-fledged partners.

Answer: FALSE

83) No single competitive marketing strategy is best for all companies.

Answer: TRUE

84) Consumer organizations such as environmental and minority groups that may question a company's marketing decisions are referred to as local publics.

Answer: False

85) As an employee of Bonkers Enterprises, Brianna Jones markets wild and crazy games for teens to play at parties. Brianna's customer market is a business market.

Answer: FALSE

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86) The reason of the demographic environment is of major interest to marketers because it involves people, and people make up markets.

Answer: TRUE

87) The single most important demographic trend in the United States that marketers should understand is the changing family structure.

Answer: FALSE

88) As baby boomers reach their peak earning and spending years, they represent markets for high-ticket items.

Answer: TRUE

89) Once thought of as slackers, Gen Xers are now displacing the lifestyles, culture, and materialistic values of the baby boomers.

Answer: TRUE

90) Millennials comprise the most commercially influential demographic group in American history.

Answer: FALSE

91) Millennials represent a larger demographic segment than the baby boomers or Gen Xers.

Answer: TRUE

92) Marketers must increasingly consider the needs of traditional households because this segment of the population is growing more rapidly than nontraditional households.

Answer: FALSE

93) Recent shifts in where people live have led to shifts in where people work.

Answer: TRUE

94) The American workforce today is better educated and more white-collar than it was a generation ago.

Answer: TRUE

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95) Major companies in several industries are now directly targeting gay and lesbian consumers.

Answer: TRUE

96) Diversity in America is increasing, and successful marketers are increasingly diversifying their marketing programs to appeal to different segments of the population.

Answer: TRUE

97) Most household income is used up in purchasing food, housing, and transportation.

Answer: TRUE

98) According to Engel's laws, consumers tend to spend a larger percentage of income on savings as income rises.

Answer: TRUE

99) Significant trends in the natural environment include shortages of raw materials, increased pollution, and decreased government intervention.

Answer: FALSE

100) Environmental concerns have been on the decline in the past decade; more government legislation and the green movement may be the cause of this trend.

Answer: FALSE

101) The introduction of new technologies is beneficial to all industries, as new markets and opportunities are created.

Answer: FALSE.

102) Cause-related marketing is a slowing trend as companies have abused the practice, using it more to increase sales than to support worthwhile causes.

Answer: FALSE

103) In the cultural environment, core values and beliefs and secondary values and beliefs differ in that core values and beliefs are more open to change.

Answer: FALSE

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104) When a company hires lobbyists to influence legislation affecting its industry, it is taking a reactive approach to the marketing environment.

Answer: FALSE

105) A company that experiences negative word of mouth on blogs or social networking sites should ignore rumors, as answering any complaints will only make them seem more legitimate.

Answer: FALSE

116) LandPort Transportation and Omega Warehousing move and store the products your company sells. The two businesses are examples of _____.

A) resellers

B) marketing services agencies

C) marketing intermediaries

D) physical distribution firms

117) Currently, Diego Calabresa is employed by a firm that conducts marketing research and creates ads for other companies that help them target and promote their products to the right markets. Who is Diego's employer?

A) a financial intermediary

B) a physical distribution firm

C) a marketing service agency

118) ING, an international insurance and financial services company, is the primary sponsor of the annual New York City Marathon, which is attended by over one million fans and watched by approximately 300 million viewers worldwide. The ING logo and name appear throughout the race course. ING most likely sponsors the event in order to appeal to which type of public?

D) general

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119) If baby boomers are predictors of where product and service demand will be, increased demands will most likely be evident in _____ in the coming years.

A) university enrollment

B) beer and wine

C) financial services

120) Noora DeLange is helping her company develop a marketing program for a new product line. The program involves emphasizing experience over acquisition and uses a marketing pitch that is less overt than the company's previous programs. The marketing program is most likely designed to appeal to which of the following demographic groups?

A) Gen Xers

121) Which of the following best explains why Gen Xers who are parents tend to put family before career?

A) Gen Xers were the first generation of latchkey kids.

122) Wholesome Soups, a maker of organic soups, is starting a new marketing campaign emphasizing the ease of preparing and eating Wholesome Soups on the go. Print, television, and Internet ads feature college-aged students enjoying Wholesome Soups in between classes and during study breaks. Wholesome Soups' new marketing campaign is most likely aimed at which of the following?

D) Millennials

123) In considering the changing American family, which of the following are marketers likely to consider the LEAST important?

A) The number of traditional households has increased.

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124) Which of the following demographic trends is likely the most responsible for the increasing number of people who telecommute?

A) the migration toward micropolitan and suburban areas

125) Chet Hoffman's chain of travel agencies has identified the lesbian, gay, bisexual, and transgender community as a growing market that spends an increasing percentage of its income on travel. Which of the following would be the least effective component of a marketing plan for Chet to take advantage of this opportunity?

A) develop a presence on LGBT-oriented social networking sites

B) position his agency as focused on specialized experiences

C) implement a mass marketing campaign

126) With an expected increase in ethnic diversity, marketers are likely to place a greater emphasis on _____.

A) geographic segmentation

B) differing advertising messages

127) Jack Weiss recently won a $10 million lottery. Jack's life will change a great deal, particularly how he spends money. According to Engel's laws, Jack is LEAST likely to change the percentage of his income that he spends on which of the following?

A) food

B) entertainment

C) housing

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128) A marketer of pesticides should be the least concerned about which of the following?

A) shortages of raw materials

B) increased pollution

C) increased government intervention

D) persistence of cultural values

129) The green movement will likely spark the least interest in which of the following?

A) recycling programs

B) environmentally sustainable strategies

C) social responsibility

D) Internet usage

130) Norma Bernanke is a marketer at a pharmaceutical company that has just developed a new medication to treat asthma. Which of the following components of the political environment should Norma be least concerned with as her company begins to develop a marketing plan for the new product?

E) the Nutrition Labeling and Education Act

131) Which of the following is an example of a core belief?

A) Marriage is important.

132) Consumers undertaking which of the following would be most likely to be identified as "cocooning" or "nesting"?

C) having a home entertainment center installed

133) Increased marketing of home amenities such as high-end barbeques, hot tubs, and home entertainment centers has most likely been spurred by Americans' changing views of _____.

A) social responsibility

B) others

134) Assume that you are a manager at a firm that has hired lobbyists to influence legislation

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affecting your firm's industry to its advantage. Your firm takes a(n) _____ approach to the marketing environment.

A) reactive

B) proactive

135) Which of the following forces would marketers be most likely able to influence?

E) media publics



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